

Chambal Fertilizers & Chemicals Ltd. (CHAMBLFERT)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

(no extractable text — likely a scanned image PDF)

Call: Nov 2022

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Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated October 31, 2022 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on November 02, 2022, on the financial results of the Company for the quarter and six months ended September 30, 2022. The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking You,

Yours sincerely,

for Chambal Fertilisers and Chemicals Limited

Rajveer Singh

Vice President - Legal & Secretary

Encl. : a/a

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Earnings Conference Call for 2nd Quarter and

1st Half of Financial Year 2022-23

November 02, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY23 Earnings Conference Call of Chambal Fertilisers and Chemicals Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rishabh Barar from CDR India. Thank you and over to you, sir.

Rishabh Barar: Thank you. Good day everyone. Thank you for joining us on the Chambal Fertilisers and Chemicals Q2 and H1 FY23 earnings call. We have with us today, Mr. Gaurav Mathur, Managing Director; Mr. Abhay Bajjal, CFO; Mr. Rajveer Singh, Vice President- Legal & Company Secretary; Mr. Ashish Srivastava, Vice President- Sales & Marketing; Mr. Anand Agarwal, Vice President- Finance and Mr. Anuj Jain, Assistant Vice President- Finance. Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is available for reference in the presentation. We will begin the call with opening remarks from Mr. Mathur. I would now like to invite Mr. Mathur to share his views. Over to you, sir.

Gaurav Mathur: Thank you, Rishabh. Good day to everybody and a warm welcome to all of you participating in this call. I'm sure all of you had a chance to go through our presentation on the financial results. We had a challenging first half of the current financial year, which faced a lot of volatility in product prices, with rapid increase in interest rates and depreciation of Indian rupee against the U.S. dollar. All these factors have adversely impacted the financial performance of the company during the quarter and half year ended 30th September, '22.

On the positive side, we have operated our urea plants well and have achieved good efficiency improvements, as well as significantly increased our Crop Protection Chemicals and Specialty Nutrients business. We have substantially increased volumes of bulk fertilizers, especially NPK fertilizers, which has added to the

revenue of the company. As mentioned in the presentation, we have to take a one-time hit in the P&K business on account of substantial increase in prices of imported fertilizers, adverse movement in USD-INR exchange rate and unanticipated losses on account of lower subsidy on DAP stock carried forward from last year. If we set this aside, the profit for the quarter ended September 30

is comparable with the

corresponding quarter of the previous year. The elevated prices of P&K fertilizers have dampened demand in the international market, which has had a softening effect on the prices of these fertilizers, and as of now, the prices remain stable. The import price of DAP has declined by more than 20% from the peak levels during the second quarter of the current financial year and there was a declining trend in the prices of NPK fertilizers also.

As regards subsidy, payments were delayed resulting in higher working capital borrowings which is one of the key reasons for increase in finance costs apart from the higher interest rates. However, there is an improvement in the subsidy payments after, there was an additional amount of more than INR 80,000 crore of additional subsidy by the Government of India and we are hopeful that the substantial portion of subsidy outstanding will be released by the Government of India.

We are very happy with the progress of our Seed to Harvest Program. It has significantly enhanced the connect with the farmers across our core markets and helped us in achieving better performance in Crop Protection Chemicals and Specialty Nutrients apart from increased Page 2 of 10 volumes of non-urea fertilizers. Our endeavor to enter new geographies is also showing good results having a few very encouraging responses.

The Board has approved the revised capacity and capital cost of our Technical Ammonium Nitrate project. The increased cost is partly attributable to increase in capacity and partly to increase in capital expenditure due to factors such as the geopolitical situation, depreciation of rupee and elevated interest rates. The robust demand and high prices of the product give us a lot of confidence about the benefits of this project to the company and we remain very positive about this investment, which we plan to complete over the next 34 months or so.

So overall, we believe that the worst is behind us and that is the key message I would like to give and with that, we would be happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Yes. Thanks for the opportunity. Sir, apart from this cost escalation in capex, there has also been around a year's delay in commercialization of the plant. What would be the reason for that, sir?

Gaurav Mathur: Well, if you're talking about the Ammonium Nitrate plant, the delay is not exactly a year, it is more in the range of six months. And the reason is that when we started the project, thereafter, the entire Russian conflict situation emerged. So, the vendors whom we are working with, also had to take that into account, that's one.

Second is, we were also examining whether we could further increase the capacity based on increased availability of raw materials. And looking at both of those things, we felt that it is better to approach the project with a revised number than necessarily go with what we have done earlier.

Prashant Biyani: Sir, this point on geopolitical situation, most of the tech providers are either from Germany, Italy or U.S. So, how could this geopolitical situation delay the commercialization?

Gaurav Mathur: Well, they need to take into account various aspects like their cost of production, availability of their raw materials for making the equipment, etc. For example, steel, gas cost and availability, power, the curr

ency fluctuations that are happening. So, there are a number of factors which anybody who's a supplier of equipment and is going to carry out a project will need to consider.

Prashant Biyani: Sure. And sir, for now, now that we are expanding it to 2,40,000, we would be needing around 1,06,000 tonnes of ammonia. So, how much ammonia are we currently generating as surplus, and if it is not to the extent of 1,05,000 then by when are we going to achieve the 1,05,000 - 1,06,000 number?

Gaurav Mathur: So, currently we are generating about 85% to 90% of the ammonia required and we have very clear plans in place to generate the balance quantity also through improvement initiatives which would not only generate this extra ammonia but also improve the efficiency of our

ammonia plant.

Prakash Biyani: Sir, any timelines by when we can achieve this 1,06,000 number? That may also benefit us by way of surplus sale. So, if any timeline is there, it will be helpful if you can share it?

Gaurav Mathur: This would happen well within the timeline for the project, and I would expect in approximately within 24 months.

Prashant Biyani: Till then, we should have between 95,000 tonnes of surplus ammonia?

Gaurav Mathur: Yes. I mean, just bear in mind that the surplus ammonia generation also depends on a number of other factors like the quality of gas and so on and so forth. But yes, on an average, we should have somewhere in the range of 90,000 tonnes of ammonia per annum.

Prashant Biyani: Sir, we would have also budgeted certain IRR while deciding on this INR 1,200 crore of investment earlier that we had finalized? With this additional 40% increase in investment, won't our returns on investment of TAN be impacted?

Gaurav Mathur: Actually, that's a very interesting thing. On the one hand while we've had an increase in our capital cost, but there are positive factors which have also contributed, which have essentially kept our IRR in the same range as it was earlier, which is a healthy double-digit number. And some of these factors are that we've obviously increased the capacity of the plant. The other

aspect is that, as we look ahead, we see that gas prices will also remain well, not as high as

Page 3 of 10 they are right now possibly, but they will certainly not go back to the USD10 – USD 11 which existed earlier. So, we expect gas prices to remain probably USD 15 or higher, which also then contributes to the profitability. So, there are a number of positive factors also that have come into play.

I would also add that we are the most efficient manufacturer of ammonia as an entire complex in the country. So, and as we are implementing further energy efficiency projects, the efficiency of our ammonia production and cost is becoming better. We would also have possibly a competitive advantage against other players who may still need to import ammonia.

Moderator: The next question is from the line of Shalini Vasanta from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: Hi. This is Vivek Ramakrishnan. My question is on the subsidy debtors. Even if you take into account the INR 1,800 crore that you have got, it is still double, almost double year-on-year.

Sir, is there any rethink in terms of the government payments, because they were very prompt for the last couple of years and do you see any such delays going forward?

Gaurav Mathur: So, what has happened is, that the government had provided an initial budgetary estimate of the subsidy. But if you see what has been stated in by the Honourable Finance Minister or the Honourable Minister of Chemicals and Fertilizers over the last 3-4 months, that the total outlay that they were talking of for the full year was more in the range of INR 2,25,000 crore - INR 2,50,000 crore and this is the number, I'm saying which was quoted by the Honourable Ministers. Now, what has happened is that because of the rapid escalation of gas prices and prices of imported fertilizers

, the original subsidy allocation got consumed rather quickly, and

there was a very small gap that came up for about four to six weeks before the department managed to get another more than INR 80,000 crore of subsidy allocated and the disbursement of which has started rapidly.

So, looking at that, our view is that the government appears to be very sort of positive in that sense to make an appropriate subsidy allocation to cover the entire requirement of the industry.

Vivek Ramakrishnan: Sir, then would it be fair to say that with the current allocation by the government, by March everything will get regularized, if the prices remain where they are?

Gaurav Mathur: See, like I said, the government is talking of total subsidy outlay of INR 2,25,000 crore or INR 2,50,000 crore. So, right now they've got an immediate INR 80,000 crore but we expect that in the winter session of the budget, they may probably take approval for the entire amount required for this financial year, as they have been doing over the last two years.

Moderator: Thank you. The next question is from the line of Pratik Tholiya from Systematix. Please go ahead.

Pratik Tholiya: Yes. Thanks for the opportunity. My first question is basically for this INR 240 odd crore of one time hit that you have taken. Against that what is the volumes that were, the opening volume that you've sold, for which you have taken this hit?

Gaurav Mathur: Your line is not very clear. You're asking about the volume, which we had at opening in April?

Pratik Tholiya: Yes. Exactly. So, what is the volume that you had sold against which this INR 230 odd crores hit we have taken?

Gaurav Mathur: See, we had on the 1

st of April, an opening stock of DAP of about 3.1 lakh metric tonnes, which the government paid a lower subsidy on, if that is your question.

Pratik Tholiya: Okay. Sir, is this understanding correct that for this 3,00,000 tonnes of inventory that you are holding, you booked a subsidy at INR 50,000 per tonne in Q1 but since you did not get that and you must have got somewhere around INR 32,000 to INR 33,000 per tonne subsidy. So, that why you reversed that entry in this quarter?

Gaurav Mathur: Yes. So, what the government had done is they applied the INR 33,000 like you rightly say on this 3.1 but then they had added INR 8,000 for that period for the entire 5,00,000 tonnes of

the October to March period. So, it was a involved calculations, which was carried out, which the net result was the loss that we mentioned.

Pratik Tholiya: Okay. Understood. And just one smaller question on the current gas prices. What is the current prices for us?

Gaurav Mathur: The current gas price is approximately USD 28 per MMBtu on NCV basis.

Page 4 of 10 Moderator: We'll take the next question from the line of Sanjay Agarwal from Nirmal Bang Equities. Please go ahead.

Sanjay Agarwal: Thank you for the opportunity. How do you see the volume growth in Fertilizer and Crop Protection Chemicals in rabi in third quarter and fourth quarter?

Gaurav Mathur: In terms of Bulk Fertilizers, the overall demand of the country right now is relatively stable. So, we will end up with a share of the total, which has been in the past for our Bulk Fertilizer business. As regards the Crop Protection business, obviously, as you've seen from the results, we've seen very strong growth, and we hope to continue with that. However, you must bear in mind that the quantity of Crop Protection Chemicals consumed in the second half of the year is not similar to what is in the first half of the year. So, the numbers are not necessarily extrapolatable.

Sanjay Agarwal: Okay. And sir, my second question would be, was the loss on imported fertilizers, you were stocking up at March prices as per the Government's directive, or was it because like sales of the DAP and NPK did not pick up as much as we expected?

Gaurav Mathur: Are you talking about building stock for March '2

3?

Sanjay Agarwal: Yes sir. I am talking about the losses that we have incurred on like imported fertilizers. Was the loss on imported fertilizers due to stocking up at March price as per the government directive? Or was it because of the volumes and sales drop in DAP and NPK?

Gaurav Mathur: So, like we have mentioned in my opening remarks as well as in the investor presentation also, it was a combination of the opening stock on which a lower subsidy was paid and thereafter, while the full subsidy was paid, the procurement price was high. The dollar had appreciated versus the rupee and we were not able to pass on that price increase to the market because of the overall MRP pricing situation that existed.

Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Hi. Good afternoon and thank you for the opportunity. Just a quick question on Crop Protection, right. I think the business has done phenomenally, even though it's on a low base, but nonetheless, INR 500 crore of revenue odd in H1. If you could just throw some light in terms of what's happening here, and do you anticipate this kind of traction even going forward? And if so, would it be on account of you've been underpenetrated right now? I mean, I'm just curious in terms of understanding what's driving this business at the speed at which it is?

Gaurav Mathur: Okay. Thank you. I'll request Ashish, our Head of Sales & Marketing to may be provide you with some insights.

Ashish Srivastava: Okay. Thank you. This is Ashish here. You rightly said that the growth numbers look higher because of the lower base. But, as we have mentioned earlier also, as Gaurav also mentioned in his opening remarks, the Seed to Harvest project which we carried out in some selected geographies and there was a concentrated effort upon building up a proper product portfolio, so that both things put together are giving good results. So, the Crop Protection portfolio in the existing geographies takes care of every single crop and every single pest, weed and fungus. So, I think that is growing in that segment.

Tarang Agrawal: And, I mean, how do you, what's your outlook for this business? I mean, without getting into specific numbers, do you believe in terms of purely in terms of completeness of coverage, is there scope for you to increase coverage or there isn't any scope? You have practically may be covered the anticipated area and from here on, you'll probably see growth on same stores or same distributor, same channel growth? Or there's a scope to expand your channel further?

Gaurav Mathur: Yes, actually there is. We absolutely see scope to expand our width and depth of the channel in our core geographies, as well as a large part of these results do not include some of the new geographies which had come in because those were, by the time we got our registrations, etc., we've not had a very significant sale over there, but we expect that to start picking up as we progress. So, for sure, there is a lot more that we have to go ahead with, both, in our existing core earlier geographies more in the north, as well as in the south and west geographies.

Tarang Agrawal: Okay. And just a question on the interest cost. So, there are three elements to it, right, Quantum of debt, cost of debt and the duration for which the working capital debt must have been taken. I think you've explained the duration piece in your earlier comments. So, just wanted to understand the bump on year-on-year basis has been significant. So, between these three elements, where would you probably attribute the majority of the bump?

Page 5 of 10 Gaurav Mathur: I will ask Anuj Jain, our Assistant Vice President - Finance to respond to you.

Anuj Jain: It is majorly because of the average higher borrowings. Though the rate of interests have also increased but that is not having a major effect. The major effect

is because of the higher borrowing by about INR 3,000 crore.

Tarang Agrawal: Okay. And as the allocation situation improves, we should probably see this relaxing as we move forward?

Gaurav Mathur: Yes. That is what we foresee.

Moderator: Thank you. We'll take the next question from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Sure. Thank you for taking my question. My first one is in terms of the subsidy for P&K. Just wanted to understand, because we were of the understanding that the subsidy is payable on the point of sale on the POS machine. You seem to be indicating in terms of the one-time loss, that government is actually looking at in terms of imports, and stockholding. If you could help us understand this?

Gaurav Mathur: Yes. You're absolutely right. The NBS policy is applicable and the subsidies are paid on the basis of material going out of the point of sale. However, last year, the government had, in order to obtain material, DAP especially, for the country, the government had said that even though the subsidy was less, please go ahead and produce material for the manufacturers, and to the importers to import material, and we will make sure that there is no profit, no loss. Unfortunately, what has happened is, when the calculations have been done, it has resulted in a loss for us and I think quite a lot of the industry. So yes, it was a move away from the NBS policy, where we believe that a special approval was taken from the Cabinet to carry this out.

Abhay wants to add something.

Abhay Bajjal: See, jocularly as they say, sometimes the road to hell is paved with good intentions. The intentions were good, but the way the calculations were done, there was a little, lot to be desired. So, this is a discussion which is ongoing with the government. I don't know how soon or quickly we will have resolution, but it is not a dead matter as yet.

Gaurav Mathur: So, we continue to pursue this because the commitment that was given to us was that it will be on no-loss basis. So, we continue to pursue this with the department.

Arjun Khanna: Sure. Thanks. That well explained it. Sir, the first part of that one-time loss, you talked about, substantial increase in imported fertilizers and adverse movement. Obviously, the MRP is what it is in the market, given that there are number of players. Given that we are in a declining phos acid environment, just wanted your view, how do we look at this DAP trading business, given that incrementally prices are falling, and potentially, we could again take a hit in the future if stocks aren't liquidated as soon as they come in, given that the trajectory of DAP globally is on the way down?

Gaurav Mathur: So, based on the declining trend of the prices and the contracts that we've made, we do not expect to make losses in the balance of the financial year as it stands today. However, of course, it is all subject to the subsidy that the government declares from the 1st of October.

Based on the discussions of the industry with the government, the industry does not anticipate any significant reduction in the subsidy. So, we expect it to remain around the mark where it is today. May be slight reduction or not, we don't know for sure.

And then of course, on the pricing part, there's an informal price cap that remains, is to make sure that fertilizer is available to the farmers at an affordable price. And specially, given what's happened on the monsoon front etc., there is a lot of optimism on the Rabi crop going forward.

Arjun Khanna: Sure. Very helpful, sir. If I could just ask one last question in terms of the Ammonium Nitrate project. Given that there is a project cost escalation, could you help us in terms of how do you all look at the payback period, the breakeven period given that the output increase in terms of tonnage is not commensurate with increase in the costing. So how do you all look at

it in terms

of breakeven and payback period? Thank you.

Gaurav Mathur: Yes. So, like I have mentioned earlier, our IRR, breakeven, payback, return on capital employed, all those numbers are very much comparable. Maybe in some cases better than our, when we had looked at the original project and I don't want to obviously get into the specifics of that. And as mentioned, those are driven not just by the increase in capacity, but what is happening on the gas price and that, if the gas price goes higher, there's opportunity for better absolute margins. That's one.

Page 6 of 10 The second thing which we have not as yet factored in into our numbers, but which is a very positive development which has happened only in the third week of October is that Rajasthan has come out with a Rajasthan Investment Policy, which provides a substantial capital subsidy payable over 10 years on the total cost of the project without the duties and taxes, of course.

So, that in itself will further boost the financials of the project as we go ahead.

Moderator: The next question is from the line of Vidit Shah from IIFL Securities. Please go ahead.

Vidit Shah: Hi. Thanks for taking my question. Just to take the point on the falling prices forward, what would be, as you said you do not expect a meaningful reduction in subsidies in Rabi, but like, let's say, if that were to happen, and subsidies go down with phos acid prices to the extent of 15 to 20% from here, what would be the impact? Would the current inventories that you have

still fetch the INR 50,000 of DAP subsidy that it fetched last year, similar to what the government policy was in Kharif or then would we be facing some inventory losses in the

second quarter?

Gaurav Mathur: Vidit, I mean, that's a very hypothetical question, I'm afraid, because we don't know what number the government will come out with from the 1st of October. So, there's no way I can

give any number or any sense on that, honestly. Once the subsidy is announced, then we will probably have an idea.

Vidit Shah: But should there be a reduction in subsidy, would there be inventory losses? Or would the losses not be very meaningful?

Gaurav Mathur: There would be losses if there is a reduction in subsidy. It will depend on what is the extent of the reduction. And on the other hand, because what we will sell now, from now onwards, was procured at a lower price when the prices has started to come down, there is a positive side to that.

Vidit Shah: Got it. Also, in terms of the P&K fertilizers, we've seen a healthy shift towards more NPKs being sold this quarter versus what we've seen in the past. So, is there like a change in strategy where we're moving more towards NPK versus DAP or it was just a one-off season this time around?

Gaurav Mathur: This is very much part of our strategy. So, when we have expanded into the five states early part of this year, late last year, Maharashtra, West Bengal, Andhra Pradesh, Telangana and Gujarat, those states sell a lot of NPK also. If you look at how the DAP and NPK market is placed, the DAP market is predominantly in the northern states. When you talk of Punjab, Haryana, M.P, Rajasthan, U.P, these are the predominant markets of DAP which would

account for 60 to 70% of the total DAP in the country. The NPK market is a little bit of the reverse. The southern states, Andhra, Telangana, Maharashtra, they use a lot more of NPK.

So, as part of our strategy, we are getting a lot more into NPK. And we are also using this opportunity to introduce NPK in our existing territory.

Vidit Shah: Okay. So, in the northern states as well?

Gaurav Mathur: Yes. Please go ahead.

Vidit Shah: Sorry, I was asking the margins that you make on trading NPK is significantly different than the DAP margins?

Gaurav Mathur: The margins, the DAP and NPK prices, because quite a few of their raw materials and inputs are common. So, in a sense the differentials on the p

rices etc., move in a similar manner. Now

of course, there was the informal price cap which differed between DAP and the NPK, which then impacts the margin. And we are at a stage where we are also looking at making sure that we penetrate these markets, right. So as an entry strategy, while of course, we want to make

good margins, but we are also okay if we make reasonable margins.

Moderator: The next question is from the line of Rohan Gupta from Nuama. Please go ahead.

Rohan Gupta: Hi, sir. Good afternoon. Thanks for the opportunity. Sir, couple of questions. The first is on some clarifications on this unexpected losses which we have borne on the complex fertilizer. Sir, time to time, we have seen that, in trading businesses we have occurred this kind of losses because of a change in government policies or probably not the right calculation of the

subsidies. So, I think that has been quite disturbing, historically, as well. Sir, in this case, I mean, it's just surprising to see that the government has announced a subsidy rate in the month of April itself and DAP and NPK are still open in terms of the no-price control from the government, and we can take the sufficient price increase if we are seeing that the currency depreciation is impacting our imported costs. Just wanted to understand that why the industry would not have reacted and sold the DAP still under the old price at INR 1,200 per bag maybe, Page 7 of 10 while seeing the currency depreciation will impact the imported costs? So just wanted to understand what the thought process of the industry while the markets are open to increase the prices in the market?

Gaurav Mathur: So, I think the key focus of the government and to an extent supported by the industry is to ensure that fertilizer is available to the farmers at an affordable price. As you can understand, if the fertilizer price to farmgate price of fertilizer goes up very high, that leads to an increase in his production cost. And then MSPs and food inflation, many things come into play. So that's one aspect of it.

The second is that there was and continues to be an informal cap on the MRP in the market.

The third is that the government had and has in the past said to the entire industry, that they will take into account, the cost and the prices and give the industry a reasonable return through the subsidy. So that is what the industry is taking up with the government, that please look at reasonable return, as we have supplied the material, there is an informal cap on MRP and there was a delta therefore on the cost versus the MRP and the realization. So, that is what we are as an industry pursuing with the government.

Rohan Gupta: Okay. Sir, second question is on our TAN plant. Sir, I understand that we had a surplus ammonia, and that's why the decision was taken to put a TAN plant to have a better utilization of ammonia. We had I think some 80,000 to 90,000 tonnes of surplus ammonia, and we decided to 2.2 lakh tonnes of TAN plants. With just some increasing capacities of proposed TAN plant, are we also going to retrofit our ammonia plant and we'll have a surplus ammonia

availability? That is number one.

And second sir, TAN has been a commodity and with the realizations of almost INR 20,000 to INR 25,000 per tonne with a margin even if not more than INR 7,000 to INR 8,000 on a sustainable margin on an average basis. Are we looking at this project and in the current realization and which may be much higher than what the average realization would have been of TAN historically?

And that's where I mean, I do understand and respect that you're not willing to share the IRR calculations and the numbers there, but are we chasing the current market prices of TAN which may impact significantly when the market normalizes? As ammonia prices normalize globally, and the realization will fall into the territory of again INR 20,000 per tonne to INR 25,000 per tonne, margin INR 5,000 p

er tonne, that can prolong our investment in TAN because you've already increased the capex from INR 53,000 per tonne to INR 68,500 per

tonne of TAN capacity. That's a quite significant increase in capital cost also and may not be remunerative if the TAN realizations fall in average. So just your thought process on that, sir.

Gaurav Mathur: Thank you for the very elaborate analysis, Rohan. Two questions you have asked. One is on ammonia. So, yes, we will be able to increase, like I mentioned earlier, our ammonia production. Now, this is a consequence of energy improvement projects that we will do and upgrades of key equipment which are actually on a standalone basis justifiable on their own with a reasonably good payback. And in addition, we'll produce extra ammonia, which has led to the increase in capacity. So, there's a double benefit to us on how we get this extra ammonia, One.

Second, as regards your question on calculations of margins and prices, well, we can assure you that we don't look at just the current numbers. When we do the projections over a 10 year period, we take into consideration future price of gas, future price of ammonia, demand supply, all those parameters which are essential and then assume a certain margin. We build potential aspects like when we enter this market, we may have, we may not be necessarily able to operate our plant at full capacity in the first year. So, we do then look at how do we build in reasonable assumptions and then do the projects on that basis, as you can well imagine. I think Abhay wants to add something.

Abhay Bajjal: Rohan, if you do a comparable cost analysis for competitors, we are not very far away from them. See, I will not name the company but they are putting up for 3,76,000 tonnes. They are putting up for INR 2,200 crore. So, they are not very far off. Number one.

Number two. You will appreciate that we have a combined plant for urea and ammonia and many overheads and cost get shared. So, our cost structure is definitely better.

Thirdly, our ammonia itself is made out of a very cheaper, I mean, it is because of a more efficient process. So, definitely, cost per tonne of ammonia itself is lower than many others.

As Mr. Mathur has said that it is one of the most efficient complexes for ammonia production Page 8 of 10 in the country today. So, if you take all of that into account, we have a significant advantage in the market.

And number three, I think Mr. Mathur mentioned in passing that there is some substantial relief through the Rajasthan Investment Promotion Scheme, which will reduce the overall costs. So, all taken together, I think it becomes a very fine project to do.

Moderator: The next question is from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit Cirumalla: Yes. Hi, sir. Thanks for the opportunity. On this policy front, the experience that we had in the first half, whether it is likely to impact our strategy for the next year at least on the trading of DAP front, or it's likely to remain the same?

Gaurav Mathur: Are you talking of the NBS policy impact for next year I presume?

Ranjit Cirumalla: Yes.

Gaurav Mathur: So, look, I think it is very early to say anything, because there is so much of uncertainty in the global situation and what is happening on the policy front. There is very regular interaction that we and the industry have with the government. So, I don't think anyone, including me, can sort of give any direction as to what will happen next year.

Ranjit Cirumalla: No, sir. My question was largely on the approach that we had taken so far, that we have been doing the trading in DAP and NPK. At the start of the year, we would have been assured that there would be a subsidy and now there has been a bit of shortfall on that front. Such kind of an approach whether it is likely to change the way we do our trading business or we will take this as a one off and we'll continue.

Gaurav M

athur: Yes. So, we will obviously now look for a lot more things on paper and then take our decisions accordingly. So, the portfolio diversification is also one of the things that we are looking at in terms of if you see the NPK business. But broadly speaking in terms of the strategy on trading, we will very closely look at what the government is doing and putting out in writing as with regard to their policies, and then move on it accordingly.

And these are things which have been happening in the past also, to an extent that you have to wait till the new NBS policy comes out to make a decision on how much of opening stock

you want to carry into the next year and so on and so forth, which will continue to happen. These, last year and this year, have been exceptionally volatile. So, we can't take them as representative of what's going to happen in the future. We have to keep that in mind that these are years where nobody in the entire industry, even those who spent decades in the industry, could actually predict what's going to happen, not only in India, but globally.

Ranjit Cirumalla: Yes. Could you share the volumes split between the Gadepan III and I and II, if that is possible? Volume split between Gadepan III and Gadepan I and II combined?

Abhay Bajjal: Line is not audible at all.

Moderator: We'll take the next question from the line of Vidit Shah from IIFL Securities. Please go ahead.

Vidit Shah: Hi. I just wanted the split of the volume breakdown between Gadepan III and I and II.

Gaurav Mathur: Anuj will provide that to you.

Anuj Jain: Yes. For the quarter, Gadepan I and II is 5.4 lakh tonnes production and Gadepan III is 3.43 lakh tonnes. Total 8.82 lakh tonnes production for the quarter.

Vidit Shah: Okay. Thank you. And I think there is like a newsflash that the government has decreased DAP subsidies by roughly INR 2,000 for the Rabi season and NPK not much has changed. So, any comment that you would like to make for the sort of revision?

Gaurav Mathur: Actually, we haven't seen that because we're in the call. We haven't seen the subsidy numbers. So, I think we will be only able to comment once we see the numbers.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain: Yes. Hi. Good afternoon, team. So, my question is on the DAP, NPK business and I think I had asked this question in the past also, given so much of uncertainty related to this business and we have issues in the past also, there are good phases also, which we have seen. But generally, over a cycle, this business seems to be quite unpredictable. And I think in FY20, Page 9 of 10 you lost market share as well. So, from the thought process perspective, how would you take this business going forward? Will it remain like a trading business only because then lot of levers which other manufacturing companies have, you don't have that kind of levers? So how should you be thinking about this business?

Gaurav Mathur: So, I'm not sure I agree with you that this business is uncertain. Actually, the uncertainty, if you look at, barring last year and this year which was a very, very different situation in the world starting off with the demand supply becoming unbalanced last year to the Russian conflict this year. If you take out this 1.5 year period that has elapsed, it's been a pretty steady business. So, we have no doubt about that at all. And the volatility is only just because what's happening now.

Resham Jain: So, will this business remain like a trading business only or will you ever think about doing some backward integration to at least have kind of some security in terms of margin levers at least on the backward integration side?

Gaurav Mathur: So, look, we keep examining it, but at the end of the day, if you have to have any backward integration, i.e., manufacturing, etc., then we need to be able to have a business case for i

t.

So, for example, if the government comes out with the PLI scheme, then we would be very much interested. But as of now, it looks unlikely that we could get acceptable returns on an investment in manufacturing in this area.

And just to give you a sense, 55% to 60% of DAP is imported, and that is not going to change anytime soon because none of the manufacturers have the capacity to increase that substantially and if they increase that, then NPK will reduce. So, it will continue, a substantial part of the DAP, 55% - 60% will continue to be imported and traded.

Resham Jain: Okay. And just a request, if it is possible, If as an investor, if you want to evaluate how the trading business has done over the last, let's say, 5-7 years, any number if you can give in terms of return on investment, given good amount of working capital also is going into this? So that would be helpful for us just to evaluate how this business returns are over a cycle, over a period of time.

Gaurav Mathur: I don't think I have any number. If Abhay wants to add anything.

Abhay Bajjal: I have just slight anecdotal evidence. From 2014-'15 to about 2019-'20, we set up the Gadepan III plant through the equity generated by this trading. So, you can understand what it has generated for us.

Gaurav Mathur: That's only anecdotal.

Moderator: Thank you. The next question is from the line of Marshal, an individual investor. Please go ahead. As there is no response from the current participant, we'll move on to the next question from the line of Rohan Gupta from Nuama. Please go ahead.

Rohan Gupta: Hi, sir. Thanks for the follow up. Sir, the question is on IMACID. There has been pressure on the profitability in IMACID also in the current quarter, while we see that phos acid prices still remains much lucrative compared to historical average, there should have been decent profitability in IMACID as well. Can you just explain that the contractual arrangement which we have from the IMACID for the rock phosphate and how the value is derived and what kind of margins IMACID is allowed to make?

Abhay Bajjal: See, Rohan, that's an involved question. I'm not really authorized to comment too much on IMACID, but I can tell you only this, that the plant was shut twice. Once, of course, for ATR, a

turnaround which took some extra days and then secondly, because of contractual non-assurances, let us say on the offtake side due to price differentials and so on. That has been since corrected. And I think this last quarter of theirs, which is our third quarter, and their fourth quarter, they are going to do reasonable volumes. Now how much that will result in terms of the profitability, I can't really make any comments. But I would say that they are more or less on even keel on this issue. As far as the margins and other things are concerned, it's a rather involved question of the rock price and sulphur price and so on. We can only comment once they publish and we are not privy to day-to-day workings into IMACID because it is a separate company, Joint venture.

Rohan Gupta: Okay. Sir, second question is on the, once again, coming on the DAP and how you see that the Rabi pricing will be as you said that government definitely has an indicative pricing of DAP in the market and then industry chose to rest to stick with that, though it may be on the cost of losses to the industry, I don't know why but, somehow industry stick with that. What will be the thought process of you or the Company and also where you see the industry heading in second half in a Rabi crop, in Rabi season, when the DAP prices, probably subsidy rate, Page 10 of 10 somebody mentioned, is already gone down by INR 2,000 per tonne. So, if the subsidy rates remain there and with the recent currency depreciation, do you see that you will be allowed or you will be taking price increases in the market in DAP to compensate any kind of losses if the subsidy rates are not suffi-

cient enough to meet the minimum profitability? Or as a moral responsibility, the industry will continue to provide the fertilizer at the same price may be even on the cost of the profitability to the industry?

Gaurav Mathur: So Rohan, like I said, there is an informal cap on the MRP in the market. And we, as an industry, don't see that being lifted in the Rabi season, number one. Number two, with the reduction in procurement price of DAP and if the subsidy remains around the earlier level, we expect positive contribution in the Rabi season.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Gaurav Mathur: Thank you, all of you very much for your very insightful questions. And I hope all of you have a good day and wish you very well for the rest of the festive and winter season. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

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Mumbai - 400 051

Dear Sir,

In continuation to our letter dated February 03, 2023 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Analysts / Investors conference call held on February 08, 2023, on the financial results of the Company for the quarter and nine months ended December 31, 2022. The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking You,

Yours sincerely,

for Chambal Fertilisers and Chemicals Limited

Rajveer Singh

Vice President - Legal & Secretary

Encl.: a/a

Page 1 of 13

Chambal Fertilisers and Chemicals Limited

Quarter 3 and 9 Months of Financial Year 2023 Earnings

Conference Call Transcript February 08, 2023

Moderator: Ladies and gentlemen, good day and welcome to Chambal Fertilisers and Chemicals Limited Q3 FY23 & Nine Months FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you and over to you, sir.

Rishab Barar: Thank you. Good day, everyone. Thank you for joining us on the Chambal Fertilisers and Chemicals' Q3 & Nine Months FY23 Earnings Call.

We have with us today, Mr. Gaurav Mathur— Managing Director; Mr. Rajveer Singh, Vice President-Legal & Company Secretary; Mr. Anand Agarwal – CFO; Mr. Ashish Srivastava, Vice President-Sales & Marketing and Mr. Anuj Jain – Assistant Vice President - Finance.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is

available for reference in the presentation.

We will begin the call with Opening Remarks from Mr. Mathur. I would now like to invite Mr. Mathur to share his Views. Over to you, sir.

Gaurav Mathur: Thank you, Rishab. Good day and a warm welcome to all of you participating in this call.

We have already shared the presentation on financial performance of the Company which I hope you would have gone through.

Overall, we are happy with the performance of our Urea plants, where we have achieved better efficiency in operations.

The Crop Protection Chemicals and Specialty Nutrients business continue to do well, and we have a lot of confidence to continue the journey of growth as we go ahead.

We have substantially increased the sales volumes of DAP and NPK fertilisers with encouraging performance in the new geographies. However, the high prices of DAP and NPK fertilizers had impacted the profitability. As we look ahead, there is a declining trend in commodity prices including prices of DAP, NPK and MOP

fertilisers and also natural gas. This augurs well for the Company as it will not only give stability

Page 2 of 13 to a P&K fertilizer segment but will also help in substantial reduction of working capital requirements of the Company. Moreover, the timely release of subsidy by the Government of India is another positive factor and we hope that this trend will continue as we have seen for the past few years.

We are also happy with the execution of our "Seed To Harvest Program", which continues to provide desired momentum to our growth plans, especially in Crop Protection Chemicals and Specialty Nutrients, where we are directly engaged with a large number of farmers, and we are continuously increasing this program as we progress.

I would also like to share that in Corporate Social Responsibility, which has always been a high priority for the Company, we have made focused interventions in different areas to make a perceptible positive change in the lives of the community at large, and especially the community around our site in Gadepan. The highlights

of our efforts on this front are also provided in the presentation. Our intervention in the area of education has received accolades over the years from the Government and Non-Government organizations.

Further, health, safety and environment is another non-financial indicator, which remained the focus area for the Company. We continue to benchmark ourselves with best industry standards and strive to achieve better performance on continuous basis.

With that, I would be happy to take your suggestions along with my team. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Tarang Agarwal from Old Bridge Capital. Please go ahead.

Tarang Agarwal: Three questions from my side. On the CPC business, if I look at your nine months FY23 performance, it's noteworthy. Just wanted to check, are we EBITDA-positive in this business or not?

Gaurav Mathur: Absolutely. We have a very reasonably good EBITDA on this business. As a Company, we are very clear that as we grow, we will have profitable growth and we would not like to just grow the top line, but we would like to have profitable growth.

Tarang Agarwal: The second is the Rs.237 crore write-off that was taken as a prudent measure in Q2, any update on that?

Gaurav Mathur: There is no update on that as yet. We continue to work with the industry association, FAI, with the Government. But, as of now, there is no specific update.

Tarang Agarwal: What's happening in IMACID, the contribution has been considerably low for nine months. I understand that acid prices have come off significantly?

Anand Agarwal: There were two things which happened in the current quarter. One was that the prices of the phosphate reduced substantially in Q3. And second was that our sale quantity has been very high in particularly Q3. And third point was that the rock prices have not fallen commensurate with the finished goods prices. So, these were the three reasons. And one more point is there that they adjust the rock prices post the quarter. So, some adjustments for the previous quarters are also taken into account in this quarter.

Tarang Agarwal: So, when you say, they adjust the rock prices post the quarter, if you could explain a little more?

Page 3 of 13 Anand Agarwal: Not really. I think we should see going forward the differences will reduce say in the next few quarters.

Tarang Agarwal: So, for instance, if rock phosphate prices have gone down during the quarter, right, would we see the impact of that at the end of the current quarter, and similarly, if rock phosphate prices were to go up, we would see the impact of that at the end of the quarter? So, in a downward trend, we lose but in an upward trend, we benefit. Is that how it works?

Anand Agarwal: Yes, that is true. But, we have to see how the market dynamic work on the raw material price

es and the finished goods prices going forward.

Tarang Agarwal: What's the working capital cost of debt right now for Chambal?

Anand Agarwal: So, for the working capital, it will be somewhere around 7.25% to 7.50%.

Moderator: The next question is from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: A couple of questions. One is about the Nano fertilisers. I think you expect it to be the game changer for the industry. I just wanted to understand what according to you what kind of numbers of size or demand that you see going forward? And how will that scale up over the next few years. If you can give any color on that?

Gaurav Mathur: Thanks, Akshat. There has been a lot of news on Nano. So, we are doing trials with Nano fertilisers ourselves, as well as, we are getting input from what's happening in the market. What I would say is that being the first sort of year, it's very early days.

And so, I think we will need to see the whole cycle across a few cropping seasons to come to a full conclusion as to the potential of Nano and the impact it would have on the conventional fertiliser. So, it is still quite early days actually. So, it would not be fair for me to comment on this.

Akshat Mehta: I think we're still testing out one bottle of this Nano fertilizer, may replace one bag of bulk fertilizer that we are currently selling, that theory is still being tested out? If you can throw some light.

Gaurav Mathur: Those are the trials that are ongoing in the market, and I'm sure that the companies who have brought forth this Nano would be in a better place. Like I said, we are doing trials, but we want to make sure that we gather reasonable data. So, we are doing trials over a few cropping seasons to make sure that we understand what is being promised.

Akshat Mehta: Secondly, on the traded fertilisers. How do you determine the margin on the fertilisers, is there a fixed margin, be it the purchase cost that we do or only based on what your domestic market prices in the country and whatever is left out from a purchase price will be the margin?

Gaurav Mathur: Your voice is a bit muffled. You are talking about margin of what?

Akshat Mehta: Sir, I was talking about margins on traded fertilisers. So, I just wanted to understand, how do you determine the margin, is there a fixed margin which is charged on the purchase cost of this fertilizer or the margin is purely determined based on the purchase cost and the domestic price of the fertilizers that you sell at?

Page 4 of 13 Gaurav Mathur: There is no fixed margin. It is determined by the purchase price, the market realization, the subsidy, and other costs incurred in the process, whether it be handling cost, interest costs, and so on. So, it's not a fixed margin, it is variable.

Akshat Mehta: Is there a kind of normalized situation number or a sustainable number that you can generally achieve, like 5% 10% margins, I don't know, is there some kind of a number that you can share?

Gaurav Mathur: No, we don't share specific margin data as such, but the Government has a cap, that's all I can tell you. They have a cap of 12% return on cost of goods sold. It is unusual for companies to normally reach that cap. And of course, again it will depend year-on-year. Right now we're seeing too sort of second year of turbulence. Hopefully, in the next few years, things will stabilize.

Moderator: The next question is from the line of Vidit Shah from IIFL Securities. Please go ahead.

Vidit Shah: Just wanted to understand a bit more on the finance cost line that we have. We've seen your costs go up versus Q2, but both working capital and subsidy levels are coming down. So, what's the reason behind this sequential increase in finance cost?

Anand Agarwal: What has happened is that the subsidy payments started post-October, and still for the quarter, it was the highest compared to earlier quarters, so the finance cost

was higher on that count. And second, due to increase in the interest rates also, there was some kind of hit. And we see that now in the last three months, we have received substantial subsidy, so that should start coming down.

Vidit Shah: We've seen a very healthy improvement in EBITDA levels YoY whereas Urea volumes are in fact 2% down versus last year. While you don't disclose margins, I understand, but is this growth driven by the DAP or the trading business or is it driven by better efficiencies in the Urea business?

Gaurav Mathur: Well, it is largely driven by better efficiencies in the Urea business. We had implemented energy efficiency projects in our plants and that have shown the results this year. And that's something that we will keep doing going forward to keep on improving the energy efficiency of our plants, which is good financially as well as good from ESG perspective also.

Vidit Shah: So, is there any CAPEX that you have in mind for this energy efficiency improvement initiatives going forward?

Gaurav Mathur: Yes, we keep investing on an ongoing basis, Vidit. So, normally, we are constantly on the lookout, and we keep exploring energy efficiency projects. So, we keep

investing capital in the range of Rs.200 crore to Rs.400 crore almost every year on energy efficiency, as well as other capital projects to replace old assets, health, safety and environmental-related and so on.

Vidit Shah: Any further discussions or have discussions moved forward in terms of other CAPEX initiatives other than the technical ammonium nitrate project?

Gaurav Mathur: Not as yet. Once we have something, we will definitely share it with all of you.

Vidit Shah: What's the timeline in which do you expect to move to the new tax regime where tax rates could come down? How much old losses or MAT credit do you have outstanding?

Page 5 of 13 Anand Agarwal: We hope to change in a couple of years.

Vidit Shah: So, like by FY'26, do we assume you would have probably moved to the new tax regime?

Anand Agarwal: Yes, somewhere around I think next to next year or year after that.

Moderator: The next question is from the line of Harmish Desai from PhillipCapital. Please go ahead.

Harmish Desai: Sir, in the second quarter, we had this one-time loss on the realization of DAP, and you mentioned that we could get this overturned. So, is that something that has taken place or can we stop expecting that to happen?

Gaurav Mathur: As I mentioned earlier, we are working with the Fertilisers Association of India and the matter continues to be in discussion with the Department of Fertilisers. As of now, we don't have any specific update on that, but we do continue to pursue it by us and collectively through FAI.

Harmish Desai: On this IMACID performance in the entire nine months that we have seen, it has been impacted because of lot of reasons in Q1, Q2, Q3. So, what can we expect from the performance going in FY'24? I understand there were issues with RM

pricing and all that. But what can we expect from IMACID from Q4 & FY'24?

Gaurav Mathur: Let me answer this in two parts. One is that, given the volatile situation which still sort of persists, right, the whole conflict situation is still there, etc., it's difficult to predict anything right now on this area. Second is that, overall, if you look at IMACID performance, we have to bear in mind that previous year was a bit of an exceptional year because of exceptional circumstances. So, we need to sort of see what is the normal situation. So, we may be closer to normal now than in last year.

Harmish Desai: In the Non-Urea segment, we know that in the crop protection segment, we do not have any assets. What is our plan from this segment in FY'24? Do we plan to have any kind of CAPEX and introduction of new technicals in this particular segment?

Gaurav Mathur: You're talking of a manufacturing facility in crop protection, etc., We

continue to

evaluate that, right. And obviously, if you look at CPC assets, there is technical manufacturer, there is formulation manufacturer and so on. We continue to evaluate

it, and as of now, we don't have any concrete plans to acquire or build any assets

right now. We have a business model, which seems to be working fine and is giving us a strong top line growth profitably. So, no specific plans right now.

Harmish Desai: But, sir, do we have any plans in terms of targeting some amount of CAPEX for registration of off-patent molecules?

Gaurav Mathur: But, for that, we need a manufacturing facility. We can't register off-patent molecules without having a manufacturing facility. But we keep exploring various options in this area as we are now growing in size and there are opportunities in various forms.

Harmish Desai: Sir, my last question, We have Urea business and we have Non-Urea business.

What can be the margin profile in the nine months that we have seen the bifurcation between Urea and Non-Urea?

Gaurav Mathur: We don't really normally share that. These are very, very unusual years. So, these are not also representative of a stable situation.

Page 6 of 13 Moderator: The next question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: So, what would be the breakup of urea production from G1, G2, G3 for Quarter 3?

Gaurav Mathur: G1 plus G2 was 5.35 lakh MT and from G3 was 3.46 lakh MT.

Prashant Biyani: Sir, would we be taking any maintenance shutdown in this quarter?

Gaurav Mathur: Yes, in Q4 this year. We have completed two years operation of Gadepan-III and we'll be taking a shutdown in March.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund. Please go ahead.

Dhruv Muchhal: Sir, a question on the non-urea business. Now, if I understand correctly, the government did not cut the subsidy amount significantly, and the input prices are falling, and your volumes have also increased. So, based on my rough calculation, it seems we should have benefited decently for the Non-Urea business in this quarter. But it seems that's not fully reflected. So, is it because we had the higher

cost inventory or probably my understanding is wrong, if you can probably help?

Gaurav Mathur: See, normally if you see, this quarter is a key consumption quarter for Rabi and a reasonable amount of quantity arrives by the end of September or early October which has been contracted earlier. So, what you said is right. When you look at the weighted average cost of goods, it does result in some positive movement, but not an exceptional gain.

Dhruv Muchhal: So, it is because you had already contracted the sale price of the input prices in the earlier quarter at higher prices probably because of the situation and hence the full benefit is not getting reflected. Is that a fair understanding?

Gaurav Mathur: There's a lead time of 30-45 days. Therefore, if you have to supply material in the peak Rabi season in October and November, we have to do the contracting in September and August. So, the prices were still a little bit on the high side and then they started to fall. And these are also linked to what's happening in the global situation in terms of Brazil, China and the US, etc.,

Dhruv Muchhal: Now, the global market is somewhat stabilizing, and the prices have also started falling. I just wanted to understand, do you think the traded volumes will start increasing given the availability is improving? And also, wanted to get some sense on the domestic inventory or the supply situation? For the last two years, we were seeing that market was extremely tight. So, do you think some relaxation can happen in the next two years from a market perspective and how does that dynamics play out?

Gaurav Mathur: Sorry, what was the first part of your question?

Dhruv Muchhal: So, broadly, the import prices have started to decline

and there is some stability in

the pricing. So, do you think the traded volume for us can increase now because there is more visibility to our trading now?

Gaurav Mathur: Look, if I go back a year, we had started to see the same sort of trend one year ago also and then things again changed. So, while we have seen a positive trend of decline of international prices, let us wait and see what happens over the next few

months, that's one. Second is that in terms of the overall volume for the country, the

Page 7 of 13 change would not be very significant, because along with the Department of

Fertilisers and all the companies put together, we ensure that adequate quantity of fertilizer was available. As regards

Chambal, depending on what the international

procurement prices, what the announcement of subsidy from the Government is, we will then plan our volumes accordingly.

Dhruv Muchhal: You mentioned there is a cap of about 12% on cost of goods sold for the Non-Urea fertilizers, if I'm not wrong. So, that cap for you then reflects basically the imported cost of purchase of these DAP and NPKs. Is that correct?

Gaurav Mathur: Yes, the 12% is based on the import price. There is a certain formula that the Government uses. So, they base at 12%, but it is essentially linked currently to the CFR price plus import duty.

Dhruv Muchhal: Margin of 12% is maximum that you're allowed?

Gaurav Mathur: That's right, that's the ceiling.

Moderator: The next follow-up question is from the line of Prashant Biyani from Elara Capital.

Please go ahead.

Prashant Biyani: Sorry, my line got disconnected. Sir, this G3 maintenance shutdown will be there for a month?

Gaurav Mathur: Yes, it is close to a month.

Prashant Biyani: Sir, in that case, in January and February, can we produce beyond 100% or whatever is the mandated limit by the government to compensate for the March production?

Gaurav Mathur: Actually, we run our plants at the full capacities. We don't reduce the output from the plant.

Prashant Biyani: So, this 12,70,000, which is the production limit, if I'm not wrong, then, is that achievable in the 11-months was broadly what I wanted to ask?

Gaurav Mathur: Once we achieve that, we will take the shutdown only thereafter, and we hope to achieve that in the first week of March.

Prashant Biyani: Sir, what would be the closing inventory for Urea for us at the end of Q3?

Gaurav Mathur: Around 24,000 tons.

Prashant Biyani: Sir, what would be the pool gas price for Q3 and current gas prices?

Anuj Jain: It is \$23.22 per MMBtu for Q3 NCV basis.

Prashant Biyani: And current price is?

Anuj Jain: In December, final price was \$20.5 per MMBtu on NCV basis. So, January is only provisional price.

Prashant Biyani: How are the current ammonia realizations?

Page 8 of 13 Gaurav Mathur: The ammonia realization margin is consistently reasonably good in the range of 15% to 20%.

Moderator: The next question is from the line of Resham Jain from DSP Investment Managers.

Please go ahead.

Resham Jain: So, just on the capital allocation part, which I'm asking every time, I think you have announced one CAPEX on TAN. But beyond that, how are you planning to allocate such a large cash pool because it will take another 2-3 year s' time to whatever large projects, you will commission, so, it seems a lot of delay. I don't know what is happening on that side, if you can just explain this, because this has been a general investor concern on how are you planning to deploy substantial cash flows, which you are going to generate?

Gaurav Mathur: Thank you, Resham. So, yes, we are going ahead with the ammonium nitrate project and we continue to explore further opportunities. As and when, we come up with something, we will definitely let the investor community know. We just want to be mindful that what we do is aligned with the Company's goals and focus and we continue to work in that direction.

Moderato

r: The next question is from the line of Falguni Datta from Jet Age Securities. Please go ahead.

Falguni Datta: Sir, is it possible to share the profits in NPK trading. Would they be flat on an absolute basis YoY in Q3?

Gaurav Mathur: We don't comment on that as such. Yes, the volumes and the situations were quite different last year compared to this year.

Falguni Datta: Just wanted to know given that we have done quite good volumes, so, would it be fair to assume that they were flat if not fallen?

Gaurav Mathur: The margins were under higher pressure this year because of the procurement prices going so high, and the fact that as an industry along with the DoF, we want to provide fertilizer to the farmers at a reasonable price. So, the margins are under greater pressure compared to last year.

Falguni Datta: I just missed your comment. So, if we have to supply DAP and NPK for Rabi season, when do we need to import, which month?

Gaurav Mathur: We start to contract from August onwards for Rabi season and then that continues till October or so. August, September, October would be the main months for contracting for Rabi Season. Product goes into the soil largely till the middle of December or at best the third week of December. So, idea is to get bulk of the product by then, so it gets sold and it gets used by the farmers.

Falguni Datta: How would be the fertilizer inventory situation in the country as of now?

Gaurav Mathur: Well, now, as companies, we are not privy to the overall inventory data. Earlier, the data was available, but I think the department has now stopped access of that. But our understanding and discussion with the department is that the inventory situation is quite reasonable.

Falguni Datta: Meaning, it's managed, it 's neither high nor low?

Gaurav Mathur: Yes, it's quite reasonable. That's what our understanding is.

Page 9 of 13 Moderator: The next question is from the line of Shreeya Shah from ICICI Prudential Asset Management. Please go ahead.

Shreeya Shah: My question is regarding energy efficiency. As of now, as compared to other companies, its quite energy efficient. How much further can we expect it to be efficient?

Gaurav Mathur: Are you asking about energy efficiency?

Shreeya Shah: Yes

Gaurav Mathur: One is absolute energy efficiency, and also the other is that if you're investing, are you getting a reasonable payback. So, as of now, we consider any project which gives us a payback of around four years, then we would implement that energy efficiency project, right? Then this is also a function of the gas price and so on and so forth. So, while there is a number that a plant can reach, but it also depends on the kind of payback. So, we look at all of that and then decide to invest. What I can say to you is that overall Chambal, if you take overall industry average, is significantly better in energy efficiency than the overall industry average.

Shreeya Shah: How much further can we expect to improve, because you're already better off than the others?

Gaurav Mathur: Well, it's difficult to answer that, Shreeya, because it depends on a number of circumstances, there is an absolute level, but it depends on a whole host of other circumstances.

Moderator: Next question is from the line of Aman Madrecha from Augmenta Research. Please go ahead.

Aman Madrecha: Sir, can you please highlight how the prices in the market of ammonia is behaving globally?

Gaurav Mathur: As of now, we are seeing a downward trend for the last one and a half to two months.

As you might understand that ammonia is also linked to gas and gas has high usage in the winters in Europe for heating and so on and so forth. Also, obviously, ammonia goes as a raw material in a number of chemicals large part in fertilizer and so on. So, right now we're seeing a downward

trend. Again, whether that will continue, how low that will reach, will probably emerge in the next few weeks.

As you know, the whole new sort of year evolves, and will also depend on what happens in terms of the geopolitical situation across the world.

Moderator: The next question is from the line of Himanshu Binani from Prabhudas Lilladher. Please go ahead.

Himanshu Binani: So, sir, I have two questions. #1, it is on the NPS rates. What we understand is that the RM prices are falling, so it is very likely that the Government would be revising downward the NBS rates for FY'24. So, the question now is, if at all this happens on a retrospective from 1st January onwards, so how does one should actually look into the margin profile. Maybe we can expect some sort of like one-offs in the Q1 '24 numbers, so can you please help us with this?

Gaurav Mathur: You are right. The Government had announced the NBS rates, and normally, in any case, they announce fresh rates from the 1st of April. What we understand is that they will start to do this calculation from the middle of March. They look at the prices for the last six months and then basis that, they do the calculation and declare a rate

Page 10 of 13 for the next six months. As regards, whether that will have an impact, etc., we're still in sort of early February, it will also depend on what kind of prices happen in February and March. We have seen a decline in prices, especially, let's say in January, but

the decline was less till then. So, it again depends on how the prices move in February and March. There is also a discussion happening with the Government on how to treat the existing stock which the industry has, and whether the existing rates should apply on that or not. So, there's a lot of discussion that the fertiliser industry is having with the department to streamline the subsidy process.

Himanshu Binani: So, just to add on that basically, if I actually work out with a spot pricing in terms of the RM as well as on the subsidy and the MRPs, so the industry is actually making very decent sort of margins in the current juncture. So, the question is largely that will the Government allow the industry to make profits?

Gaurav Mathur: But understand, this may be a situation at a point in time. But when the Government looks at one full year's data, so when they look at the reasonability, they look at the full annual data, and they calculate the return on cost of goods sold on an annualized basis.

Himanshu Binani: So, the second question was largely on the book-keeping side. So, just wanted to have an understanding on the excess ammonia which we have been generating from the Urea process. So, how do we account that on our books basically?

Gaurav Mathur: It's not very complicated. We sell that and that's revenue. There is a formula or a policy that the Government has, what we have as excess ammonia is called 'Technical Excess Ammonia', which means, it is generated because of the inherent

design of the plant. And when that happens, the government takes certain

Percentage, 35% of the profit Government takes, the 65% the company keeps. So, it's quite straightforward in that sense.

Himanshu Binani: And that is accounted into the Urea revenues only?

Gaurav Mathur: Yes.

Moderator: The next question is from Ranjit from IIFL Securities. Please go ahead.

Ranjit : So, during the quarter, there was this change in policy from the Government of India rather encouraging the companies to get into a more long-term price contracts for the gas sourcing. So, just wanted your thoughts, how should one view, is this material enough or would it change the way we had in accounting for gas sources?

Gaurav Mathur: Currently, for a large proportion of our gas, we have long-term contract, which expire in 2028, and very relatively small percentages on a spot basis. Here again, I think, between the industry and the Government, there has been close working to minimize the cost of spot gas. The Government has also formed a small committee to look into medium a

nd long term contracts for bridging the gap which exists currently between long-term contracts of the company and what is required currently in the short-term. Yes, I think, overall, the Government wants gas to be purchased at the lowest possible cost. It is situation-dependent, what proportion should be long-term, what proportion should be short-term, but in general, we want a significant proportion in long-term contracts, and we also have some mid-term contracts. If we find an advantageous situation, we've also taken the opportunity to enter into one year and two-year contracts.

Page 11 of 13 Ranjit: But you also kind of highlighted about the ability was earlier with the government to pay the higher costs, which will now get transferred to the companies, so how should one view that?

Gaurav Mathur: Sorry, voice was a little unclear. Can you repeat the question please?

Ranjit : So, these long-term contracts would be a take or pay, and to that extent, it also brings a bit of liability, which was earlier borne by the Government, which is now getting transferred to the companies.

Gaurav Mathur: The long-term contracts have take or pay, but that's not really an issue if that is your

question.

Moderator: The next question is from the line of Tarang Agarwal from Old Bridge Capital. Please go ahead.

Tarang Agarwal: Two questions. The first one is on the trading business. Do we run any NRV risk, should the Government decide to push down the subsidy prices?

Anand Agarwal: Yes, if the subsidies revised downwards, whatever closing stock we do have, we have the NRV risk.

Gaurav Mathur: At the same time, like I mentioned, fertiliser association is in discussion with the government to apply the existing subsidy on the stock that is available with each company which you carry in your books at the end of the quarter.

Tarang Agarwal: How much would that be by volume approximately?

Gaurav Mathur: It is difficult to state the number at this point in time because the sale is still going on.

So, if it moves out and the farmer picks it up, then it is no longer in stock. So, it is a little difficult to state what would be the number.

Tarang Agarwal: Any ballpark estimate?

Gaurav Mathur: It's quite difficult, because it depends not only on us, it depends on the stocks and movement of other companies have and so on.

Tarang Agarwal: The second question is on Crop Protection. Just to get a sense on the business a bit better, how is our portfolio of things here, are we pervasive across all pesticides, fungicides, herbicides, insecticides? Are we pervasive across cotton, corn, rice, just

some flavor on this would be helpful? Are there any special registrations that we have, which are probably not yet in the market in terms of the other peers and that's why we're getting traction on them?

Gaurav Mathur: That's a really excellent question. I'll ask Ashish, our Vice President - Sales & Marketing to answer that.

Ashish Srivastava: Tarang, as you rightly asked for, whatever crops are there in our operating geographies, each and every insect, pest, fungus, we covered in our portfolio. In fact, in some cases, we have multiple solutions offering to the trade for some of the insecticides and fungicides. So, the portfolio is broadly covering the entire crop cycle of insect, pest and fungus.

Tarang Agarwal: Traction in the December quarter has also been quite nice. So, would it therefore be safe to presume that you have offerings for Kharif as well as Rabi?

Page 12 of 13 Gaurav Mathur: Yes, like Ashish mentioned, we have a very comprehensive mapping of crop versus fungicide, pesticide and weedicide, very, very intimately mapped across both Kharif and Rabi. So, it's crop-wise map actually. So, therefore, it doesn't matter whether it's

Kharif or Rabi, it's got mapped. It's a very comprehensive portfolio that we have.

Moderator: The next question is from the line of Prashant Biyani from Elara Capital.

al. Please go ahead.

Prashant Biyani: Sir, during the implementation of 'One-Nation, One-Fertilizer' the Fertilizer Secretary had told on television that eventually they would want to restrict the movement of fertilisers, implying that, if we have a plant in Rajasthan, then rather than selling fertilisers to as far as U.P, we should rather first exhaust the demand in Rajasthan or the nearby states. So, have we seen any change in supply plan from the government for the entire industry, whereby the supply to our hinterland markets are increasing and to the far-off markets are reducing. Have we seen any sort of indication or change in supply plan?

Gaurav Mathur: Look, I think, first of all, it's very positive that the Government is doing because it reduces the overall logistics costs for the country, right, which was not benefiting anybody. So, they have developed an optimized model for movement of fertilizers, which they are in the process of implementing. As regards movement, obviously, the consumption of one state is way less than our production. We will continue to get supply plans and we continue to get supply plans for multiple states. And also, I'm sure that there is also realization that if you make it too restrictive, then in case there are shutdowns, and so on and so forth, then there will be a challenge on availability. So, an optimized approach is being taken, that's one. As Chambal, while of course, Urea is a key product, but over the years, we have built a very, very strong brand, which is not just restricted to Urea or other Non-Urea bulk fertilizers but also to Crop Protection and Specialty Nutrients, the Uttam brand. And therefore, we are pretty comfortable with whatever optimized movement plans that the government gives.

Prashant Biyani: Sir, there have been changes in the supply plan to that effect or at least the start has been made to that effect?

Gaurav Mathur: As of now, it is almost negligible.

Prashant Biyani: Sir, if that happens, then our other products apart from Urea, they have been mostly tagged along with Urea. So, if our sale is concentrated in the hinterland geographies only, then would it have some sort of a question mark on growth of other business

segments?

Gaurav Mathur: Prashant, first of all, we do not tag any products with Urea at all. So, let me be very explicitly clear on that, right. That's one. Second, as I said, in the first part of my answer, we have built a very, very strong Uttam brand, which is not restricted to Urea at all. So, if you see, we have expanded into five states in south and east, Maharashtra, West Bengal, Gujarat, Andhra Pradesh and Telangana, and we are selling Non-Urea bulk fertilizers, we are selling Crop Protection Chemicals, Specialty Nutrients to those states, we don't have any Urea there. So, our recognition by the farmer of Chambal as a company, of our brand Uttam, our practices in the market in terms of the support that we provide, all of those also stand for themselves. So, we're not at all bothered about any changes in movement plans.

Prashant Biyani: Lastly, sir, on the crop protection side, many companies have told that there is surplus channel inventory because of the adverse monsoon and delay. Sir, how has been our receivables fairing in that context? And do you see that it would be prudent to slow the rate of growth in CP in the light of the industry already having higher channel inventory?

Page 13 of 13 Gaurav Mathur: So, first of all, our receivables are absolutely very very good, very strong, no issues. We do a large proportion of our business in CPC on cash terms, one. Second, we don't take any returns back from the market. And third, we absolutely have no intention of slowing down. We believe we provide a lot of value through the products and the service and programs like seed-to-harvest to the farmer, and we have intentions to keep speeding along as we are. Moderator: The next question is fr

om the line of Deepak Chitroda from ETG. Please go ahead.

Deepak Chitroda: Just I have one question on the National Hydrogen Mission policy which has been announced by the government. So, what's your thought in terms of how it is going to have impact for the industry, especially in case of Urea, because as I understand, I think, some targets have been set by the Government about 5% to 20% from next year onwards. So, how it is being translated into the costing part of it? Will it basically improve the margin for the industry going forward, what's your thought process when you interact with the Government and various other organizations?

Gaurav Mathur: So, first of all to be very, very clear, there is no target set for any part of the fertiliser industry on use of green hydrogen, green ammonia. Second is for production of urea, you not only need hydrogen, which is then converted to ammonia, but you also need carbon dioxide. So, I think that not only the Department of Fertilizer, but this has also been explained to the Ministry of Energy and the Renewable Energy Department that to produce Urea you need both carbon dioxide and ammonia, which comes from hydrogen, therefore, just producing green hydrogen is not going to suffice to produce Urea. As regards the broader question on green hydrogen policy, we are looking at it. That's not necessarily our core area. We are examining it as of now if we see any opportunities in it going forward. But it's very, very early days on that.

Deepak Chitroda: So, basically, it's very early days to talk about it and Ministry is also basically not clear in terms of what is the future towards the Urea industry particularly if you talk about in the costing terms?

Gaurav Mathur: No, the future is very clear for the Urea industry. The Urea industry needs carbon dioxide also to make Urea. Therefore, the use of green hydrogen and green ammonia in the Urea industry is not foreseen in the future that I can think of.

Moderator: I now hand the conference over to the Management for closing comments.

Gaurav Mathur: So, thank you very much all of you for your very insightful questions. Always, good to have the questions and provide clarity to our investors. Thank you. Have a good day.

Moderator: On behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

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Dear Sir,

In continuation to our letter dated May 22, 2023 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on May 29, 2023 , on the financial results of the Company for the quarter and year ended March 31, 2023 . The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking You,

Yours sincerely,
for Chambal Fertilisers and Chemicals Limited

Anand Agarwal
Chief Financial Officer

Encl.: a/a
Page 1 of 10 Quarter 4 and Financial Year 2023
Earnings Conference Call Transcript
May 29, 2023

Rishab Barar: Good day everyone. Thank you for joining us on the Chambal Fertilisers and Chemicals Q4 and FY23 Earnings Call.

We have with us today, Mr. Gaurav Mathur – Managing Director; Mr. Anand Agarwal – CFO; Mr. Anuj Jain – Assistant Vice President - Finance and Company Secretary and Mr. Ashish Srivastava – Vice President - Sales and Marketing.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is available for reference in the presentation. We will begin this call with opening remarks from Mr. Mathur.

I would now like to invite Mr. Mathur to share his views. Over to you, sir.

Gaurav Mathur: Thank you, Rishab. Good day everybody and a warm welcome to all of you participating in this call.

We will share our performance over the just concluded quarter and financial year 2023. Since we have already shared the presentation and financial performance with you, I will not restate the numbers in my opening remarks.

While operating performance in Q4 was in line with earlier years, there was an impact of approximately Rs. 197 crore at PBT level on account of subsidy reduction in P&K Fertilizers. This was for the period from January to March '23, as well as further

reduction from 1st of April '23. These reductions impact both the Company as well as the channel stock.

Our urea business continues to do well. We achieved the highest ever production of urea at almost 33.5 lakh metric tons. This was at the best energy per tonne of urea leading to good gains on energy efficiency for the year.

We continue to evaluate and implement further energy efficiency projects. We undertook the bi-annual shutdown for Gadepan-III as per plan in March, which will result in further improvement of its performance for the future.

We sustained our share in phosphatic fertilizers aligned with the need to meet farmer requirements in a very challenging year. In the new geographies, in spite of the overall challenging situation, we continue to make inroads to both expand our network as well as increase our sales.

We continued our thrust on expanding the Crop protection and Speciality Nutrients business where we see significant potential. This segment has grown

over 50% year-

on-year albeit on a relatively low base, and we have more than doubled both our top line and margin in the last two years.

During the year, we launched 10 new products majorly for wheat, paddy, maize, soyabean, sugarcane and mustard crops.

Page 2 of 10 Our Seed to Harvest program for farmers is focused on this business and continues to progress very well.

To give you some numbers in FY23 through this, Chambal undertook programs across approximately 1,163 villages reaching out to close to 1 lakh farmers, did about 2,800 farmer training programs and over 30,000 soil samples. This has had very significant traction with the farmers and we look to significantly scale this up in the coming years.

Subsidy payments have also been timely since November '22 onwards. The budgetary allocation for the current fiscal year i.e. FY23-24 offers comfort that this should continue and that there is adequate subsidy coverage. Additionally, the fall in

gas as well as P&K Fertilizers prices should also help impact subsidies positively.

Our Technical Ammonium Nitrate project is on track. The project has been awarded to Larsen & Toubro on a lump sum turnkey basis, and the technology licensor is

CASALE, which has many decades of experience in weak nitric acid and ammonium nitrate plants. The project is slated to be complete by Q3 of FY '25-'26.

With that, we will now take your questions. Thank you.

Moderator: Thank you. Our first question comes from Falguni Datta with Jet Age Securities.

Please go ahead.

Falguni Datta: Sir, just one question from my side. What was the impact of this reduction in subsidy?

I missed in case you had mentioned in your opening remarks.

Anand Agarwal: That is Rs. 197 crore, Falguni.

Falguni Datta: And where has it got reflected, under which head?

Gaurav Mathur: It has been taken into the Quarter 4 Financials and the Full Year Financials.

Anand Agarwal: This is reflecting in the gross margin as such.

Falguni Datta: This is a part of raw materials, this impact?

Anand Agarwal: This is part of raw materials.

Falguni Datta: Okay. Thank you, sir. That's all from my side.

Moderator: Thank you. Our next question comes from Vidit Shah from IIFL Securities. Please go ahead.

Vidit: Just to take the previous question, from this Rs. 197 crore, what would be the impact on the inventory loss because of the subsidy write down from 1st April onwards? And what would be the split between Jan to March? Would that be possible to provide?

Anand Agarwal: Jan to March is Rs. 30 crore, and the balance is for the quarter end for the next semiannual, from April to September.

Vidit: Understood. And you spoke about energy efficiency improvements that have been happening at Chambal and the projects that you have undertaken. So, if you could shed some light on, how much we have improved versus two years back or three years back? And what metric are we currently operating at? And what is the target that the Company has going forward?

Page 3 of 10 Gaurav Mathur: So, Vidit, we have achieved this year approximately 5.15 Gcal per metric tonne of urea, right. And last year I think we were at 5.23. So, over the last four to five years, if I go back, we were more around the 5.3 mark, and now we have come down to 5.15. We have further projects which we were to implement in Gadepan-I and Gadepan-II, which would help to bring this down further.

Vidit: Understood. So, maybe like 5 would be an appropriate target? Or could this go even lower than that?

Gaurav Mathur: No. To be realistic, 5 at this point of time, we don't see that, because you also need

to take into account the appropriate payback on the projects that we implement. So, we would expect that we might be able to get to 5.1 in the next few years. The

industry average is around 5.8. The overall industry average is around 5.8. So, we are as of now significantly better than the industry.

Vidit: Just one question on this, on the increase in investments that we have seen in short-term investments. I think we have seen them increase by about Rs. 1,800 odd crore.

What are these investments been parked-in currently?

Anand Agarwal: These are majorly into mutual

funds.

Vidit: Equity or debt or both?

Anand Agarwal: No, no. These are very, very short term. These are liquid funds and overnight funds. These are short-term surpluses and therefore, we can only budget securities.

Moderator: Thank you. Our next question comes from the line of Tarang with Old Bridge. Please go ahead.

Tarang: Congratulations for strong cashflows. I believe the business is net cash ex-subsidy now. So, that's good to see. Just a couple of things. One, if you could give us what the power and fuel expenses were for Q4 FY23?

Anuj Jain: Power and fuel for the quarter is Rs. 968 crore and for the year is Rs. 4,838 crore.

Tarang: Second, on the Rs. 197 odd crore inventory loss that you have recorded in Q4, how much of it is relating to the nitrogen business? And how much of it is to the trading business?

Gaurav Mathur: So, this has nothing to do with the nitrogen business because in the nitrogen business, there are two parts of the subsidy. One is the gas cost, which is essentially a pass-through, but there is escalation in it which the government takes care from time to time. And the second part is the fixed component of the nitrogen business which is a fixed number. It doesn't really change with anything. So, in substance, there is nothing to do with the nitrogen business. It is primarily to do with the P&K

business, and within that DAP.

Tarang: I would reckon, I mean, your allocation is about 3 million tons, right? So, any incremental fertilizer that you are selling over and above the reassessed capacity is on the basis of import parity prices and the fact that import parity prices have crashed significantly, especially in Q4, that would have had some impact. Did it?

Gaurav Mathur: Not really. You see what happens is that we did our full production, and there was no impact on production beyond reassessed capacity. As regards the import price parity, that is calculated on an annualized basis. So, it is not a monthly or a quarterly number. It is actually calculated on an annualized basis, and the annual price of

Page 4 of 10 imported urea was significantly higher than the cost of indigenous production. So, there was no impact on reassessed capacity production at all.

Tarang: Just the final one on the phosphatics, sorry for harping on this but effectively, I mean, how are you seeing this going forward in FY24 in terms of some checks and balances that you might have perhaps incorporated in the overall system, because, FY23 particularly has been a difficult year in so far as the trading business is concerned.

Right from what we saw in September and now what we are seeing in Q4?

Gaurav Mathur: Yes. FY23 was a very, very, unique year, which my colleagues in the industry say has never been seen in the history of the industry. So, what we are obviously looking at going forward is to make sure that most of our stock is placed in the market as early as possible and moved out through the point of sale. I would also just like to add that while we have had this impact in Quarter 4, but our stock as a percentage of the industry was far lower than our market share. So, as a Company, we were quite focused on it, and we were able to keep our stock at quite a low level compared to the industry overall.

Moderator: Thank you. Our next question come from Harmish Desai with Phillip Capital. Please go ahead.

Harmish Desai: Sir, my first question is on the crop production segment. So, can you tell me what kind of margins have we made in this segment in FY23? And what kind of margins are we targeting in the year FY24?

Gaurav Mathur: Good afternoon, Harmish. Thank you for your question. We don't share our margin percentages as such. What I can say to you is that our margins overall are well-comparable or better than the industry average. We have a unique business model, and with that unique business model, we are able to have, we are very happy that we are able to have

a very high growth number. So, we have more than doubled our top line over the last two years. Though we started from low base, but yes, we have more than doubled our top line, and our margins have also moved along consistently.

We are very keen and particular that we don't compromise on our percentage margin as we continue to grow strongly.

Harmish Desai: That is helpful. And sir, what kind of CAPEX are we targeting in the segment in FY24?

Gaurav Mathur: I will ask Ashish, our Head of Sales and Marketing to respond to that on the segment that we are targeting in FY24.

Ashish Srivastava: See the product portfolio caters to the entire crop range and the entire insecticides, weedicide and fungicide segments. So, the entire crop in the territory is covered. So, the product portfolio is complete in all respects.

Harmish Desai: And sir, I don't know if I have missed it. Can you share the urea production breakup between G1, G2 and G3?

Gaurav Mathur: Anuj, can you please provide that?

Anuj Jain: It's there in the Investor Presentation. So, we have Gadepan-I and Gadepan-II, 20.61 lakh for the Year '23, and for Gadepan-III we have 12.86, so total to 33.47 lakh.

Harmish Desai: And sir, my last question is on IMACID. So, as you said rightly that this entire year has been some kind of an anomaly for IMACID as well as for all other segments. So, what is your expectation from IMACID in FY24?

Page 5 of 10 Gaurav Mathur: We expect that IMACID should continue to perform as per its standard past year performance in FY24. In FY '21, '22, there was a huge upsurge because of the overall international situation, and that got largely normalized in FY '22-'23, and in fact, it went down a little bit. Now we expect that in the current financial year, it should come back to its standard sort of performance which it used to have in the past years.

Harmish Desai: Okay. That is helpful, sir. Thank you, and all the best.

Moderator: Thank you. Our next question comes from Prashant Biyani with Elara Securities. Please go ahead.

Prashant Biyani: Sir, how do you see the trading volume trajectory for H1? And how much of the targeted H1 sales materials have we already bought?

Gaurav Mathur: So, we have all been set certain targets by the Department of Fertilizers, both for the traders as well as the manufacturers. Based on that, we have procured our material.

Now, we are also conscious of the stocks that the country carried as opening stocks. There were reasonably substantial opening stocks that the country had as a whole, though we managed to keep our stocks relatively low as of 1st of April.

So, we would say that we would look at that similar volumes, but the more important thing would be that we would try to make sure that we do the volumes which are appropriate on the margin side because the uncertainty on the subsidy in the future from 1st October will also remain. So, we are mindful of that and planning our volumes accordingly.

Prashant Biyani: And sir, whatever we are targeting to sell, have we bought all those materials or for some we are yet to purchase.

Gaurav Mathur: No, no, we haven't. We bought about 50% to 60%, and for Q1 we are covered, but for beyond that we are being very watchful because there is a downward price trend. So, we also want to be careful of when we buy.

Prashant Biyani: And sir, can't we as an industry give representation to the Government to restore annual division of subsidy as was the case earlier? Because the uncertainty on the availability globally has also ebbed now. So, what would be the industry or your view or have we thought on these lines?

Gaurav Mathur: That's a very good point, Prashant. And we continue to work through the Fertilizer Association of India with the Department and the Government, and it has been our representation through FAI that the subsidy should now be declared for the full year. However, as we know, the Government has again de

clared it for a six-months period from 1st April to 30th September.

Prashant Biyani: But, I mean, sir, just extending this point, nothing seems to work with the Government, especially the Department of Fertilizer arm whereas for other Ministries, we are seeing that they are at least cognizant of industry concerns, whereas here we are seeing retrospective revision. So, I mean, is it that they are just on their own and the representation from this industry just only been heard or they are actually considerate to it?

Gaurav Mathur: Well, I can't answer on behalf of the Government or the Department, and I guess, the Fertilizer Association of India would be best placed to answer this question. But what I can assure you is that we as well as FAI keep appraising the Government quite regularly on the challenges and seeking positive intervention.

Prashant Biyani: Few data related questions. What would be the ammonia production and sales volume for the year?

Page 6 of 10 Gaurav Mathur: So, the total ammonia that we sold last year was of the order of 90,000 tons. May not be precisely 90,000. Give or take a few thousand tons here or there. And the production, total production of ammonia would be close to 1.9 million tons or thereabouts, right?

Prashant Biyani: And sir, just this breakup of freight and packing expenses also like we used to share

till the last quarter?

Gaurav Mathur: Freight and packing expenses. Yes. I think Anuj can just give them to you.

Anuj Jain: Freight and forwarding charges for the quarter is Rs. 135 crore, and for the year it is Rs. 778 crore.

Prashant Biyani: And packing?

Anuj Jain: Packing is Rs. 30 crore for the quarter, and for the year it is 135 crore.

Prashant Biyani: And sir, is it possible to give G-III energy consumption level separately?

Gaurav Mathur: Yes. In G-III, our energy for the year because we took a shutdown in March so that actually adds a certain shutdown and startup energy. So, including that it was about 4.88 Gcal per metric tonne roughly.

Prashant Biyani: And if we exclude the maintenance shutdown part then?

Gaurav Mathur: Then it should have been more around 4.75. We are very happy that Gadepan-III energy probably continues to be the best in the world.

Prashant Biyani: And lastly sir because we had taken maintenance shutdown for G3 in March, do you expect the urea sales mix for Q1, the contribution from G-III to reduce?

Gaurav Mathur: Not really, I mean G-III came back in production, so we do not expect. G-III production volume for Quarter 1 will be as per plan.

Prashant Biyani: And sir for Q4 was there lower contribution of G-III sales in total urea?

Gaurav Mathur: See what happens Prashant is that the total volume for G-III is 12.7 lakh metric tons which is applicable as per the NIP-2012 rate. If you see, we have produced beyond that and beyond that the remuneration given is as per the same formula as G-I and G-II. So, we covered the entire production of G-III up to the NIP-2012 policy of 12.7

lakh tons and produced even a little bit more beyond that in spite of the shutdown.

Moderator: Thank you. Our next question comes from Vivek Ramakrishnan with DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: My first question is simple in terms of what is the CAPEX for the current year that you have plan for the Company as a whole? I will also ask the second question. You seem to have a bit of a hops and choice in terms of imports and subsidies, all moving in different lags, is the supply chain now in a portion where we can fine tune the purchases so that you can meet your market demand as well as keep your inventories without that much of a subsidy risk, those are my two questions?

Gaurav Mathur: So, our CAPEX this time for this financial year will be in the range of Rs. 300 crore to Rs. 400 crore and within that are a few good energy efficiency projects. Our routine CAPEX if I take out energy efficiency projects would be m

ore in the Rs. 150 crore to

Rs. 200 crore ballpark and then depending on the good energy saving projects we add on top of that as regards to your second question could you please repeat that?

Page 7 of 10 Vivek Ramakrishnan: In terms of the supply chains in a last year, you had to import a lot because of the supply chain issues and so on, has the supply chains in your phosphatic and other fertilizers improved so that you can fine tune your purchases and keep your inventory low and avoid the subsidies risk that you saw in FY23?

Gaurav Mathur: Absolutely I mean that is the exact idea intention and the plan is to import and sell material in a manner where we minimize our stocks at the end of September and minimize therefore, any impact of subsidy revision.

Moderator: Thank you. Our next question comes from Falguni Dutta with Jet Age Securities. Please go ahead.

Falguni Dutta: Sir one more clarification on the Rs. 197 crore number, does it include the subsidy from April onwards also?

Gaurav Mathur: Yes, it does.

Falguni Dutta: And the stock that we have in the channels, our stock in the channel, it includes a reduction on that as well?

Gaurav Mathur: So, what happens is, just to be very clear, when there is a subsidy change as of let us say 1st of April, there is stock that we are carrying in our warehouses as well as stock in the channel. The subsidy change impact is addressed for both of them.

Falguni Dutta: So, this Rs. 197 crore takes into account the inventory with the channel also?

Gaurav Mathur: Absolutely because you know the subsidy is payable when the sales happens to the farmer.

Falguni Dutta : So, you will have to account for that as well that is what you meant?

Gaurav Mathur: This is what has been done.

Falguni Dutta : So, now we do not have any impact to come in on that account at least?

Gaurav Mathur: That is right.

Falguni Dutta : And sir one more clarification on your trading volumes. Did you say that there would be mostly flattish year-on year, did I hear correctly?

Gaurav Mathur: The trading volume is a function of a few tad things. It is a function of the targets that the government sets, the consumption pattern of the farmers and in the country as well the financial situation in terms of the margin, the subsidy, the MRP etc. So, based on that we would look to regulate our volumes in a manner that we get the best benefit for the Company which is why we are not really stuck on a volume

number per say for the year. I hope that makes it clear.

Moderator: Thank you. Our next question comes from Tarang Agarwal with Old Bridge. Please go ahead.

Tarang Agarwal: Just a follow up. On your trading business what is your inventory value as on 31st March and how many metric tons of inventory?

Gaurav Mathur: So, in terms of metric tons we had roughly if I remember about 1.8, 1.9 lakh metric ton, all-inclusive would be about 1.8, 1.9 lakh metric tons, DAP, NPK and MOP all put together and value Anuj can mention. Anuj is taking out the value what I would

Page 8 of 10 say is that our inventory was about only 5% of the industry while our market share is about 10%. So, we did manage to keep our inventory quite low.

Anuj Jain: We have total inventory of Rs. 1,300 crore including urea.

Tarang Agarwal: That I can see. I was looking or Trading Business.

Anuj Jain: So, urea we did not have much inventory so it is mainly trading, but definitely we can give that number separately.

Gaurav Mathur : We will share that number to everybody.

Tarang Agarwal: So, the next question is on the energy consumption for the business. The 5.15 figure is consolidated for the three plants 1, 2 and 3?

Gaurav Mathur: Yes.

Tarang Agarwal: While the industry average is 5.8, what would be, in your opinion, the consumption of your closest peer or the second most efficient player in the country right now?

Gaurav Mathur: So, currently I think the most efficient single plant of older vintage

is, I do not want to

bring Gadepan-III because that is a new plant, but the most efficient plant of an older vintage would be just over 5.0 something as opposed to us.

Moderator: Thank you. Our next question comes from Marsal, an Investor. Please go ahead.

Marsal: My question is that for this TAN project, what is our total CAPEX and how are we going to fund it, from internal accruals or from the debt?

Gaurav Mathur: So, the capacity of the ammonium nitrate plant is 2.40 lakh tons per annum and the weak nitric acid plant the nameplate capacity is 600,000 tons per annum. What was the second part of your question?

Marsal: My question was that what is the total cost of the technical ammonium nitrate project and then how are you going to fund it, like how much amount we are spending from the from internal approvals and how much will be debt?

Anand Agarwal: Overall cost of the project is Rs. 1,645 crore and we are planning to fund it by way of 50-50 between debt and equity as of now, that is what we have planned.

Marsal: And how it is going to compete. I think the Deepak fertilizers also coming to the similar project and I think they will be commencing before you, so what will be the demand scenario like how much capacity are you projecting for this one?

Gaurav Mathur: So, first of all, well we do not know whether Deepak Fertilizers will come before us or we will come before them let us see how that goes. What I would say to you is that our cost of manufacture and cost of sales to the target markets that we have identified is going to be perhaps the lowest in the country that is one. Second is, that with the growth of overall economy that we see, the overall growth in energy that we see as well as infrastructure, all of which leads to requirement for let us say more cement, more coal, more filling material for roads etc. We obviously believe that there is a strong case for the project, which is why we are putting it up.

Marsal: And sir where is the location of the project?

Page 9 of 10 Gaurav Mathur: That is at our existing site at Gadepan because we are going to utilize the excess technical ammonia, that we are currently selling to make ammonium nitrate and thereby do value addition and earn higher margins.

Marsal: This is sort of integration?

Gaurav Mathur: Yes, at the existing site.

Marsal: The main market for this will be the same mining sector like the target customer will be mining sector, so I think Deepak will be setting the plant in Orissa which has lot of mines of iron ore and the coal mine and all and so what about this logistic like if you are sitting with Rajasthan where there are not many mines, our cost of supply will be higher?

Gaurav Mathur: Marsal, Orissa, etc., is yes there is a lot of coal mining, but that is not the only place where mining happens. There is a very significant mining chunk in around central India in the area of Singrauli, etc., where we have a cost to serve advantage compared to most other locations.

Marsal: The other question is very important means since the last quarter, we have been somehow like almost our PBT is hardly Rs. 10 crore so now is it not a good time to look at our cost because if I see the other expenses they are almost stagnant at Rs. 1,200 crore plus, so is the Company taking some steps into restructuring or no increment or just like cutting down salary or the other expenses because I think this is the right time now that we should look at this apart because this is a huge component we are carrying and rather it is

increasing like the last year was only Rs.

4,000 crore and this year it is Rs. 6,000 crore?

Anand Agarwal: Please note that this cost increase in expenses is not just an admin cost and other cost. This is more due to power and fuel, this is more due to freight and forwarding expenses and all this is not due to your fixed cost and all. If a business increases definitely you have to pay more, and these are reimburs

able costs.

Marsal: No, just to giving like sort of little bit interaction here. For example since we are spending a sizable amount, I do not know how much exactly we are spending on this freight forwarding, so is the Company planning to do some sort of backward integration, having its own fleet and so on because like spending on the freight, it is going with the drain. We are not getting any asset for us. So, maybe 50% of the freight forwarding, we can do from our own fleet remaining we can just like for example hire from the market and so on something for example. This value addition or something optimization should be done here?

Gaurav Mathur: So, Marsal, please understand that the freight in the fertilizer business consists of two parts. One is the bulk movement from either the factory or the port to the various districts which happens by rake that is fully reimbursed 100% by the Government as part of the freight policy on this. The second part is the movement from the rake point to the dealers location by truck which is also reimbursed by the Government. So, the freight, etc., that you see over here are separate line items. They are largely reimbursed by the Government as part of the freight policy of delivering bulk fertilizers.

Moderator: Thank you. Our next question comes from Vidit Shah with IIFL Securities. Please go ahead.

Vidit: Just a couple of questions for me. The first one was on the CAPEX of the TAN project, you mentioned that FY24 budget is up to Rs. 300 crore, Rs. 400 crore of which I think half of it is on energy efficiency projects, so is it fair to assume that the Page 10 of 10 TAN project CAPEX is largely going to happen in FY25 and if so, then why are we not bringing this forward to FY24?

Gaurav Mathur: So, a small correction actually when I mentioned Rs. 300 to 400 crore on CAPEX that excludes the TAN project. On the TAN project, we would expect that in this year we would have somewhere of the order of Rs. 500 crore of cash flow on the TAN

project specifically. So, it is Rs. 300 to 400 crore as part of our normal CAPEX which includes the energy efficiency projects plus the order of Rs. 500 crore for ammonium nitrate separately.

Vidit: And how much has already been spent on the ammonium nitrate project?

Gaurav Mathur: Currently, we spend of the order of Rs. 100 crore.

Vidit: And just one last data point in terms of the pool natural gas cost for Q4 and what it is currently?

Gaurav Mathur: The current natural gas is of the order of \$17.6 – 17.7 per MMBtu NCV basis. We expect that it might remain around this number going forward because the bulk of the gas price is linked to Brent crude for the industry. So, for Quarter 1, it is expected to remain here maybe similar number for Quarter 2 also.

Vidit: And what was it in Quarter 4 FY23?

Anuj Jain : March' 23 was 17.4 and Quarter 4, it was 19.2.

Vidit: Okay. Understood. All right. Thanks. Thanks for these answers, sir. All the best.

Moderator: Thank you. Our next question comes from Prashant Biyani with Elara Securities. Please go ahead.

Prashant Biyani: Just one question. Sir, in the light of falling ammonia prices, how do you wish to defend the urea ammonia profitability for this year?

Gaurav Mathur: So, that is a very good question. So, we will definitely see a reduction in profitability on the ammonia part which again was a bit of an anomaly last year. Now let us see how it goes because these things can be transitory also. Today, we see a downward projection and our expectation is that now the price has stabilized and should not go down further and yes it will place some challenges on ammonia margins going forward. At the same time, we also have to look at that when we sell ammonia, we get better efficiency in the plants. So, overall, it is not just a simple equation of the direct margin that one makes on ammonia, but a combination of the direct margin plus the energy efficiency that we get by oper

ating our plants at a high rate.

Prashant Biyani: Is it possible to share the ammonia contribution to EBITDA for last year?

Gaurav Mathur: I think that is something which we usually do not want to share, Prashant.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Gaurav Mathur: Thank you very much Rishab. Thank you everyone for joining the conference and for your insightful questions. We wish you a very nice day going forward. Thank you very much.

Moderator: Thank you. On behalf of Chambal Fertilisers and Chemicals, that concludes this conference. Thank you for joining us.

Call: Aug 2023

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated August 1 , 2023 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on August 8, 2023 , on the financial results of the Company for the quarter ended June 30, 2023 . The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking You,

Yours sincerely,

for Chambal Fertilisers and Chemicals Limited

Anand Agarwal
Chief Financial Officer

Encl.: a/a
Page 1 of 4
Quarter 1 - Financial Year 20 23-24
Earnings Conference Call Transcript
August 08 , 2023

Rishab Barar : Good day everyone. Thank you for joining us on the Chambal Fertilisers and Chemicals Q1 FY24 Earnings Call.

We have with us today Mr. Abhay Bajjal – Managing Director; Mr. Anand Agrawal – CFO; Mr. Anuj Jain – Assistant Vice President (Finance) & Company Secretary and Mr. Ashish Srivastava – Vice President (Sales and Marketing).

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin this call with opening remarks from Mr. Bajjal.

I would now like to invite Mr. Bajjal to share his views. Over to you, sir.

Abhay Bajjal : Good afternoon everybody and a warm welcome to all of you participating in this call.

It is indeed a pleasure to re-connect with you on this forum once again.

We are happy to share our performance over the just concluded quarter that is quarter 1, FY24. Since we have already shared the presentation on financial performance, I shall not spend time repeating the numbers in my opening remarks.

Our Urea business continues to do well. All our units have been operating at optimal capacity and our production of Urea stood at 8.89 lakh metric tons. Subsidy

collections during the quarter were timely and they have lately accelerated. The budgetary allocation for the current fiscal is adequate to cover up for the subsidy payment during the year, which is a very heartening feature this year. Due to the delayed monsoon disturbances, due to Cyclone Biparjoy and the Balasore train accident, the movement of material was restricted and affected our P&K sales by about 30%, which is expected to be made up in the next quarter. At the same time, the prices of DAP and NPK phosphatic fertilisers have declined during the quarter, but of late have started moving up. Our technical ammonium nitrate project is on track. The project, as you know, was awarded to Larsen & Toubro, and the technology licensor is CASALE.

Our Crop Protection Chemicals and Specialty Nutrients business continue to grow strongly. The business has grown by about 25% in volume Y-o-Y and 17% in value Y-o-Y. We are seeing very encouraging progress in our new products, which were primarily for sugarcane, rice, soya bean, groundnut and cotton crops. Our Seed to Harvest program continues to make very good progress. In the first quarter, Chambal Fertilisers reached out to 2.3 lakh farmers from training programs and tested 39,000 soil samples. This has encouraged very good relationships with our farmers and is creating business opportunities.

With that, I will now take your questions. Thank you.

Page 2 of 4 Moderator : Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Vidit Shah from IIFL Securities. Please go ahead.

Vidit Shah : My first question was just some data points around the sales of the Gadepan -III unit and the average gas cost that we had in the first quarter.

Anand Agrawal : Yes, so in Gadepan -III, our production was 3.57 lakh tons. And the average gas cost was \$16.87 on an NCV basis.

Vidit Shah : How much is it right now?

Anand Agrawal : Is around 16.61, provisional. So, generally we get monthly in provisional and then after the completion of the month, they give us the final number.

Vidit Shah : So, on the P&K Fertilizer, fertilizer volume degrowth that we have seen, you expect this to be covered up in Q2? So would it be fair to assume that we covered it up fully or do you still see some volume loss because of on the movement restrictions that we had in the previous quarter?

Abhay Bajjal : So, as far as the stocks are concerned and whatever we have in hand, which we are going to sell, we will largely make it up, but that also depends on further imports which are subject to viability calculations. I would say that more than half of what we have lost, will be made up.

Vidit Shah : And we have been deliberating on for the CAPEX plans and expansion plans and use of free cash flow, any update on that, if you could share on where we are?

Abhay Bajjal : You see, we are very clear as of now. Efficiency initiatives in Gadepan -I and II, pursuing asset like growth in the Crop Protection and Specialty Nutrients and looking for value-added initiatives in the nitric acid or nitrate chain, these are the thrust areas for the time being. Of course, when we are looking for another big one, these are some of the things that we are already going through or getting through some closure on and the pipeline of this actually is around Rs. 1,900 crore to Rs. 2,000 crore. So, that CAPEX is going to take us to about '25-26 timeframe and then we will take it on from there.

Vidit Shah : So, you are talking of Rs. 2,000 crore over the next 3 years, is that right?

Abhay Bajjal : Yes. We are continuously evaluating all efficiency initiatives in Gadepan -I and II, whatever has been frozen till now and plus what we will do more and anything more that we might do on the nitric acid chain, the nitrate chain that is another possibility, but we are embryonic in the sense that we are going through some calculations or discussions and we will keep rolling these things forward at the moment and as I told you, the asset light structure on CPC and SN is a very key focus area for Chambal.

Vidit Shah : And just if you could share an update from the ground of Nano Urea, are you seeing any market share of traditional fertilisers being eaten up or is it still remains largely muted across all geographies?

Abhay Bajjal : See my view on Nano is that and what I get the read from my marketing people is that it is too early still to make an accurate prediction as to what is the substitution that it will do. What I understand is that farmers do try it in the foliar application rather than the basal application which means that its use is limited only once the crop has grown to a particular height and there too our own experience in various places is that it is static. Sometimes it works, sometimes it doesn't work. We do not really know

Page 3 of 4 what are the 3 or 4 conditions that are necessary and sufficient to make it work so it

is an evolving process. As of now, we have not seen any substitution of Nano.

Moderator : Thank you. The next question is from the line of Darshita from Antique Stock Broking. Please go ahead.

Darshita : So, my first question is regarding the retrospective subsidy card, if we saw any impact in the first quarter?

Abhay Bajjal : The subsidy that was announced by the Government

that, there were 2 issues there. One

was a catch up on the September to December quarter which was there which was already taken to the previous quarter and then there was the new which was applicable from April onwards. We haven't seen any effect of that on our profitability. Going forward is still too early to say anything.

Darshita : What I was saying was that you mentioned in your opening remarks that DAP prices were going down during the quarter, but now they have started showing some signs of revival, so I wanted to understand your view on how NBS rates would pan out for the second half of the year?

Abhay Bajjal : That is a very tough question. See the point is this, we are still just close in July. These things are normally announced in the middle of the rabi season, which is we are talking in the time frame of 31st October or around that point of time. It is extremely difficult to read the Government's mind as to what they are thinking is. Governments always work with precedents. They will always wait to see some data and only when they see the data, then they start forming an opinion. Definitely, the numbers that we are seeing at the moment show a firm upfront. This is there as far as ammonia is concerned. It is there in the urea as well, so it is a general uptrend and there are geopolitical issues to that, but the Government is waiting and watching. That is all I can say, so very difficult for me to make a comment as to what the Government will do on or around 15th of October or so.

Darshita : And just again a speculative question like a follow up on that and I just want to understand your view on this. After the Government announced NBS rates for the first half of FY24, now for the second quarter, we have further seen phos acid prices coming down, so is there a possibility of government coming in again and announcing something like a retrospective subsidy cut sometime in the second half of the year as well, something similar to what we saw recently?

Abhay Bajjal : I don't think there is a retrospective cut in the offering personally, because what they have to do or catch up on in terms of the January to March number, or rather, which was basically a September to December number, which they should have done in January but if that was their intention they did a catch up only in April. I don't think that kind of an issue is going to happen again. That was more or less because of a certain commitment made, etc., a very long story, I don't want to get into that, but I don't think the Government is looking at that kind of retrospective catch up.

Darshita : And just one last question, I wanted the outstanding subsidy to split between the subsidy for POS sale and subsidy outstanding for the dealers?

Anand Agrawal : So, the overall subsidy outstanding for the Company is around Rs. 2,600 crore as on June end.

Darshita : And I just wanted to understand the split for the POS sale like the inventory for which the sale has already been done and the outstanding with the dealers, if you have the split for the same?

Page 4 of 4

Abhay Bajjal : Darshita, my understanding is that subsidy is payable only on POS sale so that is the final number and beyond that, there is nothing in between. So, we accrue subsidy, as an account and we accrue subsidy, but we actually receive the cash only when the POS sale is completed.

Darshita : So, the outstanding number, Rs. 2,600 crore includes POS sale

Abhay Bajjal : No, it includes both types. It includes accrued and billed, but not billed.

Darshita : Sir, I just wanted to split between that in case. So, you are saying you have already received the money for the POS sales?

Abhay Bajjal : I would just like to go this way. That July we saw a very good inflow and most of our borrowings have been squared off except for the long term. That is all I could say.

Moderator : Thank you. The next question is from the

line of Devang Saraogi, an Individual Investor. Please go ahead.

Devang Saraogi : My question is what would be the expansion plan in crop protection and specialty nutrients business? How big can this business be for us in next 3 to 5 years?

Abhay Bajjal : As I said that as CPC that is crop protection and specialty nutrient is an asset light structure and the growth that we have seen is definitely sustainable. We are working with some experts to see what further areas to look into and what geographies, what

crops, what specific molecules to look into and work on that basis to see that we at least grow this business to another 40% -50% and that is on turnover as well as profit and the 2 year to 2.5-year time frame. Now, for that various strategies, I am thinking is being put into place, we are extensively working with our people, our own team as well as some experts to come back on that. So, at the moment that is a kind of a vision and we are working on that to how to achieve that and we think to that reach in almost 10 states that is West, East and North. We have enough coverage in order to go and doing market depth and reach to do what we think is possible.

Devang Saraogi : And one more question that, are we going to look for an opportunity for merger or acquisition in this space?

Abhay Bajjal : You see, I had made the point about asset light structure. Should there be a good asset available, we are not averse to that, but we have to find the right metrics of pricing as well as profitability and our fit results. Sometimes it happens that you get one or two options, but then they are either too highly priced or there are issues in terms of the fit with us. So, all of that we have to consider before we get into this.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Abhay Bajjal : So, thank you very much for all those who questioned us. I hope we have been able to give adequate information. Till we meet next time, adieu , au revoir . Thank you.

Moderator : Thank you. On behalf of Chambal Fertilisers and Chemicals, that concludes this conference. Thank you for joining us.

Call: Nov 2023

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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Tel No.: 91-744-2782915 ; Fax No : 91 -7455 -274130 Ref. No. : CFCL/SE/2023 -24/11 November 10, 2023

BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated October 27 , 2023 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on November 3 , 2023 , on the financial results of the Company for the quarter and six months ended September 30, 2023 . The said transcript is also available on the Company's website at -

<http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking You,

Yours sincerely,

for Chambal Fertilisers and Chemicals Limited

Tridib Barat

Vice President – Legal & Company Secretary

Encl.: a/a

Page 1 of 10

Chambal Fertilisers and Chemicals Limited

Q2 and H1 FY24 Earnings Conference Call

November 03, 2023

Rishabh Barar: Good day everyone. Thank you for joining us on the Chambal Fertilisers and Chemicals Q2 and H1 FY24 Earnings Call. We have with us today Mr. Abhay Bajjal, Managing Director, Mr. Anand Agarwal, CFO, Mr. Anuj Jain, Assistant Vice President, Finance and Company Secretary, Mr. Tridib

Barat, Vice President, Legal and Secretarial, Mr . Ashish Srivastava, Vice President, Sales and Marketing. Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin this call with opening remarks from Mr. Bajjal. I would now like to invite Mr. Bajjal to share his views. Over to you, sir.

Abhay Bajjal: Good afternoon and evening to all. A very warm welcome to all of you participating in this call. It is indeed a pleasure to have you on this forum. Since the investor presentation and financial results have been shared by us beforehand, I will not spend time to repeat the numbers in my opening remarks. To give a brief, our urea business continues to progress well. All the three plants are operating at optimal capacity. Urea production stood at 9.08 lakh metric tons and sales were 8.38 lakh metric tons during the quarter. Energy efficiency of our production facilities continues to be amongst the best in the industry. The supportive stance of Government towards release of subsidy on time is very much appreciated. This has enabled us to efficiently manage our working capital cycle. Subsidy receivables stood at INR 550 crore as on September 30, 2023. And the subsidy receipts amounted to INR 6,800 crore during the second quarter of the current fiscal.

You will notice from this quarter onwards that we have segmented our results into company-owned manufacturing and complex fertilisers which we normally import, and crop protection chemicals and speciality nutrients. This move is aimed to provide a better feel of our business to our investors and stakeholders.

International prices of phosphatic Fertilisers, that is, DAP, NPK, MOP, have been declining on the back of lower input costs, albeit, lately showing a reversal. Sales volumes, were higher on sequential

quarter

basis. Our technical ammonium nitrate EPC contract has been awarded to Larsen & Toubro and technology licensor Casale, S.A The project is progressing well and is on track.

Crop protection chemicals and nutrient business have been the highlights of our performance, and

this quarter also was a sterling performance. During the period under review, we introduced a wide range of weedicides, insecticides, and seed treatment products, which will hold great value for the Page 2 of 10 farmers in the early season. We conducted 3,700 demo and 1,200 field shows at various locations during the year under the review.

Our seed-to-harvest program, as you know, continues to deliver good performance. During the half-year of the ongoing fiscal, the seed-to-harvest operated in 1,500 villages touching about 2.3 lakh farmers. 43,000 soil samples were analyzed, and 3,100 farmer meetings and farmer training programs were conducted. This has been one of the cornerstones of our policy to be closer to the customer, that is the farmer, and has yielded us immense benefits.

In the same light, I am happy to inform you that we have introduced our existing toll-free number as a digital interface, as a WhatsApp chat box on MetaPlatform, which provides the knowledge to farmers about our products and we are confident that this initiative will immensely benefit. TKB: complete the sentence it is multilingual and is operational in all the territories. It will benefit and further strengthen our connection with the farmers. In the next phase, this will be extended to providing farming solutions.

Our balance sheet continues to be strong, and as always, we continue to explore organic and inorganic growth opportunities. With that, I will now take your questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Capital (India) Pvt. Ltd. Please go ahead.

Prashant Biyani: Thank you for the opportunity and congrats on a good set of numbers. Sir, the energy-saving schemes that you have laid out, you will achieve the financial benefits by way of lowering the cost of production or will this enable you to generate more surplus ammonia?

Abhay Bajaj: No. This is primarily aimed at reducing energy, which is used in various machines. And therefore, it is not so much volume, but it is margin-improved energy efficiency.

Prashant Biyani: Okay, so the surplus ammonia volume may not change so much.

Abhay Bajaj: No, surplus ammonia volume will change with little bit of the turbines being de-bottlenecked. The question is to how much that will increase. This will only be possible to be understood once our equipment undergo a change. Especially, we are changing converter basket in Gadepan II. What exactly will be the result of that, we are not able to predict right now. But my own guess is that we will have an answer by May 24, once our '23-'24 annual turnaround is completed.

Prashant Biyani: And sir, this INR 100 crore savings that we have estimated, can this change with the change in gas price?

Abhay Bajaj: Yes, definitely. It is staged at a gas price of \$16.

Prashant Biyani: Okay, and these schemes will mostly be implemented in G1, G2 or all the three plants?

Abhay Bajaj: No, these are primarily focused in Gadepan I and II. Gadepan III, as you know, is in a different league of its own. We are still discussing some schemes for them. Those schemes that are there are very Page 3 of 10 minor. And we will look at a major scheme for which a study is being conducted, but I can't talk about that now.

Prashant Biyani: And lastly, the urea energy efficiency norms are likely to be revised by government in 2025. Will that have any bearing on the financial benefit that we plan to achieve by these investments?

Abhay Bajaj: We feel that the norms that the industry today has, if you compare it internationally, we are already among

the best in the world. Further reduction in that number may not be in the best interest of the industry and the government as well.

Although on paper, there is a review. There are groups with 6.5 G Cal and groups with 6.20 G Cal. And there is a group with 5.5 G Cal. Both our plans are in the 5.5 G Cal category, and we are below that number in any case.

Moderator: Thank you. The next question is from the line of Harmish Desai from Phillip Capital (India) Pvt. Ltd. Please go ahead.

Harmish Desai: Good evening. Thank you for taking my question. So, my first question is, can you share the urea volume details between the Gadepan I, II and III plants?

Abhay Bajaj: I will request Mr. Anuj Jain to answer that question.

Anuj Jain: We will provide you that information later.

Harmish Desai: Sure, can you share the average gas cost for Q2 and the current gas cost?

Anand Agarwal: Yes, so the average gas cost for last 6 months is 16.7 on NCV basis.

Harmish Desai: What is the current number?

Abhay Bajaj: The current number is creeping up. The provisional number will exceed 16.7.

Harmish Desai: In the Q1 call, you mentioned that there was some amount of business missed because of the Biparjoy Cyclone and the Balasore train accident. So, have we covered that number in this particular quarter?

Abhay Bajaj: I'm very glad that you asked that question. In fact, if you see this quarter, this quarter has tested Chambal's aggregation skills. And we have not been found wanting. We have substantially segregated between sound and unsound stock. The sound stock was processed and sent to market. And we have achieved a considerable amount in the soil sales despite problems in the weather pattern.

You know that during August and even the beginning of September, we had deficiency of rain. So, all of that having been done, the amount of soiled material has come down by about 10% to 15% from what our initial estimate was. And at the same time, the insurance companies have responded, and we have got about INR 20 crore as the advance payment against that claim. So that's how the claim is

established. And we are now in the process of obtaining various approvals to sell the salvaged material and settle the issue. We are fully hopeful to get our amount or the amount of insurance claim that we have put, sometime by December this year.

Page 4 of 10 Harmish Desai: Okay. Sir, on this, the updated subsidy, the NBS for Rabi, because the correction is so steep, did we

have any need for taking this amount of provision like we had taken in the past? Is there any update on that?

Abhay Baijal: Yes, I can say that we have taken the necessary provision and the hit that is the steep fall and baked into the result. And in any case, any inventory that we carry or any futuristic sale, all have been brought down, converted with the current NRV position and that is baked into the results.

Harmish Desai: Sir, can you quantify that provision? Can you share it with us?

Abhay Baijal: I would not like to say that because it is a fairly large number.

Harmish Desai: Okay. Lastly, I would like to ask on the performance of IMACID in the quarter and how do you expect it to, how do you expect the performance in the second half?

Abhay Baijal: IMACID performance has been humdrum to say the least. They have been making profits, they had problems but adjustments in rock prices have helped. It is my understanding, although it is not for future, that they will end the year with a reasonable profit and the third or fourth quarter for them will be good.

Moderator: Thank you. The next question is from the line of Darshita Shah from Antique Stock Broking. Please go ahead.

Darshita: Thank you for the opportunity. My first question was regarding the NBS rate cut. Given that the number was so steep, are we expecting any kind of MRP increase or subsidy changes upwards most likely to take place in the second half of the year?

Abhay Bai

jal: Darshita, my understanding is government policy is what it is. They have been consistent from their point of view. And therefore, it requires a very careful and calibrated response to the market and the policy conditions. So, I feel that as per the notification published, they have clearly mentioned that 31st March 2024 is the currency of the new NBS rate from 1, October. However, there is a mention of a special INR 4,500 per metric ton in so far as DAP is concerned. Now, that could be a subject of review in December. That is one of the things that could possibly happen.

Although, it is my sense that the Government might not want to change it. But everything is subject to review at the end of the quarter. So, I think from the NBS, that is the issue. As so far as the price increase, as far as the MRP is concerned, I won't hazard a guess. So far, the industry has maintained the same INR 27,000. And I was witness to the press conference of one of the minister very confidently said that we have controlled the price at INR 1,350 per bag, which means that the expectation of the Government is that the prices should be held.

Darshita: All right. And, with respect to complex Fertilisers, can we expect any price increases or MRP increases over there?

Ashish Srivastava : The same stand remains for all Fertilisers. So, the Government doesn't intend to change any MRP as of now, including NPKs.

Page 5 of 10 Darshita: Yes. So, I wanted to get an understanding as to how the channel inventory is currently. What we understand is that it continues to be high for both fertiliser as well as crop protection products. So, how are we seeing it currently and how will it impact our volume growth for the Rabi season?

Ashish Srivastava : So, Darshita, the channel inventory of fertiliser is not much, except for some NPK complex Fertilisers. As regards crop protection chemicals, the inventory was very high for the Kharif crops, but the channel inventory for Rabi crops is not as high as it was for Kharif crops. It's almost 50% level what was there for Kharif crops.

Darshita: Okay. All right. And with respect to the prices for the crop protection, how are we seeing the prices panning out?

Ashish Srivastava: See, if you look at the Kharif trend, the prices were down by 10% to 15%. Then from post-August, the prices started building up. Rabi molecules, the price trend again was down by 10% to 15%. Now, picking up with the same levels as it was there for last year.

Darshita: And these levels would be similar to that of pre-COVID levels, or would it be lower than that?

Ashish Srivastava: Similar level yes.

Darshita: All right. Okay. And my last question was regarding the INR 1,750 crore top line expectation that we've given for our domestic B2C business by FY27. If you could throw some light on, how will we scale up our business over here with respect to any acquisitions or new molecule launches, new product launches, if you could just throw some light on that?

Ashish Srivastava: Okay. So, Darshita, you know we have mentioned in our presentation also that we have some long-term tie-ups with some American, European and Japanese companies already in place. We are in advance stage of talks with some other Japanese companies to give us some molecules which are getting off patent in some years to come. So, we are planning a portfolio which can stand these numbers for at least five years. So, the product portfolio is lined up. As regards acquisition is concerned, we are not looking at that as of now.

Darshita: Got it. And, just want your view on this, that there are already so many companies in the domestic space that already have long-term tie-ups with the Japanese counterparts to introduce new products in

India. So, what is our differentiation over there, if you could throw some light on that?

Ashish Srivastava : So, okay. So, if you look at the partnerships which these Japanese companies had, it was already with some established players.

But now, if you look at some two, three molecules which we have introduced in last year as well as in this year, these have come from Nichino, and those are coming from Nissan. So, they are also looking beyond, they are also looking at expanding their partnership beyond their established players.

Darshita: Okay. And, got it. All right. Yes, I think, yes, that's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama Wealth Management. Please go ahead.

Page 6 of 10 Rohan Gupta: Good evening and thanks for the opportunity. Sir, first question is on our going forward in near term,

the trading strategy given the recent cuts in subsidies by the government. What I understand so far that the current prevailing crisis of DAP, it may not be viable to do any kind of trading. Just wanted to share your view on this?

Abhay Bajaj: I have just told you that there is a portfolio approach that we follow as far as our business is concerned. And complex Fertilisers, urea, DAP, potash, as well as our CPC-SN, they are complete portfolio in each other, which we present to our channel and use that channel from the various products, cross-sell or cross-market some of our, all these products. Therefore, despite what the numbers may say, we may have to maintain a certain amount of product flow. But, as I said, all of this is very, very carefully calibrated to see that whatever we feel or whatever our return expectations or margin expectations are. For instance, in this particular quarter, MOP is profitable, whereas DAP is not. So, we have to see and balance the portfolio in such a manner as the markets, the placement, the timing and everything in a very calibrated, coordinated setting. That is one part. Now, as far as your question about whether this is viable or this is not viable. As of now, the government's policy is what it is. And as I said, in a portfolio of which a certain amount of minimum flow of material has to be maintained, we will see how this develops. Post-January, we do not know how the prices of material will behave. It could be that it may drop. It may drop as early as December as well. I do not know. We are already seeing softness in some of the NPK grids. And that is indicative of the fact that, yes, there may not be that kind of rapid escalation in prices post the Ukraine war and also what we are seeing in the Middle East.

So, it is my expectation that prices will cool in the next quarter. That is my personal opinion. And should that happen to a sufficient extent, then the game is on.

Rohan Gupta: So, you are saying that in near term, to have a balanced portfolio and with the fear of not losing any market share, we may have to offer the product and even maybe at a very low margin or maybe in some cases, maybe even at losses as well depending on the market conditions. But we have to cater to the market and to maintain the market share. So, maybe that we may have to face some challenges in near term?

Abhay Bajaj : I would put it this way that we have a redrawn expectation on the business profitability expectation from our stakeholders. And we also have our budgets to meet. We also understand the constraints the market provides and the constraints of the government policy within the four corners. We have to design it in a way that, we achieve to a large extent most of the objectives. So, it is kind of an optimization game between all these issues. I would like to say that this is where execution and efficiency plays a great deal. For instance, if we have even brought material which may have a loss on the books, we will at least liquidate it. So, the timing, the precision, that also is very important. And this is where the efficient execution by the Chambal team makes a big difference. Because you can plan anything, but if you don't have execution, you may have very contrary results.

Rohan Gupta: Okay

. Sir, next question, you have further plans to invest in a nitric acid value chain. Though our TAN plant is still under production by October, 25. What kind of product portfolio we are looking into nitric acid value chain? What I understand earlier that the reason for getting into TAN plant was primarily to use captive ammonia. While the reason for going into nitric acid value chain may be definitely the further investment and may require a further more investment in ammonia and other acids as well. So, what is the thought process on this further investment in nitric acid value chain?

Abhay Bajaj: Good question, Rohan. Somebody asked a question earlier whether your efficiency projects will result in an increase in ammonia production. Coming back and circling back from there, I would like to say that some of the projects that we continuously work upon, and especially in '25 timeframe, we have said about Gadepan 3, a special kind of equipment which may need to be put there. Should those economics work out, we may also have some technical Ammonia surpluses increased to some extent, which will enable us, and in any case in the current scenario as well, the design and the capabilities that we are building into the plant. There could be surplus WNA, which can then take us into the next chain, as I said, in terms of nitric acid. And this is a value chain that will keep expanding, in my opinion, over a period of time, because we have sort of nucleated this business. And once you create a nucleus in a business, then there is an expansion possibility going forth in the next three years, four years, five years. So, I believe that this is a foundational project as far as nitric acid and nitric acid chain is concerned and it will develop in time.

Rohan Gupta: But primarily focus here will still remain that surplus ammonia, and how much more ammonia we can produce through recent energy initiatives, which we are taking. There is still no plan for putting a complete dedicated ammonia plant chain to drive the nitric acid value chain, including TAN business?

Abhay Bajaj: No, that is dependent on the volume absorption which is possible. We continuously look at what competition is doing. We have to see the balances, overall balances, the requirements. Ammonia chain is pretty expensive, as you know, I think, Deepak Fertilisers. They have had to put a 1,500 tons plant. It's fairly expensive, and we feel that, we can exploit capacities which are available with us.

Those capacities that will get exploited will give us reasonable volume in these products. And we are designing the plants, or we will design the plants with sufficient interoperability or sufficient capability to look at from ammonia, WNA, CNA, or going forward on to other value addition on CNA, etc. Etc. Going forth, those quantities that are there, they are quite sufficient in my opinion.

Rohan Gupta: And just last from my side. Our Gadepan 3 is going to lose its energy benefit under the scheme of new investment. I think from 2026 or 2027, if you can just correct on that. What will be, according to you, the likely change in the government policy and the normalized margin from that Gadepan 3 plant?

Abhay Bajaj: That is too far out in the future for me to comment. We are talking about four years from now. I can make any number of speculations, and all of them will be wrong. I do not know what exactly the government is thinking. In the past one year, I have been witness before I demitted office of CFO, has a very strong discussion on sort of deregulation, or at least putting NBS in urea. I do not know whether those thoughts will be reconsidered or re-done after the election and so on, so forth.

Rohan Gupta: So, you are saying the current scheme will continue for another four years? I mean, FY28? .

Abhay Bajaj: No. FY26. So, that is something that I cannot envisage, and there are so many things happening at the same time.

me. It is very difficult to predict the trajectory of government policy.

Page 8 of 10 Rohan Gupta: I believe, it was till '27?

Abhay Bajaj: Till FY26. So, that is something that I cannot envisage and there are something happening at the same time. Very difficult to predict that trajectory of government policy. It depends on the incumbent, who will be the minister, what will be the composition after all this. So, I cannot say.

Rohan

n Gupta: Okay. Fine. Thank you, sir. That's it from my side.

Mo

erator: Thank you. The next question is from the line of Himanshu Binani, from Anand Rathi Securities Pvt. Ltd. Please go ahead.

Hi

manshu Binani: Thank you for taking my question. I have a couple of questions. So, number one on the provision side.

So, sir, after this NBS rate reduction, so have we taken any sort of like inventory provisioning into our numbers in the second quarter, particularly for the complex fertilizer? And secondly, connecting to

that only. We have been witnessing some sort of like volatile RM situation currently. So, on the crop protection side also, have we taken any sort of like inventory provisioning out there also? So, maybe you can quantify on the both.

Abhay Bajaj: On the crop protection, there is absolutely no provision. Business has been on low credit terms. I won't say, 100% cash terms. I won't say how much percentage we have sold on cash. And secondly, as far as the provisioning on the NBS is concerned, I have just told somebody who actually questioned me that the adequate and accurate provisioning has been done on the stocks, on whatever was remaining in the POS and also on anticipated arrivals, on which we have made provision.

Hi

manshu Binani: Got it, sir. Secondly, my question was regarding the price hike for the second half. We have been like hearing from the competitors also that, maybe they would be taking some sort of like price hikes, particularly in few grades, which in turn would be like partially mitigating this sort of subsidy cut. Or maybe the industry is expecting subsidy revision during the quarter 4.

So, just wanted to have a sense that considering that we are running towards the election, May '24 elections. So, maybe if at all the Government would be allowing the industry to take any sort of like price hike for this year? So, any thoughts or any comments from you would be like helpful. Thank you.

Abhay Bajaj: My sense is that the Government announced in a press conference certain things. If you went through the YouTube of that or actually heard it. Their USP to the farmers or to the people was that, look, we have managed to control the prices. And the farm level MRP and so on. Now, if the industry feels that yes, they want to break out or they want to do something different. It's a matter that I'm sure they would discuss internally and also not act unilaterally. There will be a group of people who would possibly go and discuss with the authorities before they took a step of this type. That is my understanding. And if there is sufficient weight and sufficient force in their arguments, I'm sure the government will allow willingly.

Hi

manshu Binani: Got it, sir. Last question is on the inventory position. So maybe like if you give any sense on the industry wide inventory provision post 30th September, how the inventory positions are, number one?

Page 9 of 10 And secondly, on your company, maybe if you can like give the RM inventory and the finished good inventory with you in terms of months. So maybe that can help?

Abhay Bajjal: I can't say for all grades because we have a limited number of grades that we work with. But for my understanding only that look one of the big grades that we follow is DAP. And I think Ashish in his earlier intervention said that there is some 22 lakh metric tons, which was opening on 1st November.

Ashish Srivastava: Okay, your question on the DAP inventory. DAP inventory in the current country is 2.2 million tons

on 1st of November. And you are talking of how many months inventory. If you convert into the POS sales for past two years, it is equivalent to two months' sales. So that's for DAP.

NPK's inventory is around 3.9 million tons. This is all grades put together, which is much, much higher. If you compare the next two months' requirement in terms of the farmer's sale, it's around 2.2.

So, there is sufficient inventory of NPK's.

In regards to potash, the inventory is almost around a million ton in the country and it is almost four months forward sale inventory in the country for MOP.

Himanshu Binani: Got it, sir. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen. The next question is from the line of Anmol Das from Arihant Capital Markets. Please go ahead.

Anmol Das: Sir, you said the rabi crops expectations are high. So, we understand that the cotton crops were not so good demand-wise for the agrochemical side. So which crops are you expecting in the rabi season to increase your demand and prices?

Ashish Srivastava: Okay. If I understood your question correctly, Anmol, you are asking about what are crops we expect to be grown in the Rabi season. Is that right?

Anmol Das: Yes, sir.

Ashish Srivastava: So, in our territory, the crop rotation starts with mustard, then followed by potato, wheat and grams. So that is the standard crop cycle in our operating territory. And we don't see any changes in any acreages of these crops.

Anmol Das: Okay. So, no changes in acreages. And so how do you see the demand panning out and any kind of risk with these crops like it happened with cotton?

Ashish Srivastava: So, I don't see any change in the demand pattern, because these are standard crops which have a standardized fertiliser and crop protection chemical requirement. So it would be as an average, normal requirement. No upsides and downsides in that.

Anmol Das: Okay. Thank you. All my other the solutions were answered.

Moderator: Thank you. The next question is from the line of Prashant Biyani from Elara Capital (India) Pvt. Ltd. Please go ahead.

Page 10 of 10 Prashant Biyani: Typically, sir, our H2 complex fertiliser volumes have been in the range of three to five lakh tons with

the exception of last year. So, with the current change in subsidy, is it possible that we'll continue with the same volume trajectory or what would be your view on that

Abhay Bajjal: See, we are halfway through the season more or less. I don't think it will be that fast.

Prashant Biyani: Sure. And, sir, some data related questions also I had. If we can have the breakup of other expenses in power, packing, and freight cost?

Anuj Jain: Yes. this quarter, power is INR 944 crore and freight is INR 207 crore. And corresponding last quarter power and fuel was INR 1443 crore and freight and forwarding is more or less the same, INR 214 crore.

Prashant Biyani: Okay. And packing?

Anuj Jain: Packing is INR 34 crore this period.

Prashant Biyani: Okay. And, sir, urea closing inventory after Q2 will be around 138,000 tons?

Anand Agarwal: Yes.

Prashant Biyani: And, sir, lastly, can we get the traded fertiliser inventory which would have been in the channel at the end of Q2?

Ashish Srivastava: You mean you are referring to the POS stocks?

Prashant Biyani: Yes.

Ashish Srivastava: So, at the end of Q2, we had all put together around 1,19,000 tons, all DAP, NPKs, MOPs put together.

Prashant Biyani: Okay. Thank you, sir. That's it from my side.

Anand Agarwal: I think you had one, there was one question on what are the volumes of production for urea in all our three plants? So G1 we produce 2.8 lakh tons, G2 we produce 2.69 lakh, and G3 we produce 3.57 lakh tons in the current quarter.

Moderator: Thank you. As we have no further questions, I would now like to hand the conference over to the Management for closing comments. Over to you, sir.

Abhay Bajjal: Thank you very much, gentlemen, for

the penetrating questions that you have asked. I hope we have been able to answer you well. And since the festival season is ahead, I wish a happy Diwali to all of you. Thank you so very much.

Anand Agarwal: Thank you. Happy Diwali from the entire Chambal team.

Moderator: Thank you. On behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference. Thank you for joining us.

Call: Feb 2024

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Mumbai - 400 051

Dear Sir,

In continuation to our letter dated January 29, 2024 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on February 6, 2024 , on the financial results of the Company for the quarter and nine months ended December 31, 2023 . The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking you,

Yours sincerely,

for Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: a/a

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Chambal Fertilisers and Chemicals Limited

Q3 and 9 Months FY '24 Earnings Conference Call Transcript

February 06, 2024

Rishab Barar: Good day everyone and thank you for joining us on the Chambal Fertilisers and Chemicals Q3 and 9months FY24 Earnings Call.

We have with us today, Mr. Abhay Baijal – Managing Director, Mr. Anand Agarwal – CFO, Mr. Anuj Jain – Assistant Vice President (Finance), Mr. Tridib Barat – Vice President (Legal and Company Secretary) and Mr. Ashish Srivastava – Vice President (Sales and Marketing).

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin this call with "Opening Remarks" from Mr. Baijal. I would now like to invite Mr. Baijal to share his views. Over to you, Sir.

Abhay Baijal: Welcome to you all to this Conference Call of our 3rd Quarter Results. Good day to everybody and a warm welcome. Since you would have had the chance to go through the "Presentation and Financial Performance" shared with you, I will not

spend time restating the numbers in my remarks. This was a steady quarter and our Urea business continues to perform well. All our plants have been operating at optimal capacity and our Urea production stood at 9.1 lakh metric tons and 27.15

lakh metric tons for the quarter and cumulatively for nine months.

Energy efficiencies too continues at optimal levels. Subsidy receivables stood at INR 468 crore as at December 31, 2023. The good subsidy inflow from the Government is helping to improve our working capital cycle.

Our Crop Protection Chemicals and Specialty Nutrient (CPC-SN) business continues to grow strongly. Over the years, we have introduced a range of molecules, most of which have been very well received and have helped us to further drive growth. This has been achieved by deep farmer connect, and number of activities are undertaken towards enhancing brand awareness. We have a strong pipeline of products to be launched next year to strengthen our position in the weedicide segment of soybean, maize, wheat and rice. We are also introducing innovative biological products in collaboration with R&D organi

zations to promote soil health and sustainability. Our biological product 'Uttam Superrhiza' has been named as the winner of the most prestigious Applied Microbiology International Product of the year 2023. The product addresses United Nations' Sustainable Development Goals.

Page 2 of 13 To drive future growth of our CPC-SN, we have entered into strategic alliances with global and local innovative R&D companies for introduction of new chemistries and stable and effective biologicals. The marketing activities which form part of our Seed to Harvest program are largely focused around digital and social media, which has helped deepen and expand our farmer and dealer connect.

Our TAN project is progressing in line with integrated timelines. We have obtained all the necessary approvals. All the long lead items have also been ordered and we are well on track to conclude our project on time.

Our balance sheet continues to show strength, giving us the confidence to explore inorganic growth opportunities. We have been recognized with the certificate of merit at the National Energy Conservation Award 2023, which is the first time that we participated, and this is a prestigious award in the fertilizer sector, acknowledging our substantial contribution to energy efficiency and conservation.

I look forward to continuing our strong performance and with that, I will now be happy to take your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of S. Ramesh from Nirmal Bang Securities. Please go ahead.

S. Ramesh: Sir, if I want to understand the phosphatic fertilizer policy, giving a fixed mark up for integrated producers. You started the business as trading organization, so, what is your roadmap in terms of progressing towards manufacturer and integrated producer in phosphatic? And how do you reach that quality? Does it match the current nutrient-based subsidy schemes? And how does it help in terms of the back integration, especially when you look at backward integration where the benefit of the savings on input cost is actually thought to be a netted out when they take the cost to give the market. If you can share your thoughts on this.

Abhay Bajaj: I think what you are referring to, is the new reasonability guideline which has been very recently published. There were three classes which were indicated in terms of what the cap on MRP would be, or the reasonable MRP would be, whether 8% for importers, 10% for intermediate producers and 12% for integrated producers. At the moment, we really do not have any plans of getting into integrated manufacturing of NPKs. If at all we were to start today, it will be a three-to-five-year affair unless we do an inorganic purchasing. Inorganic purchases are always possible given the strength of our balance sheet, but that is something that we keep evaluating. Should a kind of an option come across, and we find that the fit is there, we definitely do not have any hesitation in going through with that. That is what I can say.

As far as the policy itself is concerned, it brings more clarity to what the Government is trying to achieve. There are some issues that the Fertilizer Association of India have taken up with the Ministry. My feeling is that this is the first cut, it will evolve over a period of time. It has clarified some of the positions which were prevalent in the previous reasonability guidelines.

And so far as my view on the matter is concerned, while it is a definite forward step from where we were, in terms of clarifying some issues, and most notably that the GST is not form part of the revenue, it is a very welcome step that the government has taken. I do have issues in terms of whether it should be 8% or 10% or should be equal for all. But this is not the forum to discuss that and all our views have been

Page 3 of 13 encapsulated and are being discussed as we speak, in FAI and will be raised to the

government in a systematic manner going forward.

S. Ramesh: That's very useful line of thinking. In terms of your crop protection business, as a percentage of your capital allocation and your overall revenue, is there

any

aspirational targets you have for the next two years? And how do you see the business moving, over the next four quarters, given the kind of uncertainty on the de-stocking related pressures and the pricing pressures?

Abhay Bajjal: Well, we have a view that the way the prices fell in the last two or three quarters, this pace of fall has started to decelerate. We have long term relationship with our suppliers and formulators and will be making strategic purchases. As a practice, we do purchase in a staggered manner and the same has paid us dividends in the past. Our success of the last year was a result of this particular strategy.

You know that we are growing the business with lot of efforts. Seed to Harvest is a farmer connect and in a sense, explaining the advantage of certain types of molecules and new molecules, plus also developing a pipeline backwards into certain research organizations or research-based companies who can give us Gen 1 or Gen 1.5 molecules at least. So, the effort of having backward linkages is also going well and given our track record, the way that we have been able to quickly get the products into the market and create usage, many of the companies are now getting or contacting us in terms of how we can take this forward in a bigger way.

As far as capital employed is concerned, you could look at the segmental results, and see the kind of capital that is required. I don't think there is much difficulty for Chambal to obtain this capital, given its strong balance sheet. Moving ahead, we have already laid out a three-years roadmap for the investors, and we stick by that, I would like Mr. Ashish Srivastava to articulate what is the ambition in terms of the number that we want to achieve for CPC-SN and over to you, Ashish, on that issue.

Ashish Srivastava: Ramesh, your question regarding the CAPEX and the capital employed has already been answered by Mr. Bajjal.

As regard your query on the inventory, so if we do a deep dive on the nine-months results of major companies in the SN-CPC segment, the biggest inventory hit has come from the export segment. The export has taken a beating. We are not in that segment, that's the first point. Secondly, we do not have much inventory going forward into the new season, and prices are more or less stable for molecules that are required for Kharif crops. So, we don't see any hits on inventory as far as Chambal is concerned. I hope I have answered your query on inventory.

S. Ramesh: Yes. Can you give us that aspirational target for crop protection chemicals in your road map?

Ashish Srivastava: The three-year forecast is already there in our Investor Presentation.

S. Ramesh: Ok, if you are looking at your overall annual growth you can expect in CPC over the next one, two years on the margins, how do you see that moving?

Ashish Srivastava: See, if you look at the Investor Presentation, we have mentioned a top line of approx. INR 1,750 crore from the segment in year '26-'27 with a contribution of around INR 310 crore. It's already there. It's already there in the Investor Presentation.

S. Ramesh: So, are you also looking at the custom synthesis, contracts manufacturing of CDMO model when you look at crop protection?

Page 4 of 13 Ashish Srivastava: Ramesh, this is never ruled out. When you do a trading model, these things are never ruled out. So, in case a good opportunity comes our way of contract manufacturing for our brands, why not?

Moderator: Thank you. Next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Abhay sir, can we get some sense on trade business profitability for Q3? How much was the EBITDA or profit swing versus last year on the traded fertilizer business?

Abhay Bajjal: We did not do very much volume. In fact, our volumes are down almost 60% - 70% from last year. There is very little margin both in MOP and DAP. The effect of an

y negatives was already taken in terms of stock valuation in the second quarter. So, this was done more as a strategic move in order that our channels are supplied and our other overall business strategy goes forth from there.

As of now, the situation with the NBS is, that it is not viable to do DAP at all. And therefore, in terms of our strategy going forward, we have contracted 1 lakh tons of various grades of NPKs, which is in our estimate something which we can do in terms of profitability and which helps us to sustain the channel in these kind of product line.

And as we await the new NBS subsidy figures, which the government assures us is just around the corner, the further strategy from there will evolve.

Prashant Biyani: When you say flat margins, do you mean flat vis-a-vis last year or no profit no loss?

Abhay Bajjal: No, it was more or less a no profit no loss situation.

Prashant Biyani: And, on the NBS policy, would it be applicable from Q4 or Q1 only?

Abhay Bajaj: That is a million-dollar question. We ourselves have been asking this question, whether it is applicable from 1st of January or whether it is applicable from 1st of April. The answer lies in the files of the Government. We are not privy to that.

Prashant Biyani: And, can we get some sense on how much was the swing in profit for traded business versus last year?

Abhay Bajaj: It would be negative or rather I do not think it is more than double-digit, small double-digit numbers.

Prashant Biyani: Sir, some sense on outlook for IMACID for Q4, given that phosphatic prices have been more or less at the same level vis-a-vis Q3. I don't know how much of the rock phosphate price have fallen or where they are.

Abhay Bajaj: No, we expect, barring unforeseen circumstances, that IMACID should continue its good run. They have not yet frozen their numbers for India supplies, but one marker comes from Jordan. Jordan has been contracted by Coromandel at USD 968 CFR.

So, taking that USD 968 maybe \$5 plus/minus kind of number would be there for OCP or IMACID as well.

Now, looking back from there as to the rock purchase and their adjustment, I think the price at which rock was sold to IMACID will continue. And basis the above, we can take the run rate unless the plant does not perform.

So, my view is that these factors being what it is, on a provisional basis, some material is being supplied. We will come to know in another 5-7 days' time how this will play out, but I think at the moment they are on a good wicket.

Page 5 of 13 Prashant Biyani: Sir, in the PPT on the 5th page, under 2nd point on channel model, channel capabilities, that point I am speaking about. Can you explain what that point mentioned?

Ashish Srivastava: A good observation Prashant, because this is the first time we are talking of the channel things. We were generally a bulk fertilizer company. So, if you look at the channel, the bulk supplier segment and crop protection chemical segments are very different. But now, a synergy is developing in that, and we are looking to expand our market depth as well as width for this and which is giving us dividends. So, we are looking at retail outlets as our future dealers who are primarily CPC and SN selling dealers. So, that is what we are building on.

Prashant Biyani: What is the significance of this 25% and INR10,500 crore and then INR750 crore? Any significance on that?

Ashish Srivastava: Yes, I will answer that. You know, when we started the CPC and SN business, the width and the depth were in the range of 10% to 12%. So, as we started building up the channels in the retail segment, those widths and depth accrued to us. That is the reason we are doing exceedingly well in the CPC and SN segment. Does that answer the question?

Abhay Bajaj: Prashant, I think to make it in simple words - there are two channels. One is the fertilizer channel and there is other than fertilizer channel

to distribute this. What I

think is being indicated is that not only we will now, we have onboarded to some extent and created wallet share in the fertilizers channels, which is what we have done, we are also now jumping the channel into pure pesticide or CPC channel. That

is what I think is meant. So, we are widening the scope.

Prashant Biyani: And sir, has the state government finalized the incentive that they will give us for TAN?

Abhay Bajaj: Yes, I think that has been organized. That was done some time back. I will not reveal the numbers. But it is a healthy figure, and this has been closed with the Government.

Prashant Biyani: But sir, it would be a public thing only. So, what is the hesitation in revealing it?

Abhay Bajaj: I think we will disclose it. Don't worry. It is not a figure that is available on a website. It has to be derived basis certain numbers to be achieved milestones.

Prashant Biyani: Sir, some book-keeping questions. What would be the gas price for Q3?

Anuj Jain: Gas price for Q3 is around \$18 NCV basis.

Prashant Biyani: And current price?

Anuj Jain: Currently, it is about \$17.35 per NCV.

Prashant Biyani: And, what would be the breakup of power, freight and packing expenses? Breakup of other expenses into power, freight and packing.

Anand Agarwal: I don't know how you relate it because it all depends on the gas prices. So, out of our other expenses, I think power and fuel is almost INR1,000 crore and freight is around INR155 crore.

Prashant Biyani: And sir, surplus ammonia volume for the quarter?

Page 6 of 13 Abhay Bajaj: I think about 25,000 tons were sold.

Prashant Biyani: And lastly, how much will be the contribution of G3 for urea sales?

Abhay Bajaj: That is one question nobody wants to answer. But it is there. You know that in the formula, you get paid \$285 based on \$6.5 gas price. And for every dollar increase in the gas, you get another \$20. So, basically, the multiple is about 5x, 5 G Cal per metric ton is what is embedded into the

formula. So, you can make a calculation.

Prashant Biyani: No. I meant volume contribution from G3 this quarter.

Anand Agarwal: G3, I think the overall sales have been 3.37 lakh tons in this quarter.

Moderator: Thank you. Next question is from the line of Harmish Desai from Phillip Capital.

Please go ahead.

Harmish Desai: Sir, my first question is on this PBT margin cap. As a trader, you have a margin of 8%. So, is it fair to assume that we do not consider this as a limit of cap on us and how do we see the margins? Because in the Con-Calls the manufacturers mentioned that they have a lot of headroom for margins. So, what is the case for us?

Abhay Bajjal: See, I will also say that there is a lot of headroom because, at the moment, if you take DAP as a part of this whole thing, and exclude all other products, you start with negative margins, okay? But what this current formulation is, it does not take only

one single grade. It takes a combination of all the grades that you do. Let us say, for instance, if I am doing in a quarter or in a year, 12:32:16, 10:26:26, 20:20:0:13, DAP and MOP, all of them will be clubbed together as combined sales and its cost will be

determined and on that basis, it will be determined whether the 8% is there or not.

In my opinion, what somebody told you that there is a healthy headroom, I would second that. That's not an issue.

Harmish Desai: And sir, on the CAPEX side, so how much CAPEX have we incurred in the crop-protection side in 9 months?

Abhay Bajjal: There are two parts to it. One is the TAN. In TAN, INR200 crore. And as far as other projects are concerned its around INR210 crore.

Harmish Desai: So, in the first 9 months is INR410 crore. Is that right?

Abhay Bajjal: Yes.

Harmish Desai: And sir, the total CAPEX that we have on TAN project is INR1,645 crore. Out of that, INR200 crore we already spent in the first 9 months. So, how have we

spread it out

in FY '24 and there is a commissioning in FY '25? Have we spread the CAPEX?

Abhay Bajjal: I can give you percentages. I think about 50% to 60% will be spent this year. If you were to take up to March '25, and the balance thereafter, some part is the lingering tail because it is subject to retention and so on basis the contract. So, 10 odd percent always is kept retained for some time for achieving certain milestones and

performance parameters. I would say about 50% to 60% will go out by March '25.

Harmish Desai: So, in the second quarter call, you mentioned that you guys are planning for a INR350 to INR380 crore investment in the next five years in energy savings schemes

in Gadepan I and II, and you expect to derive INR100 crore per year cost savings. So, can we expect this cost savings to kick in from FY '25? Or do we already have

some amounts of cost savings in FY '24 already itself?

Page 7 of 13 Abhay Bajjal: G1 is already undergoing a turnaround and G2 will also start in less than a month.

So, for both Gadepan I and II, we would start reaping the benefit, if all goes well, from middle of April or so, once the plants stabilize.

Anand Agarwal: So, for your question, I think around 40% to 50% will be spent in this ATR which we are doing now and the balance over a period of next two years.

Harmish Desai: And sir, on the crop protection side again according to the presentation, we have seen that in the first-nine months, revenue share of insecticides has been the highest and followed by weedicides and the last is fungicide. Can we understand that we have the highest amount of portfolio on the insecticide side, and the rest follows? Or

how is the number of products between these three segments?

Ashish Srivastava: If you look at the breakup of insecticide, herbicide and fungicide segment in Chambal's portfolio, Chambal's portfolio is around 44% of insecticide, 41% of herbicide and 15% of fungicides. And if you look at this quarter results, it's primarily a weedicide,. So, insecticides majorly are consumed in paddy crop, which was in the first half of the year.

Harmish Desai: And lastly, can you throw some light on this specialty nutrient segment, what kind of products we have, and what kind of market are we making in this particular segment?

Ashish Srivastava: The product portfolio consists of two variants of sulphur which is water dispersible granule as well as bentonite sulphur and then we have water soluble fertilizers primarily the calcium nitrate. The other major thing is the

mycorrhiza for which we

have got the award, the product which came from the research of TERI that's the major segment. And then we have certain micronutrients and zinc that's the total portfolio of specialty nutrients.

Harmish Desai: And sir the kinds of margin in this segment?

Ashish Srivastava: I think we report CPC-SN as a single segment, so it would not be proper for me to share the numbers separately for individual products

Abhay Bajjal: I would just say that it is healthy double-digit.

Moderator: Thank you. Next question is from the line of Himanshu Binani from Anand Rath.

Please go ahead.

Himanshu Binani: My first question was largely on gross margin side. So, we have seen a very decent improvement gross margins during this quarter. If you can like throw some light in terms of the reason in the increase in the gross margin and the segmental

contribution basically, so which segment has contributed to more to the gross margin level?

Abhay Bajaj: I think in terms of segments we would have understood what the CPC-SN has done and what the urea and especially the traded products have done. So, because the traded product sales were so less as compared to last year, mostly, all our sales were urea.

And as I mentioned in my opening remarks that this is the major season, we have good efficiencies and energy was saved because the plants ran very steadily, and we also

had ammonia sales. So, all concluded we got that lift in the margins.

And in this CPC-SN, it is anyways you can see about 22% to 23% number which is there. So, these are the two reasons why the margin was healthy. We did not have

Page 8 of 13 any inventory related issues either in the CPC-SN business or in the NPK business, whatever was there was already accounted for as we have explained to you in the last quarter. So, there was no carry forward issue as far as the third quarter was concerned.

Himanshu Binani: So, just wanted to have a sense on this new capping policy basically. In the current scheme of things if you look, looking at the global prices also and the trading business particularly into the fertilizer segment that is like not at all remunerative.

However, what the government is suggesting is that if at all the industry is making any sort of profits over and above the capital limit, they need to return that to the government.

So, in the current scheme of things, we are not able to make any sort of profits in the trading side.

Can we expect any sort of reversal as and when this gets implemented from the government be it 1st January or 1st April? So, can we expect some sort of

like reversal in terms of the current losses which we are making?

Abhay Bajaj: See we are not making any losses. As I just explained that we have calibrated our portfolio to a strategy where we will not make any losses whatever we have bought in the 4th Quarter in January that is at profitable numbers.

Now, coming back to what is the Government's stance, I think the Government's stand is to make the fertilizers available at reasonable MRP to the farmers. Now, what is reasonable MRP, what is the mandated MRP, I think the nuance is there. A

reasonable MRP is something which is what the farmers normally expect in terms of what he should be paying. It is more a function of what is derived from its perception

of what the past prices have been and that is also suggested in terms by the Department of Agriculture and Welfare, et c., that this is the price at which the application will be suitable for the farmer given the MSP and so on so forth, that is one sort of calculation.

Now given the international prices and the commodity prices, obviously the Government wants to see MRP to be affordable from the point of view of the farmer, it has to make an adjustment to the subsidy. Unfortunately, in the last five or six seven quarters for the industry that adjustment in subsidy is not visible, especially in the case of DAP.

So, I don't know, whether they are benchmarking the product costs that are coming from import or they are benchmarking the product coming from an integrated producer, what is their calculation or what is their thought process, is not very well revealed to us.

Now, going forward, assuming that they have given a reasonability guidelines, it stands to reason logically that when you have got a reasonability guideline then people cannot raise the MRP arbitrarily or they will fall foul of the cap, which means

that inherently there is a signal, although very faint and not very obvious, that the government is thinking in some way to go back to the earlier NBS policy where the subsidy was fixed and MRP was floating according to surplus.

So, if it is around the corner, it is possible that it may happen after the election.

Nobody can speculate on this issue. What the government will do, that only the government knows and we have to respond to what the position evolves in terms of

policy and prices and take our positions accordingly.

Page 9 of 13 Himanshu Binani: Sir the reason behind asking this question was that as we have been making a breakeven sort of number and assuming this to be at the gross level or at the EBITDA level, but then this 8% margin cap is applicable at the PBT level. So, maybe at the

PBT level we would be incurring some sort of losses in the current?

Abhay Bajaj: Yes

, I agree, but you're absolutely right. If we are breakeven at EBITDA level then

after considering interest, definitely we will have negative margins but in our situation what we are doing is that we are buying very selectively so that we do not incur

losses and only according to the needs of the channel and we did not take greater exposure

Secondly, going forward, we will calibrate our portfolio strategy in such a manner that we continue to remain slightly positive or above, and if there is any chance to make some profits why not.

Himanshu Binani: My second question is largely on the fertilizer inventory position as on 31st December. So, both into the urea side, the non urea side inventory position for our company as well as any sense on the industry and the outlook going forward for the kharif season?

Ashish Srivastava: Himanshu, we don't have access to the inventory of competitors as well as country, but our market intelligence and data analytics suggests that the urea inventories year-on-year basis as on 31st January is up by 51%. And tentatively the urea inventory should be around 7 million tons roughly that's what's our calculation where we don't have access to that.

DAP inventories should be around 2 million tons, NPK should be around 3.9 million tons and MOP should be around 1 million tons that's a ballpark number we can share because we don't have access to that data that's our own internal calculations.

Himanshu Binani: Just one follow up question in regard to this only. Last year if I understand this is like entry position for the industry we were active neck-to-neck in terms of the inventory and the demand basically. So, how would you actually term this number as a moderate inventory or normal or a higher size?

Ashish Srivastava: Our estimation is that by the end of this financial year, DAP would be an adequate inventory what has been in there in the past same is with NPKs and Potash. So I don't see much changes in those in the adequate inventory levels what the country envisages on 1st of April.

Himanshu Binani: And sir if you can repeat the MOP inventory level number please?

Ashish Srivastava: Around 1 million tons.

Moderator: Thank you. Next question is from the line of S Ramesh from Nirmal Bang. Please go ahead.

S Ramesh: So, if you are looking at FY25 and FY26, until you start the ammonium nitrate project, so based on your modernization and turnaround in the urea plants, is there any potential for additional volumes and additional contribution to your EBITDA and profits from the urea business over FY25?

Abhay Bajjal: So, the TAN business is a forward integration of the ammonia surpluses that we have. With further debottlenecking, definitely, there are small possibilities to the extent of 4% - 5% further expansion in ammonia availability that could feed into other products in the nitric acid chain or nitric acid production itself from weak nitric acid to

Page 10 of 13 concentrated nitric acid and so on. We are working on those possibilities. I think last time also I had made a mention of this issue.

There are further possibilities to go for more energy saving schemes which have been proposed by both Haldor Topsoe and by KBR, both are licensors which are under study, and they could also yield further ammonia generation. So, that could also lead to further possibilities in the nitric acid or the chemicals businesses which will be properly evaluated in terms of the cost benefit, etc., and the schemes that are being proposed. So, this is an ongoing study for which the results should be available in the May to June timeframe and when they are approved, we'll definitely come back to you.

S Ramesh: For FY25 is it fair to understand, will be more or less flat compared to FY24?

Abhay Bajjal: No. There are two things you must understand. This year, we have had shut downs of Gadepan I and II in March '24. Going forward, these two plants will continue

full

one year and the second year of operations. So, '24-25 is full year of operation. FY '25-26 again there will be a major turnaround and in that point of time, Gadepan III will be in annual turnaround in '24-25 and '25-26 will be basically a replica of 23-24.

S. Ramesh: If you are looking at the growth from the ammonium nitrate project, what is the kind of average price you are expecting for ammonium nitrate in terms of your current discussion with customers and how do you see the lumping of projects from other competitors like say GNFC, Deepak Nitrate, your own project coming online kind of creating a surplus?

Abhay Bajjal: When we did the study for ammonium nitrate, we have taken these capacity expansions into account. One variable in business is Russian imports which keeps fluctuating. Further in the current year, there have been lot of Russian imports of ammonium nitrate.

But on the other side, the Government continued to give emphasis on infrastructure and power and so on, and I've heard the Minister for Power saying that we will have to invest in some 80 GW or whatever of electrical energy and so on, which will require huge amounts of coal and that coal has to come from coal mines and those coal mines have to have TAN.

So, my view is that on the one side there is production then on the other side the demand is supposedly going to accelerate. We have seen or we had planned for a 6% CAGR, but I think this will accelerate by at least 1.5% to 2%.

Anand Agarwal: With Coal India and all going for gasification, I think the demand will increase much more exponentially than we have estimated.

Moderator: Thank you. Next question is from the line of Rucheeta from iWealth Management LLP. Please go ahead.

Rucheeta Kadge: Sir. My question was on P&K fertilizer side. So, could you help me what is fixed and the variable cost in this business like in terms of absolute value maybe for this quarter or maybe for FY23 if you could help me with?

Abhay Bajaj: Madam, there is no fixed cost, this is a trading business. So, basically we have only variable cost. The fixed cost is a very small component it is required to run the administration services and the sales and operating processes in this, but as of now as we have been saying this the cost and values of the revenue are more or less matching which is why there is no margin.

Page 11 of 13 Rucheeta Kadge: And sir a little basic if you could help me with this EBITDA per ton for Gadepan-I and Gadepan-II and Gadepan-III. I remember in one of the calls you mentioned that Gadepan-III is around \$130 per ton, so is there any variability to it like if the gas prices go above a certain level, how much incremental do we get?

Abhay Bajaj: See, this is a formula driven business where a percentage of the lower gas utilization helps earn additional margins as efficiency gains. Difficult to say without first tagging the dollar number on gas. The other thing is the dollar value itself whether it is 83 or whether it is 85, that will also make a difference. So, it's a little bit of an involved calculation. So, I would suggest that if you were to divide the number of tons with the kind of EBITDA we have reported because the fact that I mentioned was that there was hardly any profit or loss from the trading business, you will get the number. It's a very simple calculation.

Moderator: Thank you. Next follow up question is from the line of Prashant Biyani from Elara Securities Plc. Please go ahead.

Prashant Biyani: Sir how much headroom do we have to sell urea from G3 in the 4th Quarter?

Abhay Bajaj: What do you mean by headroom? There is a certain stock that we have, and we have to sell it.

Prashant Biyani: I mean, how much have we achieved already and how much can we sell more?

Abhay Bajaj: See I think what we will produce we will sell. Have you got what I'm trying to say.

Prashant Biyani: No sir.

Abhay Bajaj: That means

that the opening stock and closing stock will remain more or less there and whatever we produce, will get sold.

Prashant Biyani: I meant that the mix between G1, G2 and G3 varies?

Abhay Bajaj: Actually, G3 will increase because if G1 and G2 will not produce this quarter, G3 mix will increase.

Prashant Biyani: And G1 and G2 are going for maintenance shutdown in March only?

Abhay Bajaj: Yes, 32 and 36 days respectively. So, you can assume that on an average 32 days or 33 days multiplied by 6,000 tons about 2,00,000 tons is off the field.

Prashant Biyani: And, you alluded to this NBS policy in your opening remarks. Is it likely to come in February? I mean I know there is no accountability?

Abhay Bajaj: It is in the files of the Government and what they think when they should reveal this.

My understanding is that discussions are ongoing between the Department of Expenditure and Department of Agriculture and so on, and one or two ministries have given their feedback. One or two are awaited and then it has to be presented to Cabinet.

Prashant Biyani: And what would be your plan for traded fertilizer business for next year, any targets in terms of volume?

Page 12 of 13 Abhay Bajaj: So, it is fluid. As I said that this is a business that we are doing for two reasons at the moment, given the kind of situation which is with respect to frozen MRPs and kind of negative contribution, it is right to do only to the extent that is strategically necessary for our channel.

And secondly, to focus on certain grades which will give us more benefits in terms of the markets that we are addressing and thirdly in terms of understanding or keeping the certain portfolio approach that we have in certain other markets which

are our core markets. So, these three considerations are driving what we will do. The moment the NBS is restored back, I'm very sure that our volumes will bounce back.

Prashant Biyani: Sir, for this portfolio approach and to maintain your channel relation, typically 1,00,000 ton of volume is enough if the subsidy is adverse like in current times?

Abhay Bajaj: No, we are not saying that it will work, but the fact of the matter is the grades that we sell have to fit to the market and we have to also see the stock of the alternate product which is available. There are people who are still bringing in DAP which means that

the market has requisite stock in the system.

So, we'll have to see, there is a substitution effect and when the main product is available, the substitute will not sell unless that substitute is the preferred product.

Prashant Biyani: I meant to ask in a year how much is the minimum volume that you will do for sure in traded?

Abhay Bajjal: I don't think we can make a number of a minimum volume or whatever. We have to play it by the year. We went up to a million tons. We came down this year to something happening. They came down and so next year how much we will do it's

still being cooking inside our system. We can't really at the moment reveal what we will do, but maybe I can answer that question post the publication of the NBS rates.

Moderator: Thank you. Next question is from the line of Himanshu Binani from Anand Rathi.

Please go ahead.

Himanshu Binani: Sir my question was largely on the CAPEX side. We have been evaluating for any sort of organic or inorganic growth particularly into the complex fertilizer side and we have been on the drawing stages or the discussion stages. So, maybe if you can throw any light on the status of that and when can we like expect any sort of announcement from your end?

Abhay Bajjal: No, I'll just put it this way. When we said we were evaluating we were also seeing the developments on how the Government is treating the NBS policy. We can see some clouds moving away on the NBS side with the first, is the publication of the new reasonability guideline.

I think we will need a little bit more color on where the G

overnment is going with this

policy, integrated non-integrated, etc., what is happening on that and whether organic or inorganic, that also depends on whether we can strike up some alliances

or do something on that particular. This is because you will know that or you will

understand that de novo investment to bring into the market is a 4-5-year affair in terms of how things work in particular India.

So, our first thought process would be to see if there are alliances, inorganic

possibilities, etc., which is there and that again depends back on how the policy or

what is the thinking of the government. We really are not very clear as to where it is going although we see some silver lining in the cloud.

Page 13 of 13 And when we said that last two, three times when I kept on saying that we are looking

at that, basically our pointer was to that we do not really know where this business is going in terms of the NBS policy, because if it continues like this as it is today, it's

very difficult for a non-integrated player to make money and it will be an off and on

affair with the investment on the books. It's not something that is expected of Chambal.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to the management for closing comments.

Abhay Bajjal: So, thank you gentlemen and ladies for patiently listening to our answers and I hope

we have enlightened you with extent that you felt necessary. We hope to have a

good quarter as I said going forward and welcoming you in May for the Quarterly Result. Thank you very much.

Moderator: Thank you very much. On behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference. Thank you for joining us.

Please note: We have edited the language, and made minor corrections, without changing the content, wherever appropriate, to bring better clarity.

Call: May 2024

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated May 01, 2024 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on May 8, 2024, on the financial results of the Company for the quarter and year ended March 31, 2024 . The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking you,

Yours sincerely,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: a/a

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Chambal Fertilisers and Chemicals Limited

Q4 FY '24 Earnings Conference Call Transcript

May 08, 2024

Rishab Barar: Good day everyone and thank you for joining us on the Chambal Fertilisers and Chemicals Limited's Q4 and FY24 Earnings Call.

We have with us today, Mr. Abhay Bajjal , Managing Director; Mr. Anand Agarwal: CFO; Mr. Anuj Jain, Assistant Vice President, Finance; Mr. Tridib Barat, Vice President, Legal and Company Secretary; and Mr. Ashish Srivastava, Vice President, Sales, and Marketing.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the company faces. Chambal Fertilisers and Chemicals Limited does not undertake to update them. The statement in this regard is available for reference in the presentation. We will begin this call with opening remarks from Mr. Bajjal.

I would now like to invite Mr. Bajjal to share his views. Over to you, sir.

Abhay Bajjal: Good day to everybody, and a warm welcome to all of you participating in this call. We are happy with our financial and operating performance for the quarter and the year ended March 31, 2024.

Since you 'll would have had a chance go through the presentation and financial performance shared earlier, I will not spend time restating the numbers in my opening remarks.

Our Urea business continues to perform well . Both Gadepan I and II plants underwent planned maintenance shutdown . In addition, we have implemented energy savings schemes for both Plant I

and II, and they have delivered better than expected results .

Urea production for the year was 33.83 lakh tons which was comparable to the previous year. Subsidy received was INR 14,480 crore for FY 24. The reduction in subsidy inflow was basically due to lower gas prices and lower NBS Fertilisers. Our TAN project is going on as per plan. The statutory approvals are all in place. We have spent about INR 260 crore till March 31 , 2024 . All orders for long-lead items have been placed and construction activities are progressing well.

Our focus on Crop Protection and Specialty Nutrients business continues. We are on track to achieve our FY 26-27 numbers of INR300 crore + of EBITDA. We have a strong pipeline of 12 new products of CPC for FY25 , with focus on Weedicides. We have already launched four of these products in the last month. Chamb

al Fertilisers , with its entrenched relationship with both leading global innovators

and the farmer, expansive presence and efficient sourcing capability , is optimally positioned to be a complete solution and service provider of Crop Protection and Speciality Nutrition products.

In addition, we have now started focusing on biological products. We already have two products in the market, Superrhiza and Bio nano P phosphorus . One product was launched last year and this year we have launched Bio nano P phosphorus , which is basically a nano P phosphorus developed biologically by action of certain microbes on phosphate rock. This is a completely new type of product as

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compared to what is available in the market. This is called Uttam Pranaam and is in collaboration with our research partner , TERI.

We are also evaluating two more biological products, which are presently under trial under our Uttam Santulit Poshan Abhiyan. Under this Abhiyan, we test out all these products in our own farms, evaluate the results and then launch the product.

In the Seed to Harvest program, Chambal Fertilisers continues to make strong progress . In Q4 & FY24, Chambal Fertilisers undertook 6,300 farmer meetings , reaching out to 3.5 lakh farmers , we collected 87,000 soil samples, covered 2,941 villages and 300 locations.

We continue to explore opportunity to create value. As we speak, our Board has also approved further energy efficiency projects worth about INR 120 crore, and these will be implemented during next annual turnaround.

Keeping this in mind the challenging macro environment, we are happy with our performance in the just concluded financial year and look forward to doing better in FY25.

With that, I will now take your questions.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Prashant Biyani from Elara Capital (India) Pvt. Ltd.

Prashant Biyani: Sir, Thanks for bifurcating the segment financials into manufactured and complex fertiliser . It increases the clarity significantly. My question is what led to decline in profitability for Urea business?

Abhay Bajjal: There are three factors. One, our sales as compared to last year, were down by about 1.8 lakh tons . And in addition, our ammonia business is a little soft this year as compared to last year. Both these things majorly led towards reduction in the Urea contribution.

Prashant Biyani: Okay. And how much was the Gadepan I and II shutdown related cost? Was it something very material ?

Abhay Bajjal: The repair and maintenance costs for each of these plants would be INR 9 crore to INR 10 crore .

Prashant Biyani: Okay and for FY25, what would be the growth drivers , segment -wise , if you can highlight?

Abhay Bajjal: One segment that we would definitely improve , is Urea. We have implemented energy efficiency projects . There will be some benefits coming out of there. As far as the complex fertilisers business is concerned, we are treading carefully.

We have already contracted for almost 2 lakh metric tons of material, both MOP & NPK, and we have also taken some amount of DAP. Going forward, we have to see how to balance this portfolio for the best and optimal results. Although we have done about INR150 crore last year, we will either match it or be a little less than that. That's my expectation. As far as the CPC and SN business is concerned, we are majorly focusing on growth in that particular segment. That's how we're going to plan.

Prashant Biyani: Okay. On the energy efficiency project, how much has your efficiency improved by in terms of G cal per metric ton ?

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Abhay Bajjal: I can say that the expectation in the first plant was roughly about 2% to 3% that has actually been a little better by about 45% to 50% which would mean around 3.5%. In Plant II, it is about 20% better

than what we had assumed. Earlier , the expectation was to deliver about 1.5%, but we will do 20% better than that.

Prashant Biyani: Okay. And for FY -25, what would be the capex plan?

Abhay Bajjal: There are two types. One is routine maintenance capex and one that we will do ordering for the new energy sale project. My expectation is about INR 360 crore .

Prashant Biyani: And bifurcating between maintenance, efficiency, and TAN?

Abhay Bajjal: TAN is separate. TAN is about INR 700 crore additionally. And as far as in the capex of INR 360

crore , roughly INR 40 - INR50 crore would be towards energy savings schemes and the balance will be repairs and maintenance.

Prashant Biyani: Okay. Any update on nitric acid value chain project that you are evaluating?

Abhay Bajjal: Yes, we are going in for a detailed cost estimation on Concentrated Nitric Acid plant which will be ordered on one of the major licenses. That has been approved.

Moderator: The next question is from the line of Harmish Desai from Phillip Capital (India) Pvt. Ltd.

Harmish Desai: In Q3 FY24 and Q4 FY24 , we saw the DAP sales number was going very low. And because of the subsidies also decreased , so do we expect the same to continue in FY25? Just DAP sales?

Abhay Bajjal: Essentially , DAP currently with the fixed MRP regime that is there, was not very viable. So , we have not concluded many contracts there. In any case, Q 4FY24 , we really don't have much sale. The sale actually begins in Q1going up to Q2. There has been a softening in prices internationally and some things are coming in late . We will see and take it as it comes. We have already contracted about 60,000 tons of DAP.

Harmish Desai: Got it. Sir, and just wanted to get an update , Coal India announced this coal gasification project under which tie -up with BHEL, they're going to manufacture 2,000 tons of ammonium nitrate on a daily basis. So , is it going to be a threat to our project, which we are coming up , the TAN project?

Abhay Bajjal: No, not really. Demand as I understand, is growing at 6% CAGR. We are already at 1 million tons plus. It means that every year, 600,000 tons is being added and the continued emphasis on infrastructure means we need more steel , we need more coal; we need more iron. So , the mining activities will further increase. We are quite confident that the market will absorb these quantities.

Harmish Desai: Understood. And Nano Phosphorus that we have launched. Can you provide some details on it ? What do you expect the market size? Is it our own patent ? Any updates on that?

Ashish Srivastava: Okay. The product which we have launched is Nano Phosphorous, which is other than the nano available in the eco -system. This is the only product which is derived through a biological route. The research trial shows that there can be reduction in DAP consumption. We are not claiming anything, but there can be a significant growth in this segment. Putting some numbers on the table will be difficult as of now. We're launching the product in a week's time and targeting around 5 lakh acres in Kharif.

Harmish Desai: Okay. And any pricing of the product, how is that priced?

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Ashish Srivastava: Present ly the Nano DAP, which is available in the market are 500 ml bottles and they are priced at an MRP of around INR 600. But ours is a biological product and it's in 250 ml bottle. So, the price would be comparable in the ecosystem. I cannot spell out the exact number as of now.

Harmish Desai: Understood, sir. And lastly, if you can provide the bifurcation between G -I, G -II and G -III and the gas prices for this quarter?

Anuj Jain: Gas prices for this quarter was around \$17 per mmBtu on NCV basis.

Harmish Desai: Okay. And the bifurcation between G -I, G -II and G -III volume -wise?

Anand Agarwal : G-I and G-II both, have gone through annual ATR in Q4 FY -24. So , the utiliza

tion will be lower in
FY-25 compared to FY -24.

Moderator: The next question is from the line of Viraj Kacharia from Securities Investment Management Ltd.

Viraj Kacharia: First is on the G -I, G -II energy efficiency, which we talked about. You said 20% improvement in plant II and 4% to 5% improvement in plant I, am I right?

Abhay Bajjal: No, no, see you can't improve energy by 20%. The normal rate for improvement in these plants is between 1% to 3%. On any of these projects, it's not more than 1% to 3%. And it goes in steps because you debottleneck each and every process element as you go along. This is done over a period of 10 to 15 years. We have been doing this for Gadepan-I since almost 1995 -96, and for Gadepan-II from 2000- 2001. It's a long journey and every time, the delta is almost 1% to 3%. What I said was the improvement that was expected of that, the additional is about 40% of 1% to 2%. You get my point?

Anand Agarwal : So, improvement of 2% over whatever we had in '23-'24. And instead of 2%, it can be around 2.5%, 3%. That is what for G -I and for G -II, then another 20%, 25% on that. So around 2% on G -II.

Viraj Kacharia: Understood. both the units are under grouping 3 for the NPA policy and the policy was supposed to come out of new energy efficiency norms in 2025. Now even in G -III, we may be one of the most efficient units . But if the units were to come up and the energy efficiency targets were to revise and tighten further and the trend we're seeing across industry, the government focusing on per ton energy efficiency and additions , the savings which you expect post this investment, would that largely offset any errors impact do you see? Or you still see a positive of some form.

Abhay Bajjal : This is a matter of discussion . There will be a discussion in depth with the industry in 2025. As an industry, we have been representing that energy efficiency projects must be encouraged, and that is what has been the stance of the Fertiliser Association of India. As far as Chambal is concerned, we are well below the norms as far as the current norms are concerned for the group in which we belong under NUP 2015 policy. We do not expect any great reduction in the energy norms revision even if it were to happen in a frame of 2025 -2026. If it will be done, it will be done by some other compensating factors that is the understanding that we have from the government. So, there will be some compensating factors, it will not be a net negative on the company. Because the government understands that the urea industry is very fine industry asset , which has been created over a period of roughly 40 years through various

policy interventions. And it is vital to the food security of the nation. You must understand out of the 3.2 crore or 320 lakh metric ton of urea that is produced, currently, almost 90% is indigenous after coming in of the new plants.

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And the underlying growth of urea is between 1.5% to 2% CAGR which means that every year, you add about 600,000 to 700,000 tons of consumption. That is because as we increase the irrigation penetration in various other hinterlands and these advanced practices for farming, the use of fertilizer is going up and with the focus on main biofuels and so on, this will further go up. So, the government will have to keep a certain percentage of domestic production running, otherwise, we will be totally focused on the vagary of the import market. That is very well understood inside the government. So, I don't think that even if they did something with the energy efficiency norm, there will be some other compensating policy intervention.

Viraj Kacharia: And second question was the way the prices are for gas prices, ammonia and even the input parity prices for India. How should we understand spreads for us in FY'25 for the urea manufacturers?

Abhay Bajjal: See, as far as the NUP 2015 units are

concerned and even NIP 2012 units are concerned, there is a cost-plus formula which operates. So, the spreads are protected given what the formulation in the policy is concerned. It is only when you go beyond the reassessed capacity that there is a high kind of comparison with the international import parity prices. There could be, I would say, times when this is very low or could be negative for some units with high energy costs.

But overall, the industry has been managing. And in any case, even in the old policy, there was a cap on the maximum that you would get on the import parity. That is something of the order of 1,635 or some 2020-odd dollar. So that's not a very great number in any case. However, in case there is a complete upturn in the urea price going down to some dollar 280 to 290 level. Definitely, many parts of the industry will have to relook at their production plan. And I'm sure that the government is cognizant of that. This is a continuous dialogue that takes place between the industry and the government on this issue, and they can, as per policy make some adjustments.

Viraj Kacharia: Okay. So, for FY25 as a whole, if I look at comparison to FY24 the way the prices are right now when considering the energy savings, which you would expect to kick in from FY 25 for I and II, would it be right the spreads, say, on a full year basis would by and large be similar?

Abhay Bajjal: No, it will increase. Please understand that when we talk energy efficiency, we are actually talking of lowering the consumption of gas per ton of urea. You can make an assumption that, the norm says that we are using 5.5 Gcal of energy for NUP 2015 units. And as per norm, is around 5 Gcal per ton for NUP 2012 units. The total quantum of gas that we purchased for this operation is of the order of something like 15 million Gcal, which is roughly about 60 million mmBtus. So, if 1% or 2% savings is there that translates into a big number. And that adds directly to the bottom line.

Moderator: The next question is from the line of Rohan Gupta from Nuvama Wealth Management.

Rohan Gupta: Sir, first question is on our Gadepan-III. I think that this plant is under review in terms of the policies in FY 25 - 26. What is the expectation in terms of the profitability percent as far as the GC is concerned?

Abhay Bajjal: No. First of all, it is not under review in '25/'26. It will be under review only in FY '26 -'27.

Rohan Gupta: Okay. FY27, you are saying.

Abhay Bajjal: Yes, yes.

Rohan Gupta: Okay. And sir, how you see that the policy changes would be having impact on the profitability on this plant, it will be brought down under the current regime.

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Abhay Bajjal: Anybody's guess. There are so many things floating around, from the control of urea to open pricing MRP. Let's wait for the first 100 days, and then we will talk about this.

Rohan Gupta: Okay. In terms of that our future plan as far as the urea business is concerned, I think that our existing price is fully utilized in terms of the land utilization. If you see that if there is any change in policy from the government, however, we see that India has already achieved almost self-efficiency as far as the urea is concerned with the recent increase in manufacturing capacity of urea volume in multiple years. So do you see that going forward, you will have further plan to increase the capacity if there is any changes of increase in the government policy as far as urea is concerned.

Abhay Bajjal: See Rohan, some time back, our people have put up a paper to the government informally, and our calculation show that we will again start swinging back into negative from FY28-29 onwards. We are as it is negative. But the way it is that with 6, 7 lakh tons increase in the consumption every year the way it is going, we will be, again, in a kind of an imported situation by FY28-29, at least 3.5 million tons to 4 million

tons or 5 million tons. Above whatever exactly today, it is, even last year, we have imported 7 million tons.

Ashish Srivastava: So, I'll just add, Rohan, see, this question of self-sufficiency in urea is still, is a long thing. If you look at the number, 6.2 million tons of imported urea was sold in our country last year. And if you look at the CAGR of urea, it's going at roughly around 2% and only one more plant yet to be commissioned that's Talcher, which will take another 2.5, 3 years, which is, say, 1 million tons. So still a lot of gaps

in urea.

Rohan Gupta: Sir my question was that will you be willing to put a urea plant going forward if there is any change in the government policy?

Abhay Bajjal: Well, that is a hypothetical question. And we have to see. Let me also point out that there are possibilities of putting one up in our own complex. Technically, it is possible.

When and how we will do, that is dependent on what conversations we have with the government. As

I have said, we have put up a paper and not from the point of view of anything else, except to apprise them that going in FY 28-29-time frame, we will need at least 2 to 3 plants to supplement the supply

of urea. That's our assessment. What the government does is between the NITI Aayog, Planning Commission, government policymakers that we don't know. But according to us, the writing is very clear.

Rohan Gupta: Second question is on our reporting. So, thanks a lot for doing the segmental reporting, which we see there is decrease in the numbers. There in terms of the own manufacturer fertiliser profitability has fallen significantly from '23 to '24 from INR 1,900 crore to INR1,500 crore. It is primarily related to what, I mean, Gadepan -III plant, right, and why it would have fallen so much?

Abhay Bajjal: No, no, you must understand that there has been a string of almost 1.8 lakh tons in sales last year to this year. And it is in one of the plants, which has a higher contribution. So that makes the difference.

Rohan Gupta: So, it's an additional volume of 1.8 lakh ton on Gadepan -III plant?

Abhay Bajjal: Not exactly Gadepan -III. It will be half and half.

Rohan Gupta: Okay. But the profitability difference will be only in Gadepan -III, because that is the only plant where we have higher profit margin per ton, right? Because earlier plant, I mean, G -I and G -II are still under the old regime, right?

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Anand Agarwal: So, Rohan, it's not only urea. We also manufacture some surplus ammonia. And last year, there were very high margins in ammonia. This year, the ammonia margins have come back to normal. So, there will be a substantial gap into that. And please also understand that we had a shutdown in all the plants in the current quarter. So, our expenses are also higher.

Rohan Gupta: Okay. Got it. So, on CPC and SN business, we have a pretty decent margin, EBIT margins are roughly at close to 19% to 20%, which is high, given that the industry standards. However, it is still for us in the branding and trading business. Do you see that this kind of 19% to 20% margins, are we able to achieve those margins? And do you see that these margins are going to sustain in our business?

Ashish Srivastava: Rohan, good question. The margins are culminating from the price positioning of the products, which we started initially. So, we targeted the MNCs with regards to price positioning of the product. And that's why and these are sustainable at least for a couple of years. And we are not competing with the Indian manufacturers in terms of MRPs and price positioning. That is one of the reasons. So, it is sustainable.

Rohan Gupta: And you're seeing it is across, including CPC as well as SN. Your SN is roughly 30% of revenue. So, it's not skewed to our SN, it's across the CPC as well as SN.

Ashish Srivastava: It is across. And Specialty Nutrients, we had the first mov

er advantage in the Bentonite Sulphur

business, which gives us the advantage, and the product is sourced from a very efficient supplier from Saudi Arabia. So, the best product in that segment, that's why the best price positioning.

Rohan Gupta: And in terms of asset allocation, it is still very small towards this business, right, because we don't have any backward-integrated manufacturing plant as far as CPC is concerned. I think that most part of our portfolio are either trading or outsourcing model. So, because that is likely to remain in this way, plan to invest significantly going forward in CPC's manufacturing or in that business.

Abhay Bajjal: So, Rohan, anything is on the table. The point is this that there are two ways of looking at it. One is to focus on certain lines in the CPC business, which we don't think is very wise. We have an open portfolio approach, which means that it could be a combination going forward that we will continue to do what we are doing. But we may get into 1 or 2 specific lines. That depends on what we think are the future growth options. But there, because it will be an asset allocation, we have to carefully think through the 5, 6 years, 7 years product profile movement, how it will move and what it will do.

So, one of the things that we are doing in order to get more depth in the business is to start talking strategically to many reputed manufacturers, Japanese and so on. And we are starting to get a feel as to what this business or this research-based stuff or the Gen 1 molecule actually means. And as we grow in that, I think this will be the first year when we are introducing certain Gen 1 stuff. And once we have a 1, 1.5-year experience down the line, definitely, our thoughts could change in terms of what we would try and do in terms of our open portfolio approach. We could mix in some out of asset allocation towards that. That's what our response in this matter.

Rohan Gupta: And one more last question from my side, especially on our DAP and complex fertiliser trading. Sir, last year, it hasn't been so great, but in current scenario also, the DAP prices are muted in the global market, but so as in the domestic market as well. Just wanted to understand what will be your strategy in the current year as far as the DAP trading is concerned?

That's one. And second the recent government paper has proposed that after the 12% kind of margins are allowed for the completely backward integrated manufacture for complex fertiliser and DAP. In

that sense and in terms of policy, do you see that if the trading makes sense or in future, you may be looking forward for backward integration integrating your business in that also.

Abhay Bajjal: So, let me tell you that at the moment, we do not have any plans for getting into this part. I'm happy to tell you that in our joint venture in IMACID we strongly evaluate expansion of the order of 55% to 60% of the existing capacity for phosphoric acid. And should that number on basis the evaluation come close to what the management thinks, definitely, there will be an investment in that particular business.

As far as the DAP and NPK strategy is concerned, as I have told you most of our markets are served by DAP products, DAP basically. However, we have territorially demarcated certain areas where we could get in with NPK, and we have already placed almost a lakh of tons we've already placed. So, let's see how that goes. And if we get continuing traction in that, we definitely pursue that. I also hope that the government relooks, it's a wish, of course, at the current way the NBS is being done, should it return to its original format. I'm sure Chambal will not be found wanting in crossing 1 million tons in a very short period of time.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC Asset Management Co. Ltd.

Dhruv Muchhal: Sir, possible to share what was the a

monia profit or savings last year and what is it currently?

Management: Less than half.

Dhruv Muchhal: Yes. But in absolute amount, sir?

Anand Agarwal: So last year, we made around INR 125 crore. This year, we have made less than INR 50 crore.

Dhruv Muchhal: This is for the full year, right?

Anand Agarwal: Yes.

Dhruv Muchhal: Okay. Sir, but the decline in the urea business profit, which is for the full year basis is about INR400-odd crore. So, about INR100 crore comes from this ammonia, but the rest is because of the shutdowns that you have taken, is it?

Anand Agarwal: So yes, some is on account of lower margins in Ammonia, some is from lower sale of urea on a combined basis for all the 3 plants and some will be due to lower Gas prices.

Dhruv Muchhal: Okay. But still the decline seems a bit large, probably, okay, I'll try to understand it offline. The second question is on the efficiency measures, the savings because of the efficiency measures. I'm just trying to understand a simple way to calculate it. Would it be fair to say 1%, 2% of your material consume cost, probably some percentage of material consumed cost would be a fair way to understand the benefit from efficiency savings?

Abhay Bajjal: Yes, yes.

Dhruv Muchhal: Because a large part of your material consumed will be gas, so excluding the purchased thing. So, 1%, 2% of that would be savings figures.

Abhay Bajjal: Yes, I'll put it this way. As I told you, we are consuming roughly about 15 million Gcal, which works out to almost 60 million MMBtu. 1 MMBtu costs currently, let's say, ballpark \$17. 1% or 2% saving there is a big number.

Dhruv Muchhal: Got it. But this is only for your plant I and II, not for III.

Abhay Bajjal: No, at G-III we haven't done any energy efficiency, see, this is as it is one of the most efficient plants in the world. Please understand that there are 2 parts to it. One is by design, and one is by operation.

What we have got by design is given, and we are actually exceeding what the design parameters are. Whatever the guaranteed figures are, we are below them.

If you have to go further below that, we have to do some other things, which has to be seen in the context of the policy parameters because we have to always compare it with the marginal tons that we produce. The marginal ton is much less profitable than the actual ton. However, efficiency projects work on the entire production. So, we have to see in the context of gas prices, the cost and then the technical feasibility. These studies normally take a cycle time of 1 to 1.5 years. And then there's an implementation time of 1 or 1.5 years more because you have to catch up with the next turnaround. It is a 3-year period in which you start to initiate such studies and then you come to conclusion, then you order the equipment, and you install that equipment and so on. So, this is how it goes on. And therefore, there is a glide path to achieving the numbers.

So, I would say, Gadepan-III, we are very close to maybe possibly one of the lowest numbers in the world as far as efficiency of the urea is concerned. I'm not saying there is no further scope, but there is a study that is always ongoing on these issues. As far as Gadepan-I and Gadepan-II are concerned, we had options, and we have made those changes, and those changes have started yielding results.

Dhruv Muchhal: Got sir. My point was on competition purposes. So, when you mentioned 15 million Gcal or 60 mmBtu, that's on the all 3 plants. So, what savings we are deriving is for plant I and II, just for the consumption of gas and plant I and II, right?

Abhay Bajjal: Yes. But what I told you was the 3 plants, actually, all the 3 plants because I am taking about 3 million tons of plus production. But if you are looking at plant I and II, then the numbers are slightly 4%, 5% higher because we are not at high levels. We have 4%, 5% h

higher than that. So, there will be a little bit more proportionately gas consumed in the Gadepan-I and II.

Moderator: The next question is from the line of Himanshu Binani from Anand Rathi Securities Pvt. Ltd .

Himanshu Binani: Sir, my first question was largely on the inventory position. So maybe if you can like comment on the inventory position, both Urea and the non -Urea for the company as well as maybe any sense on the industry?

Ashish Srivastava: Okay. So Himanshu, the inventory of urea in the country as on 1st of April was around 87 lakh tons . And DAP was around 22 lakh tons . NPK is 47 lakh tons and MOP 9 lakh tons . This is country inventory. And if you look at our inventories, it would be around 8% of the country in urea and very almost negligible in DAP.

Himanshu Binani: Okay. And sir, now we have like seen a decent amount of time in terms of the nanotechnology. So maybe if you are in a position basically to comment in terms of the volumes for the nano technology maybe in urea as well as in DAP, what has been the volume number? And maybe any sense on that the issue would be helpful?

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Ashish Srivastava: Okay. So Himanshu, this nano urea, I would not like to comment because there's only 1 product in the market. It would not be proper for me to comment. As far as phosphorus is concerned, 2 nano-DAPs, along with the nano Phosphorous of Chambal has just been launched, which would be hitting the market for the first time.

Now I can't comment on the nano DAP of other companies, but we are targeting almost 5 lakh acres of treated area of nano phosphorus in the Kharif itself. Other companies' number, it's difficult for me to quote .

Abhay Bajjal: Himanshu, it is a process of first -time usage then evaluation, then if the product has actually delivered then there will be repeat buy. So, one is to understand what is the actual difference on the table that the product makes. If there is a visible difference, the product catches up very fast. If it is not, then the adoption could be slower.

So as far as our own field trials are concerned, there have been very positive results because of that, we are confident that it will be uptaken by the farmers in great measure or in good quantity. But as we have launched it and the first field trials or other applications will happen in Kharif, we will really be able to comment only by Rabi.

Himanshu Binani: The reason I am asking this question was largely, if I actually look into some articles, so we have a comment from the ministry that this year, FY25, India is likely to have a very negligible amount of urea imports, number one.

Secondly, as for your comments that we had something around the 6 million ton of urea imports last year, and the production and the consumption, there is a difference basically. So just wanted to have the sense that how is the volumes picking up basically into this segment. The government has been like focusing on Nano Urea and DAP big time, but then we are like completely in a black box in terms of the volumes. So how has been the volumes shaping up in this segment, both in the nano DAP as well as in the nano urea.

Ashish Srivastava: So nano phosphorus and DAP, there are no volumes registered so far because the products have just been launched. As far as nano urea is concerned, if you look at the urea sales, the 46% prilled urea it has gone up over last year despite a significant quantity of nano being pushed into the cooperative segment. So , I think the answer lies there, and it would be difficult for me to comment beyond that.

Himanshu Binani: Got it, sir. And coming back to my first question basically on the inventory position. Any sense in terms of the region -wise inventory, how is that positioned? Or maybe what is the starting inventory basically. And any particular reason where we have a higher inventory.

Ashish Srivastava: You want the state -wise inventory

of urea?

Himanshu Binani: State -wise color basically just to get a sense in terms of how the inventories are placed?

Ashish Srivastava: I got your point. It is widely spread across the territory as far as urea is concerned. But in case of state-wise numbers, we can send it to you later . As countrywide, we can give country spread and DAP is only product whose inventories are lower when compared to last year, and you know the reasons. But if you need state-wise inventory levels, we can share this later . Whatever data we have through our own sources.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

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Arjun Khanna: If you could just help us with how much capex do we expect, what would be a capital expenditure for FY '25?

Abhay Bajjal: I think we made two points. One is about INR 360 crore of ongoing capex . That is maintenance plus efficiency projects as far as urea plants are concerned and about INR 700 crore for TAN.

Arjun Khanna: Sure. And you also mentioned IMACID is looking at increasing capacities by 40% - 50%. So, would that be funded by its own accruals, we won't have to put in any capital there?

Abhay Bajjal: You don't have to . There is a cash surplus . As and when the Board of IMACID decides, they have enough cash in store.

Arjun Khanna: Sure. And in terms of profitability, when do we expect the profits for IMACID to consequently improve given the capex .

Abhay Bajjal: No, obviously, the capex will be done when there is a payback. And so, what is the gain in IMACID is that the capacity expansion comes at a significantly lower per ton cost as compared to a greenfield

or even a brownfield. So that is where the benefit is. They have found the combination, by adding some sulfuric acid plant and so on, they are able to expand the capacity at much lower capital cost per ton.

Arjun Khanna: Sure. Sir, just on the energy savings for urea, we had mentioned that INR 350 crore - INR380 crore . Essentially, that would be done, and we had mentioned payback of INR 100 crore additional profits per year. So, are we on track for the same given where the market is?

Abhay Bajjal: No. Arjun, I think you have missed what I have said. If you see our past presentations, those are closed over a period of time. They have not completed at the moment. It happens like this to develop a scheme. The scheme is proven on technical grounds, guarantees given by the various suppliers. Then you go to the Board, then the Board approves it, then you order the equipment. So, as I said, that's about a 3- year cycle, 1.5 years to develop and 1.5 years to implement. Then the INR 400-odd crore , I think that we have mentioned in a period of 3 years of that, about INR130 crore , INR140 crore is the fresh one that has been ordered. INR 180 crore has been already done. That is how it is going on. you get my point. As far as the INR360 crore is concerned, part of it for this year is basically replacement capex .

Arjun Khanna: Okay, sure. I get that now. Sure.

Moderator: The next question is from the line of Manikantha Garre from Franklin Templeton India.

Manikantha Garre: The first question is , if you can give me the G -I, G -II plant numbers for FY24 .

Abhay Bajjal: So normally, we don't reveal that, but it is significantly lower than the norm. I can only say that. And after the expansion, it is still better. After the energy project implementation, it's different.

Manikantha Garre: Okay. And for the G -III plant, like you have commented earlier, for one of the questions, it's very close to the possibly the lowest number that is out there. So, is it fair to assume that for the next 3 to 4 years, we will not see any change in the Gcal number for G -III?

Abhay Bajjal: See, that will depend on 1 or 2 schemes that we are pursuing, which will also work on the ammonia side. But that is subject to many consider

ations. We are talking to the licensors. The study is on. Once the study is completed, we will know exactly what are the things that they are suggesting by which
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the ammonia production could be increased, and therefore, there will be a decrease in the energy, but that is something I can't really commit or comment at right this point because the scheme is under study and discussions as far as advance fee is concerned.

Manikantha Garre: Sir, like you pointed out earlier, the entire process itself takes 3 years , so if you have just started discussing on that, that it's fair to assume that something like 3 years at least, we will not see any change in Gcal right?

Abhay Bajjal: Yes. Yes.

Manikantha Garre: Okay. Sir, the second question is on your nano phosphorus launch, which is a biological base launch, which you have mentioned, wanted to understand, is it because it's a biological -based product, is it literally easier or difficult to scale this product. I would assume that it is literally difficult to scale this product versus a chemical base process. Any thoughts o ut there, that would be helpful?

Ashish Srivastava: You mean scaling of the production of this product?

Manikantha Garre: Yes.

Ashish Srivastava: It's not difficult because the phosphorus is taken out from the low -grade rock phosphorus through a biological process. So, there is abundant raw material available to take that. So, there is no problem in scaling that up.

Abhay Bajjal: To set your mind at rest, we can scale it up to 2x or 2.5x in about 6 to 7 months' time.

Manikantha Garre: Understood. I just wanted to confirm, you said the expansion is on Phos Rock or Phos Acid capacity ?

Abhay Bajjal: No, no. It is conversion of Phos Rock to Phos Acid . And as I said, this is something that is being conducted as we speak, by the licensors in Morocco, and they are due to report this matter in about 2 to 3 months, whereby after that, the board should take a decision.

Manikantha Garre: Okay. Understood, sir. And last question on your urea sales volumes versus production, if I have to see that sales volume as a percentage of the production. For FY24, it is 96%. For the last 3 years, it was above 100%, how should I think about this because if I look at the lower sales volume as a percentage of the industry sales, the market share seems to be falling on. In Q1, I see 10.6%. In Q4, I see 7.2%. Even if I have to see on Y -o-Y basis also Q4 last year was 7.9%. So, if you can just give some color on, how should I think about this market share movement here?

Abhay Bajjal: So, let me just tell you that these plants are designed tight for production that is called stream day production. Let us say, we have got Gadepan-I that is unit I assuming that we are operating it at 3,100 tons per day, then the way I can increase production is that I should run it flat out 365 days a year. If I don't operate it, that many number of days, if I reduce by 10%, then there will be a reduction in production accordingly.

Now in a year when you have a turnaround, which we basically once in 2 years, you lose about 28, 29 days of production, plus any trips and shutdowns that you may have unplanned and so on. So that is as far as the production capacity is concerned. So , for most of the plants in India and everywhere in the world, these run flat out on full capacity. Otherwise, you don't get the energy efficiency a guaranteed parameter.

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However, when we are saying there is a reduction in market share, that is because there have been 2 plants which have come, last year, we had Gorakhpur coming in. And this year, we have Sindri and Barauni coming in from HURL. So, the net supply has increased from the production. Therefore, there will be total overall percentage decline.

Manikantha Garre: But just on the question about sales as a percentage of the production, which has dropped to 96% on a full year

basis for FY24 versus around 103% for FY '23. Any color there? Because I believe that, the sales as a percentage of total production were 96% versus 103% from last year.

Abhay Bajjal: Last year, we carried some stock on the opening, which was also sold and the production that was made, that was also sold. This year, we carried very little stock in the opening, and we carried some stock into '24-'25. So, there is a negative variation on the sales as you rightly pointing.

Manikantha Garre: Okay. So, it's all related to inventory-related variations only.

Abhay Bajjal: Yes, yes, that's it.

Moderator: The next question is from the line of Manish Mahawar from Antique Stock Broking.

Manish Mahawar: Sir, my first question in terms of energy efficiency. If you look at the G -I, G -II 2.5% to 3% of efficiency improvement, right. For simplification, just wanted to understand right now should be urea EBIT of around maybe INR 1,500-odd crore. The energy efficiency will add around 8% to 10% of the additional EBIT to the business.

Abhay Bajjal: Let's put it this way. We get around \$40, \$41 per ton average, right? 2% to 3% increase is about \$2 to \$3, \$3, \$4. You are right. 8% to 9%.

Manish Mahawar: Assuming INR17 crore of gas cost that I'm talking about. INR 70 crore of gas cost.

Anand Agarwal: Roughly, yes.

Manish Mahawar: I think one of the comments you made in the call, right, Board has also approved an energy efficiency program of INR 120-odd crore, right, which is over and above what we have done in the last year.

How much of improvement can happen after this INR 120-odd crore spending?

Abhay Bajjal: Obviously, these are all projects which are developed between 4 to 5 years payback. We don't go beyond 5 years payback.

Manish Mahawar: Okay. But what is energy efficiency percentage, what you said 2.5% to 3% last year. With this INR120-odd crore, percentage improvement?

Abhay Bajjal: Manish, you will have to talk offline.

Manish Mahawar: Sure, sir, no worry. And sir, right now, energy G -I, G -II, G -III, what is the difference? Basically, I wanted to understand how efficient is G-III versus G -I, G -II in terms of energy efficiency?

Anand Agarwal: As we said that G -III has a much better efficiency compared to G -I, G -II it's a newer plant and it's one of the best efficient plants around the world. Yes, it is better because in any case, our normative is 5. So, it is below 5. And as Mr. Bajjal also explained that for G -I, G -II, it is still above 5.

Anand Agarwal: And much be the norm, which is 5.5% for us.

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Manish Mahawar: Okay. But still there is a gap G -I, G -II versus G -III, it is a 15%, 20% gap versus energy efficiency norms still, or no?

Anand Agarwal: No, not 15%, 20%. 15%, 20% is a huge number.

Manish Mahawar: Okay. Second question in terms of ag-chem business, CP business, basically, you have guided for INR750-odd crore of revenue. By FY '27, it will be around INR 1,750 crore with the EBITDA of INR300-odd crore, right? So, this only domestic business you're talking about, we are not looking out for any export at the moment. Right? Because it will then lead us to start manufacturing CPC/SN, what I understand.

Abhay Bajjal: Manish, that can only be possible if we put our plants to produce. This is purely domestic-oriented number. And I'm quite confident with the growth path that we have FY 24-25 where we will be achieving that number, what we have explained to you.

Manish Mahawar: But that is pure domestic business, right, sir, we are talking about?

Abhay Bajjal: Yes. Yes, it's pro domestic.

Anand Agarwal: It's only a B2C business, no B2B, no exports in this, Manish.

Manish Mahawar: Understood. Okay. And if we wanted to go ahead with the export, we have to set up a manufacturing within that timeframe, which is over and above that, okay.

Ashish Srivastava: Yes. Without your own technical plant

or a formulation unit, you cannot export.

Abhay Bajjal: Difficult to get inside.

Manish Mahawar: Okay. And just one more clarity, in terms of ag-chem business, right now, basically, it's a branding business, right, because we are not doing some sourcing a technical and formulating some with the third parties. It's a pure repackaging and the branding business for us at the moment. That's the right understanding?

Abhay Bajjal: Manish, please understand that we have an open portfolio model. We carefully examine the crop, the season, the pest, and we have got a methodology by which we can focus on those to get to the differentiating products that are there in the market. Some are to be applied early, some are prophylactic, some are late stage when infestation takes place. We have our eyes very tightly focused on these issues. And that is how we have been able to create pathways by which we have been able to

grow and source the material. Plus, now that we have got this Santulit Poshan Abhiyan going, we are now entering into a cycle of testing, evaluating, and then entering. And I made the point about biologicals. This is an area that excites us where we are collaborating with some research institutes to get some products. And obviously, everything will not succeed. But should that succeed, then definitely, we will create more pipelines in those lines. And I must also mention that seeds are a business that we are very focused upon, and we will be looking at entering in a big way, which we will announce later.

Manish Mahawar: Okay. Understood, sir. And the last point, sir, Abhay sir, I think you commented, just wait for a first 100 days, right, in one of the questions, answering one of the participants. So, there are 2 parts, I wanted to understand what is the DBT and decontrol, right? How do you see the government intent or infra preparedness in terms of these two things?

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Ashish Srivastava : Okay, Manish, so the government is thinking of doing some pilots on the DCT front instead of direct benefit transfer, they are talking about direct cash transfers in some private territories, which would happen in the next year. Upon the success of that, the DBT might get shifted to DCT, we can't comment on that. And as far as your question on decontrol is concerned, government is evaluating all things, they are talking about rationalization of MRP, whether it means decontrol to you or me, we can't say.

Abhay Bajjal: Let's see what shape and color it takes, Manish, we are not very privy to what is going on, but we do understand that a lot of work has been done internally inside the ministry and various ideas and proposals are being forwarded and being discussed back and forth. What exactly it will come is that we do not know, but the government wants to relook at this sector and decrease the amount of subsidies that have to be paid. That is one of the general purposes by which they want to do something in this area. So that could mean anything. I mean, it could mean many, many things. But how it will span out it don't know.

Manish Mahawar: But whatever action will be taken, basically, it will lead to a rise in the urea domestic prices, which is the pharma prices, right sir ultimately?

Abhay Bajjal: I have no idea. I have no idea. It's very premature for us to comment on these issues. I think...

Manish Mahawar: Sure, sure No issues, sir. And in terms of 4Q, if you look at EBIT of the urea business, right, you already mentioned the shutdown is one of the reasons. And I think the soft profit of your ammonia business. There is also, IPP -linked volume will be lower this year and also lower urea price will affect this 4Q numbers, that is also right, or no?

Abhay Bajjal: You're Right. You're right. There is an element of reduction in the contribution beyond 100% production.

Manish Mahawar: So basically, the IPP volume will be lower versus last in the 4Q as well as

IPP prices will be lower,

right? Both the sites will be lower in the fourth quarter.

Abhay Bajjal: IPP volume is more or less similar. But IPP contribution, as I said, is low.

Manish Mahawar: Will be lower. Okay. Sure. Understood, sir. That's all from my side.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Abhay Bajjal: Thank you very much, gentlemen, for giving a patient hearing to what we have to say. I hope we have answered most of the questions. And I also hope that the increased transparency in the publication of results had enlightened you more about Chambal, and we look forward to your continuing this journey as investors with us. Thank you very much.

Moderator: Thank you. On behalf of Chambal Fertilisers and Chemicals, that concludes the conference call.

Thank you for joining us .

Please note: We have edited the language, and made minor corrections, without changing the content, wherever appropriate, to bring better clarity.

Call: Aug 2024

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

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Mumbai - 400 051

Dear Sir,

In continuation to our letter dated July 31 , 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on August 7, 2024 , on the financial result s of the Company for the quarter ended June 30, 202 4. The said transcript is also available on the Company's website at - <http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thanking you,

Yours faithfully ,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: a/a

' CHAMBAL FERTILISERS AND CHEMICALS LIMITED

Chambal Fertilisers and Chemicals Limited

Q1 FY 25 Earnings Conference Call Transcript

August 07, 2024

Rishab Barar:

Abhay Baijal: Good day everyone, and thank you for joining us on the Chambal Fertilisers and Chemicals Limited Q1 FY25 Earnings Call.

We have with us today, Mr. Abhay Baijal — Managing Director; Mr. Anand Agarwal — CFO; Mr. Anuj Jain — Assistant Vice President (Finance); Mr. Tridib Barat — Vice President (Legal and Company Secretary); and Mr. Ashish Srivastava — Vice President (Sales & Marketing).

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals Limited does not undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin this call with "Opening R'emarks" from Mr. Baijal. I would now like to invite Mr. Baijal to share his views. Over to you, Sir.

Thank you, Rishab. Good day to everybody and a warm welcome to all of you participating in this call.

During the quarter on standalone basis, the Company has achieved EBITDA of INR 942 crore as against INR 778 crore last year, which is a growth of 21% and PAT of INR 552 crore as against INR 469 crore, showing growth of about 18%.

At the consolidated level as well, the Company has performed registering PAT of INR

448 crore as against INR 339 crore last year, which is a growth of 32%.

As you must be aware, the country has received good rains, resulting in higher acreage till date. The agencies are forecasting a better precipitation for the balance period, which are good signs for the agri sector.

Our Crop Protection Chemicals and Speciality Nutrients (CPC-SN) business continues to grow strongly with better margins. We have launched 8 new CPC offerings, primarily comprising weedicides and fungicides. We have added 4 products in the pipeline, all of which have been introduced in the current financial year.

Our focus is to cater to high-value crops like fruits, vegetables and niche crops. We are also focusing on further harnessing our channel strength to increase the market width and depth. Our strategic partnership with innovators is ongoing and growing. We have introduced new products, 6 in the Weedicide and 2 in the Fungicide segments. Our focus on biological p

roducts is also showing good results.

CHAMBAL FERTILISERS AND CHEMICALS LIMITED Page 1 of 13 C

Moderator:

Prashant Biyani:

Abhay Baijal: We have introduced "Uttam Pranaam" (Bio Nano Phosphorus), a unique product produced through biogenic process having 10% P2O5 under the biologicals vertical. We have developed this product in collaboration with TERI and the response till date has been very encouraging.

We are also working on new biological products especially for fungicides and Nematicide to be launched over the next 6 to 12 months for which trials are already on. We are also analyzing and testing some eco-friendly bio-stimulants, and we are very confident of launching a variant in near future. Our pipeline continues to diversify and grow in this segment.

Our new focus area is to enter in hybrid and research variety seeds. This will complete the Agri-Input products profile.

Our urea business continues to progress well. All our units have been operating at optimal capacity and our production of urea in the quarter is 9.23 lakh metric tons. Energy saving schemes that were implemented in the Annual Turnaround in March 2024 for Gadepan-1 and II plants are giving better than expected results. Our focus continues on improvement in plant operations and implementation of various energy schemes to remain the best in class.

In P&K fertilizers, we continued to follow the portfolio approach. The product portfolio is being optimized based on geographical requirements and viability. Our cash flows have been good. We received about INR 2,300 crore of subsidies in the 1st Quarter, and we have prepaid our long-term loans, and we have zero debt in the Company.

Our emphasis on maintaining strong connect with both dealers and farmers continues. Communication via digital channels is delivering good results. We launched product display contests across territories, which has helped us to enhance visibility and connect with the farmers.

As part of the "Seed to Harvest" program, a key focus area for Chambal, we undertook more than 1,200 farmer meetings, conducting over 700 demos and 124 soil sample days to collect over 43,000 soil samples in "Seed to Harvest" territory.

Our joint venture, IMACID, is also performing well with higher production and better margins.

Our TAN project is progressing as per plan. Statutory approvals are in place, and we have spent about INR 342 crore till June 30, 2024. Orders for all the long lead items have been placed. Construction is progressing well. Several of the long lead items have also been inspected for various milestones and there are no showstoppers there.

We continue to look forward to creating value for our stakeholders and with that, we will be happy to take your questions. Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Securities (India) Pvt. Ltd.

Please go ahead.

Referring to your Slide of the presentation, the 110 metric ton per day increase in production capacity for G-I, G-II combined, would this mean that you can make more urea with same amount of ammonia?

No, there is a particular ratio of urea to ammonia. That chemical composition does not change. What it means is that ammonia has increased at the background, and to that extent, the throughput has increased.

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Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Ashish Srivastava:

Prashant Biyani:

Anand Agarwal:

Abhay Baijal:

Moderator:

Harmish Desai:

Anand Agarwal:

Harmish Desai:

Abhay Baijal: And, with increased ammonia, you would like to make more urea or produce more of surplus ammonia?

We are producing both, and in fact the country needs both.

And Sir, how much is the incremental surplus ammonia that we will generate from this?

If we

are producing 110 metric ton per day more of Urea, obviously there is 60-65 tons increase in ammonia, by a back calculation.

But that will get only if we do not make urea. If we make urea, then that ammonia will be used for urea only.

Yes, it is basically when we have said 110 ton per day increase in production capacity, this is basically for urea. Supposing there is also a balancing between the two plants, it could be that sometimes we are producing 75 tons, so 10 tons may become surplus, or 5 tons may become surplus. That is from time to time.

And is it also on your discretion that, for example, if ammonia prices go up, you may rather want to produce more of ammonia than this extra 110 metric ton per day?

It's not normally like that. I am not saying that there is no discretion, but in a production plan, we tend to also support the Government in their requirement for urea.

Right. And secondly, what has driven this 40% growth in contribution profit for CPC and SN?

So, this is an approach of an advanced placement scheme which is yielding results for Chambal so far.

So, this is more driven by advanced placement.

Not only that. That is one part of the strategy. The other thing is that this year because of the way we have chosen our products, we had a good growth in our overall revenue and we had a good growth in our margins also. So, taking both together, this 39% - 40% growth is coming.

And Prashant, you must remember that when we have said that good results are coming from biological, to that extent, some of the uptick is also from the biologicals.

Thank you very much. Next question is from the line of Harmish Desai from Phillip Capital (India) Pvt. Ltd. Please go ahead.

Can you please provide an update on IMACID? How is IMACID doing right now?

I think IMACID is doing well and what has helped us in IMACID to improve our realizations, is that the input prices have softened a bit there. And our production has also been more compared to last year in Q1 FY-25. And therefore, our margins are higher.

And do you expect this situation to continue for the rest of the financial year?

I would say that you have to benchmark it against the global DAP situation or the global requirements of phosphoric acid as such and since most of the production in IMACID is directed towards the Indian market and given the fact that DAP prices are firming up, we feel that the price at which they will sell phosphoric acid because that is their basic output, that would remain stable. So, yes, they could repeat the

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Harmish Desai:

Ashish Srivastava:

Harmish Desai:

Abhay Baijal:

Ashish Srivastava:

Harmish Desai:

Abhay Baijal:

Harmish Desai:

Abhay Baijal:

Moderator:

Viraj:

Ashish Srivastava:

Abhay Baijal: performance in this quarter and maybe again, subject to the fact that they do not have any blackouts in production or problems in production, I would say that they would be able to repeat the performance in this quarter at least.

And can you please provide some update on "Uttam Pranaam" product? How do you see this product going ahead and contribution? Because nano phosphorus, I think this is our first product in biological vertical. So, if you can please provide some update on it?

So, the differentiation comes from its sourcing. This is the only product in the ecosystem which comes from a bio-process. A bacteria helps conversion to phosphorous from rock phosphate and at the same time eliminating the trace elements. So, this is the only product which is coming through a biogenic process. That makes the product differentiation. And since the application is initially with the seed, so the initial results are good. You know, we have already treated around 76,000 acres of land with this product.

So, any target on how much do you want it to grow? Have we placed any target for FY-25, FY-26?

The fact is that this product has to be handled. We are doing

marketing, and we are

doing trial demonstrations and so on. As the acceptance of the product grows, I would say next year onwards, the growth will be much steeper than what we are seeing.

During Q1 FY-25, we have sold around 19,000 liters, which translates to 76,000 bottles in Q1 FY-25.

How is it priced?

Almost 76,000 bottles, which generated a turnover of about INR 2.0 crore. So, we see this growth, growing more exponential next year, as the two or three applications in cropping season and the farmer's confidence grows as he starts using the product. Lastly on the seeds, the question I would like to ask is, you have mentioned that you would like to focus on seeds going ahead. Have we devised any plan? Seeds of which crop are we targeting?

Let me keep that a secret for the moment. We have just said that we are quite advanced in our planning for entry into this business and the requisite men, material, resources are being gathered up to start this process. I think I would be able to give more color on this in the next few quarters.

Thank you. Next question is from the line of Viraj Kacharia from Securities Investment Management Ltd. Please go ahead.

Couple of questions. First is on the crop protection. You said that early product placement has given better contribution growth. Can you explain how does an early placement drive better contribution margin?

What happens in the CPC market is that there are some products which are insecticide based and some products which are prophylactic usage in nature. So, the more early you place them, you occupy the shelf, hence, you take care of the competition to an extent. At times that results in good margin.

To cut a long story short, the fact is, tactics do not only dictate. There is product value. There is a value on the table in terms of what the product actually delivers. This is only one tactic.

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Viraj:

Ashish Srivastava:

Viraj:

Ashish Srivastava: The tactic, as he rightly said, may not be completely repeatable, but at the same time, it means that your product, which is a good product, has been used by the market.

And once the use of the product is established in the market, then it's repeat buy is what makes the difference. And once the repeat buy comes, that is when the volume and margin growth happen.

So, let us not only put it down to early placement as a kind of a tactical manoeuvre but strategically what happens is that your product has been used by the market and when it has been used by the market and seeing is believing because our products are really very well thought of, chosen, directed and with all the ingredients which work for various crops. So, the farmer tends to create repeat buy and once the repeat buy starts happening, then automatically volume growth and margin growth happens. That is really the essence of what this is.

Just a few questions on this only. If you look at the portfolio, it is largely generic. There

are no specialty molecules right now. And as such, we do not have any strong combination molecules, unlike say other companies, where they are a success, for example, BASF. They have two or three combination molecules, primarily based on generics. So, if I look at the portfolio per se, when you say there is a repeat buying, there is a good amount of traction, of the products which we have sold or launched in last three years - five years, when I look at the top 5 - top 10, would it be the same products, or you will still see a lot of churn in the portfolio compared to that? So, that is one.

And then, secondly, if there is a churn in the portfolio, then how are you looking at say three years or five years hence? When you are looking to build an INR 750-crore kind of a scale, how you are looking at that?

So, first to answer your question of the combinations, let's look at the products which have been launched now. Especially in the soybean weedicide category, there is a

molecule which is a combination product. So, it is not that there are no combination products being launched.

Secondly, your next question was about the generics versus combination products. If you look at our portfolio today, it is around 65 CPC molecules which we are marketing in the entire year. Out of the 65 in the last five years, we have launched 38 new molecules which are contributing to 25% to 30% of sales. So, this is a continuous process, you know. We will keep adding, keep deleting product portfolio including combinations. So, it is not that we are not launching combination products.

No, my question was specifically that when the portfolio is largely generic, Sir talked about having a product value proposition and having high repeat purchases. So, I am just trying to understand when the portfolio is largely generic and keeping aside the tactic of early placement or late placement, there are similar competitors in each of the molecules which you will be launching or already launched.

So, when I look at the sales base of current year, say close to INR 900 crore to INR 1,000 crore, the molecules which you have already launched, say, 3 or 5 years, would they still be the top molecules for you? It will give some sense whether the value proposition which we are seeing, that's reflected in the sales profile or not. Can I compare the top 5, top 10 molecules?

Yes, got your question. If you look at the first question and the answer on generics, still in this country, 75% of sales is through generics CPC business. Now amongst the balance, I will give you a specific example. We were marketing one chemistry by name Imazethapyr for soybean. We were also marketing another weedicide in soybean by name Quizalofop-P-ethyl. I am talking of technicals. Now this year, we have launched a combination of that which has come from the house of Nissan, and we are only the third Company who has been allowed. So, because of our relationship in the ecosystem whether it is a Nichino or a Nissan or a Syngenta, we

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Viraj:

Abhay Baijal:

Ashish Srivastava:

Viraj:

Ashish Srivastava:

Viraj:

Ashish Srivastava:

Viraj:

Ashish Srivastava:

Viraj: are getting those products early in our portfolio. That is also making a difference for us.

Just two questions. I think somewhere we were evaluating whether we want to get into manufacturing piece on technical or we will be looking at collaborations with foreign companies. I think you talked about Nissan and Syngenta, but if you can just broadly give more color on how are we looking at the CPC-SN space? Do we still want to have an asset light approach or you think that with now traction in generics and some positive indications on manufacturing, you would also have to have a back-end manufacturing? That is one question.

You see, we are approaching a certain critical mass in this system and we are now beginning to create enough traction with some of the innovator companies and when these innovator companies are approaching us and we are talking to them, our credibility in order to be able to market these products has now risen to a level in which the more research-based, GenX type of molecules start getting available. And with that, at some point of time, will also come the responsibility of creating volumes and manufacturing and so on.

And when that stage arrives, I believe with these type of product, my understanding is that you need a three-to-five-year kind of comfort creation between the parties when you come to a situation where you can actively start looking. And I think we have just climbed the first few steps of that ladder and as we grow up in this situation and we reach a certain size and they get comfort because they would be parting with intellectual property material as they talk to us and go with us, then is the time when we will start creating structures by which we can

manufacture and that's exactly the strategic direction we are taking.

Just to add what Mr. Baijal said, we have some dedicated tollers who have come up in India, who are not into B2C business. So, their business is B2B and just formulation. So, the question of manufacturing till time for these products are available through our tollers we are not looking at it as of now, but we always keep evaluating various options.

Just last question, on CPC again. Somewhere in the presentation, you talked about a certain percentage in terms of the width and the depth. Can you elaborate more in terms of coverage when it comes to core territories of Chambal? What is the coverage of CPC-SN and even the tie-ups which you are getting from say the MNCs now, would that be only for those core territories, or you are getting more of a pan-India kind of a portfolio access or another distribution agreement you would have with them?

So, the last question first. Whatever agreements are in place with the partner, it is for pan-India. They are not geography specific. Whenever we have access to a molecule, it is for the pan-India market.

On the depth and the width of the coverage compared to the core territory of Chambal in urea, where would we be in that right now?

So, the idea is to put a channel in place which can take care of around 30% of depth and width that takes care of our future projections.

To put it differently, of the sales which you have right now, would there be any sales which will be outside the core territory of Chambal in urea for crop protection, or all the sales would still be primarily from the core?

No, the CPC sales are also coming from the non-Urea states also.

What will be the contribution roughly?

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Ashish Srivastava:

Moderator:

S. Ramesh:

Abhay Baijal:

S. Ramesh:

Abhay Baijal:

Anand Agarwal:

S. Ramesh:

Anand Agarwal:

Abhay Baijal:

S. Ramesh:

Abhay Baijal:

S. Ramesh: Say, it should be around 8% to 10%.

Next question is from the line of S. Ramesh from Nirmal Bang Securities Pvt. Ltd.

Please go ahead.

If you look at your segment numbers, there is a sharp increase in your traded complex fertiliser margins. Can you just give an understanding of how you would achieve this in the next year? And secondly, if you look at your segment asset, there is a significant movement. The segment assets for complex fertilisers declined sharply quarters-on-quarter and similarly for crop protection. So, if you can give us some insight into the improvement in the performance of complex fertilisers from this movement in the segment assets, then that would be helpful.

I think some of your questions are with respect to the margins in the bulk traded fertilisers, NBS fertilisers, is that right?

Let me repeat this. The improvement in the margins of traded fertilisers segment numbers have gone up from INR 30 crore last year to INR 120 crore this year. So, that is one. Secondly, if you look at the segment assets, there is a steep decline in the segment assets, whether you see it on Y-o-Y or Q-on-Q in complex fertilisers in the crop protection business.

So, the answer is very simple. For the first one, if you see, there is a prior period income item, which I think we have disclosed in the note. That is one reason why it shows a higher number. And if you see otherwise the comparable quarter-to-quarter, the numbers look more or less the same, I think 8% or 10% here or there, although

the volumes this year were a little lower. That is one thing. So, that should explain the first part of your question. As far as segment assets are concerned, I will let Anand handle this.

What happens that there is a seasonality involved. Last year in complex fertilisers, we had higher stock going forward in Q2 from Q1. This year because of little bit of lower volumes on DAP side, our stocks are lower and hence the result is that we have lower segmental assets

or complex fertilisers.

If you look at CPC-SN, this is more because I think we do not want to increase our stocks with us and we have been efficient in our collections and our sales to that extent. And the reduction is not that great in CPC-SN. Otherwise, I think we are at similar levels compared to last year Q1.

How much would be the prior period income which Mr. Baijal referred to in, the traded margins?

It is there in the note. There is INR 92 crore for this quarter, but there will be something or the other every quarter which keeps on happening with DOF. Some subsidies will come in later, some compensations for prior period, some compensation also get deducted, which we get next year.

This is part and parcel of the game.

So, in terms of the subsidy you have given in the presentation, there is a decline in the subsidy. So, what is that? Is it because of the cut down in the Gadepan I, Gadepan-II units?

Which subsidy decline are you talking about?

So, if you see the Slide 15 of the presentation where you have given the subsidy received. The subsidy, it has declined in Q1 FY-25 compared to last year.

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Anand Agarwal:

Abhay Baijal:

S. Ramesh:

Abhay Baijal:

S. Ramesh:

Abhay Baijal:

S. Ramesh:

Abhay Baijal:

Anand Agarwal :

Abhay Baijal:

Moderator: The commodity prices have come down compared to last year, especially on the bulk fertiliser side. And hence, the subsidy levels have come down.

I will explain this. What has happened is the DAP subsidy was down by about INR 10,000 per ton. And we have done far less volumes on DAP, number one. Number two, in even MOP volumes, the subsidy went down quite a bit, which was almost INR 7,000- INR 8,000. This is the impact of the price variance in that sense, which has happened in this case.

And secondly, the quantum of traded fertilisers has been less this year as compared to last year. So, both have impacted. As far as the urea subsidy is concerned, it is stable because gas prices in both corresponding periods more or less the same.

In terms of the outlook for your traded margin, urea is going to remain steady, but for the volume growth. We are given to understand that either you have to see the retail prices or MRP maybe increase for DAP and complex fertilisers, or the government would have to increase the NBS rate because of the recent increase in ammonia and the phosphatic prices. And is there an increase in the phosphoric acid contract price you envisage? And do you see the industry being able to raise retail prices in case the government does not change the NBS? What is the outlook for the second half in terms of the NBS rate and the potential for retail prices being increased for complex fertilisers and DAP?

I cannot say what the government's stance on retail prices will be, given that there are political compulsions of various elections. But as far as our approach is concerned, if you notice, we have been consistently stating that we have a portfolio approach. We match the geographic requirements with the kind of NPKs or various fertilisers that we want, whether MOP or whether NPK or various grades and see the viability and then we go about doing that. So, depending on what matrix fits we will do, we have stocks for this quarter, albeit not that much. Going forward, we will see what happens in the October subsidy mechanism that comes, and we will take our call according to that.

Sir, if you look at the last year's segment results for complex fertilisers, based on the current percent margin and the kind of volumes you can place, do you think we will

be able to match it or show a growth on that in terms of the segment results?
This is very dynamic. I cannot give you any guidance on this actually because there are two factors in play. One is the government's own policy decision on MRP. Second is the international prices. Third is the subsidy that they decide. When everythin

g is

open, you have to be exceedingly tactical on this. There is no strategic play here and we have to work according to what the best information they have. So, I will not be able to give you any guidance on this.

So, on the consolidated numbers, I understand that there is an adjustment of the other income, which explains some of the decline in the consolidated results compared to the standalone results and that is there in the last year result also. But is there anything else which has led to the difference between the standalone and consolidated numbers?

As part of consolidation, dividend gets knocked off. That is INR 140 crore. Balance, then you add back the performance of the joint venture itself.

For the current quarter. That is the only difference. Otherwise, there is no difference. Everything else matches.

Next question is from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

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Falguni Dutta:

Anand Agarwal :

Falguni Dutta:

Anand Agarwal:

Falguni Dutta:

Anand Agarwal:

Abhay Baijal:

Falguni Dutta:

Moderator:

Ranjit:

Anand Agarwal:

Ranjit:

Anand Agarwal:

Abhay Baijal:

Anand Agarwal :

Ranjit:

Abhay Baijal:

Ranjit:

Abhay Baijal:

Ranjit:

Abhay Baijal: Sir, I just have a basic question on this INR 92 crore. So, has it affected any part of the numbers being reported? This INR 92-crore loss that you have given.

Falguni, this was on account of losses we took on complex fertilisers two years back, which was approved. So, at that point of time we recorded lower subsidy. Now the balance subsidy has been given by the government. So, we are recording it.

So, this would have come in our profits in the complex fertilisers for this quarter?

Yes. Minus tax and whatever you have to pay, that gets deducted from here.

So, in short, I should see the complex segment number excluding this generally I am saying.

Yes.

But you will still see that it has improved from last year.

Yes, certainly sir.

Next question is from the line of Ranijit Cirumalla from IIFL Securities Ltd. Please go ahead.

The question is on the CPC and SN front. So, in the presentation we have kind of guidance for FY27 and that contribution margin works out to be around 18 odd percent. For the last few quarters, we have been consistently delivering above 20% and now we are at almost 23%. So, is there any change in that guidance of 18% from the contribution level in the CPC and SN segment?

This volatility will keep on happening from 18% to 23%. However, what we will say that we will be somewhere near the kind of margins that are earning, and we will be able to deliver consistently over a period, yes.

This will largely be taken as an EBITDA or there is something else to it.

No, these are basically your net margins, which you said net gross margin. So, below this there will be expenses, and the EBITDA will be little less than what is there, yes.

Although Ranijit, we run a very tight ship.

If you see the segment, you will be able to see the EBITDA levels.

The second question is on the urea front. The expansion or the increase in 110 metric ton per day. So, we will be able to increase or reassess capacity so that we will also get the benefit of IPP?

Yes, but that depends on how the IPP behaves. As of now, it is too early to say where it is headed. A bigger or sharper analysis would be possible by the third quarter, I think.

And this has already happened or is there a timeline to this?

What? What is the timeline?

Increasing capacity is already through.

This throughput increase has already happened.

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Ranjit:

Abhay Baijal:

Ranjit:

Abhay Baijal:

Anand Agarwal :

Ranjit:

Abhay Baijal:

Moderator:

Tarang:

Ashish Srivastava:

Abhay Baijal: And we are also undertaking the energy saving program.

Yes, we have a road map which I think the discussion on that took place. One part of th

at has been executed.. So, these are to catch the 2026 timeline when we will have the ATR for these two plants once again. So, it is going according to schedule. And then there are future energy saving schemes which are continuously under evaluation. So, this is a kind of a continuous process. We do not stop at one point. We keep improving so that as we have said in our statement, we aim to be the best in class.

And lastly, from my side, on the Gadepan-III benefits, any update on that?

Too early to talk about this. I think we have not had any conversation on this with the government. My own sense is that discussion will start late FY-25.

We still have 2.5 years from now. So, it's early to start discussing with them.

And that all the steps that we are taking should, at best, be able to kind of fill the gap if at all those benefits are going to expire.

Exactly. The point is that we continue to grow not only to fill the gaps, but also to grow. And so, lines of businesses have to be developed. Whatever we can sort of multiply, use force multipliers, we can use, we are using. And going forward, if there are some breakthroughs here and there, you will learn about it. Like TAN is one of the things that we have done. We can do product line extensions on that. There are other issues, I mean, the other items that could be produced out of that. So, as we said, we keep a continuous process of first creating a foundation and then building upon it.

Next question is from the line of Tarang Agrawal from Old Bridge Capital Management. Please go ahead.

Fantastic execution on crop protection side and the transformation of balance sheet, I think it's worthy. So, just a couple of questions directed at crop protection. How are the credit terms in this business and how different are they from your other business? And second, the trajectory that we have seen for this business in FY-22, FY-23, FY-24 and I know that you have a longer-term target of about INR 70 crore to INR 50 crore. How should we see this business for the full year FY-25? Should the Q1 trends continue? These are the two questions.

I will answer this question first with regards to credit, usually the fertiliser and the CPC and SN market are different in terms of the credit which you play in the market. But if you compare it with industry, we are doing reasonably good in CPC segment. Our Q1 66% sales have come from cash and 34% from credit sales. But if you look at the SN segment, it's a different segment. Only 36% comes from cash and 64% comes from credit. So, it's a product positioning depending on the market. So, our credit cycle is lower than the industry. That much I can say.

Now with regards to extrapolating the Q1 numbers to financial year, we have the product portfolio in place. The Kharif crop looks good. So, we intend to keep the growth level, but what numbers exactly? Difficult to project as of today, but there would be growth in this business for sure.

But Tarang, we want to maintain the momentum. How much we are able to achieve,

that is dependent on, of course, seasonal factors as well, what will happen in Rabi. But we have the wherewithal, we have the products, we have the partnerships. I think the marketing team has been tasked and they are executing that.

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Tarang:

Ashish Srivastava:

Tarang:

Abhay Baijal:

Tarang:

Abhay Baijal:

Tarang:

Anand Agarwal:

Abhay Baijal:

Anand Agarwal :

Moderator:

Viraj:

Abhay Baijal:

Viraj:

Abhay Baijal: So, just a couple of follow-ups. One thing that you spoke about where you said that 66% is in cash and one third is on credit and then you gave a reverse analogy of some other business where one-third is on cash and 66% is on credit. What was that? Crop Protection Chemicals, we are doing cash 66%. Speciality Nutrient segment we are doing 36% cash between the two.

And second, how is the fixed cost base of this business moved over

the last three years?

I will put it this way, that the allocation of the costs in marketing, is in between three segments. One is urea, the other is bulk fertilisers and the third is the CPC-SN. So, what happens is that depending on the effort analysis from year to year, we have a certain allocation mechanism agreed with our auditors. They audit that.

I am not saying we have time sheets to that extent and all that, but we have a template to organize and analyze. I would say it has remained stable because the number of people who work in marketing have not increased. That should give you some indication. Of course, salary levels go up, but the numbers have not increased. So, to that extent, there is a tight control on the way we do things.

Would it be fair to presume that the trend for fixed cost base for this business is broadly in line with the trend that we see for the overall business?

Yes, you are absolutely correct.

And my sense is last three years we see the contribution numbers. It continues to be EBITDA neutral or EBITDA positive, correct?

It is increasing year-on-year depending upon the business and the allocation. And there is a fair allocation being done nowadays because we are also now reporting the segmental accounting. So, it is fair.

It is quite EBITDA positive.

So, if you start achieving economies of scale, obviously it will be EBITDA positive.

Next follow-up question is from the line of Viraj Kacharia from Securities Investment Management Ltd. Please go ahead.

My query was a quarter or two back we talked about us evaluating capital investments in the nitric acid value chain in addition to the TAN project. So, any update you can give?

So, we have received certain estimates. Those estimates on that particular plant are a little off what we thought. We know what it is costing with other parties, but the quote we received was a little higher than what our expectation was. So, we are relooking at the numbers with another party. So, once we have a satisfactory number, we will get back to you.

And second question is, on the seed side, you talked about the process of acquiring land and other resources. Is the approach to seed business more organic or initially you would have more of a distributed kind of arrangement with maybe some of the MNCs?

No, it will be to begin with organic and at some point of time, inorganic options will also be evaluated.

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Viraj:

Abhay Baijal:

Moderator:

S. Ramesh:

Anand Agarwal:

S. Ramesh:

Abhay Bajjal:

S. Ramesh:

Abhay Bajjal:

S. Ramesh: The reason why I asked is, even when we talk about organic, it's a process where from the R&D to commercialization takes somewhere between 4-5 years to 10 years, right? So, what we visualize right now, and we will be having to make an investment on annual basis depending on the segments we choose, we will have to kind of make those investments either in P&L or Capex to kind of achieve a scale, 5 or 7 years.

So, is the understanding correct? Is this how we are looking at it?

We know that there is a cycle of 3 to 5 years for research on hybrid seeds and we are prepared for it. In the meantime, there are licensing options and many other options to also generate products which can be brought to the market. So, as I said that we have created a certain framework internally and that will be in the fullness of time. In the next one or two quarters, the things will be clear to you exactly what will happen. I am not at liberty at the moment to disclose every facet of what we are going to do, except that it is a serious entry into this business.

Next follow-up question is from the line of S. Ramesh from Nirmal Bang Securities Pvt. Ltd. Please go ahead.

If you look at your cash surplus and the increase in receivables and adjust for the Capex there is possibly some credit you are getting on the working capital side. Has the inventory gone down

by about INR 1,500 crore? So, if you see the slides on receivables and the net cash position and your Capex number you shared, that's the number I get. So, has the inventory declined to that extent over INR 1,400 crore, INR 1,500 crore?

Yes, some bit of inventory has declined, but overall, I think we are generating good cash now and government is also supporting us by giving us our subsidies in time. And therefore, we hope that this will continue, and we will keep on generating cash surplus.

So, on the crop protection side, you have improved margins by about 500 basis points and if you see your volume, out of that 16% the volume if you adjust for the weighted average impact as shown in the presentation, it's about 18%. So, how much would be the decline in pricing in that revenue growth of 16% and on this 24% margin, is that margin sustainable for the remaining 9 months and would you be able to improve on that in FY26?

As I said, this is a dynamic situation, and we do not as a rule give you guidance on what is going to happen. We as a Company have never given forward guidance, but what I told Tarang when he asked us this question, more or less in similar fashion is that the marketing department has ambitious targets and they are working to execute towards it and that requires the correct combination of products and placement and everything, the strategies that have been discussed. So, it is, of course, my hope and my task or ask from the marketing department. Let us see how it plays out. The first part has gone well. The second and third part we have to see. Up to December is the crucial time. So, we will have to see how this progresses. We have the wherewithal. We have the channels. We have the product partnerships. So, let's see how it goes. On this breakup between volume and pricing, can you confirm these numbers? Because you have given the product wise volume growth and the revenue share. If I multiply that, I arrive at the volume growth of around 18%. So, is there 18%-20% volume growth and then do you have a price decline of around 3% - 4% on your 16% revenue growth? Is that number correct?

Decline in revenue growth or what you are saying? Is there a price variance? Is that what you are saying?

Yes, in the crop protection business, how does the revenue grow to 16%? I get the sense that there is a price decline of around 2% - 4%. Is that number correct?

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Abhay Bajjal:

S. Ramesh:

Ashish Srivastava:

S. Ramesh:

Moderator:

Abhay Bajjal:

Moderator:

Please note: See, first of all, it is a combination of crop protection and speciality nutrients. Secondly, when we have shown that the 1st quarter has grown from 296 to 343. This

is the net revenue. When you do net revenue, you are deducting all discounts and other such things from this.

That's fine. So, all we are trying to arrive at is in terms of the overall equation between volume and price, most companies have talked about volume growth and then some price decline. So, I just want to understand in your portfolio, crop protection and specialty nutrients taken together. On the 16% revenue growth, what would be the split between volume growth and price variance?

Ramesh, I will break this thing into crop protection and speciality nutrients. Whatever I am going to answer now about crop protection is about the gross invoice number. I do not have a net number. If you look at the gross numbers in crop protection chemicals, our sales have gone up by roughly 27%. Out of that, 17% growth has come from the new molecules. 17% has come from the increase in volumes of the existing portfolio. And 7% reduction is because of price decline. Volumes have gone up, but the prices have gone down. So, that gives a net impact. Does that answer your question now?

Yes, that is perfect.

Thank you very much. I will now hand the conference to the management for closing comments.

So, thank y

ou very much, gentlemen, for patient hearing to our conference call. I hope we have been able to answer the questions, and we look forward to welcoming you for our next call at some time in November this year. Thank you very much.

Thank you very much. On behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference. Thank you.

We have edited the language, and made minor corrections, without changing the content, wherever appropriate, to bring better clarity.

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Call: Nov 2024

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

Ref. No.: CFCL/SE/2024-25/112 November 13, 2024

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G,

25th Floor, Dalal Street Bandra Kurla Complex,

Mumbai - 400 001 Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated October 30, 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Analysts / Investors conference call held on November 07, 2024, on the financial results of the Company for the quarter and six months ended September 30, 2024. The said transcript is also available on the Company's website at -

[http://investor.chambalfertilisers.com/EarningCall Transcripts.aspx](http://investor.chambalfertilisers.com/EarningCall%20Transcripts.aspx)

You are requested to notify your constituents accordingly.

Thanking you,

Yours faithfully,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: ala

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CHAMBAL FERTILISERS AND CHEMICALS LIMITED

Chambal Fertilisers and Chemicals Limited

Q2 & H1 FY 2025 Earnings Conference Call Transcript

November 07, 2024

Rishab Barar:

Abhay Baijal: Good day everyone, and thank you for joining us on the Chambal Fertilisers and Chemicals Limited Q2 and H1 FY '25 Earnings Call.

We have with us today, Mr. Abhay Baijal — Managing Director; Mr. Anand Agarwal — CFO; Mr. Anuj Jain — Assistant Vice President (Finance); Mr. Tridib Barat — Vice President Legal and Company Secretary; and Mr. Ashish Srivastava, Vice President Sales and Marketing.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward-looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals Limited does not undertake to update them. The statement in this regard is available for reference in the Presentation.

We will begin this call with opening remarks from Mr. Baijal. I would now like to invite Mr. Baijal to share his views. Over to you, Sir.

Thank you Rishab. Good Day to everybody and a warm welcome to all of you participating in this call.

During the quarter, on a standalone basis, the Company has achieved an EBITDA of Rs. 834 crore, as against Rs. 697 crore last year which is a growth of about 20% Y-o-Y. Profit after tax was Rs. 500 crore, as against Rs. 372 crore last year, which is a growth of 34% Y-o-Y.

For the half year, the Company achieved EBITDA of Rs. 1,776 crore as against Rs. 1,475 crore last year, which is a growth of about 20% Y-o-Y and PAT of Rs. 1,053 crore as against Rs. 842 crore last year, showing a growth of 25% Y-o-Y.

At consolidated levels also the Company has performed well during the quarter, registering PAT of Rs. 536 crore as against Rs. 381 crore last year, which is a growth of 41%. For the half year, there was PAT of Rs. 985 crore as against Rs. 720 crore last year, which is showing a growth of 37% Y-o-Y.

All our urea manufacturing units operated at optimal capacity. Production stood at 9.34 lakh metric tons against 9.08 lakh metric tons last year Y-o-Y. Urea sale was 9.65 lakh metric tons against 8.38 lakh metric tons Y-o-Y. Subsidy receipts too, continued to be timely, we received Rs. 4,713 crore in subsidy in quarter two FY '25. We have great pleasure to inform you that the quarter earnings growth was also led by volume and margin growth in the CPC & SN segment. During the quarter, CPC & SN revenues stood at Rs. 289 crore as against Rs. 245 crore

last year, showing a growth of 18% Y-o-Y, with contribution of Rs. 83 crore against Rs. 61 crore last year, showing a growth of 36% Y-o-Y. For the half year, the revenue was Rs. 632 crore as IUTPUIR ~ SO —

against Rs. 542 crore last year, showing a growth of 17% Y-o-Y, with a contribution of Rs. 164 crore as against Rs. 119 crore last year, showing a growth of 38% Y-o-Y. During the quarter, two new CPC products were introduced, primarily comprising of fungicides. We have added to our specialty nutrients portfolio with the introduction of the nano bio-phosphorus 'Uttam Pranaam'. We have sold till September 2024, about 2 lakh bottles, and in the last quarter 1.2 lakh bottles. Some of the products are Generation 1x, that is products which are of the latest chemistries, in collaboration with our esteemed partners. The performance in the quarter is notable, despite late and/or unseasonal rains and sowing deficit in some crops such as cotton.

Our strategy continues to focus on creating partnerships and alliances for introducing better chemistries and increasing the width of our offerings in our channels. Today, we have a CPC product portfolio of almost 62 products of distinct chemistries, covering fungicides, weedicides and insecticides. Geographic diversification has also been a part of this strategy and has been successfully executed.

Biologicals are increasingly gaining importance in the crop protection space. A biological nematocyticide will be introduced shortly to address the farmer's pain point for nematodes control, for which internal field tests have been successful. The other product lines and biologicals will gain importance as green and sustainable technologies become increasingly important. We intend to be broad spectrum in this field from Actives, Stimulants to Crop Protection Chemicals.

Alliances in this field are also being worked upon, including sponsoring research activities.

Increasing emphasis on water-soluble fertilizers is also a part of this strategy. Water-soluble fertilizers are currently low penetration fertilizers, but we feel that with the growth of precision farming via polyhouses, drip irrigation, and increasing crop diversification from cereals, oil seeds and cash crops into the fruit and vegetable segment, this is poised to grow faster and create a pathway for quicker growth. In short, CFCL is now focusing increasingly on sustainable technologies which bring benefits in terms of improving farm yields, improve soil health and provide better product outcomes. They are also value for money and moreover, these products are also the fruit of high-quality research.

Our new focus area in the coming quarters will be to enter the hybrid and research variety seeds, which will substantially complete agri-input product profile. We expect to start sales and marketing of these products from Kharif '25 onwards. This growth shall be followed with increased vigor.

In P&K fertilizers, the volumes were low due to availability constraints and we continue to follow the portfolio approach. Our farmer connect Seed-to-Harvest program is now gaining momentum. We are also placing a great amount of emphasis on communications and reaching out to all our stakeholders and partners. Through social media we have now extended our reach to 30,000 people. Besides, our Hello Uttam experts at four locations received more than 10,000 calls and queries from field asking for dosage of the products, weed control, insect pest management in Kharif crops. As part of the Seed-to-Harvest program, a key focus area for Chambal, we undertook more than 3,800 farmer meetings, conducting over 3,000 demos and 4 soil sample days to collect over 2,000 soil samples. We have now tested a total of 58,000 soils for macro and micro-nutrients.

Our technical ammonium nitrate project is progressing as per plan. Statutory approvals are in place and we have spent around Rs. 388 crore till September end 2024. The

overall progress achieved is about 37% and things are on track. Our joint venture, IMACID, is also performing well with higher production and better margins. And we continue to look forward to create more and more value for our shareholders.

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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Moderator:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Baijal:

Prashant Biyani:

Abhay Bajjal:

Prashant Biyani:

Abhay Bajjal:

Prashant Biyani: With that, we are now happy to take your questions. Thank you.

Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Prashant Biyani from Elara Capital (India) Pvt. Ltd. Please go ahead.

How much is the additional EBITDA contribution from the 3% energy efficiency improvement?

I would say that it is in healthy double figure.

Can you quantify the number?

When I say healthy double figure, it is about Rs. 35 crore to Rs. 40 crore.

And by when is the next leg of the energy efficiency initiative going to be implemented for urea plant?

Prashant, we have a roadmap stretching out to 2028, and there are various projects which are under consideration, some have been awarded to consultants for doing the necessary engineering work. We shall be awaiting their replies. Then there is a cycle of ordering the equipment, and then putting them in place during the turnaround. So, this will stretch up to 2028, we have a plan going forward.

See, what I want to show you is that energy efficiency remains a very key focus for the Company; number one. And number two, we are looking at good efficiency projects going forward. And we have a plan in place, there will be at least three to four such plans that we will implement, which have been generated in-house, and they have to be vetted by the various engineering consultants.

How much was the additional subsidy on DAP pertaining to Q1 for sales?

I think the government had announced a number of Rs. 3,500/MT, we have accounted a little less than that.

And your subsidy outstanding has reduced dramatically in the last few quarters and especially in Q2FY25 as well. Sir, does it also include subsidy pending on fertiliser sold, but are yet to achieve POS sales?

We are accounting it in the books at the first point of sale, it becomes a book debt.

So, it will include both, what is billed to the government and unbilled to the government.

In that case, is it that your fertiliser sales at retail level happen within the first 70-75 days of the quarter itself? And which is why you get subsidy before the quarter closes; is that the case?

No, it is not like that. The sales of fertiliser is a continuous process. Now it could be in higher intensity or lower intensity as time goes on. So, the first 75 days and all that, I think is an artificial distinction. There are some territories where it will be a little late, for instance, it may be due to climatic conditions, it may be due to sowing conditions. So, those things keep happening and we are fortunate today that the government has got a substantial amount in terms of its budget to pay to the Company. And if you efficiently raise your bills, they are getting paid on time.

Right. Sir good efforts on that part for reducing the subsidy outstanding. Coming to the domestic crop protection business, while the industry has seen subdued growth due to missing of sprays because of continuous rains, we have managed to outperform industry growth. How have we been able to do that, some color on that. And how is the liquidation also happening in your crop protection business, some highlight on that as well.

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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Abhay Bajjal:

Prashant Biyani:

Abhay Bajjal:

Prashant Biyani:

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Abhay Bajjal:

Prashant Biyani:

Abhay Bajjal:

Prashant Biyani:

Abhay Baijal:

Moderator: So, my understanding from my sales team is that between 60% to 65% sale is on cash, so that is instant liquidation. As far as how we have done better and why we have done better, well, it's a little involved subject. I would like to put it across to you when I made the point that we have about 61 products in the three segments, weedicide, fungicide, and insecticides. And we have always tried to marry the requirement of the farmers to what is their emergent and current requirements. And to that extent, we have a very strong and solid planning process, a sourcing process, a validation process for the value for money. And I think that's the reason why we have a range of options for the farmers instead of being stuck in one or two verticals. So, that makes the difference, that is one. Secondly, our strong alliances and relationships that we are building up, some of them are Gen 1X and they are patented combination stuff which is now coming up. So, I think those are creating the value drivers for our business.

Sir, one question on TAN. We are also setting up a 2,10,000 MT nitric acid plant. How much of nitric acid will be used in TAN?

I do not think we are setting up 210,000 MT plant, we have not announced that. We are setting up a 240,000 MT Technical Ammonium Nitrate plant, of which the precursor chemical is WNA, which is Weak Nitric Acid. I think you are referring to that part. Weak Nitric Acid can be sold as weak nitric acid. Weak nitric acid can be forward converted into technical ammonium nitrate also. So, at the moment, the plan is to convert that nitric acid into technical ammonium nitrate.

But there is no separate TAN plant?

No, no. There are two plants within the TAN plant. One is the weak nitric acid plant, which is then used along with further ammonia to convert it into technical ammonium nitrate. It is a two-step process, so there are two plants in one.

And what is the update on CAPEX plans for IMACID?

My understanding is that the Board has approved 2,00,000 tons expansion of Phosphoric Acid capacity.

And this should come on stream by when?

My understanding is that engineering work has been awarded and normally this kind of project takes about two and a half to three years to come to fruition. Subject to their achieving zero date, and in this case of course there is no problem in terms of finances, it is only a question of how quickly the technical parameters and other things are decided and closed.

Lastly sir, how much is the gas price for the quarter?

I think for this quarter, people have been contracting DAP between \$620/MT to \$645/MT.

Okay. In terms of dollar per MMBTU?

Did you say gas or DAP?

Gas.

Okay, gas has been around, I think it was \$16.7 to \$17.

Thank you. Next question is from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

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Falguni Dutta:

Abhay Baijal:

Moderator:

Ashok Jain:

Abhay Baijal:

Ashok Jain:

Abhay Baijal:

Ashok Jain:

Abhay Baijal:

Ashok Jain:

Abhay Baijal:

Ashok Jain:

Abhay Baijal:

Ashok Jain: Good afternoon. Very good numbers. I just had one question. What led to the significant increase in own manufactured fertiliser profits other than this energy efficiency which you mentioned about Rs. 40-odd crore?

We have sold almost 1 lakh tons more of Urea.

Thank you. We will take our next question from the line of Ashok Jain, an individual investor. Please go ahead.

First of all, congratulations for wonderful results. Now, I would like to ask on operations and then balance sheet items, and then, I mean, future projections. The first question is that, if I see this complex fertiliser, revenue has come down drastically, it has come down to Rs. 261 crore as against the June quarter of Rs. 1,111 crore or Rs. 1,972 crore in previous year September quarter. But if I see that as far as segment liabilities are

concerned, that has gone to Rs. 772 crore, as against the Rs. 567 crore in the June quarter. So, it looks something unusual. First of all, why this revenue has come down? And second, how the liabilities have gone up?

First of all, I think, if you refer to my opening remarks, I said that there were availability issues, therefore the sales were restricted. Therefore, the revenue came down, we sold all our stock and whatever we had purchased. Number two, we have also contracted some amount of fertilisers at six months credit terms which is showing in payables.

So, how it has gone to Rs. 770 crore, I mean, this is Rs. 205 crore increase in last one quarter, whereas the sale is not there. So, does it mean that we have added inventory....

Some stock has been carried forward, and that stock will be sold in this quarter as well as the next quarter.

Yes, because the overall stock level is at a static level, so that means we are adding inventory by some of this complex fertiliser, I think that we will be able to sell it in due time.

Yes, we will be able to sell it, not a problem.

Yes. And now, coming to crop protection chemicals, here I see that the revenue has come down from June 24 quarter from Rs. 342 crore to Rs. 289 crore. So, no doubt, profitability is good. I just want to know why revenue has come down this quarter? And this is the area where I think we should give more focus, obviously, you must be doing it.

Mr. Jain, the point is, I made a mention of the fact that there were late rains, unseasonal rains. The fact is that some of our territories had a problem in terms of absorbing these chemicals, in terms of the sales. So, this will be made up as we go forward.

This is a good profitability business so, obviously, you are giving focus to it. So, do you see a good chance of good growth in this?

I would say that if you look at half year to half year, that would be a more correct analysis of the matter. And I see the numbers that you have said, it should not be seen Q-O-Q, but you should see Kharif to Kharif and Rabi to Rabi. And typically, one should see half year to half year. And from half year to half year if you see, it was from Rs. 540 crore to Rs. 632 crore, which is almost 17% growth Y-o-Y. And the profits are from Rs. 119 crore to Rs. 164 crore.

Yes, that's good. Yes. Coming to this joint venture which we are having with Indo Maroc, that one. So, here our profitability has gone up, it's quite good. So, do you feel that the same growth can continue there?

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Abhay Bajjal:

Ashok Jain:

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Ashok Jain:

Abhay Bajjal: See, the Company has a production capacity running to about 40,000 tons per month.

And so, the two things that profitability depends upon are the contribution levels and the sales that are achieved. I think they should be able to continue this performance.

Now, coming to the balance sheet item, here if you see on Page Number 5, trade payables, you will find that the total outstanding dues of creditors other than micro enterprises and small enterprises, it has shot up to Rs. 2,012 crore. And secondly, the other financial liabilities have also gone up to Rs. 690 crore as against Rs. 406

crore and Rs. 761 crore. So, huge liability has gone up. So, I am unable to understand why it is like this?

I can tell you in very short term, this is the money that we owe to the government. Because there is a process called escalation and de-escalation. Fortunately or unfortunately, we were receiving a little bit more subsidy from the government than was eligible, to that extent this is payable. Over a period of time, maybe in the next month, two months, three months, we will be paying that off. So, this will normalize. And now coming to the investment part, obviously, it has gone

up to Rs. 2,783 crore.

So, if I see revenue coming out of it, that obviously seems quite low. First of all, I could not make out where it has been shown in the P&L, but still I feel if it is part of other income, then it is low. I mean, this is what I feel.

Mr. Jain, it is like this, that the part which we owe to the government is actually converted into cash and placed as mutual fund investments. To that extent, there will be interest income on that. That will be part of other income.

If I see the annual report of last year March, here it says that MTPA of TAN plant is 240,000 per annum and 210,000 MTPA of WNA plant. So, my question is how much do you feel that approximately cost of it and how much we have already spent? And when do you think it can be completed?

Okay. So, you want to know what the project cost is. I think the Board-approved project cost is about Rs. 1,600 crore.

It's Rs. 1,600 crore for both the plants, am I right?

Yes. And we have spent about Rs. 400 crore till now

And when do you feel that this will be completed?

We will be completing it by October '25.

But this Rs. 400 crore is not showing in capital work in progress because capital work in progress is around Rs. 200 crore or so. So, but you feel that by October 25, it can be completed?

Yes, not a problem. See, what is happening is that these are milestone payments, this is an EPC contract to Larsen & Toubro. They draw on the basis of whatever work they have done. And that is as per the milestone payments, and it is according to schedule. The major payment will start happening once the equipment is shipped. At the moment, it is on account of advances given for the major equipment, and construction activities.

So, that means we can expect balance on the new equipment after one year, we can expect that?

No. Mr. Jain, the payment is no indicator of progress, because the equipment orders are already placed. So, as per milestone payments, the payment to the vendor will be made, they will draw the payment from us. So, when the equipment arrives, majority of the payment will happen. So, suddenly we will see an increase in capital work in progress.

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Ashok Jain:

Moderator:

Harmish Desai:

Abhay Bajjal:

Harmish Desai:

Abhay Bajjal:

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Abhay Bajjal:

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Harmish Desai:

Abhay Bajjal:

Anand Agarwal:

Harmish Desai: So overall, I can say that the Company has done extremely well. And we are very happy. And I would like to remain in touch. Thank you very much.

Thank you. We will take the next question from the line of Harmish Desai from Phillip Capital (India) Pvt. Ltd. Please go ahead.

First question on the TAN plant, you have given the update in the presentation that the amount spent up till September, can you give an update of what is expected amount to be spent in FY 25 on the TAN project, by the end of FY '25?

Cumulatively, about Rs. 600 crore.

Coming to the crop production segment that you guys have been reporting, the performance has been consistently good in the first half. Can you, in brief, give an update of what could this be attributed to?

So, we are actually a Company which is creating value in the product through matching the expectations of the farmers, timely placement, good communication in terms of usage, and giving quality to the farmer, that is one part. Secondly, we have a range of products, I think I mentioned in my opening remarks, we have 62 products across all the three categories. So, there is a range of crops, there is a range of insecticides or insects or the weed or the fungus which needs to be addressed. So, all of that goes through a process of testing in our fields, understanding the value proposition, placing the value proposition properly to the farmer, and then convincing him to buy our products in comparison to others. Plus, our price points are

very

reasonable. We always want to be value for money, and that approach has helped us, that's why the growth is there.

Some of your peers have reported some amount of product returns because of inconsistent monsoon season in the second quarter, did we face anything like that? No.

And sir, we have been consistent in terms of our product placement, that is the reason why we did not face such problems?

No, I think, first of all, we assess the market, more accurately. We understand what the farmer is needing. We do not pump-up the channel just because we want to achieve these numbers. And as I said, the range of products that we have creates that flexibility with us. We have a continuous discussion with our supply chain, backward and forward. We take only that quantity which we want to do. So, those are the things, the management of the whole process of serving and providing product to the farmer. That is the most important issue.

And any update on IMACID performance, the performance in the first half has been really good. So, do you expect this to continue in the second half?

The Company is on an even keel. We are producing about 40,000 tons per month. And given the situation and contribution which it is in, I do not see any negatives coming up in terms of repeating the performance.

Got it. So, can you give us the volume of Gadepan-I and II and Gadepan III for the quarter?

I would ask Mr. Anand Agarwal to give you the numbers.

For G-1 and G-II, our numbers have been 5.71 Lakh MT compared to 5.51 Lakh MT last year and G-III, 3.62 Lakh MT compared to 3.57 Lakh MT in the last year.

Are there any plant shutdowns to be taken this year?

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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Abhay Bajjal:

Moderator:

Falguni Dutta:

Abhay Bajjal:

Falguni Dutta:

Abhay Bajjal:

Falguni Dutta:

Abhay Bajjal:

Moderator:

Abhay Bajjal:

Moderator:

Please note: Yes, Gadepan II plant will be taken for turnaround in the month of March 2025.

Thank you. We will take our next question from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

I had one more question on nano DAP. So, what was the value of the sales for that in H1?

We have sold about 2 lakh bottles. And that is not nano DAP, that is bio-phosphorus. Please understand that it is not derived from a chemical process, it is derived from a biological process. That makes it a unique product.

And this is a part of which of our segment?

This is part of our speciality nutrients segment in the CPC-SN segment overall.

And obviously this is outside subsidy, right?

Yes, it is.

Thank you. As there are no further questions, I now hand over the conference to the management team for closing comments. Over to you, sir.

So, thank you very much for a brief and sharp exchange of views, I would say. Thank

you very much for listening to us and we hope to continue to create value to you going forward. Thank you so much.

Thank you, sir. On behalf of Chambal Fertilisers and Chemicals Limited, that concludes the conference call. Thank you for joining us.

Wherever appropriate, we have edited the text to incorporate grammatical corrections therein, for clarity.

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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Call: Feb 2025

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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Regd. Office : Gadepan, District Kota, Rajasthan - 325 208

Tel No.: 91- 744-2782915; Fax No : 91- 7455- 274130 Ref. No. CFCL/SE/2024- 25/144 February 12, 202 5

BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai – 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai – 400 051

Dear

Sir,

In c

ontinuation of our letter dated January 31, 2025 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Analysts / Investors conference call held on February 6, 2025, on the financial results of the Company for the quarter and nine months ended December 31, 2024. The said transcript is also available on the Company's website at

<http://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

Thank

ing y ou,

Your

s faithfully ,

For Chambal Fertilisers and Chemicals Limited

(Tr

idib Barat)

Vice President - Legal & Company Secretary

En

cl.: a/a

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Chambal Fertilisers and Chemicals Limited

Q3 & 9M FY20 25 Earnings Conference Call Transcript

February 06, 2025

Rishab Barar: Good day everyone. And thank you for joining us on the Chambal Fertilisers and Chemicals' Q 3 and 9 Month FY' 25 Earnings Call .

We have with us today, Mr. Abhay Baijal – Managing Director; Mr. Anand Agarwal – CFO; Mr. Anuj Jain – Assistant Vice President (Finance); Mr. Tridib Barat – Vice President Legal and Company Secretary .

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward -looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals does not undertake to update them. The statement in this regard is available for reference in the Presentation .

We will begin this call with opening remarks from Mr. Baijal. I would now like to invite Mr. Baijal to share his views. Over to you, sir.

Abhay Baijal: Good day to everybody and a warm welcome to all of you participating in this call. At the outset, let me wish everyone a healthy and prosperous 2025.

During the quarter, on a standalone basis, the Company has achieved an EBITDA of Rs. 84 3 crore , as against Rs. 7 24 crore last year. This is a growth of about 16%. A profit after tax of Rs. 505 crore , as against Rs. 404 crore last year, which is also a growth of 25%.

For the nine months , the Company achieved an EBITDA of Rs. 2,619 crore as against Rs. 2,199 crore last year, which is a growth of about 19%. And a PAT of Rs. 1,557 crore , as against Rs.1,245 crore , showing a growth of 25% year-on-year.

At the consolidated levels, also the Company has performed well during the quarter, registering a PAT of Rs. 534 crore , as against Rs. 459 crore last year, which is a growth of 16%.

For the nine months, there was a PAT of Rs. 1,519 crore , as against Rs. 1,179 crore last year, which is showing a growth 29%.

Our all urea units operated at optimal capacity . Urea production during the quarter stood at 9.18 lakh metric tons, as against 9.19 lakh metric tons last year . Urea sales stood at 9.88 lakh metric tons , against 8.92 lakh metric tons last year. Subsidy receipts to continue to be timely . We received Rs. 3,350 crore approximately in subsidies during the Q3FY '25.

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Of course, these numbers are there for you to see in the segment results. But I would like to highlight the performance of our Crop Protection Chemicals (CPC) and Specialty Nutrients (SN). It continues to be quite encouraging . During the quarter , CPC & SN revenues stood at Rs. 255 crore as against Rs. 203 crore last year, which is a growth of almost 26 % Y-o-Y, with a contribution of Rs. 68 crore as against Rs. 49 crore, which is a 39% increase.

For the nine months , the revenue was Rs. 887 crore and Rs. 745 crore , showing a growth of 19%, and a contribution of Rs. 232 crore as against Rs. 168 crore last year , showing a growth of 38% Y-o-Y.

In the quarter under review, we introduced two new weedicide s. Today , we have a CPC product portfolio that spans 13 states, 64 offerings, covering fungicides , weedicide s and insecticides.

We are also working on a range of new products which shall be introduced in Kharif and Rabi 2025 . Some of the products are Generation 1X, i.e. products which are of the latest chemistry , in collaboration with our partners.

Our strategy continues to focus on creating partnerships and alliances for introducing better chemistry and increasing the width of our offerings in our channel.

I would like to highlight that we have made a strong beginning in biologicals and they are increasingly gaining importance in the crop protection space . A biological fungicide and nematicide will be shortly introduced to address farmer 's pain points for nematodes and disease control , for which internal field tests have been successful.

The other product lines in biologicals will gain importance as green and sustainable technologies become exceedingly important.

One of the highlights of the quarter was that Chambal Fertilisers and TERI , which is the "The Energy and Resources Institute " , entered into an agreement for research to establish the CFC L-TERI Centre for Excellence for Advanced and Sustainable Agriculture Solutions . This is significant in the background of food security challenges between increasing populations.

Success of our "UTTAM SUPERRHIZA" offering and encouraging response to "UTTAM PRANAAM" (Biogenic Nano Phosphorus) gives us confidence in our ability to promote sustainability through bio -based agricultural solutions in India . TERI, as you know, is a pioneer institution in this area. Center of Excellence aligns closely with the Government of India's BioE3 initiative, which aims to promote biomanufacturing industries.

Under the arrangement , TERI will be doing research in the Center of Excellence to develop new products where the IP rights will be jointly owned between CFC L & TERI and Chambal will have exclusive commercial rights globally on the products which are developed over a period of next five years. The laboratories and equipment are more or less in position and the work will start from March onwards .

We will also be focusing on entry into hybrid and research variety seeds which will substantially complete our agro inputs profile. We expect to start sales and marketing of hybrid wheat , mustard , millet , etc. in the next financial year, starting from Kharif ' 25 onwards.

In the non -urea space, our product portfolio approach continues. And I am glad to inform you that in IMACID , our joint venture, the Phos Acid expansion project from 5 lakh metric tons (approximately) to 7 lakh metric tons has been approved by the

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Board . As we speak, work is going on to implement that particular project, not only on the phosphoric acid expansion, but also to attend to the deficit in the sulphuric acid plant. The total investment in those areas will be about \$173 million, which will be completed by '27-'28.

As far as volumes for our farmer connect 'Seed -to-Harvest ' program is now going , we are also placing great amount of emphasis on communication and rea

ching out to our stakeholders and partners.

Besides, our Hello Uttam experts at all four locations received more than 9,000 calls and queries. This happens to be a very important program for us to assist our farmers and to get specialized knowledge across to them as to how to use products. And also as part of our 'Seed-to-Harvest' program, which is a key focus area for Chambal, we undertook more than 2,500 farmer meetings, conducted 3,500 demos, and analyzed 98,000 soil samples for macro and micro-nutrients analysis.

The Technical Ammonium Nitrate project is progressing quite well. Statutory approvals are in place. Equipment deliveries have started. You must have seen photographs showing the extent of the civil and other construction works having been completed. And we are very confident that we will be able to start the plant in January 26. Cumulative expenditure as of December 31st has been Rs. 466 crore. In January 25, we have spent a further sum of Rs. 75 crore, making it a total of Rs. 541 crore. I have spoken about IMACID. That continues to do well in terms of its current performance. And as we go forward and complete the project for expansion, IMACID will be one of the largest Phos Acid producers in the world with 7 lakh metric ton capacity and with the lowest capital cost per ton of capacity. We look forward to continuing to create value.

With that, we are now happy to take your questions. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Yes, thank you for the opportunity. And congrats on a good set of results. Regarding our trading business, how much of the additional Rs. 3,500 per ton of DAP subsidy have we booked in Q3?

Abhay Bajaj: Not completely. I am told roughly 80-85%.

Prashant Biyani: Seeing your EBITDA per ton for traded fertilizer, it does not look like we are making money on DAP. Would that assessment be right?

Abhay Bajaj: DAP is a zero-sum game at the moment. And we haven't done too much of DAP. I think the total sales in the quarter was about 1 lakh tons, plus or minus.

Prashant Biyani: That is only to have the portfolio approach rather than anything else.

Abhay Bajaj: See, we are importers and sellers. We don't have the cost structure on the floor. We have to see what we can do in terms of the total portfolio approach. And we have done what we felt was necessary to keep the channel lubricated.

Prashant Biyani: Okay. I missed your opening remarks on IMACID capacity expansion. There was some patchy voice. Can you please repeat it?

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Abhay Bajaj: The Board there has approved the expansion of Phosphoric acid from 5 lakh metric ton to 7 lakh metric ton. And there are two parts to it. The Phosphoric acid plant and the Sulphuric acid plant, which is a concomitant facility, which is needed to support production. So, in the first phase, the Phosphoric acid plant will go into production, maybe by end '26 or maybe early '27. And the other part, which is a Sulphuric acid plant, the study for narrowing down the cost is still on. But we are quite hopeful that this will also be done. And taken together, the total cost of the expansion is about \$173 million.

Prashant Biyani: Okay. And what led us to configure some changes in the TAN plant and these changes are the things which are causing the delay or something else?

Abhay Bajaj: No, these changes are necessary to get operating efficiency when you do have warm ammonia. Otherwise, I will just give you a small understanding of this. First, if you have to store back the ammonia, you have to basically chill it. To ensure that you are able to directly pump the ammonia into the system, whatever is being produced online, then you save energy in that. That's a very simple process that has to be done.

The second part is looking to the fact that LDAN, that is Low Density Ammonium Nitrate is going to play an important role in the future. The engineering took about 1-1.5 months.

Moderator: Thank you. Next question comes from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani: Thanks for this opportunity, and congratulations for a good set of numbers. I have a few questions about TAN. So, currently, what could be the domestic demand for TAN and how much of it is being imported?

Abhay Bajaj: My understanding is that domestic production is close to 1 million tons. Imports could be varying between 200,000 tons to 400,000 tons depending on what positioning happens. That is how it is. It is increasingly demanded in terms of infrastructure development, in terms of mining, in terms of border roads, in terms of cement production and so on. All of that is contributing to the growth and government's CAPEX investments also helps as it is mostly infrastructure related. The growth, I am

told, close to 6% CAGR.

Jainam Ghelani: Okay . So, sir, we are expanding into TAN and our competitor is also expanding into TAN. So, do we see an oversupply situation in the near term?

Abhay Bajaj: There could be going forward in the next 2 -3 years because other capacities are also coming . Assuming that they do come , it is not going to be very long in the sense that there is not too much of overcapacity . So, I think it will also depend on what is the cost structure of the other person that's where Chambal does score .

Jainam Ghelani: Okay. And so what could be the EBITDA per ton we can expect in this project?

Abhay Bajaj: You will have to wait. We will reveal that when the time comes .

Jainam Ghelani: Okay. And would you be backward integrating into ammonia too for this project?

Abhay Bajaj: We are conservative in terms of planning projects . We have a certain payback number of years in our mind when we do the project, and we are confident that we will achieve it.

Jainam Ghelani: Okay, sir. That's it from my side. Thank you.

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Moderator: Thank you. Next question comes from the line of Harmish Desai from Phillip Capital. Please go ahead.

Harmish Desai: Good evening , my first question is on the IMACID expansion. How much CAPEX do we expect to incur in this expansion?

Abhay Bajaj: \$173 million.

Abhay Bajaj: And what is our total CAPEX that we have incurred in 9 months apart from the TAN CAPEX ?

Abhay Bajaj: I will ask Mr. Anand Agarwal to answer this question.

Anand Agarwal: Current year , we have actually invested around Rs. 357 crore of CAPEX , out of which, TAN is around Rs. 250 crore.

Harmish Desai : Understood, Sir. Yes. And in TAN, so now we have shifted the date to January. So , how much time will it take for us to ramp up the project and any expectation of contribution from the TAN business in FY '27?

Anand Agarwal: Yes, in FY '27 we will definitely have positive contribution . Currently we are not being too aggressive on our estimates , but hope it will get ramped up very soon.

Abhay Bajaj: Yes, I will just make this point . January 26 is the date of commercial production delivery. That means it meets all parameters in terms of capacity , in terms of efficiency, in terms of quality . The trial will begin before January 26.

Harmish Desai : Got it. And, sir, this you mentioned in a presentation that we have achieved our energy efficiency has increased by 3%. So, how much does it translate in terms of increase in EBITDA ?

Abhay Bajaj : See, I will just give you , this is a rough computation. 3% saving from Rs. 5,000 per Gcal.

Harmish Desai : Okay, got it. And, sir, if you can just help us with the volume numbers for Gadepan -I, II and III?

Abhay Bajaj : That I will ask Mr. Jain.

Anuj Jain: Gadepan -I, in the quarter , w

e had production of 2.96 lakh tons and Gadepan -II 2.67

lakh tons , and Gadepan III 3.55 lakh tons . So, total put together we had production of 9.18 lakh tons.

Harmish Desai : And the gas cost for Q3 ?

Anuj Jain: Gas cost for Q3 is about \$15.85 per MMBTU on NCV basis.

Moderator : Thank you. Next question comes from the line of Prashant Biyani from Elara Securities . Please go ahead.

Prashant Biyani: What would be the mode of our share of IMACID investment?

Abhay Bajaj: We don't have to invest . They have got enough cash.

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Prashant Biyani: Okay, so dividend receipt and all those things will continue as they are continuing.

Abhay Bajaj: Dividend will go up and down . We may take dividend and then reinvest back into them. That's up to us what we want to do . That's a tactical decision from time to time.

Let me also tell you that Chambal is quite serious in looking at ensuring Phosphate supply or securing Phosphate supply chains in Phosphate rich countries. So, there are discussions which are on, we will inform you from time to time as to what we are and what our progress in that matter is.

Prashant Biyani: What kind of urea volume run rate can we have in Q4? Last year Q4 , there was some lower number for some reason.

Abhay Bajaj: See, what happens in the last quarter is that we go under , what we call the annual turnaround. Last year we had two , in Gadepan -I and II . This year , we have only one , which is Gadepan -III. So, I would only hazard a guess. Assuming that the plants run full capacity, if you minus the amount of 3,900 tons per day for Gadepan -III for about 30 days, that's the amount of minus that you will get. But there are one or two nibbling

problems in Gadepan -I and II, very short shutdowns will be taken. So, I would guess between 1 lakh to 1.5 lakhs tons.

Prashant Biyani: 1 lakh to 1.5 lakh tons?

Abhay Baijal: From the normal run rate.

Prashant Biyani: Right. And told this year G3 will go under shutdown, if I heard it right?

Abhay Baijal: Yes.

Prashant Biyani: And how much is the net debt at the end of Q3 or net cash?

Abhay Baijal: There is no debt. Cash is high. Rs. 3,000 crore .

Prashant Biyani: Okay. And for or within CPC -SN, what could be the breakup of CPC and SN revenue on an annualized basis?

Abhay Baijal: I think it is, if I am not wrong, either 65:35 or 70:30, depending on which quarter we sell what.

Prashant Biyani: Okay. A recurring question, after the expiration of G -III benefits, first of all, we do not know how much the benefits will reduce by, but any further plans or decision if we have taken on, how are we going to compensate that through any of the growth projects? You also mentioned about securing the phosphate supply for India, so when can we hear something on that?

Abhay Baijal: Very soon, but it depends on negotiations.

Prashant Biyani: Outer timeline of this?

Abhay Baijal: I cannot say that, that is very difficult to say because when we are dealing with foreign partners, where it ends, how it ends, one does not know. But we are quite on the way to discuss that. And there is an active interest on both sides, that much I can say.

Prashant Biyani: This could lead to some investments in India or internationally?

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Abhay Baijal: It will lead to international investments.

Prashant Biyani: And we will secure the supply chain till the end or --?

Abhay Baijal: It depends. It is not only for India, it is a global business.

Prashant Biyani: Right. So, would there be role of government as well in this?

Abhay Baijal: I do not think so.

Prashant Biyani: Okay, sir. That is it from my side. Thank you.

Moderator: Thank you. Next question comes to the line of Dhruv Muchhal from HDFC AMC.

Please go ahead.

Dhruv Muchhal: Just on Prashant's earlier question, so the Phosphoric acid you mentioned is for global supply or we can think of this as downstream f

or the NPKs that we may put in or just from largely global suppliers?

Abhay Baijal: We already manufacture 5 lakh tons in IMACID. 70% to 75% of that material comes to India. Balance 20% -25%, 30%, depending on supply circumstances is transferred to OCP sometimes, which they use for their global supply. In this, additional 2 lakh metric tons, we have to see how we can find the markets to absorb these quantities, either in India or abroad . But this has an advantage, given the fact that, as I told you, this is the least capital cost project, and will be most efficient also.

We have a very good price advantage in terms of the fixed cost that is loaded on it, of course, the other costs in terms of the cost of rock and so on, these are very low cost. Fixed cost -wise, it is one of the most efficient plants. So, that gives us some advantage. In terms of the world's supply, that is a question of marketing and it is between the partners how we go about doing that. If the Indian market is not ready to pay the market prices, then why should we send it to India.

Dhruv Muchhal: Sorry for my lack of background on this, so whatever IMACID expands or sells, the marketing right for that is with Chambal or the responsibility is with Chambal, is it?

Abhay Baijal: It is between the partners, but OCP is the lead in that.

Dhruv Muchhal: Okay, got it. Perfect.

Abhay Baijal: And then somewhere there are long term supply agreements or amendments with India, so that continues. But if there are anything excess of that, it can get transferred to world supply.

Dhruv Muchhal: The other thing was just on the cost, probably not as relevant for you, because that goes in the JV, but you mentioned around \$173 million, which is about say at the rate of Rs. 83 is about Rs. 1,400 -odd crore . Sir, some of our peers domestically are expanding Phos -acid of a similar capacity, incremental in sense, at about Rs. 200 - 300 crore . So, the additional amount is because of the sulphuric acid, is it?

Abhay Baijal: You are right.

Dhruv Muchhal: Okay, got it. And the other thing was on the energy efficiency gains, in your presentation you mentioned 3% improvement in energy efficiency and 125 metric tons per day of incremental production. So, sorry, again a simple understanding

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lacking is, does both of that flow into our EBITDA or something has to be shared with the government? I mean, in terms of our math to understand what is incremental EBITDA gain, 3% of energy cost and 125 metric tons of incremental production both adds to EBITDA, is that the right way?

Abhay Bajjal: Yes, they add to the EBITDA, but you made an important point as to whether some gain sharing takes place. Yes, there is a gain sharing formula. And on the additional production that we do, it goes beyond the RAC. And as you know that there are two parts to the compensation to the plant, one is up to RAC and one is beyond RAC. While the energy efficiency works on the entire production, the additional production comes under beyond RAC production.

So, depending on how the other things, factors play out in terms of the price of imports of urea and the dollar and so on and so forth, that could vary. But so far as we are continuing to improve on efficiency and that's one of our target strategy in that sense, and we continue to improve regardless. Because we want to be prepared for a day when this may get decontrolled and we should be, in terms of cost structure, one of the finest cost structures all over the world. So, in that sense, this is a priority project for us. Not only this, but going forward we have planned up three or four other projects. And we will see if this happens episodically, because we first establish a base and then we again see from that base how much we are going to do. So, this is a continuous kind of a process, but it takes place every two, two and a half years on the basis of studies we do.

But coming back to your question, that is a question of how the circumstances play out insofar as gas cost, dollar, what is the import price of urea and so on. So, to that extent, some of the factors are not under our control. But what we really want to do is to keep pushing the barriers and the envelope down and down and down, that's what we want to do.

Dhruv Muchhal: So, if I understand, as per the mechanism, 3% of the savings, the energy efficiency savings of 3% that you mentioned, that is direct, that flows completely to you, there is no ambiguity. The 125 metric tons, whatever incremental production, that depends upon market forces, multiple variables as it happens?

Abhay Bajjal: In the energy gain somewhat of a gain sharing is there. But since it is a consistent policy for every ton or for every Gcal, you will get a certain amount of compensation on production beyond RAC.

Dhruv Muchhal: And last question if you can share, what would be the ammonia profit this quarter and for nine months, surplus ammonia?

Abhay Bajjal: Profits, see, this year have been a little soft. I would say we have done I think about 80,000 - 81,000 tons of sales till now. I think a reasonable four-digit profits are there.

Dhruv Muchhal: Okay, perfect. Great, sir. Thank you so much. And all the best. Thanks.

Moderator: Thank you. Next question comes from the line of Harmish Desai from Phillip Capital. Please go ahead.

Harmish Desai: My question is on seeds, you mentioned that the new focus area is going to be seeds going ahead. Any update on that?

Abhay Bajjal: I just mentioned that we have tied up, in terms of hybrid wheat, in terms of millet, in terms of maize, in terms of mustard.

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Harmish Desai: Understood. And the increase in NPK volumes, now that there is not much change in subsidies, so, what has led to this increase in Q3? And do you expect this run rate to continue in Q4 FY'25 as well?

Abhay Bajjal: Q4 FY'25 normally is not a quarter for sales of NPK. Its sales will start basically from first quarter of next year, which is when the Kharif really kicks in. So, it's not really a quarter where we will have high sales. But coming back to what you said about NPK, let me tell you that we have tied up some quantities for the Kharif in the NPK side, and we are adequately stocked for it.

Harmish Desai: Understood. And my last question is on L DAN, the delay in the TAN project is because you guys are trying to accommodate the L DAN equipment. So, earlier the plan was to just introduce HDAN. So, going ahead it is going to be HDAN and L DAN both, once the TAN project is commissioned?

Abhay Bajjal: Let me just clarify to you. We have made a provision to install L DAN equipment alongside the original configuration. Because, if we had not done that, then we would have to take a very long shutdown sometime in the future or to shut the plant for four months, six months, ten months, in order to incorporate those things. It's like this, that if you want to build a four bedroom house, you have laid the foundation for 4 rooms and built 3 rooms, the fourth room will be added as and when necessary. So, to create that position we had to change the equipment orientation and do some re-engineering. I hope I make myself clear.

Harmish Desai: Yes, sir. That is all from my side. Thank you for taking my question.

Moderator: Thank you. Next question comes from the line of S. Ramesh from Nirmal Bang. Please go ahead.

S. Ramesh: Good evening. And congratulations on your good results. If you look at the crop protection business, in your expansion to Rs. 1,750 crore by '27, the delta in terms of the contribution is declining as a percentage. So, is that something you are making on a conservative basis or is there a reason in terms of your product mix and your rating on the market, how should we see that?

Abhay Baijal: I think it is a question of representation,

whether we are presenting it in terms of gross or net. I will ask Anand to explain what is happening, because what is really the projection that was given was I think on the basis of gross sales. And what we are reporting in this segment is on the basis of net sales, which is after trade discounts and all that. That is where the difference is.

S. Ramesh: Yes. But in the Slide #6, if you see, if you look at revenue and contribution for FY '24, the percentage margin is more than 25%. And if you see the target revenue for '27, Rs. 1,750 crore and the contribution target of Rs. 310 crore, the percentage margin is declining. If you take the delta --

Abhay Baijal: In that Rs. 1,750 crore number, you deflate it by about 20%, you will come to the number we are talking about.

S. Ramesh: Okay, I think that there is a difference in terms of the revenue reporting.

Abhay Baijal: It is represented on gross basis or net basis, which I just explained to you that when we are doing it in the segment results, it is on net basis. For the sake of consistency and not to make a variation, we decided to keep sticking to the gross as was reported initially.

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Anand Agarwal: The FY-27 number which we had told, was a gross number. And what we have to put up in our accounts is a net number, and that is the difference. So, it will be somewhere around 20 - 22%.

S. Ramesh: So, are you saying that FY '24 number has to be deflated or the Rs. 1,750 crore has to be deflated?

Anand Agarwal: The projected number has to come down.

S. Ramesh: Okay, fair enough. So, if you look at your overall strategy for the crop protection business, how are you reading the current pricing environment and the demand growth? And in terms of the top -line growth for next year, what will be the kind of percentage volume growth you can get? And to the extent that there could be some continued pressure on pricing, what would be the revenue growth on a given volume growth?

Abhay Baijal: We continue to grow at the rates that we have been doing. In fact, trying to better it. That's my brief to the team. Therefore, if you recall, in my opening statement we said that we are now starting to get Gen 1x molecules and we are creating strong alliances with companies which have got research base. And therefore, we are introducing those new products and therefore expanding the portfolio to at least three to four new products every year. So, that is what our strategy is and that will give us growth. Plus, there is, as we widen the channel, as we take more wallet share in the channel, the growth will come from there. So, we feel that we will continue to grow in the segment.

S. Ramesh: Yes. So, if you look at the nine -months FY'25 revenue growth is 19%, Q3 FY'25 growth is 26%. Can you give the breakup in terms of how much of this is volume growth? Because the reason why I am asking is, on this base if you look at certain volume growth, if there is some price decline, the top -line growth might look lower. So, on this if you can give us the volume growth out of this third quarter and the full nine months of revenue growth, that will be helpful.

Abhay Baijal: I think you can discuss this offline with Anand. He will give you, how much was volume and how much was price, that you can discuss with Anand.

S. Ramesh: Okay, fair enough. Sir, in the TAN project, if I may ask, if you look at the long -run economics of that business, what is the utilization you require to get your threshold IRR of around say 14 - 15% that you may expect in that?

Abhay Baijal: See, Chambal believes in running its plant at 100% plus, first of all, that is what it is. As far as the IRR is concerned, it is computed on a conservative basis. And that, I would say, they have got a certain breakeven number. I would not tell you what the breakeven is, but we will be above breakeven even at 80 - 85%.

S. Ramesh: Okay. Finally, in

terms of the thoughts on capital allocation, you are going to get incremental cash even after the TAN project is executed. And given your portfolio in

terms of a subsidized business, your trading business which perhaps is a little bit more vulnerable to the global crisis, and the crop protection business which seems to have its own leg. So, incrementally, in terms of your focus, where will you allocate this capital once the TAN project is completed?

Abhay Bajjal: I think I just made a mention of global phosphate supply chain somewhere. I think that will be one of the breakthroughs that if I could do, or the Company could do during this time, that will create a very strong base for Chambal to be a global phosphate player. And that is one area we are definitely looking into. Seeds is
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another area we are looking into. There, we will start with reintroduction of Chambal back into the market. And then take it forward from there, and add value one way or the other going forward. So, that might require some inorganic movements into the market.

And as I said, biologicals is one of the very key areas that we are working in. And we believe that we will be creating a very strong pipeline of products through the TERI research. There is a very systematic program being run there with targeted products which will come out in '26-'27, '27-'28, '28-'29. And there is a very large ambition out there to go up to almost Rs. 300 - 400 crore of biologicals sales. And those will be increasingly important elements in what we are doing. And as far as Speciality Nutrients are concerned, we will be creating some very specific grades and all that. So, those things are being cooked as we speak. And we will definitely keep adding to the portfolio.

S. Ramesh: Okay, fair enough. Thanks a lot and wish you all the best.

Abhay Bajjal: Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Abhay Bajjal: So, thank you very much, gentlemen and ladies, for your patience hearing into our conference call. We hope to continue to do well and continue to serve the investor community. Thank you very much once again for your participation.

Moderator: Thank you. On behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference. Thank you for joining us.

NB: Wherever required , for clarity, we have made minor corrections in the text without changing the content .

Call: May 2025

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Tel No.: 91- 744-2782915 ; Fax No : 91- 7455- 274130 Ref. No.: CFCL/SE/202 5-26/ 13 May 16, 2025

BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

I

n continuation to our letter dated Ma y 2, 2025 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts/Investors conference call held on May 9, 2025 , on the financial result s of the Company for the quarter and year ended March 31, 2025. The said transcript is also available on the Company's website at - <https://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

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hanking y ou,

Y

ours faithfully ,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

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ncl.: a/a

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Chambal Fertilisers and Chemicals Limited

Q4 & FY20 25 Earnings Conference Call Transcript

May 09, 2025

Rishab Barar: Good day everyone. T hank you for joining us on the Chambal Fertilisers and Chemicals Limited Q4 & FY '25 Earnings Call .

We have with us today, Mr. Abhay Baijal , Managing Director , Mr. Anuj Jain , CFO , Mr. Tridib Barat , Vice President - Legal and Company Secretary , Mr. Ashish Srivastava , Vice President - Sales & Marketing.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward- looking in nature and must be viewed in conjunction with the risks the Company faces. Chambal Fertilisers and Chemicals Limited does not undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin this call with opening remarks from Mr. Baijal. I would now like to invite Mr. Baijal to share his views. Over to you, sir.

Abhay Baijal: Thank you very much. Good day to everybody , and a warm welcome to all of you participating in this call.

To quickly recap our numbers for the quarter under review :

On a standalone basis , revenues amounted to Rs. 2,449 crore . The Company achieved profit after tax of Rs. 100 crore as against Rs. 86 crore, which is a growth of about 16% .

For the full year , the Company achieved EBITDA of Rs. 2,838 crore, a gainst Rs. 2,428 crore , which is a growth of about 17% . And PAT of Rs. 1,657 crore, a s against Rs. 1,331 crore, translating into growth of 24%.

Two of our plants underwent shutdown, Gadepan - III for about 36 days , and there

was a mini shutdown of 14 days in Gadepan - I due to a problem in one of the boilers. Despite this, the Company has performed well. We have achieved higher production as compared to the corresponding quarter.

For the full year also, urea production volume continued to be strong at 34.61 lakh metric tons compared to 33.83 lakh metric tons last year. Urea sales for the year amounted to 34.71 lakh metric tons against 32.56 lakh metric tons in the previous year. We have run both Gadepan - I & II plants efficiently. The advantages accruing out of the energy savings schemes continue to flow in. We continuously monitor the efficiency and plan to implement further energy efficiency projects to reduce it further.

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Subsidy receipts continued to be timely. As of March 31, 2025, subsidy outstanding was Rs. 265 crore. And we are glad to inform you that a large portion of this amount has been received on time.

We continue to see volume and sales growth in our CPC -SN business. In Q 4 FY '25, CPC -SN revenues stood at Rs. 39 crore as against Rs. 15 crore last year, contribution at Rs. 15 crore was higher by about Rs. 7 crore. This took our total contribution for the business to Rs. 247 crore against Rs. 175 crore, and our revenue to Rs. 926 crore against Rs. 760 crore. We have achieved a compounded CAGR of 25% in CPC -SN business and we hope to carry this momentum forward as well. During the year, we introduced 12 new CPC products primarily comprising of weedicides. Today, our CPC product portfolio comprises of 64 products of distinct chemistries covering fungicides, weedicides and insecticides, which have been well accepted by farmers across India in our territory. We are also working on 18 new products which shall be introduced in kharif and rabi. Our strategy continues to focus on creating partnerships and alliances for introducing better chemistries and increasing the width of offerings in our channel.

During FY '25, we also achieved 8% revenue from biologicals of the total CPC -SN revenue. We continue to strengthen our biological portfolio, our biological fungicide and nematicide will be introduced in kharif '25 and rabi '25, respectively, to address farmers' pain point for nematodes and disease control, for which internal field tests have been successful. CFCL is now focusing increasingly on technologies which bring benefits in terms of improving farm yields, improve soil health and provide better product outcomes.

As you know, friends, during the year, Chambal Fertilisers and TERI, the Energy and Resources Institute, entered into an agreement for research for advanced and sustainable agricultural solutions. This is significant in the backdrop of food security challenges due to an increasing population.

We are delighted by the successful launch of UTTAM PRANAAM, Bio-nano Phosphorus liquid fertilisers, an advanced solution designed to enhance phosphorus availability in crops. TERI, as you know, is a pioneer institution in the area and we will be doing research under the center of excellence to develop new products, whereas IP rights are jointly owned between CFCL and TERI, and Chambal will have exclusive commercial rights globally on the products which are developed over a period of next five years. We will be introducing hybrid and research variety seeds in kharif '25 which will substantially complete the agri-input products profile.

In the non-urea space, our product portfolio approach continues. We have sourced adequate volumes of NPK fertilisers, ensuring preparedness for kharif season. We are in active discussions with global suppliers to ensure the smooth supply of the P&K fertilisers across the year.

Our farmer connect Seed-to-Harvest program is now growing. The Seed-to-Harvest program is playing a significant role towards strengthening and expanding our relationships with both the farmer and our channel partners. During the year, Chambal conducted over 9,000 meetings, 11,825 demos, and collected 105 lakh soil samples. The program is being scaled up with digital intervention in newer locations of kharif '25.

Our technical ammonium nitrate plant is progressing in line with the timelines. Statutory approvals are in place. And till date we have spent about Rs. 650 crore. Our joint venture IMACID is also performing well with higher production and better

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margins. IMACID is increasing its phosphoric acid capacity from about 5 lakh metric ton to 7 lakh metric tons, and this should be available in time frame of 2027.

With that we are now happy to take your questions. Thank you so much.

Mod

erator: Thank you very much. We will now begin the question- and-answer session. The first question is from the line of Jignesh Kamani from Nippon Life India Asset

Management Ltd. Please go ahead.

Jignesh Kamani: Just want to understand on the D AP import. Last year , because of the lower subsidy , import was not viable . Based on the current subsidy , how is the scenario in DAP import ? And in past we used to do close around 8 to 10 kind of DAP trading, w hat kind of possibility for us to go back to that level in one to two years because of the better subsidy rate?

Abhay Bajjal: Yes. If I get you right, Jignesh, I think what you are asking is what our stance on D AP imports is likely to be for Kharif and Rabi.

Jignesh Kamani: Yes.

Abhay Bajjal: So I would say that, the Government has made suitable adjustments and have gone to a kind of cost plus model . We are also participating. Almost 1,30,000 tons has been contracted till date, which includes volumes of TSP as well . And for going forward, I think should this policy continue, we have no hesitation in increasing volumes in this area. Subject of course to various geopolitical uncertainties, the fact is we are in a little uncertain situation today . But nevertheless , we feel that we will be able to surpass our volumes of last year.

Jignesh Kamani: Understood. And it will impact the NPK volume because the industry has witnessed very healthy growth in the NPK, partly because of the lower availability of DAP? Now if DAP availability improves , will it impact the NPK?

Abhay Bajjal: Not really. There are grades which are very specific to certain crops , where the y don't make much difference, especially high potash grades . There are other grades which are direct substitutes from DAP, yes, to that point there will be a difference. There are grades which are Sulphur based which are a category of their own, t hey are priced competitively as compared to D AP, and they will themselves sell. You know what I am meaning, 20-20-013 grade that I am trying to mention here. So, there are various grades in this whole game, and one has to play between the gaps i.e. supply gaps and availability gaps , in order to make money here.

Jignesh Kamani: Understood. And last one on urea, h ow is the channel inventory , considering that because of the plants shutdown you can say volume has been down by close to around 5% on the lower level, so have we reduced the channel inventory and h ow is the scenario?

Abhay Bajjal: No, I think we carry more or less the same inventory as last year. W hat it really means is that we could have done better at Gadepan plant I if shutdown of ~15 days, which was inadvertent , could not have happened. But that is part and parcel of the game of running these high -tech plants , sometimes things do happen. However , we are back on stream on full blast from April 1st, so that's what I would like to respond on the urea question.

Jignesh Kamani: Sure. Thanks a lot. And all the best.

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Moderator: Thank you. The next question is from the line of Vedant Sarda from Nirmal Bang Institutional Equities . Please go ahead.

Vedant Sarda : My question is , like we are operating at 99% of urea capacity , so what would be our growth drivers for next two to three years? Any capacity expansion plans in urea segment and when would the technical ammonium nitrate project be in operations?

Abhay Bajjal: See, there is always a chance to improve capacities through various projects which we continuously keep examining. There is a pipeline of such energy efficient projects which also have knock -on benefits in terms of volume increases, because sometimes these projects technically also give margins on machines. And as you know , from previous year to this year, we have actually increased almost 0.80 lakh tons per annum which is 34 .6 lakh tons kind of average . It can increase further, t

hat

is one part .

As far as technical ammonium nitrate is concerned, a s you know , our commercial operation or production date is somewhere in January ' 26. So that should kick in , in terms of revenues by the 3rd or 4th Quarter of this year. As far as other products and projects are concerned, I think I made a mention last time that we are looking at various other options which I am not at liberty to disclose. And those are making steady progress as we speak.

Moderator: The next question is from the line of Harmish Desai with Phillip Capital (India) Pvt. Ltd. Please go ahead.

Harmish Desai: Good morning. A nd thanks for taking my question. I n FY '25, what is the total CAPEX apart from TAN?

Abhay Bajjal: I think it is of the order of about Rs. 300-odd crore .

Harmish Desai: Okay . And what is the total CAPEX that we can expect in FY ' 26?

Abhay Bajjal: That is what I was telling you. See, the total CAPEX in '25-'26 will be of the order of Rs. 1,200 crore .

Harmish Desai: Got it. And sir, so we are commissioning our TAN plant in January 2026, so in FY '27 how fast and to what capacity are we able to ramp up this new TAN plant?

Abhay Bajjal: We all hope for the best. We would expect it to go to at least 80%, 90%. But as far as our financial planning is concerned, we are more conservative.

Harmish Desai: Got it. Can you help me with the urea volume numbers in Gadepan - I, II and III for Q4?

Anuj Jain: Yes, for Gadepan - I, we have 2.4 lakh tonne, for Gadepan - II, we have 2.57 lakh tonne, and for Gadepan - III, 2.11 lakh tonne.

Harmish Desai: Got it. That is helpful, sir. And what was the gas price for 4th Quarter?

Anuj Jain: Gas price for 4th Quarter is around \$ 15.55 dollars /mmbtu on NCV basis.

Harmish Desai: Got that. And lastly, how much ammonia have we sold in 4th Quarter or in FY '25 as a whole?

Abhay Bajjal: I think we sold over 1.03 lakh tonne.

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Harmish Desai: This is FY '25, right?

Abhay Bajjal: FY '25, that's right.

Harmish Desai: Yes, got it. Got it. That is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Institutional Equities. Please go ahead.

S. Ramesh: Good morning. If you look at your performance in crop protection, what is the driver for the improved margins? And you have given the gross margin, so what will be the EBITDA margin in percentage terms? And what will drive this 23% in revenue between FY '25 and FY '27, will it be predominantly the new products, how do you see that?

Abhay Bajjal: I think we have over the years established an efficient sales mechanism which continues to give us, so far, the margin. Our alliances also help with that. Our direct discussions with various companies who are providing us either the technical or the know-how, then we are getting it made from various formulators and all that. So that is one part, as far as the margin is concerned.

The second part on margin is the freshness of the products, how many new products that we introduce, whether it is in weedicides, herbicides, fungicides and so on. So there is a strategy working out there in terms of how we place and procure these materials. So far, in the last three years there are any indication, these have been

steady and we are proposing to also repeat this performance in FY '26. So, this continues to work for us. And I think the last time when we had this discussion, we had made the point that being the bridge between the farmers' pain point and a solution which we actively pursue and do lot of research on, I think is the secret sauce that you are looking for.

S. Ramesh: Correct. So if you look at the 4th Quarter in terms of this crop protection revenue growth, how much of that will be volume growth versus other companies are talking about some pricing pressure. So, in your case, how much is driven by volume

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rowth?

Abhay Bajjal: It is mostly driven by volume growth. And there are some fast catch-ups also in this.

Mr. Ashish can answer this question more fully.

Ashish Srivastava: Yes. Usually, the question is right, whatever crops consume crop protection chemicals in Q4, basically sugarcane, so this is basically volume growth, and not much of price issues in that.

S. Ramesh: Sir, if you look at your fertilizer trading portfolio, you have seen healthy growth in NPK and DAP. So, do you expect to continue this trend? What are the kind of growth you would expect in the trading portfolio in DAP and NPK next year?

Abhay Bajjal: See, we did about 5.5 lakh tons, plus or minus, in the whole year FY '25, primarily split between MOP, DAP, TSP and NPKs. My guesswork is that this year we will have much larger portfolio of NPK, possibly doubling it or growing 250% on that. MOP could be the same or slightly subdued. And DAP will grow as I mentioned to the first participant, that given the Government's policy, we have no hesitation in stepping in and doing our part. Plus the fact that our channel would expect that kind of support from that. So, I would hazard a guess, but I think we are well covered in terms of kharif. And almost this amount that we did last year, we would do in kharif itself.

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S. Ramesh: Just going back to crop protection, what is the on ground preplacement demand for kharif, given the summer crop acreage has shown healthy growth, how do you see that?

Ashish Srivastava: So, whatever forecast you are looking at, whether it's IMD or Sky Met, we are expecting a normal monsoon again. And whatever inventory pressures were there in the competition of past years, those have also gone out. So, we expect a robust

growth in CPC segment overall.

S. Ramesh: Thank you very much and I shall join the queue. Thank you.

Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge Capital Management Pvt. Ltd. Please go ahead.

Tarang Agrawal : Good morning and congratulations on an extremely strong performance, especially in the crop protection business. I have a couple of questions pertaining to crop protection. One, sir you spoke about 64 products being active in the portfolio today. These are 64 Stock Keeping Units (SKUs) or these are 64 unique products?

And second, I mean, just to get a better handle, I mean, if you could give us a sense on competitive intensity in your portfolio? I mean, are there alternates available for a large part of your portfolio, not available? I just wanted to get a sense on how unique the portfolio is. That's one.

Second, further to the earlier participant, how confident are you to be able to maintain the financial metrics of the trading business apart from growth, I mean, everything else going forward in FY '26?

Abhay Bajaj: I will take the second question first. As far as the financial metrics for trading are concerned, we are pretty confident that having procured strategically and tactically in the first quarter, we are sitting at competitive price levels, I would say, which creates the necessary margin for us, that is number one. And going forward, of course, the market is shifting, it has tightened in terms of prices. But as we said that we are more or less stocked for kharif. Going forward we would like to see how this plays out in the international market. There are geopolitical issues, but there could be entrants such as China into the market once again, that could soften up the general levels because there is the displacement of stock from one place in the globe to the other place of the globe, also has knock on effect.

Now, as far as the first part of your question is concerned, the 64 SKUs are actually products. There are 64 products split between weedicides, fungicides and herbicides, etc. These exactly are the result of our cultivating

various alliances and

relationships whereby, we are getting superior products than what the market normally gets in this kind of a business. We have those alliances whereby people are giving us Generation- 1 or Generation- 1.5x so we get a competitive advantage. And the sourcing strategy is very important part in this business. So, we do work over a period of at least eight, nine months prior to the business plan to understand what we will need, how do we source it, what alliances do we need. And we create those kind of contacts with people and get that material in time. So, this has been going on now for the last 3, 4 years. I am pretty confident this is a workable proposition in this business.

Tarang Agrawal : How unique is the portfolio like for instance, some of these products like NO GRASS and MANCONIL seem to be fairly generic and not so unique right, but if I look at something like a HIROI or THEO or a WheMo, so just wanted to get your sense on how unique are these? I mean are there alternatives available because then we probably get a better handle on what is actually driving the metrics of this business?

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Ashish Srivastava: See, 70% of Indian Crop Protection Chemical business is through generics, so only 30% are patented or niche products. When you talked about the product uniqueness, as Mr. Bajaj mentioned that because of our relationship, now we are getting some of the products in the year of launch. So we don't have to wait for 2 or 3 years for the product to be launched and then you are getting it. So that's the uniqueness. So we get some products in the year of launch. Secondly, depending on the crop stage and farmer spending behavior, you always have to keep a portfolio. Just to put one small example, say for stem borer and leaf folder segment, I sell Cartap Hydrochloride and I sell Fipronil. So, they are in different price bands for different crop stage. So that is there with almost all companies. We also do similar work ing.

Tarang Agrawal : Got it. Mr. Bajaj, just last question. I mean, from a capital allocation, you have laid out about Rs. 1,300 crore of outlay and there are capital projects under consideration. But purely from a size standpoint, what could be the ticket size of the projects that are under evaluation currently?

Abhay Bajaj: I would not hazard a guess, but they are not small projects. That's all I can say.

Tarang Agrawal : Sure, sir. Thank you and all the best and congratulations on a very strong FY'25.

Moderator: Thank you. The next question is from the line of CA Ashok Jain, who is an individual investor. Please go ahead.

CA Ashok Jain: Yes, good morning, Mr. Bajaj and the team. So, my questions are basically from if you refer page #18, that is consolidated segment wise revenue. So if I see there, I find that the complex fertilizer on the quarter 4, the revenue is Rs. 166 crore and

profit is only Rs. 9 crore. And last quarter also the profit was very low in this segment. And there is one item which is segment asset, which is complex fertilizer. It has gone from 31st December 2024 from Rs. 825 crore to Rs. 1,601 crore. So my question is that in this segment, we are not making profit and instead we are adding the asset. So we must be incurring obviously opportunity financial costs. So this is what my question is, how to tackle this? One is this. And second, I want to know that if I see quarter 4, our revenue from our own manufactured fertilizer is Rs. 2,243 crore and profit is only Rs. 79 crore, which is 3.4% as against the last quarter where it is 17%. So can you just clarify these two issues how to handle it? Especially complex fertilizer is becoming complex for me.

Abhay Bajjal: Okay, Mr. Jain, let me just make it clear. We had actually built up the stock. We have purchased tactically I think I've made this mention. So when you purchase tactically and you will report the seg

ment asset, naturally the value of stock will get in. This is not a manufactured item, there is no plant and machinery in this. So from last year to this year, there has been an increase in stock. So that is, and that will flow in terms of benefits when we make the sales in the Kharif season. So that is one part. As far as Rs. 9 crore profit that you mentioned for complex fertilizer, that is dependent on the sales that must have been done. In this last quarter, we would have hardly sold less than half a lakh tonnes or something like that. So that kind of number is possible in small sales that are there. Now let's come to the sales of own manufactured fertilizers and the reduction in margin. This follows from the policy principle beyond reassessed capacity. When you actually produce beyond reassessed capacity in the policy, the profit metrics are quite different. And they also depend up on the debit of various types of expenses such as repair, maintenance which are more heavy in this particular quarter because as I told you, Gadepan - III plant had a shutdown as there was an annual turnaround. So there is a debit of large amount of repair maintenance that is one thing. And secondly, there was also a 14-day shutdown of Gadepan - I and this startup expense and shutdown expense also gets debited, so these are the reasons.

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CA Ashok Jain: Can we make it more rational something like that? Is it possible in future going forward because it is quite low from 17% to 3.4% seems very low.

Abhay Bajjal: This is the nature of accounting in the last quarter. That is, if you recognize the cost and revenue as it is for the period, that is the way it's done in the past.

CA Ashok Jain: Okay. So one last question. The CAPEX plan, you are saying that 25-26, it will be around Rs. 1200 crore. So my question is this, how are we going to source it from the internal accruals?

Abhay Bajjal: Yes, we will do it from internal accruals.

CA Ashok Jain: Thank you sir. Thank you.

Moderator: Thank you. The next question is from the line of Deekshant from DB Wealth. Please go ahead.

Deekshant: Hello sir, congratulations on a strong set for this financial year. So you have alluded how China can become a risk factor for us in the short to medium term. Could you give us a little bit of more color and explain us how this risk can be seen?

Abhay Bajjal: I am just saying that China, from being a very steady supplier of P&K fertilizers and even urea to some extent has now become an off and on kind of party for the last 3 years. For whatever reasons, they are internal, they may be diverting some part of their phosphoric acid capacity into battery manufacturers for electric vehicles. They could be doing it for geopolitical reasons, whatever it is. But the fact is the global supply from China is now fluctuating to some extent as against being a steady player in the last 3 to 4 years. So that means that for certain types of P&K products, we have to shift in terms of sourcing to other geographies, which is let us say Morocco, Saudi Arabia, Jordan, or Russia, or even US for instance. So the dynamics keep changing, but I am confident that overall the supply situation in the world is steady, although because of the geographical intensity of where the rock or the raw material is found, there are kind of monopolies that get created. So that creates problems in terms of how the trade plays out as compared to for instance, urea or ammonia which is much, much more kind of open and many suppliers being there so it evens out the competitive situation and you get better negotiation capabilities. So that is what it is. That is what I meant in terms of how this will play out. Nevertheless, I think the Government and the trade and industry in India have been working assiduously to create backward linkages or to create long-term MoUs with various other countries.

So overall the supply in the world is more or less the same. From somewhere or the other you will get the material.

Deekshant: It is pretty reassurance to know that we have more sources to get this, but does this come at an operating margin cost to us or even part level cost to us because I am assuming that China would be more competitive than others and since we are on a trajectory of improving margins right now, what kind of margin guidance can you give us or just any ballpark number of improving margins that we see?

Abhay Bajjal: I won't hazard a guess on margins. Margins are dependent on how you have strategically bought it. It is a kind of position taking sometimes in this business. And if you have taken a correct position for a particular margin, it will be looking very healthy. Next year, you could have made the mistake of having bought early in a falling market or having bought late in a rising market. So those things are your judgmental call 60% to 70%, and how good your judgment is makes the difference. Obviously, Chambal has a very strong balance sheet. Its carrying cost is low. It can take positions if it wants. But that is also dependent on a less turbulent policy regime. If you know that in the P&K sector, in the past there has been a lot of turbulence in

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the policy and discontinuities which have prevented people or companies like us, instance in Chambal, not to take long bets in the market. So that's the reason why you have seen volumes having shrunk to some extent. But as the policy now starts to open and get rationalized, the volumes will spring back.

Deekshant: That is pretty much clear sir. So out of the Rs. 1600 crore of CAPEX that we are doing, what kind of revenues can we see this adding up on our topline in FY '26? Even let's say full calendar year because we are starting from January. So how could the 4 quarters be if Rs. 1,600 crore of CAPEX has been done?

Abhay Bajjal: So first of all, our Financial Year starts from April, not January. What I talked about was from April to March 26, which is about Rs. 1,250 odd crore. Most of it is getting into the TAN project, almost Rs. 900 crore if I am not wrong. And Rs. 300 odd crore is routine capital expenditure, which is for replacement and for renewal and reliability. So those types of projects also have some knock-on benefits here and there in terms of either small margin expansions or an increase in capacity. Because reliability increases, you are able to run the number of days increases. So those kinds of things also happen. But from the point of view of certain changes, these plants are highly complex and require equipment changes over a period of 15-20 years. So that is factored into this type of capital expenditure that we are doing. The benefits that will flow, as I said, are first of all in the TAN project. Obviously once the project gets commissioned, we will try and achieve capacity utilization and EBITDA, etc. will flow from that, that is first of all. Secondly, in terms of those replacement capital expenditures or where small margin improvements or I think liability will improve the capacity or something to that effect. Those are the things that you can expect in '25, '26 and '27.

Deekshant: Just trying to get a number on what kind of revenues and EBITDAs can we see once this TAN project is getting commissioned and is being utilized to be appropriate utilization?

Abhay Bajjal: You see, TAN project is given as 2,40,000 tons of capacity. And you can do the math that currently I think the product sells at between Rs. 35,000 to Rs. 40,000 a ton given various types of scenarios that you can paste. So you can do the multiple of that, that is on full capacity, what is the number and what is at 70%, 80%, you can take a guess being the first year of operations.

Deekshant: What could be our operating margins on this? Any ballpark number?

Abhay Bajjal: That you can benchmark with the industry.

Deekshant: Sure. Thank you so much, sir. This is very reassuring to know.

Moderator: Thank you. The next question is from the line of Sophiya Masta from Elara Capital (India) Pvt. Ltd. Please go ahead.

Sophiya Masta: Thank you so much for the opportunity. I just wanted to know where does our net debt stand as of 31st March net debt of cash?

Abhay Bajjal: If I am not wrong, net debt is negative.

Sophiya Masta: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Sandeep Mukherjee from SKP Securities Limited. Please go ahead.

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Sandeep Mukherjee: Hi. Thanks for taking my question. What is the ammonia sales number in the total sales?

Abhay Bajjal: I think I have mentioned 1.03 lakh metric tons and average, I would say we would have sold between Rs. 40,000 to Rs. 45,000 a ton.

Sandeep Mukherjee: Okay sir, thank you.

Moderator: Thank you. The next question is from the line of Chandra Gupta who is an individual investor. Please go ahead.

Chandra Gupta: Thanks for this opportunity. So I just have one question. Recently there was a news report about India, the Government giving rights for potash mining in Rajasthan. So would we be interested in these kind of projects, your thoughts on this?

Abhay Bajjal: Mr. Chandra Gupta, first of all, well, if the mine is adequately priced, the seam is rich, I would say, what my understanding is, there are small pockets of potash and it may require beneficiation to get it to the right quantity because when you sell potash in the market as straight potash, it has to be almost 60% KC I (potassium chloride). And

my understanding is that this is not of that grade. How low it is or how high it is, we will have to check. My initial inquiries showed me that it is a lower grade material which will require quite a bit of beneficiation. And one has to also examine the economics, whether we import or other suppliers. Traditionally, you have got potash in the region of \$220 to \$350 per ton. One has to do the math to understand from a mining point of view what will be the cost of making this potash available from these sort of low-grade seams or quality or whatever the quality of the mine is.

Chandra Gupta: Okay, so we haven't shown any interest in this. I understand. Thanks a lot. That is it from my side.

Moderator: Thank you. The next question is from the line of Manish Mahawar from Antique Stock Broking. Please go ahead.

Manish Mahawar: Yes, sir. In terms of, I believe Government is thinking to, I think, increase the fixed cost reimbursement to the urea players, right? I just wanted to know your thoughts and how are the discussions?

Abhay Bajjal: This is a work in progress, I can't say what's going to happen.

Manish Mahawar: Okay, but historically, when this fixed cost has been increased for the urea industry?

Abhay Bajjal: The last time this exercise was done, whether increase or decrease, I don't know, was done in 2002 and 2003. And there was, in 2014, roughly Rs. 350 per ton kind of ad hoc increase given to all units in the industry. So I don't know where they are on this matter, but there are discussions happening and there are lot of differing points of view on this issue. That's the work in progress. As and when we come to know, we will keep you informed.

Manish Mahawar: Yes, sure, and secondly, sir, in terms of your crop protection business, what we did was Rs. 900 crore for topline. Is it possible to share the number geography-wise, maybe North, South, East, West, to understand how our penetration or distribution is strong?

Abhay Bajjal: We are selling in all parts of the country.

Manish Mahawar: Okay. But any bifurcation in terms of which part is stronger or is still?

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Abhay Bajjal: You see, wherever we have our presence by way of a fertilizer sale or wherever our

locations are and you know that we have got almost 28, 29 locations. We are in UP, we are in Rajasthan, we are in Punjab, we are in Gujarat, we are in Maharashtra, we are in Bihar, we are in West Bengal, we are in Telangana, Andhra Pradesh, Chhattisgarh, everywhere little or more, this is a product which is a priority for us and it's doing well as you see. And then various areas, various crops, various types of molecules, they also have to be product market fit. So it's a little involved subject to just tell you on this.

Manish Mahawar: And secondly, on the crop protection business, any intent to go ahead with the export as a market? As I know, right, export needs plant or manufacturing to go ahead with. So any intent in the future?

Abhay Bajjal: See, I will tell you what. This is a perennial question which people keep asking me, whether export production or formulation by ourselves. We have looked at various opportunities in the past. I would not say that we have not. But most of the time, when you do the math in terms of acquisition cost versus the return that you will expect, the returns come out to be lower than what we would be doing in this mode itself. So there is a big dichotomy or dissonance in a mind as to how to do this. That does not mean that we do not look at opportunities. Sometimes you might find a very reasonable asset and an offer could be made and accepted. So I am never ruling out that possibility.

Manish Mahawar: Okay, understood. And last one, in terms of your JV partner, basically the profitability has significantly improved this year. Is it possible to share the production number of your JV or maybe this profitability improved on account of spread, better spread?

Abhay Bajjal: I think they did about 4,90,000 tons close to that. And I would suggest Mr. Jain to give you a brief ballpark number on that.

Anuj Jain: They did about 5.25 lakhs tons of production and about 4.35 lakh ton of sale.

Manish Mahawar: Okay, is it possible to share the last year number please?

Anuj Jain: Last year, it was about 4.35 lakh tons of production and about 3.8 lakh tons of sales.

Manish Mahawar: Okay, understood. That's from my side and all the best.

Abhay Baijal: Thank you so much.

Moderator: Thank you . Ladies and gentlemen. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Abhay Baijal: So, thank you very much, ladies and gentlemen, for your participation in this call . We hope that we have been able to satisfy your queries. In case there is any further requirement of any further information, you can reach out to us . Thank you so much.

Moderator: Thank you. On behalf of Chambal Fertilis ers and Chemicals Limited, that concludes this conference. Thank you for joining us.

Please note: We have edited the language, and/or made minor corrections, without changing the content, wherever appropriate, to bring clarity .

Call: Aug 2025

CHAMBAL FERTILISERS AND CHEMICALS LIMITED

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

I

n continuation to our letter dated July 24, 2025, and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts/Investors conference call held on August 1, 2025 , on the financial result s of the Company for the quarter ended June 30, 2025. The said transcript is also available on the Company's website at - <https://investor.chambalfertilisers.com/EarningCallTranscripts.aspx>

You are requested to notify your constituents accordingly.

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ours faithfully ,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

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Chambal Fertilisers and Chemicals Limited

Q1 & FY 2026 Earnings Conference Call Transcript

August 01 , 2025

Gavin Desa: Good day everyone and thank you for joining us on Chambal Fertilisers and Chemicals Limited Q1 FY26 Earnings Call.

We have with us today Mr. Abhay Bajjal , Managing Director, Mr. Narinder Goyal, Business Head - Manufacturing Operations, Mr. Anuj Jain, CFO, Mr. Ashish Srivastava , Vice President - Sales and Marketing, Mr. Tridib Kumar Barat , Vice President - Legal and Company Secretary.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward- looking in nature and must be viewed in conjunction with the risks the C ompany faces. Chambal Fertilisers and Chemicals Limited does not undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin the call with opening remarks from Mr. Bajjal. I would now like to invite Mr. Bajjal to share his views. Over to you, Sir.

Abhay Bajjal: Thank you Gavin. Good day to everybody and a warm welcome to all of you participating in this call.

For the quarter under review, on a standalone basis, revenue amounted to Rs.5,698 crore. The EBITDA was Rs.929 crore. The profit after tax was Rs.638 crore as against Rs.552 crore on a year -on-year basis with a growth of 16%.

At the consolidated level also, the Company has performed well during the quarter registering a PAT of Rs.549 crore as against Rs.448 crore last year. This is about 23% growth.

For the quarter, urea production volumes were 8.54 lakh metric tons as compared to 9.03 lakh metric tons. Urea sales for the quarter were 8.41 lakh metric tons against 8.87 lakh metric tons. Urea production was lower primarily because of some breakdown in our second plant i.e. Gadepan- II. But now that is normal.

Subsidy receipts continue to be timely. The subsidy outstanding was Rs.1,326 crore as at the end of Q1FY26.

During the quarter, our sales volume of P & K fertilisers consisting of DAP, MOP, NPK and Triple Super Phosphate (TSP) was strong at 4.21 lakh metric tons, as against 2.41 lakh metric tons last year. This is a growth of almost 70%. This has been driven by a prudent and strategic sourcing strategy and an enabling subsidy framework.

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Further, we have sourced adequate volumes of P & K fertilisers ensuring preparedness for the rabi season.

Volume and sales growth for our CPC -SN business continues to be strong at 32%. In Q1FY26, CPC -SN revenues stood at Rs.452 crore as against Rs.343 crore in the corresponding quarter showing continuing momentum. Contribution for the quarter stood at Rs.102 crore which was higher by Rs.21 crore as compared to last year. During the quarter, we introduced 13 new CPC products, primarily comprising of weedicides and insecticides. Today, our CPC portfolio comprises of 73 products with distinct chemistry covering fungicides, weedicides, and insecticides and these products are well accepted by farmers across India in our territory.

Our strategy continues to focus on creating partnerships and alliances for introducing better chemistries and increasing the width of offerings in our channel.

During the quarter, we started the seed business and introduced maize and bajra seed which added Rs.6 crore to the top line with a contribution of Rs.2 crore.

On Biological side, we have achieved revenue growth of 80% as compared to last quarter. Total revenue stood at Rs. 29 crore as against Rs.16 crore in the previous quarter and as planned, biological fungicide and nematicide will be introduced in Kharif '25 and Rabi '25 respectively to address the farmers' pain point for nematodes

and disease control. In short, CFCL is now increasingly focused on technologies which bring benefits in terms of improving farm yields, improve soil health and provide better product outcomes.

During the quarter, we have inaugurated Crop Protection Laboratory with our partner TERI (The Energy and Resources Institute), which will develop five new biological crop protection patented products over a period. TERI, as you may know, is a pioneer institution in the area and we will be doing this research under the Center of

Excellence which we have established to develop these new products.

Our "Seed to Harvest" program, which is a pioneer program in meeting, is synergizing our connect with our farmers, playing a significant role towards strengthening and expanding our relationships with both the farmers and channel partners.

During the quarter, Chambal conducted over 700 farmer meetings, 420 demos and analyzed about 27,000 soil samples. We have also significantly expanded our use of social media to reach out to a large number of stakeholders and have launched "Uttam Krishi Pathshala," which covers a webinar dedicated solely for educating farmers on various agricultural practices on social media platforms.

Our Technical Ammonium Nitrate project is progressing in line with stated timelines. All requisite statutory approvals are in place, and we have spent around Rs.918 crore till June 2025.

Our joint venture, IMACID, is performing well. The increase in capacity of Phosphoric Acid from 5 lakh tons to 7 lakh tons is under implementation, which will optimize its operations and increase profitability further.

With that, we are now happy to take your questions. Thank you.

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Moderator: Thank you very much. We will now begin the question- and-answer session. Our first question comes from the line of Vishal Dudhwala from Trinetra Asset Managers. Please go ahead.

Vishal Dudhwala: Good afternoon, Sir. Considering the broader macro environment, where global fertilizer price remains elevated, currency volatility persists, and the Department of Fertilizer policy shift, how do you expect this factor to influence your urea and P & K fertilizer margins and volume for the rest of the year?

Abhay Bajaj: So, let me take this question in two parts. The urea is a kind of formula-related pricing, and the margins are not expected to vary much in the remaining part of the year. As far as the NPK is concerned, you have to strategize purchase position basis the subsidy and the MR

P that you can get in the market. But you are right that the prices have shown a degree of rapid upward mobility rather in the last one quarter. Some signs of abatement are there, but we will have to see how it goes forward. However, our stocks are well covered for that.

Vishal Dudhwala: Okay. And on the second side, like your crop protection chemicals, specialty nutrient biologicals and seed segment delivered a standout 32% YoY revenue growth and

like you have launched 13 new CPC products and entered into hybrid seeds. So, could you unpack the respective contribution of CPC -SN versus biological versus seed segment?

Abhay Bajaj: No, all of them are more or less in the same contribution range, give or take 2% or 3%.

Vishal Dudhwala: And what is your go-to market plan like across distribution, digital engagement with your Chambal Uttam Connect and the field demonstration to scale these new products?

Abhay Bajaj: So, I will ask Mr. Ashish to speak about how we go about marketing this. Over to you, Ashish.

Ashish Srivastava: Thank you Vishal, your question precisely is on the digital interventions or on the seed-to-harvest program?

Vishal Dudhwala: Like across the distribution channels, how are your new products achieving?

Ashish Srivastava: New products, to start with, since the chemistry has come from some other research partners, so we do an elaborate product launch, and then we have digital connectivity through WhatsApp Chatbot which are digitally spread to various stakeholders in the ecosystem.

Vishal Dudhwala: And as you achieved the revised FY26 target of Rs. 1,500 crore revenue in CPC and SN, so are we good in the run rate?

Ashish Srivastava: Yes, we are.

Vishal Dudhwala: Okay. That is it from my end. Thank you for your answer.

Moderator: Thank you. Our next question comes from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Thank you for the opportunity and congrats on decent set of results. Abhay sir, what is your expectation from NBS subsidy in H2? And in that backdrop, what kind of traded fertiliser volumes can we see this year?

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Abhay Bajaj: I would say that after the DAP and T SP have been largely moderated by the government's new approach to keep the companies insulated from price shocks, we are trending back to our original numbers, million ton plus.

Prashant Biyani: Sir, but is the price control for T SP there as well

Abhay Bajaj: DAP, TSP are under price control. Other NPKs are not.

Prashant Biyani: And government is reimbursing Rs.1,000 over and above the cost on both?

Abhay Bajaj: Yes, more, or less.

Prashant Biyani: And what is our trade inventory of fertiliser at the end of Q1FY -26?

Abhay Bajaj: Trade inventory, I would ask Mr. Anuj Jain to speak about how much sales we have made. Are you talking about POS inventory or what we have in stock?

Prashant Biyani: No, POS inventory only, I mean, which is lying with the channel.

Abhay Bajaj: Ashish, can you please enlighten us as at the end of June 30th?

Ashish Srivastava: Which product exactly are you referring to?

Abhay Bajaj: All total.

Ashish Srivastava: So, we had a lakh and 60,000- odd tons of NPK, including potash inventory as of end of 30th June.

Prashant Biyani: And sir, TAN, by when are we planning the trial production for it?

Abhay Bajaj: Trial production will commence early December or late November and we should be starting production by mid-January.

Prashant Biyani: And sir, some color on EBITDA per ton for TAN based on current realization, what kind of EBITDA per ton we can achieve?

Abhay Bajaj: The current prices, if I am not wrong, are between Rs.35,000 to Rs.37,000 a ton net - back. And I would assume that they would be in the region of five-digit plus at the moment.

Ashish Srivastava: So, Prashant, just one clarification, the POS inventory of 160K is of NPKs, to

tal is

around 260K.

Prashant Biyani: Okay. Then, sir, on urea norms, government was about to revise it either in CY or FY25. When is that happening and what kind of changes would you be expecting?

Abhay Bajaj: Which one are you talking about? There are two parts; one is energy norm and one is fixed cost. What is it that you are talking about?

Prashant Biyani: Energy norm.

Abhay Bajaj: Energy norm, I think the government has informally told us and the effect of that, is already encapsulated in current results.

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Prashant Biyani: And can you elaborate what is the change in norms?

Abhay Bajaj: There is some reduction and to that effect, the negative impact has been factored.

Prashant Biyani: Okay. This would be a public document because this is related to industry?

Abhay Bajaj: No. It will be a public document as and when they publish it.

Prashant Biyani: Okay. Sure, sir. I will come back in the queue. I have some more questions.

Abhay Bajjal: Yes.

Moderator: Our next question comes from the line of Viraj from SIMPL. Please go ahead.

Viraj: Just a couple of questions. So, this is on the earlier question pertaining to what the earlier participant was asking. So, if you see for our unit one, if you see what the earlier norms were for us, say for Gadepan- I and Gadepan- II we were in FY25

somewhere around 5.2 Gcal per ton. And the group which we were under group 3, I think the unit norms were somewhere around 5.5, correct me. So, the change which you are talking about is even below 5.2.

Abhay Bajjal: No, no. There are marginal variations from the current norm.

Viraj: Okay. So, given that we have been taking energy -efficiency projects, in the last two years, we have seen a good amount of gains flowing in and we were looking at other efficiency projects. So, the impact of this in terms of per ton EBITDA for us, will that largely negate the efficiency gains, or we should still see gains flowing for us even in FY26?

Abhay Bajjal: Let us put this in a way that the government does review the norms from time- to-time. We need to continuously keep improving our norms, which we do, as you know, that we continue to do efficiency improvement through various efficiency projects.

We have a pipeline of such projects stretching at least up to FY-27. And those will come into position and as they come into position, our consumption will actually come down again. So, the delta, which is there, that can keep varying a little bit here

and there, but it will be constantly more or less maintained. That is what it is. We are well below the norms, being an efficient producer, and we will continue to maintain that gap between the norm and our operating parameters.

Viraj: And the percentage sharing of the gains between us and the government, there is no change to that, right? It is just the tightening of the energy efficiency ?

Abhay Bajjal: No, there is no change in percentage sharing. What happens is that as the norms shift downwards, if you have not made adjustments to your own consumption by efficiency projects, you will tend to lose out.

Viraj: Got it. So, just a few more questions on the manufacturing business. One is, the Gadepan- III benefits, is there now any communication in terms of what kind of a plan or a structure, we would be post -2026 December?

Abhay Bajjal: As of now, no discussion on that has taken place.

Viraj: Assuming that you were to get the benefits similar to Gadepan- I&II for the Unit 3 as well, what kind of an impact one would see in terms of the EBITDA from this, rough ballpark, not exactly ?

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Abhay Bajjal: See, the point is, as of now, they have not stated anything. All of it is speculative and we don't believe in discussing speculative numbers out in the open. We have had no discussion with the government as to what line of action it will follow as far as the new plant is concerned. There could well be a different policy than what it is today. So, let us wait till we get some clarity. As and when we get clarity, we will definitely communicate.

Viraj: Okay. And just one more question on the urea business. If you see the market per se, industry consumption is much higher than production and we are now back in deficit, and given the natural rate of growth in consumption, if you were to underline that, it would still be a much higher number than what we are today. But if you look from an investment point of view, in terms of any new Greenfield at current prices

and the structure, it does not seem to be remunerative. So, from your interactions with the government, do you see any new policy being laid out for any new Greenfield investment or what is that communication you are getting from them?

Abhay Bajjal: I can only tell you that the government is seized of the problem and they can see the trajectory of growth in terms of consumption. We have seen sharp fall this year itself

in terms of the inventories because of the accelerated demand due to slightly early and widespread rains, change in cropping patterns, growth of maize cultivation and all that. All of that is being factored into their thought process. Should they feel the need, they will definitely invite new participants because, you see, setting up the urea plants is a very capital -intensive, time -consuming business and it is best carried out by those proponents of projects who have got prior experience in doing so. So, in that sense, I think the government are quite seized of the matter as far as my understanding goes. How and what will happen in a short period or in a medium period, I cannot say. But my understanding is that they are quite seized of the matter.

Viraj: But the discussions on new investment if at all with the government, so that the driver of that would be a new policy similar to NIP -12 or it will be more driven by deregulating the price?

Abhay Bajjal: I cannot speculate. See, the point is the government has, for your information, and I think everybody knows that, in the budget extended the policy for Namrup Fertiliser. I mean, one can speculate, one could always think that the same policy would be

extended again because they have done it just about three months back, four months back.

Viraj: Okay. Thank you.

Moderator: Our next question comes from the line of Sandeep Mukherjee from SKP Securities Limited. Please go ahead.

Sandeep Mukherjee: Thanks for taking my question. Sir, can you please share the plant -wise production volumes and total ammonia sales figure for this quarter?

Abhay Bajjal: I will ask Mr. Anuj Jain to explain the plant -wise production and ammonia sales. If I am not wrong, you can take down ammonia sale as about 23,000 tons. Plant -wise, he will explain.

Anuj Jain: We had production of Gadepan- I about 2.9 lakh tons, Gadepan- II around 2.15 lakh tons, and Gadepan- III about 3.5 lakh tons.

Sandeep Mukherjee: Okay, and what would be the volume in IMACID for this quarter?

Anuj Jain: In IMACID volume, we had about 1.26 lakh tons that we have produced.

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Sandeep Mukherjee: And what was it last quarter , previous year?

Anuj Jain: This year, same quarter was 1.3 lakh tons. For last quarter, I do not have the information right now. YoY it was 1.3 lakh tons.

Sandeep Mukherjee: Okay. My last question is, please throw some light on the recently ventured seed business. Like, what is the market size and sourcing or collaboration, if any, and the growth ambitions over there?

Abhay Bajjal: You see, seeds is a very important part of the agri -input segment. It is a very big market. In terms of the total size, you will have to go through various sections of this. There are hybrids , there is open pollinated varieties and so on. But our focus at the moment is on hybrids and research seeds . So, the products that we are talking about are maize, mustard, m

illet, research variety of wheat. These are basically our focus areas because north- west companies like we are, these are some of the things that will have traction in the market. We have started with something like mustard, bajra and maize. And we have done about, Rs.6 crore in sales, we just made a small beginning. Of course, our rabi ambitions are much higher. They will be in an order of magnitude higher than what we have done. As far as the total market size is concerned, which includes open pollinated variety and research and hybrid, marketing informs me of the order of about Rs.50,000 crore.

Sandeep Mukherjee: And for this, we are sourcing, or we have a collaboration with someone?

Abhay Bajjal: We have got alliances, and I would ask Mr. Ashish to speak about it.

Ashish Srivastava: Sandeep, presently we have embarked on the seed journey through the white label business. That means we are buying a very popular product from the top manufacturers. We have tie- ups with the top manufacturers in all crop segments. It will not be okay for me to reveal the names, but we are in tie- ups with the best in business.

Abhay Bajjal: Best-in-class.

Sandeep Mukherjee: Okay. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Amit Agicha from HG Hawa. Please go ahead.

Amit Agicha: Thank you for the opportunity. My question was connected to the TAN project. Like you said, like by January, I think so we will start the commercial production, and you said like Rs.918 crore already spent. I think so total Capex that we are planning is Rs.1,645 crore, correct?

Abhay Bajjal: Yes.

Amit Agicha: And so, balance whatever we will be from the internal sources or you will be raising funds?

Abhay Bajjal: No, please understand that the total project cost includes contingency, it includes interest during construction and all that, correct? So, you take it out from there, then the balance quantity that we have still to spend is of the order of Rs.300- 400 crore. And there are some other items in terms of housing and so on, or what you call as owner 's scope, that will get completed over time, but that has no connection with the production as such.

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Amit Agicha: And what will be the possibility of revenue from this plant once it is commercialized?

Abhay Bajjal: See, normally you do not expect 100% production rate from day one. We have basically one operating quarter that is middle of Jan to March. So, assuming that we do about even 60% -70% rate for production, then we are talking about 55,000- 56,000 tons product, sells today around Rs.35,000- 40,000 a ton. You can do the math.

Amit Agicha: Understood, sir. Thank you, sir. All the best for the future.

Moderator: Thank you. Our next question comes from the line of Prashant Kumar Hazariwala, an investor. Please go ahead.

Prashant Hazariwala: Congratulations for a good set of numbers . My question is like, how long this

Gadepan- II plant was laid down?

Abhay Baijal: If my memory is not wrong, it is about in two instances, total of about 24 or 25 days.

Prashant Hazariwala: Exactly what time it was down for the first time, like in May or like when it was down?

Abhay Baijal: It was down in the month of May.

Prashant Hazariwala: In the month of May? Right. So, my request to you guys like I think because of this

Gadepan- II plant we have lost almost 20% of our revenue in urea, right?

Abhay Baijal: You are right. 20 days on 92 days will be close to 20%. Overall materiality is decided in terms of reporting to the stock exchanges.

Prashant Hazariwala: Yes, so it was not reported into the stock exchanges, right?

Abhay Baijal: We are talking about materiality here, Mr. Hazariwala. It is not material enough.

Prashant Hazariwala: 20% is material. I think it is a concern to the investor.

Abhay Baijal: If you see the total EBITDA for the quarter, from that angle, we are talk

ing about.

Prashant Hazariwala: No, I am talking about turnover point of view . Because once turnover was down by

20% because of this problem and investor does not know about it and maybe some informal guys from somewhere, I do not know. But since May 6th or 7th, that was the

peak our stock has made and then it has come down to this level. So, that is where my concern is. Maybe some guys know about it or what I do not understand.

Abhay Baijal: Mr. Hazariwala, let me explain to you. Most of the segment revenue reduction in this particular quarter as compared to last quarter is due to reduction in the prices of gas,

which is of the order of 10%. And beyond that, the reduction which is there on account of this, is of the order of, if I am not wrong, just 3% to 4% of that.

Prashant Hazariwala: 20% volume does not make sense in the turnover, right? That is what you are trying to tell me, right?

Abhay Baijal: No, no. When we are looking at contribution, definitely not to that extent. But even in terms of the turnover of the total C ompany, if you see on Rs. 5,000 crore or whatever we have reported, it is about of the order of 2% to 3%.

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Prashant Hazariwala: No, for urea last year we have done something like Rs.3,600 crore kind of thing. This year we have done Rs.3,100 crore.

Abhay Baijal: Please understand that the turnover depends on gas prices.

Prashant Hazariwala: Okay, so 10% is you can consider from the gas price, right? So, another 10% will be from Gadepan- II plant , right?

Abhay Baijal: No, no. I am saying it is of the order of 2% to 3%.

Prashant Hazariwala: Okay, all right. My concern is like 20-24 days, at least we can have one intimation about it. That will be good for investors.

Abhay Baijal: We will discuss this internally and get back.

Prashant Hazariwala: Yes, please. O kay. Thank you. Have a good day.

Moderator: Thank you. Our next question comes from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

Falguni Dutta: Yes, I have just two questions. One is on that energy change norm in urea. So, how frequently does it change, is there a duration that it changes after so many years each time they change it?

Abhay Baijal: The government can be inconsistent on this and sometimes consistent on this. So, this norm has been changed after almost seven years.

Falguni Dutta: After seven years? Okay. But normally is it supposed to change after five years or there is no such thing?

Abhay Baijal: They always will give a sunset clause that this policy will run from this time- to-this-time.

Falguni Dutta: Okay. So, after this change, is it known now only as to when will the next change happen?

Abhay Baijal: No, we have no communication. That is it.

Falguni Dutta: Okay.

Abhay Baijal: This is not a published policy. This is on the basis of a discussion that was h eld between us and the department and the numbers that were given to us have been factored into current year's first quarter calculation.

Falguni Dutta: Okay. And sir the second question is on the JV expansion, the forecasted 5 to 7 lakh tons. When is that going to come up?

Abhay Baijal: My information is it is late '26, maybe early '27, that kind of time.

Falguni Dutta: Okay. Thank you, sir. That is all from me.

Abhay Baijal: Thank you.

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Moderator: Thank you. Our next follow -up question comes from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Yes, thank you for the opportunity again. H ow much is the net cash on balance sheet right now?

Anuj Jain: Around Rs. 1,600 crore as on 30th June.

Prashant Biyani: Urea volumes from G -III plant, sales volume, not the production?

Anuj Jain: 3.4 lakh tons.

Prashant Biyani: Okay. And the gas prices for the quarter?

Anuj Jain: It is about \$15.15 on NCV basis per MMBtu .

Prashant Biyani: Okay. On the TAN plant, have we been able to calculate how much

benefit are we

getting from the state incentives either annually or cumulatively over a certain period of time?

Abhay Bajaj: Well, the package that has been proposed is not yet in a sense signed off. It is in the advanced stages of being signed off. There is a RIPS policy in this and RIPS means Rajasthan Investment Promotion Scheme. It is a certain percentage of the total hard project cost, that means excluding interest during construction and certain other things, of which I think a certain percentage, between 20% to 25% which comes back as some sort of per year payment over a period of 10- years. That means roughly 2% to 2.5% of the hard cost of the project per year.

Prashant Biyani: That is it. And then what is the hard project cost for us?

Abhay Bajaj: If I am not wrong, it is about Rs.1,100 crore.

Prashant Biyani: Okay. And no incentive on GST or interest subvention?

Abhay Bajaj: No, I do not think there are any such schemes in RIPS.

Prashant Biyani: Okay. And what is the quantum of impact of energy norm reduction, which we have taken provisionally?

Abhay Bajaj: It is low double- digits per quarter.

Prashant Biyani: Rs.20 crore, Rs.50 crore?

Abhay Bajaj: No, very low double digits.

Prashant Biyani: Okay. And any informal talks with the government on fixed cost reimbursement, that revision is also pending for many years?

Abhay Bajaj: I have absolutely no idea what they are doing.

Prashant Biyani: Okay. And how much is the IMACID investing for Phos -Acid expansion?

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Abhay Bajaj: See, there are two parts to it. I think the first part of Phosphoric Acid plant is about \$40-\$45 million. And there is a S ulfuric acid plant which has to come after that. That is of the order of \$120-\$130 million.

Prashant Biyani : And as S ulfuric acid capacity will be how much, the expansion?

Abhay Bajaj: If I am not wrong, it is something of the order of 3, 200 tons per day, but I will have to check that.

Prashant Biyani : Alright.

Abhay Bajaj: It is a kind of a balancing capacity. There is a boosting up of the capacity, which is there already. I will have to check that. But if my memory is not wrong, it is about a million ton plus.

Prashant Biyani : How do you see the channel inventory in fertilizer for the industry?

Abhay Bajaj: For the industry, that I will ask Ashish to give a comment.

Ashish Srivastava: Prashant, we don't have access to the channel inventory data. But if you look at the industry stocks, it is down, each commodity stocks are down.

Prashant Biyani : But I mean, is it like the shortage would be such that whatever the industry sells in Q2 will just go off the shelf and hence the volume growth can be healthy for Q2 as well as Q3? Is it that kind of situation?

Ashish Srivastava: See, whatever inventories are available at port and plant will be sold in Q2. There is not much inventories in the pipeline. That is all I can say.

Abhay Bajaj: No, but I think, Prashant, what we are trying to get at, there is some amount of truth in that, that the demand is fairly strong. And supplies, both from self -production as well as imports, are running a little short. So therefore, there would be a kind of quick liquidation of it.

Prashant Biyani : Thank you so much for answering the questions .

Abhay Bajaj: Thank you.

Moderator : Thank you. Our next question comes from the line of Viraj from SIMPL. Please go ahead.

Viraj : Yes, just 2 questions. One is, I think in the past we talked about us evaluating different capital projects, be it in the Nitric acid value chain or other segments in agricultural input value chain. So, any color you can give, any update?

Abhay Bajaj: No, at the moment, our complete focus is on getting the Technical Ammonium Nitrate plant off the ground, commissioning it. There are additional variations in the product, let us say, like LDAN, for which certain type of engineering is being

progressed. But

that is technically ammonium nitrate only, only a different version of it. We have got three versions of it. Two versions of it are already there, HDAN, which is high density. And then there is MELT, Ammonium Nitrate MELT. There is a third category, which is called low density. For that, the engineering part is on. That is a significant addition to the portfolio of the Technical Ammonium Nitrate project.

Viraj : And on the crop protection, any color you can give, any network coverage now? And of the sales which we have now, say I think in FY '25, how much of the sales are outside our core network of urea and how much is through the urea channel?

Abhay Bajjal: We are quite a bit focused on our urea channel. Quite a bit of our people have in the channel width itself, still some way to go in our fertilizer channel itself. However, we are beginning to pick up stray one or two kinds of people who are purely from the CPC channel, not very big participants in the fertilizer channel. And they are beginning to get familiarised with our product portfolio. But it is a process which will take some time. The fertilizer channel itself is offering quite big opportunities in terms of growth as of now.

Viraj : I think we were in the past talking about talks with various MNC players for introduction of specialty molecules or 9(3) products ?

Ashish Srivastava: Yes, it is an ongoing process, Viraj. We keep adding molecules every year. This year, we have added, I think, 13. So it is a continuous process. We keep adding it in the portfolio.

Viraj : But of these are in the pipeline, are there any specialty molecules or 9(3) products?

Ashish Srivastava: Majority of them are in 9(3) .

Viraj : So, any color you can give over the partners here, the products which you launched?

Abhay Bajjal: Difficult to name them.

Ashish Srivastava: But looking at the existing portfolio, we always deal with some very good players, best in class.

Viraj : Thank you very much. Good luck.

Moderator : Thank you. Our next question comes from the line of Pawan Nahar, an Investor. Please go ahead.

Pawan Nahar : Thank you. Sir, my question is on Gadepan- III Urea unit. As I understand, we have an 8-year policy period in which we are entitled to incentives and thereafter, there will be changes. So, if you can explain what are these incentives and what will be the changes that come across in 2027? And later if you can quantify what would be the impact after that?

Abhay Bajjal: Mr. Nahar, the change that will come about, let me speak to you. We have not initiated any discussion, rather, the government has not initiated any discussion with us, what shape, form, it will take. That is something still, at the moment, not even on the first paper on the file. That is what I can say. The second part is as to what is currently the scheme. Currently, the scheme is a normative scheme. It says that for a certain dollar value of your gas, a certain amount shall be paid at the base level. And as the price increases from that, linearly an addition shall be made to the product price at the rate of something like \$20 per ton of urea for every \$1 increase in gas price. That is currently the policy . At a base of something like \$285, that is how it goes. Now, as far as the new policy is concerned, whether it will be still norm- based, whether it will be on unit cost basis, we do not know. As I have said to you, the first paper on the file has not yet been put.

Pawan Nahar : Yes. So basically, I get it that government has not initiated any policy discussion.

Still, we would be having some assumption, let us say, we are right now in a zone

where there is perhaps only us or maybe another Company which is getting those, getting the pricing. I will not use the word benefit. I will use the word pricing or a formula. Now, if after the 8 -year period, we go back

to the formula which is being

applied to the other Urea units, what would be the change for us? So, let us say , today our contribution is X dollars , how much would that become? Because see, I read that in the policy document, perhaps, if I got it right, the band for ROE is between 16%-20%. And I see that without leverage, the Company has been able to make good ROE, but there is no point in me getting in there because there are multiple things into that ROE or multiple businesses. So, if you can just simply tell me that if the policy were to transition to the existing units, formula, the existing units ?

Abhay Bajjal: The existing unit formula is a 12% return on network policy. Correct?

Pawan Nahar : Right.

Abhay Bajjal: So that is for the unit -based specific network . So it is a matter of, plus there are costs, etc., which have to be reimbursed. What kind of cost? How much cost will they reimburse? That is what I am saying. As of now, the current policy for 1 and 2 is a 12% return on network policy. But when they actually effectuate it, what exactly will be the number is something difficult to hazard a guess. Of course, there will be a reduction. I know what you are driving at. Question is, what is the extent of the reduction? And that is what we are not hazarding a guess at. The Company has its own estimations, which I am not going to share with you at the moment.

Pawan Nahar : Fine. Thank you.

Moderator : Thank you. Our next follow -up question comes from the line of Falguni Dutta from

Mansarovar Financials. Please go ahead.

Falguni Dutta : Yes. Sir, I just missed on what you said on that Rajasthan government incentive for the TAN plant. So, on that hard project cost of Rs. 1,100 crore, what benefit are we supposed to get in that part?

Abhay Bajjal: It is about for 10 years, let us say, about 2% of the cost per year or something like that.

Falguni Dutta : So, 2% of the project cost, which is Rs. 1,100 crore?

Abhay Bajjal: Yes.

Falguni Dutta : Over a period of 10 years?

Abhay Bajjal: Yes. That means every year, you will get 2%. It adds up to 20%.

Falguni Dutta : Thank you so much.

Moderator : Thank you. Our next question comes from the line of Ranjeet from IIFL Capital Services. Please go ahead.

Ranjeet : Yes. Sir, thanks for the opportunity. My first question, in the past we have shared our aspiration to grow global as well, probably tapping some assets for complex fertilizers so that we can use the IMACID. So, any update on that front?

Abhay Bajjal: I can only say that we are working on it. There are active discussions. We are in contact with the parties.

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Ranjeet : Sir, any outer timelines I would like to share for concluding this?

Abhay Bajjal: These are long drawn out and very complicated discussions. It has stop and start options in between. Sometimes you walk away from the table, sometimes you walk towards the table. You know how negotiations are. We don't put timelines. We only hope for the best results for us. It is like the India-US trade deal. People are walking off the table, they are coming back to the table, so that things happen all the time, right?

Ranjeet : But are you certain that the deal is going to happen?

Abhay Bajjal: I can't say. How can I say what the other party thinks, as long as there is a willingness to negotiate, something will happen.

Ranjeet : Sure. Thank you. Second question is on the TAN business. So, what are your thoughts on the demand supply dynamics, at least in India, and how soon you would like to see it getting ramped up? And lastly, the government has also opened up export quotas. So how do you see that as well? Thank you.

Abhay Bajjal: You see, TAN, the market is expected to have supply surplus for a short while. But if you see the overall environment, in fact, I was with the Coal India Ex-Chairman some time back. They are going from 800 million tons

of mined coal to 1.5 billion

tons by 2032, in the various quarries that they have. They are themselves putting up a coal-based ammonium nitrate plant, which they say will be fully absorbed, and they will still be short again on that quantity. So, in the longer run, with the infrastructure push that we have, and you know that the government has asked for 100 gigawatt of coal-based power capacity addition, out of which about 70-80 gigawatt has achieved FID. So, we can see that there will be growth. There may be intermittent phases in which the market could be a little long, and where there will be some pressures in terms of prices. But on a long-term basis, you see that so far we have grown at 5%-6% CAGR. It will grow at that kind of rate. I am quite optimistic that the demand supply situation is in the favor of the suppliers.

Ranjeet : On the export front, we would also like to tap those opportunity?

Abhay Bajjal: Export front is mostly, see, export mostly is LDAN. LDAN is a product that is mostly exported. And we are, as I told you, doing the engineering work for that. And as and when we have completed that, of course, that will be post the implementation of this particular phase of the project. That will be Phase-2 of the project. So, it will take us some time to get to that phase. There is a first basic Phase-1 that you do, and then you go to the next stage. We will definitely look into that. Look into that means we are already committed into doing that kind of project. And so far after that, then we will see how the market plays out.

Ranjeet : Sure, sir. Thank you.

Moderator : Thank you. Our next question comes from the line of Sandeep Mukherjee from SKP Securities Limited. Please go ahead.

Sandeep Mukherjee: Thanks for the follow-up question. Sir, can you throw some color on the CAPEX plans for this year apart from TAN?

Abhay Bajjal: We have some ongoing projects. I will ask Mr. Anuj Jain to tell us what is the extent of the normal replacement capital expenditure, etc., committed for this year?

Anuj Jain : Normal CAPEX plans are there. It is about Rs. 250 crore worth of projects we have.

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Abhay Bajjal: They are ongoing projects, phase-wise expenditures.

Sandeep Mukherjee: Thank you.

Moderator : Thank you. Our next follow -up question comes from the line of Amit A huja from H. G. Hawa. Please go ahead.

Amit Ahuja : Yes, thank you for the follow -up. My question was connected to the G2 Urea plant , like, has it resumed full operations? And what was the exact impact on volume and profitability? And connected to that, what will be the planned maintenance shutdown scheduled in FY '26?

Abhay Bajjal: See, G adepan-II is scheduled to go in March 26 for its annual turnaround since the second year of operation would have completed. As far as this loss of 55,000 odd tons is concerned, the total loss of production would have cost the Company in terms of contribution about Rs. 16 - Rs. 17 crore.

Amit Ahuja : Thank you, sir. That was my question. Thank you.

Moderator : Thank you. Our next question comes from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani : We are around the corner to commence our TAN plant and our cash generation will increase further. So, a ny plans of future capacity expansion except from the long pending discussion on complex fertili sers?

Abhay Bajjal: Mr. Biyani, do you know how much time it takes to, let us say, just for argument's sake, take to plant a Rs. 9,000 crore CAPEX , let us say, hypothetically speaking, on a plant like Gade pan-III?

Prashant Biyani : No, sir, I am not aware of the technicality.

Abhay Bajjal: Even a million ton or something of that sort, a NPK plant, there is so much to be done in terms of tie- ups and either in policy or in discussions with parties and so on. So, definitely the Company is not going to sit on its cash, going to do so

mething about it.

I cannot put a finger on the date and time for these things. That is all I can say.

Prashant Biyani : Except on the complex plant, whatever has been the discussion, outside of that, any other thing we want to pursue, and we are ?

Abhay Bajjal: There will be, i n the sense that we have two other three lines of business , seeds is there, speciality nutrients are there. All of them present either organic or inorganic opportunities. And not only that, there could be alliances or collaborations there as well. These are businesses that we need to grow and you can see the way that we are growing them. Sometimes the growth will come through alliances or supply arrangements. Sometimes , it will come through collaborations and joint manufacturing. Sometimes , it will come through sole manufacturing. What pathway will actually happen is in the future, depends on the market, depends on the grades that we are doing, the kin d of products that we are doing.

Prashant Biyani : In case of alliances, I would believe cash outlay will not be that high. Any decision?

Abhay Bajjal: We can go into the same, with the same partner, joint manufacturing.

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Prashant Biyani : Sir, you have been giving signals for quite a while. Anything more than that if you can share, that would be great.

Abhay Bajjal: See, if I had something to say and it was approved by the board, definitely I would say.

Prashant Biyani : Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Abhay Bajjal: Thank you all gentlemen for this very engaging one hour of conversation. I hope to have been able to answer your questions and if there are any follow -up questions individually, that can be, then Mr. Anuj Jain is there to take them. Thank you so much.

Ashish Srivastava: Thank you.

Moderator : Thank you. On behalf of Chambal Fertili sers and Chemicals Limited, that concludes this conference. Thank you all for joining us.

Please note: We have edited the language, and made minor corrections, without changing the content, wherever appropriate, to bring better clarity

Call: Nov 2025

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated October 28, 202 5 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Analysts / Investors conference call held on November 6 , 202 5, on the financial results of the Company for the quarter and six months ended September 30, 202 5. The said transcript is also available on the Company's website at – <https://investor.chambalfertilisers.com/EarningCallTranscripts.html>
You are requested to notify your constituents accordingly.

Thanking you,

Yours faithfully ,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: a/a

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Chambal Fertilisers and Chemicals Limited

Q2 and H1 FY '26 Earnings Conference Call

November 06, 20 25

Rishab Barar: Good day everyone and thank you for joining us on the Chambal Fertilisers and Chemicals Limited Q2 and H1 FY '26 earnings call. We have with us today, Mr. Abhay Baijal, Managing Director, Mr. Narinder Goyal , Business Head - Manufacturing Operations, Mr. Anuj Jain, CFO, Mr. Ashish K. Srivastava, Vice President - Sales and Marketing, Mr. Tridib Kumar Barat , Vice President - Legal and Company Secretary.

Before we get started, I would like to point out that some statements made or discussed in the conference call today may be forward -

looking in nature and must be viewed in conjunction with the risks the company faces. Chambal Fertilisers and Chemicals Limited does not

undertake to update them. The statement in this regard is available for reference in the presentation.

We will begin the call with opening remarks from Mr. Baijal. I would now like to invite Mr. Baijal to share his views. Over to you, sir.

Abhay Baijal: Good day to everybody and a warm welcome to all of you participating in this call. To quickly recap our numbers for the quarter under review

on a stand-alone basis, revenues amounted to Rs. 6,413 crore as against Rs. 4,346 crore of last year. And the Company achieved an EBITDA of Rs. 882 crore against Rs. 834 crore last year. Profit after tax of Rs. 602 crore as against Rs. 500 crore last year, which is a growth of 20%.

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For half-year FY '26 on a stand-alone basis, revenues amounted to Rs. 12,110 crore as against Rs. 9,279 crore of last year. The Company achieved an EBITDA of Rs. 1,812 crore as against Rs. 1,776 crore last year. Profit after tax of Rs. 1,240 crore as against Rs. 1,053 crore last year, which is a growth of 18%.

For the quarter production, urea volumes were at 8.81 lakh metric tons compared to 9.09 lakh metric tons last year. Urea sales for the year amounted to 9.34 lakh metric tons against 9.65 lakh metric tons in the

previous year. Urea volumes are lower mainly because of an unscheduled short stoppage of Gadepan- III plant. Subsidy receipts continue to be timely. As of September 30, 2025, our subsidy receipt was Rs. 6,347 crore in half -year. Our P & K fertilisers revenue increased due to higher volumes and prices. This has been driven by prudent and strategic sourcing strategy and enabling subsidy framework.

Traction in volume growth for our Crop Protection and Speciality Nutrient business continues to be strong at 28%. In quarter 2, the Crop Protection and Speciality Nutrient revenues stood at Rs. 374 crore as against Rs. 289 crore in the corresponding quarter, which is a growth of about 29% year -on-year. Contribution was at Rs. 114 crore in quarter 2 FY '26 compared to Rs. 83 crore in quarter 2 FY '25, which is a growth of 37%. During the quarter, we introduced six new products, which included three crop protection products and three new speciality nutrient products, including biological new variant of water - soluble formulation of our flagship Superrhiza. A total of 22 products were launched in HY1 FY '25-'26.

Today, our CPC portfolio comprises of 76 products of distinct chemistries covering fungicides, weedicides, insecticides, and are well

accepted by farmers across India and our territory. On the biological side, we have achieved a revenue growth of 80% as compared to last

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year. Half-year FY '25- '26 total revenue stood at Rs. 73 crore as against Rs. 40 crore of last year.

CFCL is now focusing increasingly on technologies which bring benefits in terms of improving farm yield, improve soil health, and provide better product outcomes. 'Uttam Pranaam', our bio- nano - phosphorus offering launched in June, is showing progress. During the quarter under review, we introduced hybrid variety of mustard seed. We also launched research variety of wheat seeds in quarter 3 FY26, which now complements our agri -input portfolio.

Our 'seed -to-harvest' program continues to contribute towards improving farmer awareness and showcase product efficacy. During the quarter, Chambal conducted over 1,820 farmer meetings, 421 demos, and has analysed about 38,000 soil samples. We have also significantly expanded use of social media to reach out to a large number of stakeholders.

Our technical ammonium nitrate plant is progressing in line with stated timelines. All requisite statutory approvals are in place. We have spent

about Rs. 1,052 crore till September '25, and we are likely to begin operations as planned in January '26. Our joint venture, IMACID, is performing well with better margins. The increase in the phosphoric acid capacity from 5 lakh metric tons to 7 lakh metric tons is expected

to be implemented by December '26, which will optimize its operations and increase profit ability further.

With that, we are happy to take your questions.

Moderator: Thank you very much. We will now begin the question- and-answer session. The first question is from Prashant Biyani from Elara Capital (India) Pvt. Ltd. Please go ahead.

Prashant Biyani: Good morning and congrats on a good set of results. Out of Rs. 953 crore of recovery on de- escalation on urea subsidy, which we have

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shared in your presentation, is there any element of it in P &L as well or everything is in balance sheet only?

Abhay Baijal: No. Let me tell you, we account for subsidy on the basis of, what is the income accrued to us, basis gas prices and other relevant factors. In case we have received extra or we have received less, income remains the same. This is only a cash flow event.

Prashant Biyani: Right. And based on the current NBS policy, what would be your outlook on your traded volume for H2?

Abhay Baijal: Well, we have placed quite a bit of material already. We have contracted post NBS for Rabi 2025 although you know that the announcement of the policy was pretty late. It was more or less at the fag mid end of the season because for us in Chambal, working in the northern part of the country, mostly our sales are done by mid of December. That means that our purchase and placement have to happen at least

a month earlier than what it should have been. Nevertheless, we had some stocks of both NPK, DAP, and we have contracted some more DAP, almost a lakh of tons. So, I think that we are well covered for our position in that situation.

Prashant Biyani: Right. So, when are we commencing the trial run for the TAN plant?

Abhay Bajjal: As I said that somewhere in December or so, we will start trial out the first part i.e. nitric acid and then proceed over to the next part, which is in January. So, more or less, we would meet the timelines.

Prashant Biyani: So, revenue recognition or sales should start from Q4 itself?

Abhay Bajjal: Yes. We are hopeful that by mid- February or so, our product should start hitting the market.

Prashant Biyani: And lastly, how much is the current cash on books?

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Anuj Jain: It's about R s. 700 crore .

Prashant Biyani: Okay, sir. Thank you so much for your time.

Moderator: Thank you. Next question is from Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed : Thank you for your opportunity. I want to understand regarding your P&K fertiliser side. P &K fertiliser has done well in this quarter with strong volumes and margins. So, how sustainable you are seeing in this performance , in the second half? And do you see any potential policy or pricing that could impact our momentum going forward?

Abhay Bajjal: Okay. So, as I said, our second half majorly is the third quarter only for P&K fertilisers . The sales in the fourth quarter are not to that extent because it is off -season for the agricultural production. Now, as far as the third quarter is concerned, we will carry forth the momentum forward. But as far as the policy is concerned, it is more a continuation

of what it was in the past. There are no new initiatives.

The advantage- disadvantage policy for DAP and T SP is carried forward . And the numbers that are there in terms of the per kg subsidy, they are more or less in line. They could have been better, but definitely the government has to also look at its fiscal position.

So, to that extent, we will have to see how we can market it better, place in the channel and so on. So, to that extent, I think we have more

or less covered for the third quarter. But beyond that, we will have to see how to stock now for the next season. The real activity in quarter four is to plan for the next season for quarter 1 FY'26-27.

Rehan Saiyyed : That's the reason that our receivables have increased in this quarter because of higher P &K flows.

Abhay Bajjal: Yes, receivables have increased, because naturally we have put in more sales. As you see from last year, our sales are higher by about

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Rs. 2,100 crore . Most of it is due to the P &K fertilisers. T hat's why the market receivables are higher and will get realised soon. Further, w e have to liquidate it through the channel, liquidate it through the POS, and then only we get eligible for subsidy.

And you'll be aware that under the advantage- disadvantage mechanism, the part subsidy of DAP has bee

n pretty high. It's close to

almost, R s. 50,000 -52,000 a ton, which is why there is a little accumulation, as you can see.

Moderator: Thank you. Next question is from Keshav Garg from Counter Cyclical Investments (P) Ltd. Please go ahead.

Keshav Garg: Sir, I'm new to the C ompany, so please pardon my ignorance. Sir, I'm trying to understand that our purchase of traded goods has increased to almost R s. 3,000 crore in this quarter versus less than R s. 700 crore a year before, same quarter . So are we doing some trading business?

And, is this pertaining to the complex fertili ser segment? And, sir, so are we manufacturing or are we trading? And, I can see the capital employed in this business has also jumped approximately 10 times in

the year -on-year. So, if you could just explain what exactly is happening over there.

Abhay Bajjal: Yes, we internationally source these fertili sers. We don't manufacture them. And then we market them through our channels. So because of the increased volume that we wanted to do, we purchased and then we sell. So, this is the stock that we will be carrying, or rather the

purchasing that we have done. And then we are selling this. So there is a cycle, the working capital cycle. So, which is why you would see the capital employed also having gone up.

Keshav Garg: Sir, so is this increase in capital employed to R s. 3,000 crore , sir, is it temporary and it will again come down to roughly R s. 1,000 crore or, it is here to stay at these levels?

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Abhay Baijal: No, it will come down because once we liquidate, it will first transfer from stock to book debt, and book debt to then convert back into cash.

So, this is the cash- to-cash cycle. And we will be liquidating most of our stocks by the end of December. And thereafter, there is maybe some outstanding on account of subsidy. That's all. But that will get trued up by the fourth quarter.

Keshav Garg: And in our Urea business, are there plans to expand capacity or we will use this division as a cash cow to increase our rest of the business?

Abhay Baijal: No, we are always looking to expand our offerings in all segments, subject to the fact that the government has a very clear -cut policy or different policy for Urea as compared to what is it in NBS policy for the NPKs.

So here we have to go through a process in which there is either a selection by the government for units who have applied for expansion

or there is a general policy wherein everybody has to qualify on certain parameters. As of now, there is talk that we know of in terms of the

government thinking in terms of doing a policy, but nothing on paper to suggest that policy is there.

The fundamentals in terms of demand and supply do point to an increasing requirement for production, at least three to four plants in

the country. But that is for the government to decide in its wisdom as to when they will bring the policy. For our part, as the opportunity presents itself, we shall be quite honestly evaluating it for doing this project.

Keshav Garg: Sir, regarding our TAN foray, is this plant expected to break even since the beginning or for the initial few quarters, some initial losses are expected until the capacity utilization reaches some decent level?

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Abhay Baijal: No, I hope not. We have competent people, running the plant. So production I don't think is an issue. Marketing, you know that this product balances with a lot of imported material that also comes in. So, actually the market is a little short of domestic supply now. We should be able to sell subject to our quality and consistency of performance.

So, I would suggest, I would rather be quite optimistic and think that yes, we should be able to start breaking even quickly enough. I

wouldn't hazard a guess how many quarters, but we should be able to break even quickly enough.

Keshav Garg: So for FY '27, can we r

each full capacity utilization at least for the second half of FY '27?

Abhay Baijal: I would hope so. I'm not pessimistic on that.

Keshav Garg: So at current realizations of TAN, what kind of revenue can we generate if we operate at full capacity utilization approximately? And, what kind of EBITDA margins can shareholders expect from this TAN?

Abhay Baijal: I will not give a number, but I can give you two pointers t hat you can calculate yourself . One is that the plant has a capacity of about 240,000 tons per year, which is a run rate of almost 20,000 tons per month. On top of that, if we do production and sales are equal and that we are able to sell what we produce, then if you see the current numbers and the cost of ammonia that we have, it's a healthy four - digit, five -digit margin in this business.

Keshav Garg: So what kind of IRR do you expect from this TAN investment that we have made approximately?

Abhay Baijal: Chambal always invests in businesses with a payback. B ut it's something like between six to seven years we want a payback.

Keshav Garg: Great, sir. Thank you very much.

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Moderator: Thank you. Next question is from Viraj Kacharia from Securities Investment Management Ltd. Please go ahead.

Viraj Kacharia: T hanks for the opportunity. Just continuing on the TAN part. Correct

me what you said is we should be able to see a scale- up to a full utilization in the year one itself, given how the current market conditions are playing out. Did I understand that correct ly?
Abhay Baijal: Yes.

Viraj Kacharia: And just an extension to this, if you see there are a few other players also looking to add their capacity into the market. And then there are some players like Deepak who are focusing more on value- added solutions to differentiate and capture a larger part of the wallet share.

How are we approaching in terms of the go -to market for TAN and what gives us the confidence that we will be able to scale this up much quicker?

Abhay Baijal: Our initial discussion with potential buyers is encouraging, that is number one. Number two - we have three product lines in this. One is nitric acid, WNA. Second is AN melt and third is HD AN, that is the high - density ammonium nitrate. In addition, the C ompany is always exploring other opportunities, let's say like low -density ammonium nitrate, which is LDAN, and which is a more kind of a premium product. So, we are continuously looking at doing the engineering work for that it's an adjunct of the same main plant. We are in discussions with technology suppliers to look at the other product lines or rather value-added lines in the TAN project. So, that work is ongoing.

Viraj Kacharia: So, will price be a play for us to scale up materially faster, given that we have the advantage of in- house captive ammonia feed?

Abhay Baijal: Since we have an ammonia- backed plant, definitely that is a major strategic advantage that we have. Second part is that the way this product is moving at the moment and the requirement and demand,
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the way it is linked to infrastructure and production of power, coal production and so on.

We are quite hopeful that we can look at expanding this activity further in the future. Of course, we have to establish our credentials in the first

round that we are now at the moment executing. And should we be able to do that successfully, I'm sure the board will get the confidence to do expansion activities in this, whether in this location or some other.

Viraj Kacharia: Okay, just one extension on this and I'll move to other segment. Y ou talked about LDAN and other value- added products which we are evaluating. So, if we decide to go ahead with the project, then typically the timeline would be similar to what we underwent with TAN, the existing three product spaces or the timeline would be much shorter.

Can you give some more perspective?

Abhay Baijal

: See, my impression by talking to the technology suppliers is that if we choose to do it at the same location, co- located, then definitely it has a much shorter timeframe than what the initial project took. And in fact, we have provisions made in terms of f oundations, etc . for the

establishment of the second line in terms of LDAN. So, that was planned during the project itself.

Viraj Kacharia: Okay, got it. Now, in the Urea business, you talked about unscheduled stoppages from G3, but was that the only reason for the drop- in

spreads and volumes or is there any other element in, say, the energy norms for G1, G2 or anything on G3?

Abhay Baijal: No, G3 at the moment is running its course. The policy is not yet over its policy period, so there is no question of energy norms. The incident

that you have referred to, and we have referred to is basically at the fag-end of the production process , there is a pr illing activity that happens. This is more a kind of a material handling issue, it has to be then swept into a conveyor and then taken out.

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So, it's a large kind of structure about 24- 25 meters in which this scrapper arm moves and got broken. So, we had to stop the plant for some time and to repair it. Now, that is one part of the story. The second part of the story is that you would have noticed unseasonal rains happening during the September quarter and that had some disruptions in distribution and supply. So, sales were a little bit affected, but that we have made up in the month of October itself.

Viraj Kacharia: Okay. Any update on the energy norms for G1, G2, what kind of an impact we see?

Abhay Baijal: Well, I think last time we have told you it is low double digit number per quarter and I think that continues.

Moderator: Thank you. The next question is from Riju Dalui from Antique Stock Broking. Please go ahead.

Riju Dalui: Hi, sir. Thanks for the opportunity. So, my question regarding the agrochemical business. So, during the quarter, there was an unseasonal rainfall and due to which most of the companies have registered a negative kind of a growth. And in that context, we have seen a strong year-on-year growth for the agrochemical. So, how we have been able to generate that kind of a strong double-digit growth in the agrochemical portfolio?

Abhay Bajjal: I will leave that question to Mr. Ashish Srivastava our Vice President - Sales & Marketing.

Ashish Srivastava: We have a different strategy of placements and sales. So, can't reveal much on that, but we are aligned to taking stocks of the inventory of competition as well as ours while placing the product. So, might be that gives us a little bit edge. I can't go beyond that.

Riju Dalui: Yes, sir. Correct. So, that I can understand. But as per our understanding and as per the others, I think there was a limited window

in terms of paying off agrochemical by the farmers due to very heavy

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rainfall. And in that context, we have shown a significant growth. So, just want to understand like it was driven by the geography expansion or like new geography where we have introduced our products. How big the growth was?

Ashish Srivastava: Yes. So, basically during the extended monsoon season, in both paddy as well as cotton crops, farmer had to skip some sprays because they were not able to go to the field. But there were pockets where the rains were slightly earlier or were slightly late. So, it was not pan-india geography where the sprays didn't happen. So, you're able to cash on the opportunities in the locations by shifting stocks. So, that's the reason.

Riju Dalui: And second question in terms of the biological portfolio. So, the biological portfolio, is it 100% biological or there is bio stimulus as well?

Ashish Srivastava: No, it's a 100% biological portfolio. We have still not included bio stimulants in our portfolio. We are in the process of doing that, but

that

again would be through a biological route. So, when we say biological, it would be biological.

Riju Dalui: Understood, sir. And in terms of the DAP supply for the Rabi season in India. If you could indicate how much DAP imports or how much

DAP availability for the Rabi season vis-à-vis last year Rabi season?

Ashish Srivastava: If you look at the imports during the first half i.e. Kharif, the DAP imports in the country were 106% higher than the last Kharif. And NPK's imports were higher by 5% over the last period.

Riju Dalui: Understood, sir. Thanks for clarifying all the questions.

Moderator: Thank you. Next question is from Meet Mehta from Prasun Exponentials. Please go ahead.

Meet Mehta: I just wanted to ask how the gross margin has changed for DAP business from quarter-on-quarter or year-on-year?

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Abhay Bajjal: For the NPK business, the margins depend upon purchases and of course the sales pricing that happens. We have seen a situation where the procurement prices have generally risen on account of sympathy with DAP. You recall the DAP was at around \$650 levels to begin with at the beginning of the year. I'm talking calendar year. And it has gone up to a level of \$850, that means almost a \$200 price swing.

In sympathy, even the NPKs and other grades also went up. So, naturally, the extent of what we can pass on to the farmer is limited.

Going forward, for those who import and provide companies as

Chambal itself, there will be a compression in margin. But as far as the volumes are concerned, I'm happy to tell you that so far the tonnages

that we have done, we would be touching almost 1.1 million tons or so this year, which is quite a growth from last year, which is almost from

5.5 lakh tons to almost 11 lakh tons. So, that means that Chambal is back in the format that it used to be, being enabled by a policy which

we have appreciated from the government side. So, that being the case, of course, these kind of pluses and minuses will continue, but as a business, this is back to its volume levels.

Meet Mehta: Okay. Thank you.

Moderator: Thank you. Next question is from Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal: Yes, sir. Thank you so much. So, you mentioned the urea volumes were lower because of some

maintenance issues. Can we make these volumes in HY2 because you anyway have some buffer capacity that you can use or that would not be possible?

Abhay Bajjal: No, we would largely make it up between the three plants except for the Gadepan 2 plant which will go into turnaround by February.

Between Gadepan 1 and 3, we would make up what we lost in the past.

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Dhruv Muchhal: Okay. So, particularly on Gadepan 3, what you lost, for example, because of maintenance, that you can offset it by the production in HY2. So, the overall number at least from Gadepan 3 remains broadly the same on an annual basis.

Abhay Bajjal: So, broadly, yes, it will be a minor, say, 7000- 8,000 tons, negative kind of number.

Dhruv Muchhal: Okay. And secondly, on the DAP subsidy, earlier the government had an additional subsidy until at least the last revision. Does that still remain or just wanted to understand on DAP? I think it was Rs. 3500?

Abhay Bajjal: DAP is now a kind of a 4% margin on MRP business, which means that the government is saying that you bring it at any price. But we will

recognize that price through a certain other mechanism other than NBS, that is an overlay on the NBS. There is a basic NBS price. On top of that, there is some special package of Rs. 3,500.

And then there is an advantage- disadvantage clause, which means that if you have purchased beyond a number, then the difference between that number and your bill of lading price is then reimbursed separately. So, it means that you are now operating in a fixed MRP floating subsidy regime, akin to what is happening in Urea.

Dhruv Muchhal: So, it is effectively a fixed spread on your cost that you get, irrespective. For example, somebody else who is importing the DAP at a different price. Everyone is reimbursed at its own cost, not at different costs?

Abhay Bajjal: But Dhruv, the government does not leave it that simple. You know the fact of the matter is, if you don't show efficiency in purchase, you will

get a rap on the knuckles. So, Chambal is sensitive to the fact that we should not allow this kind of a put option to be exploited by the suppliers elsewhere. And Chambal has been very careful in purchasing, how and where and what time it has purchased. In fact, in

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the last two deals that we did, we were at the lowest number for the period of a fortnightly period. Of course, this is a fluctuating market, but we have brought at the lowest levels that could be possible. It shows that we negotiated.

Dhruv Muchhal: Right. And, sir, last question. You were mentioning about there could be a shortage in domestic urea availability in a few years. And there is probably some discussion of a policy. So, for domestic, you know, self-sufficiency that way. So, I am just trying to understand, what is the extent of deficit that you see over the next few years? And what stage are we in this policymaking decision?

Abhay Bajjal: So, I will just tell you like this. See, this year, we are expected to do 400 lakh metric tons consumption and the production in the domestic side is close to 308 to 310 lakh metric tons. So, that leaves a shortfall of about 90 lakh metric tons. The growth pattern that we are seeing

because of intensive cropping, application in maize, hybrid maize and so on, for ethanol purposes and so on. We are seeing a regular 3% kind of growth, 2.5% to 3% kind of growth. And that means that we should compound. If you compound it for three years, we are talking

somewhere close to 425 lakh metric tons or 430 lakh metric tons by 2029 or 2030. That would leave almost 1 crore 20 lakh metric tons

shortfall, if there are no new plants. Plus, one of the things about the urea dynamics is that most of it, almost 55% goes in Rabi.

And Rabi is a short season, season of almost 93- 94 days. So, the drawdown of stocks is very high in Rabi and at a very fast speed. So, it will touch close to 2.5 lakh metric tons per day. Now, nowhere are we there in terms of continuous supply in terms of production.

Therefore, the more you keep the gap open, the supply disruptions in Rabi become more difficult to manage. I am sure that the government is quite cognizant of this.

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Apart from the fact to locate almost 13 million tons of material, then buying it, then bring it to place and then the impact on international prices and the subsidy outgo. These factors do weigh heavily in the minds of our policy planners. And there is, therefore, a very serious case for allowing further production in India through the policy, which I'm sure they must be cogitating and thinking about.

And as far as I know that there have been some discussions. But when and how they will come to this situation, I do not know. But should they do so, Chambal is willing to look at the policy and think about doing another plant.

Dhruv Muchhal: And will there be a scope to expand in the existing facility? So, probably Gadepan- 4 or it will be a new, it will have to be, if, for

example, if it happens, it will have to be a new plant?

Abhay Bajjal: No, we have capacity in the current location.

Dhruv Muchhal: Just trying to also understand the degree of capacity that you can expand. I mean, quantum of capacity that you can expand in the existing facility.

Abhay Bajjal: No, I think the plant sizes are standard. It will be like the Gadepan -3 plant.

Dhruv Muchhal: Okay. Got it. Sure, sir. Great. Thank you so much and all the best.

Moderator: Thank you. Next question is from Suyash from MBAPL. Please go

ahead.

Suyash: Congratulations on the good set of results. As you can see, we have grown on manufacturing quarter on quarter w.r.t. results. But still, comparing to the last 6 months, this kind of result is still a deficit. So, is this due to some internal working going on? Or what is the reason for not matching the capacity?

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Abhay Bajjal: Are you talking about urea production or something else?

Suyash: The manufacturing operations.

Abhay Bajjal: Yes. In the manufacturing operations, in the 6 months, as you would have noticed, if you went to the past quarters con call, we had about 55,000 tons or so shortfall in Gadepan- 2 plant because of some limitations in the syngas compressor. And thereafter, we have had this in this quarter issue in terms of Gadepan- 3 plant for about a week, which lost us some 17,000- 18,000 tons. So, almost 60,000- 70,000 tons is the shortfall.

So, we are clear. We are not happy about it, obviously. But sometimes these things do happen in the plants. So, as far as the next part of the

year is concerned, I am assured by Mr. Goyal, who is our Head of Manufacturing, that these kinds of instances are not likely to happen.

Suyash: Hoping the best for that. Secondly, moving on the complex fertili ser part, as the industry is seeing a shift towards P &K fertilisers, specifically the NPK fertilisers. So, the increase from the last financial year, there is almost 4 times increase in the half yearly fertili ser sale.

Is it only to capture the momentum of the market, or is Chambal seeing forward to have a shift in NPK fertili ser also?

Abhay Bajjal: No, NPK fertilisers is a very important component of the agri -input and nutrient market. And since we want to be there with all product offerings, all the grades, all the types, if you see our strategy, we are there in nutrit ion, which are fertilisers. So, in fertili sers, we have to be on all grades, which is not only urea and nitrogenous, but also the NPKs. We are there in potash, i.e. straight fertili ser as well. Then you see that in terms of the speciality nutrient, which is sulphur, zinc, manganese, and other micronutrients which are there, plus water -soluble fertili sers, we are there as well. We went into the biological segments. We have

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gone into the crop protection segment. We are going into the seed segment. So, we are complementing our entire offering in the agri -input space. So, to that extent, being in NPK fertili sers is definitely a very important thing for us to do, and we are totally committed to it.

Suyash: No, my question was, is it temporary, or are we looking forward to seeing more of this kind?

Ashish Srivastava: Chambal was primarily in a DAP marketing area, and then over a period of time, we have expanded to geographies which consume a

lot of NPKs, like Maharashtra and West Bengal.

So, the additional volumes of NPKs would definitely come from these geographies, and also the northern geography, as some farmers have

started using some NPKs in place of DAP. So, it's not a temporary thing. I think it's going to continue this way.

Moderator: Thank you. Next question is from Ankur Jain, who is an Individual Investor. Please go ahead.

Ankur Jain: We received a GST notice in September. Can you please give us more detail on it?

Anuj Jain: This GST notice is basically, on the subsidy component, an officer in Bihar has levied the GST. Subsidy is exempted from the GST as per the law.

So, we are initiating the action through rectification application, and of course, we are expecting positive results. It has come recently, so we are filing the rectification application against that.

Abhay Bajjal: I'll just add to Mr. Jain. The law is very clear that GST is applicable on the maximum retail price printed on the bag. And it has nothing to do with the subsidy.

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And, in fact, one of the reasons why the entire in

dustrial is up in arms

with this arrangement is that it results in accumulation of GST credit in the books of mostly the importers and sellers. And this is a continuous

problem, and the entire finance ministry seized of the matter at the

moment. So, this part that the officer has applied is absolutely frivolous, I would say, in terms of how the notice has been given. It will

not stand in the appeal/ court.

Ankur Jain: Understood. And then, so, did we notice, like, did we inform the ministry that it's an industry-wide problem, how they treat the GST on

the subsidy or not?

Abhay Bajjal: Individual cases the ministry does not respond to. It is left to us to

agitate it in the court of law. But as far as the accumulation of GST in the books of many companies, that is a continuing issue which both

the Department of Fertilizer and the Department of Revenue are well seized of, and maybe a solution shall come.

Abhay Bajjal: So, there is no bearing on the results either now or in the future.

Ankur Jain: Okay. My second question is regarding new capex. I know previous participants, they asked about if we want to expand into urea, which definitely depends on the policy. But because since we are generating significant amount of cash, do we have a plan for next 1 or 2 years to deploy it?

Abhay Bajjal: Yes, definitely. Apart from the remnant of what we will expand in TAN, which is the balance amount that we have to spend. Then the second part is we are continuously going into capital expenditure for energy

efficiency projects or replacement of items and so on. That is a kind of a routine matter.

Urea, we have said, is dependent on policy. But there are other options that we are looking for, and I think we have been discussing this for

the last three or four quarters. We are reaching somewhere some

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conclusion. I think we are developing a certain kind of a plan. And should the Board approve it, therefore then maybe in FY26, '27 kind of time frame, we could have something on that.

Ankur Jain: Okay. Understood. Because we are generating significant amount of cash. So, we need to have like a, I'm sure you guys are thinking it, but

we need to think about long-term, like three years to five years, seven years plan. Because if we have Rs. 2,000- 3000 crore each year, then we should be just ready to deploy it, right?

Abhay Bajjal: Yes, Mr. Jain. We are very conscious of this and we are developing project lines which are aligned with our business and which will give a certain kind of return. See, we have got two guardrails in this. One, that we have to be in the allied lines of business. And secondly, we have to have a certain return. So we have to meet these two stringent conditions to get it passed from the Board and that takes some time in developing.

Moderator: Thankyou. Next question is from Sandeep Mukherjee from SKP Securities. Please go ahead.

Sandeep Mukherjee: Yes, what is the split of production volume between G1, G2 and G3 for the quarter?

Anuj Jain: For Gadepan- 3 Plant , quarter two production is about 3.3 lakh tons.

Sandeep Mukherjee: And for G1 and G2 Plants ?

Anuj Jain: For G1 and G2 Plant , quarter two production is 5.5 lakh tons.

Sandeep Mukherjee: Okay, and the gas cost for the quarter?

Anuj Jain: Gas cost for the quarter was on NCV basis about \$15 per MMBtu .

Sandeep Mukherjee: Okay. And my next question is, like, I was reading a recent article, government has brought the ammonium sulphate under subsidy and it is pitching as an alternative. What is your take on this?

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Ashish Srivastava: Sandeep, almost 600,000 tons of ammonium sulphate is sold in India, and almost 30%, 35% market share is in Gujarat alone majorly on groundnut and tobacco crop. We have an establishment there. So, we are looking at that product as a portfolio in coming Kharif.

Moderator: Thankyou. Next question is from Viraj Kacharia

from Securities

Investment Management Ltd.

Viraj Kacharia: Just couple of questions on Crop Protection and Specialty Nutrients .

Can you give some perspective, what is the share of revenue from new

products, say, products introduced in last two- three years? And if I

have to understand, say, the top five or top 10 products, what will be their revenue contribution?

Ashish Srivastava: Viraj, if you look at the new products launched in the last three - four years, so they are contributing to volumes roughly around 30%.

Viraj Kacharia: Okay. And the top five, top 10 products?

Ashish Srivastava: The top five products would be giving us a revenue of around 25% .

Viraj Kacharia: So the composition of top five or top 10, is it largely remain similar, say three years back or four years or there is a lot of churn?

Ashish Srivastava: No. There has been changes happening now in last three, four years because of new chemistry. Like a new wheat weedicide is giving us good volumes or some good fungicides are also, giving us good volume. So there is a shift . It is not standard now.

Viraj Kacharia: Okay. And if I have to just understand it as a market coverage, say for core regions where we typically have been selling urea and other

fertilisers and new territories, how would that coverage be for the Crop Protection and Specialty Nutrients?

Ashish Srivastava: Crop Protection and Specialty Nutrients, we are there in almost 80% of the geography now. In terms of the Chambal volumes, majorly it is

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coming from the northern territories. But we have made significant inroads in Maharashtra this year.

Viraj Kacharia: Okay. So if I have to look at Crop Protection or Specialty Nutrients, of the total business, would it be right to say 80% is coming from core territories and 20% from new regions or 80% is the coverage?

Ashish Srivastava: 85% from core territories and 15% from new regions would be better.

Viraj Kacharia: Okay. Got it. And scale of seed business in H Y1?

Ashish Srivastava: Seed business in H Y1? You want revenue?

Viraj Kacharia: Yes.

Ashish Srivastava: It is just 1% of the total traded products volumes. In terms of value, it is around Rs. 8 crore. We have just introduced seeds .

Viraj Kacharia: Okay. See, in Crop Protection, the margins we have owned is one of the highest ever. It is close to 30% average margins. And this is even

remarkable considering it is a traded business at the end of the day. What has driven this high margin and how should one really look at

sustainability of margins? Because in the past, we have always talked about 18% to 20% operating margins as a sustainable margin in Crop

Protection. So , the drivers of this margin and how should we understand sustainability?

Abhay Bajjal: Yes, Viraj, I think we have been talking about this for the last three or four quarters. And the reason for this is two or threefold. One is a placement strategy. And also now that we have started introducing new products. I mentioned 22 new introductions. That freshness that we bring to the portfolio and the churn that we bring, that is one.

Second is , that keeps the engagement with the farmer that we are increasing through our various outreach programs. The trust that they have in the brand Uttam, what we have done, worked for the last so

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many years as far as our urea and other businesses. This overall kind

of marketing mix, if I could put it this way, that has made a lot of difference.

And now the trade with whom we work very closely is quite enthused. It is no longer an experiment for them when they used to work with us

about five or six years back. Now this is something that they look forward to. They look forward to what the new products we are bringing in, what are the new solutions we are getting in.

And secondly, the price points and where we are putting it. So, it is not the most expensive and it is not

the cheapest. It is somewhere very well positioned in terms of what the farmer will prefer and give some premium to, in terms of what the brand is and what the connection with the Company overall is. So those factors are quite unique to Chambal in this particular business.

And also, please note that when we say that we are giving a complete solution, a farming solution in terms of nutrients and in terms of these water solubles, all the other elements are also there, so they feel very comfortable when we deal with the Uttam brand. So, this is one of the things that I can make out. Marketing is a complex exercise. You don't know what clicks when. But I think more or less we have got the chemistry in this right. That's all I can say.

Moderator: Thankyou. Next question is from Amit Agicha from HG Hawa & Co .

Amit Agicha: Thank you for the opportunity and congratulations for the good set of numbers. My question is connected to the number of employees that currently the Company have and what is the expected hiring over the next one or two years?

Abhay Baijal: Number of employees is about 1,100 plus, give or take. And going forward, it will depend on what kind of activities we do. If we go for

other locations, new expansions and so on, then definitely the number

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will increase. And as the Company is growing, definitely the number of employees is expanding on the basis of the actions or the business lines that we are developing.

Amit Agicha: And, would it be possible for you to give the number, like how much of the sales come directly through the Digital Farmer Connect or the size of the network as well?

Ashish Srivastava: We are not selling anything on the digital platform . Everything is through the channel.

Abhay Baijal: What we have is an app and a system by which they connect with us.

They get educated about our products, the new forthcoming products, the usage methodology for the old products or whatever products we have online. And secondly, a kind of a referral mechanism or a mechanism by which they can ask questions and get answers on to some specific problems. This app was launched, I would say, about two months back and we have something like 80,000 to 90,000 followers and subscribers. So, we do disseminate through LinkedIn, Meta and YouTube and so on. So , it's growing and I think we have a very stiff target in terms of having 3 to 5 lakh subscribers on this, which we should achieve by next year.

Amit Agicha: Sir, is it possible to give the size of the dealer network?

Ashish Srivastava: We are close to 5,000 dealers and if you talk about the retail outlets, in private sector , close to around 40,000 retail outlets sell our fertilizers in private trade and equivalent amount of sell through cooperatives.

This is for fertilisers.

Abhay Baijal: All products.

Ashish Srivastava: All products.

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Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to the management team for closing comments.

Abhay Baijal: Thank you. I think it was a very engaging conversation and penetrating questions. I hope we have been able to answer to the satisfaction of our investment community and we look forward to more such events and to the next quarter's results. Thank you very much.

Moderator: Thank you very much. On behalf of Chambal Fertilisers and Chemicals that concludes this conference. Thank you for joining us.

Please note: We have edited the language, and made minor corrections, without changing the content, wherever appropriate, to bring better clarity

Call: Mar 2026

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated February 05, 2026 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Analysts / Investors conference call held on February 11, 2026, on the financial results of the Company for the quarter and nine months ended December 31, 2025 . The said transcript is also available on the Company's website at - <https://investor.chambalfertilisers.com/EarningCallTranscripts.html>
You are requested to notify your constituents accordingly.

Thanking you,

Yours faithfully,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: a/a

Page 1 of 15 Chambal Fertilisers and Chemicals Limited

Q3 and 9M FY '26 Earnings Conference Call

February 11, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '26 Earnings Conference Call of Chambal Fertilisers and Chemicals Limited.

As a reminder, all participant lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to M s. Purvangi Jain from Valorem Advisors for opening remarks. Thank you, and over to you.

Purvangi Jain: Thank you. Good afternoon, everyone, and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Chambal Fertilisers and Chemicals Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the 3rd Quarter and 9 months ended of the Financial Year 2026.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by, and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to apprise about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management of Chambal Fertilisers, participating with us in today's Earnings Call , and hand it over to them for their opening remarks. We have with us Mr. Abhay Baijal , Managing Director, Mr. Narinder Goyal , Business Head - Manufacturing Operations, Mr. Anuj Jain , Chief Financial Officer, Mr. Ashish Srivastava , Vice President - Sales & Marketing , and Mr. Tridib Barat , Vice President - Legal and Company Secretary .

Without any delay, I request Mr. Abhay Baijal to start with his opening remarks. Thank you, and over to you, sir.

Abhay Baijal: Thank you, Purvangi. Good afternoon, everyone, and thank you for join

ing us in this conference

call to discuss our financial performance during the 3rd Quarter and 9 months ended Fiscal 2026.

Page 2 of 15 Chambal Fertilizers continue to play a critical role in supporting India's agricultural ecosystem as India's largest private sector urea producer contributing close to 10% of domestic supply, not only that, we are almost 3% of the crop protection chemicals and specialty nutrients business in the country. In NPK, our share is almost 5%, DAP is also 5%, MOP is about 6%. Therefore, we are an important contributor to country's agricultural outputs.

The Union Budget has allocated about INR 1.71 lakh crore to the Department of Fertilizers this year, providing long-term visibility and stability to the sector.

From an agronomic standpoint, conditions during the last quarter of the Rabi season were broadly favorable. India received 11% higher than normal rainfall during October to December 2025, with strong October rains offsetting deficits later in the season. Key northern states such as Rajasthan, Uttar Pradesh, Haryana, Punjab, witnessed favorable conditions supporting early sowing.

As a result, Rabi sowing increased by 2.8% year-on-year to 652.3 lakh hectares as of January '26. Wheat acreage reached a record level alongside healthy growth in pulses and oilseeds. Northern states such as Rajasthan, Uttar Pradesh, Haryana, and Punjab saw higher sowing of wheat and mustard, supported by favorable rainfall conditions during October.

For Chambal, this translated into a stable outlook, with urea continuing to anchor volumes and cash flows and DAP and NPK providing diversification and growth, positioning us well to benefit from both steady base demand and gradual shift towards balanced fertilization.

With this backdrop, let me now move to our operational performance for the quarter under review. During the quarter and nine months period, our crop protection chemicals and specialty nutrients business, alongside biologicals, continued to demonstrate strong momentum, with sustained growth in both revenue and margins.

On a nine-month basis, the contribution from the segment grew by 30% year-on-year, reflecting improving scale, product mix, and execution. In the third quarter, we introduced five new products across biopesticides, bio-fungicides and insecticides, further strengthening our differentiated portfolio.

Looking ahead, our pipeline remains healthy, with 12 new CPC products and one new specialty nutrient product lined up for launch in FY '27, supporting our growth ambitions.

On biologicals portfolio, I am happy to report that we continue to perform strongly, with volumes increasing by 31% and revenues growing by almost 58% year-on-year over the nine-month period. Encouragingly, Uttam Pranaam, our bio-nano-phosphorus product launched last year, is witnessing strong market acceptance and better product outcomes, with volumes and revenue up almost 250% year-on-year.

We are doing well in this area and actively working on expanding our biological offerings, particularly in the fungicides and nematicides, which are planned for launch over the course of the next financial year. I am also happy to report that in terms of biologicals, we are almost 6% of the market as of today.

Page 3 of 15 Chambal Fertilizers and TERI, The Energy and Resources Institute, entered into an agreement for research for advanced and sustainable agricultural solutions. This is significant in the backdrop of food security challenges due to an increasing population.

TERI, as you may know, is a pioneer institution in the area, and will be doing research under the Center of Excellence to develop products where IP rights are jointly owned by CFCL and TERI, and Chambal will have exclusive commercial rights globally on the product. A dedicated lab is operational now, and the products are expected to launch from FY 27-28 onwards. Based on product efficacy, we will also explore the export market for these products.

In the seed segment, we have launched research variety of Seeds Wheat, and early results have been encouraging, giving us confidence as we continue to build capabilities in this segment.

In the bulk fertilizers category, P&K fertilizers delivered good performance, supported by timely and prudent procurement strategy and effective placement during this season. Further, we have sourced adequate volumes of P&K fertilizer, ensuring preparedness for the Kharif season. The demand for phosphatic fertilizers continues to grow, and we continue exploring and evaluating capacity in India or abroad.

On the marketing and farmer engagement front, we continue to strengthen our digital outreach. Our Chambal Uttam Krishak Mitra app crossed about 100,000 downloads, and we have launched a quarterly digital marketing newsletter.

Our social media campaigns around National Farmer Day and World Soil Day further enhanced Farmer Connect, and our YouTube channel received YouTube Creator Award and the Silver Play Button, reflecting growing engagement.

Lastly, with respect to our Technical Ammonium Nitrate project, the progress is ongoing, with EPC work largely completed at 92% as of 3rd Quarter, and construction activities are in full swing. The date of completion is scheduled for April 30, 2026. As at the end of 3rd Quarter, we have incurred a project expenditure of INR 1,184 crores out of the total estimated cost of INR 1,645 crores. TAN is a very important focus area for CFCL, and vertical and horizontal expansions are being actively explored.

Our joint venture in IMACID is performing well. The increase in P2O5 production capacity from

5 lakh metric tons to 7 lakh metric tons is expected to be implemented by December 2026. Further, the sulfuric acid capacity is also being increased, which is expected to be implemented in a year ahead in Financial Year ' 27. This will optimize its operations and increase the profitability further.

Overall, our operational performance during the quarter reflects steady progress across core and value -added segments, continued portfolio expansion and disciplined execution, positioning us well for the coming periods.

Finally, let me walk you through some of the detailed financial performance for the period under review.

Page 4 of 15 On standalone basis, for the 3rd Quarter of Financial Year ' 26, revenue from operations grew 20%, to touch INR 5,898 crores.

EBITDA for the quarter was INR 821 crore s, up 6%, despite taking a hit of INR 31 crore s on account of labor co des, with EBITDA margins at 13.92%.

Profit after tax was INR 565 crore s, up 12% year -on-year, with PAT margins of 9.57%.

For the nine months ended Financial Year 2026, standalone revenue from operations increased 27% year -on-year to INR 18,009 crore s.

EBITDA rose 4% year -on-year to INR 2,424 crore s, with EBITDA margins at 13.46%.

Profit after tax for the period grew 16% year -on-year to INR 1,804 crore s, with PAT margins at 10.02%. I will again remind you that this is after taking a hit on account of labor co des of the extent of INR 30 crores this quarter.

On receivables and subsidy flows, during the quarter, we received subsidy of INR 3,880 crores, compared to INR 3,349 crores in the corresponding quarter last year. For the nine -month period, subsidy receipts stood at approximately INR 10,228 crores, broadly in line with INR 10,353 crores received in the same period last year. As of 31st December ' 25, total receivables stood at around INR 2,346 crores, comprising market debtors of INR 367 crores and subsidy receivables of INR 1,979 crores.

In terms of segmental performance for the quarter, our urea segment delivered stable performance. Urea revenues in the quarter stood at INR 3,708 crores, which remained broadly stable year -on-year. EBIT margins remained broadly st

able at around 17.28%. Urea sales

volumes were largely flat at 9.83 lakh metric tons in the quarter, compared to 9.88 lakh metric tons in the same quarter last year.

In the complex fertilizer segment, revenues increased significantly to approximately INR 1,850 crores in the quarter, reflecting year -on-year increase of 81%. Sales volume also rose to 2.94 lakh metric tons, compared to 2.13 lakh metric tons last year, reflecting strong seasonal demand, and EBIT margins improved modestly to around 1.4%, supported by better operating leverage.

The CPC , Specialty Nutrients and Seed segment continued to deliver robust year -on-year growth. Revenues increased 33% year -on-year to about INR 340 crores in the quarter, representing strong growth driven by portfolio expansion and improved penetration. EBIT margins remained healthy at around 22.8%.

On a year -to-date basis, the Urea segment delivered stable performance with revenues around INR 10,134 crores on nine months FY '26, while EBIT margins remained steady at around 16.3%.

Urea sales volumes were largely flat at 27.3 lakh metric tons, respectively.

The complex fertilizer segment recorded strong growth, with revenues increasing sharply to approximately INR 6,702 crores in nine months FY ' 26, a year -on-year increase of 180%. Sales Page 5 of 15 volume increased to 11.7 lakh metric tons, led by strong growth in DAP, TSP and NPK. EBIT margins moderated to around 4.4% from 6.87%.

The CPC Specialty Nutrients and Seed segment continued its healthy momentum, with revenues growing to about INR 1,172 crores from INR 887 crores, and EBIT margins improved slightly to 23.69%.

Overall, the year -to-year performance reflects stable execution in urea , strong growth in complex fertilizers, and continued momentum in value -added businesses, reinforcing the strength and diversification of our operating portfolio.

With this, I would like to hand it back to the moderator and open for question -and-answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Sir, when are we going to start the trial run for the TAN plant?

Abhay Bajjal: We are just at the cusp. In fact, we had started the steam blowing and other pre -commissioning activities. So , that part is for the WNA plant and for the ANS and Melt, we should be doing that shortly thereafter.

Prashant Biyani: But the end product should be out by, say, March onwards ?

Abhay Bajjal: April.

Prashant Biyani: And s ir, what would be your expectation from the upcoming NBS policy?

Abhay Bajjal: NBS policy, we believe, will be more or less a continuation from the past, wherein I do not

expect the government to go opening up the DAP segment, but as you know, the other parts of the NPKs are open in terms of pricings. I would believe that will be more or less the same, what they will continue to go forward.

Already they have a mechanism, and with that mechanism, DAP, has worked so far, although there are now increasing difficulties in terms of working capital management on account of blockage of GST and all that. But I think the government is seized of the problem, and they will come with a resolution more or less a continuation.

Prashant Biyani: Sir, for our urea plant, there was some unscheduled stoppage in Q2 as well, if I recollect it.

Abhay Bajaj: Q2, yes. Q3, we had a minor stripper leak for three days, that's all in Gadepan -I plant, but otherwise, it has been a steady quarter in terms of production.

Prashant Biyani: And there will be further maintenance shutdown in Q4 as well?

Abhay Bajaj: Yes, there will be a maintenance shutdown for Gadepan -II plant, effective 20th February, which will take about 30-35 days.

Page 6 of 15 Prashant Biyani: Sir, traded business

, EBITDA per ton was around INR 900, I believe, this time, while it has improved year-on-year, but on an absolute basis, it seems to be low. Is it that or higher on per bag basis, and the overhead cost has taken it down to INR 900 or it is at that level only on a per bag basis as well?

Moderator: Prashant, if you could please repeat your question for the management.

Prashant Biyani: Sir, traded business, EBITDA per ton seems to be at around INR 900 per ton, which is higher year-on-year, but on absolute basis, it seems to be lower. So, my question was, on a per bag basis, it is higher and the overhead cost is dragging it down, or it is at INR 900 on a per bag basis as well?

Abhay Bajaj: See, the way it is to be seen is that we had significantly higher sale of DAP. And DAP is a fixed margin business, despite the higher cost that we see. Procurement was done at much higher prices in this quarter, although the government gives you a fixed percentage or fixed number, 1,026 or some such number, because it is 4% of the MRP. So, that drags the margin down.

Prashant Biyani: But sir, we had decent mix of NPK and MOP as well.

Abhay Bajaj: That's okay, but the very large quantity or large price increase in DAP, it went as high as \$850 or something like that. So, if you do the math, INR 1,000 on something like INR 60,000 is a very small amount.

Prashant Biyani: And any communication from the department regarding profit calculation or cost calculation for G3 post expiry of benefits post policy period?

Abhay Bajaj: No, as far as we understand, we have raked up this issue with the government. We have met the requisite personnel, but they said that we have to start the exercise. They are busy with other things, on other matters so far. One of them, of course, is the futuristic expansion of capacity in the country, and they are caught up with some other things. So, we have not been able to start on this so far. We have touched base with them at least twice in the last quarter.

Prashant Biyani: And lastly, sir, any update on investment plans after TAN? You have briefly touched upon, but

Abhay Bajaj: I said that TAN remains a focus area for CFCL, and vertical and horizontal expansion are being actively pursued. I think that is a very sufficient indication of what we want to.

Prashant Biyani: That's it from my side.

Moderator: We take the next question from the line of Viraj Kacharia from SiMPL. Please go ahead.

Viraj Kacharia: A couple of questions. First, any update you can give for G3? I think it kind of, the policy benefits expire by the end of this year, so.

Abhay Bajaj: I think I just explained that we do not really have a handle on this. Although there are precedents, we do not know what the government is actually going to do or what thought process they are going to follow. I have touched base generally with the people who matter in Page 7 of 15 this, and they have said that they have not yet started the exercise. Once we have a start on the exercise, maybe I can give you some explanation on this.

Viraj Kacharia: But in terms of precedents, can you give some perspective, what are those and how does it positively or negatively affect us?

Abhay Bajaj: Precedence is what they have been doing for the past for others and what they have done for our other plants. So briefly, it considers the net fixed assets and the return on net worth and so on, so forth. So, it is a calculation based on that.

Given that Chambal -III, that is Gadepan -III, has finished its tenure, in what way they will treat these numbers is something open to question. We are not hazarding a guess as to what they will do. The numbers could vary from our estimate, both positively and negatively. So, we have to see, because normally they take a 15-year span for depreciation and so on, so forth, but currently this plant is only 8 years into its life.

So, what exactly

will be the parameters they will choose for NIP -2012 units going forward?

Because this will be a template not only for us, but for all other plants that will follow through.

That is, Matix is there, HURL three plants are there, and so on. So, they have to be very well thought out, because what they will do with us will go forth for others also.

Viraj Kacharia: And sir, in terms of TAN project, any perspective which you see, how should we see the scale - up happening in FY '27? Should we see a 70% -80% or even a higher kind of a utilization?

Abhay Bajjal: We do hope that we have the ability in terms of running the plant. We have trained up our people. I don't think production is going to be an issue. We have to see how well the market absorbs the product is something in the future. And that is the key, because at the end point, we have to see , and we are fairly confident we have our people in place, a marketing team in place. And I think we have, I think, today, the most modern technology available for this kind of product. So , at the moment, I don't see any showstoppers as far as reaching a v ery healthy capacity utilization, 75% -80% plus. I don't see any problem.

Viraj Kacharia: And sir, I think last , just two questions. First, in the opening remarks, you talked about us signing an M oU or a licensing deal with the IMACID. Can you just explain what does it pertain to, in the sense, is it purely for domestic market or it is more an opportunity?

Abhay Bajjal: I think you are talking about TERI. TERI is a very, well -known institute in terms of sustainable agricultural solutions and biologicals. We had, as you know, entered into an understanding from them to do research on specified product lines . Now, we have also commissioned a laboratory to do the specific job there. That is one.

Secondly, as we have indicated, there is a pipeline of products which are going to come from now up to 2028. They are, in fact, if I am not wrong, and Ashish will correct me there, there are about eight or nine products in various varieties, which are including bionematicides and fungicides and so on, on which we have complete IP control too.

Page 8 of 15 And as they form and we feel confident, we can go beyond our borders to sell that kind of a thing. And we are having interesting inquiries from some one or two companies who are looking at our performance of our product, and they might, after their set of field trials of getting convinced on the product c apability, could take it abroad as well.

Viraj Kacharia: But any other tie -up? So , I think we were exploring in-licensing opportunities with other MNCs for the CPC portfolio, and same for manufacturing, we were evaluating.

Abhay Bajjal: That is continuing. We are introducing products that we said are new products, are coming from those so -called formal and informal arrangements with the multinationals that we are talking to. And we have progressed some way. First of all, we have a company called Nutrien Worldwide, which is going to give us some carbon -related products, which will come in next year.

And then, there are products coming from Nichino, which we already have. We are also talking to Syngenta, Corteva, all those people. So , as they get confident about our reach capability to market the GenX or 1.5X products, we definitely get into that. And there are both arrangements in terms of the volumes of sales that we have to achieve, the geography in which we have to do that, etc., et c.

So, those are arrangements that we have with many of companies who are now taking our company seriously in terms of reach, in terms of our marketing capability, in terms of the trust we enjoy with our brands.

Viraj Kacharia: Last question, any ...

Moderator: Viraj sir, I would request you to please join back the queue for follow -up questions. We take the next question from the line of Sandeep Mukherjee from SKP Securitie

s Limited. Please go ahead.

Sandeep Mukherjee: I have certain bookkeeping questions, like, what was the gas cost for the quarter?

Abhay Bajjal: I will ask Mr. Anuj Jain to give the answer to that.

Anuj Jain: Quarter was \$14.6 on NCV basis, per MMBtu.

Sandeep Mukherjee: And sir, if you can please give the plant -wise production volume for G -I, G-II, G-III.

Anuj Jain: So Gadepan -I, for the quarter, we had about 2.84 lakh tons produced. Gadepan -II, it was 2.69 lakh tons, and Gadepan -III, it was 3.51 lakh tons, so total 9.04 lakh tons.

Sandeep Mukherjee: And s ir, actual Gcal for G-I, G-II for Q3 and nine months, what would be the numbers?

Anuj Jain: Mr. Bajjal?

Abhay Bajjal: I couldn't get your question. Could you repeat, please?

Page 9 of 15 Sandeep Mukherjee: Sir, the actual Gcal energy efficiency for G-I and G-II for Q3 and nine months, what would be the numbers?

Abhay Bajjal: I can only give you a range. They were quite a bit, I would say , 5% to 6%, 4% to 5% lower than the norms for G-I and G-II. And let's say, about 2% to 3% lower for Gadepan -III.

Moderator: We take the next question from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal: Sir, just a question on the NPK and the DAP business. So , we are seeing that the input prices have increased both phos acid, sulfuric acid significantly, which will probably lead to an increase in the NPK pricing, if you have to probably pass it on , and the DAP pricing remains steady because of whatever government policy. So, does it start to have an impact in terms of the offtake of NPK?

Because, for the last 9 months, 12 months, we are seeing a good offtake in NPKs, probably also because of the shortage in DAP. But does the economics don't work very favorably for the

farmers if they have to take that price hike? I mean, just trying to understand how does this dynamic work.

Abhay Bajjal: Naturally, there is a substitution effect if prices are beyond a certain range. Farmers will tolerate a certain price gap, beyond which they will not. Now, that is also incumbent upon the availability of the substitute. Last year, the substitute was not available. To some extent, that is why the NPKs worked well for the industry.

The second part is we are not prognosticating what is going to happen to the DAP availability this year, but you rightly said there are pointers which are worrying. One is the price, sulfur is very high and not seen to be coming down very soon.

The second part is that it has a knock-on effect on the price of phosphoric acid, and that also is not conducive to the production of a high P percentage fertilizer like DAP. So, naturally, the cost of production of DAP is going high.

From rock, yes, if people have got the rock route, definitely they have still some margin left, although it is getting squeezed. But it will all depend on what the price fixation for DAP or phosphoric acid happens in this quarter, but from my understanding, it has not yet happened, although discussions are going on. That is one part.

The other part is that ammonia itself also has a little elevated levels at this point of time. What I am trying to say ultimately is that it will depend on the price dynamics and what the government, of course, has got the policy for advantage, disadvantage as far as DAP is concerned. For the importers, where, as I told you, that the increasing involvement of working capital is an issue.

And secondly, as far as the producers are concerned, they have a slightly different formula. I think, if I am not wrong, this past six months prices, and then, their subsidy is derived from the actual import of the material for the last 6 months. How it will work for them is something that you should ask either Paradeep or Coromandel, or somebody who is actually producing that. Page 10 of 15 The situation looked to be okay sometime back in January, when prices were at 650

levels, 670

levels, but of late, they have climbed up rather sharply. My understanding is that they are reaching levels of 720, 730 already. And where it will end up and what it will do to the availability once again is something, although the starting point this time is more favorable in terms of better stock position.

It is a little complex interplay I will not be able to predict, but I think, still, there will be a demand for NPK in a certain percentage, and Chambal is well poised to take advantage.

Dhruv Muchhal: Sir, just to extend on this, so basically there are two things. First is the pricing of DAP, sorry, the availability of DAP and the relative price gap between DAP and NPK. So, keeping the availability aside, because I am not sure how it will play out, but just on the pricing gap, is there space to take price hikes in NPKs for the cost increase, or the tipping point is reached where the affordability versus the DAP becomes increasingly more challenging?

Abhay Bajjal: I think that it has been a question of positioning and who has taken what position in terms of pricing in the market. So, that is an important issue, because as you rightly said, there is a tipping point whereby after which the consumption will drop to some extent. So, that will be pressure all around.

But on the same, let's look at it this way, that the availability itself of these will be domestically quite constrained because the economics don't work out at all for NPKs. DAP, still there is some protection. In NPK, there is no option except for a grade like possibly 20-20-0-13, where also, because of sulfur prices, margins are under pressure.

Dhruv Muchhal: And sir, the second question was on the TAN, you mentioned about horizontal and vertical possibilities. So, any, if you can provide some more comments here, what are these possibilities could be?

Abhay Bajjal: I think I have thrown a very broad and encompassing hint on this.

Dhruv Muchhal: It is a very broad and encompassing hint. If you can give more?

Abhay Bajjal: Horizontally means that you produce more of the same stuff, and vertically means that you go forward in the value chain.

Dhruv Muchhal: And sir, is there a point where you decide that you go ahead with this? Or how does that happen?

Abhay Bajjal: I mean, there are two points to it. One is that we decide with it when we go to the Board and say, "Okay, here is a specific proposal." Okay? That this plant will be put at this place with this cost, and with this return, and this product kind of mix. And that is when we will announce. In the meantime, there are all kinds of things going on in the background.

Moderator: We take the next question from the line of Prashant Biyani from Elara Securities. Please go ahead.

Page 11 of 15 Prashant Biyani: Sir, ideally, for DAP, how much availability would the government want to ensure every year, be it from domestic production or imports?

Abhay Bajjal: As much as possible. DAP has now become as important a product as urea, in terms of the requirement from the farmers. Ideally, in my opinion, what I have seen in the past, and Ashish can clear me out on that, is that we have seen levels of about 2 - 2.3/2.4 million tons in April

which was considered safe, but if you see what I mentioned in the first paragraph, that there has been extensive sowing of wheat and so on. Of course, some part of it has already been used as basal dose, which is where most of the DAP goes. But there are sometimes top -up dressing, and so on, what they call. I will like Ashish to explain that further .

So, my feeling is that the consumption in the balance period from January to March is also not going to be a small number. What it will do to the availability on 1st of April is something to guess , at the moment, but I will ask Ashish to give some color on this.

Ashish Srivastava: So, Prashant, if you look at the DAP avail

ability as of now vis-à-vis end of January last year , so

the inventories end of January last year was around 1.3 million tons, and the end of January, it is around 2.5 million tons. And if you look at the import contracts and the production for February, March, we should open up with an inventory of 2.8 million tons on 1st April, which is a very safe inventory to start the season with . So, I think no panic as of now as far as DAP is concerned. I hope I have answered your question.

Prashant Biyani: No, sir, my question was, irrespective of any month, in any calendar year , what is the bare minimum amount of DAP would India want, be it from domestic source or imports?

Ashish Srivastava: So, if you look at the capacities, India produces a minimum of 300,000 tons and a maximum of 360,000 tons in a month . So, that is the range.

Abhay Bajjal: No, I think, Ashish, what he is asking is , what is the minimum comfortable inventory which the government would want? Now, I think you should come from there, Prashant, that there is a Kharif, Rabi split in this. Total amount is about 105 -106 lakh metric tons.

Although, if you see the numbers last year and sometime, that is more due to availability. There was no availability . That is why the amount fell, although the latent demand, in my opinion, is close to 106 lakh metric tons to 107 lakh metric tons.

Now, given that, most of that, I do not know the exact split between Kharif and Rabi. You divide by the number of months and take a center point, and that would be the kind of inventory that the government would like to have.

So, assuming, let's say, I am just doing a very, very crude math on this, most of the consumption takes place in Rabi, somewhere around 55% -60%, I think, goes into Rabi . So, we are talking about 6 million tons in the 2.5 months or 3 months of Rabi, which is active . So, we are talking about 2 million tons a month will get flushed out of the system. If that is the case, the government should have by Rabi at least 3 -3.5 million tons in its pocket. That is the way to look at it.

Page 12 of 15 Prashant Biyani: Thank you for that. And sir, how much is the net cash and liquid investment right now?

Abhay Bajjal: I will ask Anuj to answer this question.

Anuj Jain: About INR 800 crore s. About INR 800 crore as of today.

Prashant Biyani: And Mr. Bajjal, it has been a while since you are talking about overseas investment. Nothing concrete you have shared as of now.

Abhay Bajjal: I can only report that we are in active discussions, and we continue to have active discussions.

But as I said last time, sometimes you break off and then engage . So, this is a time when I am talking to you, we have had a significant re -engagement, and, where it will lead to, we will have to wait for some time . But I think there has been a re -engagement and a positive re - engagement.

Moderator: We take the next question from the line of Viraj Kacharia from SiMPL. Please go ahead.

Viraj Kacharia: Any color we can get how we are looking at ramping up in your site?

Abhay Bajjal: I think your voice is breaking. I could not really hear.

Viraj Kacharia: So, I was just trying to understand, how we are looking at scaling in the seed business , any tie up with the MNCs ?

Abhay Bajjal: No, we are doing a two -pronged approach. First of all, this year, we just introduced and tested the market. And we went into mustard, we went into pearl millet, we went into wheat, and so on. Small quantities to just test out what really happens in this market, what are the operating realities of this market .

So, we have got a good fix. We are going to scale this up . While we look for opportunities and because of our entry into this, we have started receiving inquiries of a significant nature on people who want to tie up or offer a stake . So, we will look at those, and once we have something to tell you, we shall.

Viraj Kachari

a: But in those stakes also, we will be looking at a majority ownership kind of a structure?

Abhay Bajjal: We don't know what will work, depending on the valuations and so on. We don't know what will work, but we have started receiving inquiries. That much I can say.

Viraj Kacharia: And second question was on the CPC. We were also evaluating into the own manufacturing setup . So, any decision we have come to in terms of?

Abhay Bajjal: No, we really have not thought in terms of proactive going out and snagging some asset or something like that. But what we are talking to one or two people is that they develop some generic combinations for us. And although this is very embryonic, we have had just a discussion

on this. There are people who are willing to develop our white label generic combinations, which we will then see if it is, once it is, and then also manufacture it for us, if it is possible .
Page 13 of 15 So, at the moment, asset acquisition on this side is not really on the table, but this way, where we get, again, a TERI kind of model, where we get stuff done for us and then also get manufactured, is what we are actually exploring.

Moderator: We take the next question from the line of Karan Gupta from CAVI Capital. Please go ahead.

Karan Gupta: One question on the demand -supply dynamics in the TAN market. There were some recent reports about CIL also wanting to set up its own manufacturing facility. So, could you just talk a little bit more about your thinking about the market?

Abhay Bajjal: No, this is a good, it is an expanding market. Let me tell you, we are anyways growing in the market, I think around 5% to 6% CAGR, and that you can recheck from Deepak as well. And the market will shortly become long, in the sense that there will be some capacities added by us, by even Gopalpur at Deepak and so on, in the next one or two years.

But overall, if you see the trajectory of what is going to happen in India, infrastructure, data centers, copper, cement, requirement of power through coal, and so on, I am pretty confident that the trajectory is going to go higher.

Secondly, the other trigger that we think is going to happen is the private sector involvement in mining, especially metals and so on. This is going to open up big way in the next 3 -4 years. That is a real opportunity because there will be requirement for specific stuff there, which is why we talked about some kind of vertical integration into this. Then, that, in any case, doing vertical integration insulates us to some extent.

The second part is that we have heard about CIL and BHEL. Coal technology definitely gives lot of advantages in terms of ammonia manufacture, but it is a difficult technology to master, and it is very emission intensive. We have a lot of respect for Coal India and BHEL, but by their own admission, they are talking about 4 years from now.

So, we are looking at a space where the market is already going to go long, and that point of time, I think we will have enough space for everybody around, I think, to tackle this issue. We are quite confident.

Karan Gupta: Another question is regarding capital allocation. So, apart from the expected TAN expansion and any inorganic opportunity, is there any consideration of increasing cash returns to shareholders?

Abhay Bajjal: I think if our plans work out, we don't have anything to offer in the next one or two years. Beyond that, we will see.

Karan Gupta: And, lastly, on the pending dues, subsidy dues, when do you expect to receive those from the government?

Abhay Bajjal: My understanding, it is a cycle, goes back and forth. We have a total of ...

Moderator: Karan, if you could please repeat the question for the management.

Page 14 of 15 Karan Gupta: I think they were in the process of telling us about any ...

Abhay Bajjal: See, if I am not wrong, as of end of December, we had something like INR 1,6 - 1,7 h

undred

crores or a little bit tad more, INR 50 - 100 crores here or there. That is my memory. Anuj can feed me on that. That was outstanding as receivable from the books, of which about INR 700 crores is what has been billed, and the balance is unbilled because there is a certain process of flushing it out through POS and all that.

So, that will keep on coming and going. So, we know that the government has taken some extra for the sector by way of some supplementary grants and all that. So, I think we are comfortable there. I don't think there is much of an issue, but I can ask Anuj to give you the exact numbers.

Anuj Jain: About INR 1,980 crores, and as Mr. Bajjal rightly said that about INR 600 crores is the bill value.

Balance is because of some POS clearance or some advantage, disadvantage, and freight, etc.

And in January and February, till date, we have received about INR 1,000 crores.

Karan Gupta: So, that was very helpful.

Moderator: We take the next question from the line of Aakash Maji from IIFL Capital. Please go ahead.

Aakash Maji: Can you please share the urea sales volume for Gadepan -I, II, and III facility?

Abhay Bajjal: I will ask Anuj to answer that.

Anuj Jain: So, we have sold in the quarter, Gadepan -I, 2.87 lakh ton, Gadepan -II, 2.79 lakh ton, and Gadepan -III, 4.18 lakh ton. So, total, 9.83 lakh ton.

Aakash Maji: And what would be the estimated volume loss from this unplanned shutdown in 3Q? Would that be minimal, or is there any figure for that?

Abhay Bajjal: No, that is not much. We are talking hardly 3,000 -4,000. We have enough stock to make up for that loss of 10,000.

Aakash Maji: The last question would be, given the unplanned shutdown in 2Q, now in 3Q, and now the planned shutdown in 4Q as well, what would be the urea volume growth that you are expecting for FY '26? Is there any figure for that?

Abhay Bajjal: I think urea volumes normally, Mr. Aakash, remain static because we run as it is beyond 100% capacity for all three plants. We are fully and more exploiting the capacity. And these plants have a certain number beyond which you cannot exploit capacities unless you run for a larger

number of days in a year .

So, as you know, we are already in a two -year cycle before we do turnaround for all the three plants. Our effort, technically, is to go to three -year cycle in this. As and when we do that, some unexploited capacity will come out in all three plants.

Aakash Maji: Thank you for answering my questions.

Page 15 of 15 Moderator: Thank you. As there are no further questions from the participant, I now hand the conference over to the management for their closing comments.

Abhay Baijal: Thank you. I would like to thank all of you for the call today, and I hope that we were able to address all your queries. If you have any further questions, you can reach out to IR partners at

Valorem Advisors. Thank you once again for participating in the call.

Moderator: Thank you. On behalf of Chambal Fertilisers and Chemicals Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your line s.

Call: May 2026

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BSE Limited

Phiroze Jeejeebhoy Towers

25th Floor, Dalal Street

Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E)

Mumbai - 400 051

Dear Sir,

In continuation to our letter dated May 9, 2026 and pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Analysts /Investors conference call held on May 15, 2026, on the financial results of the Company for the quarter and year ended March 31, 2026. The said transcript is also available on the Company's website at - <https://investor.chambalfertilisers.com/EarningCallTranscripts.html>

You are requested to notify your constituents accordingly.

Thanking you,

Yours faithfully,

For Chambal Fertilisers and Chemicals Limited

(Tridib Barat)

Vice President - Legal & Company Secretary

Encl.: a/a

Page 1 of 16 Chambal Fertilisers and Chemicals Limited

Q4 FY '26 Earnings Conference Call

May 15, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Chambal Fertilisers and Chemicals Limited Q4 FY '26 Earnings Conference Call hosted by Valor em Advisors.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valor em Advisors. Thank you and over to you ma'am.

Purvangi Jain : Thank you. Good morning , everyone , and a warm welcome to you all. My name is Purvangi Jain from Valor em Advisors. We represent the Investor Relations of Chambal Fertilisers and Chemicals Limited . On behalf of the company and Valor em Advisors, I would like to thank you all for participating in the company's earnings call for the 4th Quarter and Financial Year ended 2026.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward- looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by, and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about

the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for their opening remarks. We have with us Mr. Abhay Bajjal, Managing Director, Mr. Narinder Goyal, Business Head - Manufacturing Operations, Mr. Anuj Jain, Chief Financial Officer, Mr. Ashish Srivastava, Vice President - Sales & Marketing, Mr. Tridib Barat, Vice President - Legal and Company Secretary, and Mr. Vivek Misra - Business Head of TAN. Without any delay, I request Mr. Abhay Bajjal to start with his opening remarks. Thank you, and over to you, sir.

Abhay Bajjal: Than

k you, Purvangi, and good morning, everyone. Thank you for joining us in this conference call to discuss our performance during 4th Quarter and Financial Year ended 2026.

Page 2 of 16 The Indian fertilizer industry faced a challenging environment in 2026 marked by global geopolitical uncertainties, elevated energy prices, and volatility in key raw material markets.

India's agricultural fundamentals remained resilient, supported by a favorable Southwest monsoon at 108% of the long period average and the reservoir levels at 126% of normal and strong crop sowing activity across both Kharif and Rabi seasons.

Kharif acreage stood at 112 million hectares and Rabi sowing at around 68 million hectares resulting in record food-grain production of nearly 348 million tons. The Indian agriculture sector grew around 2.4% in FY '26 despite uneven climatic conditions. India achieved a record fertilizer production of 503 lakh metric tons during FY '26 Urea, NPK and DAP reflecting continued capacity expansion and improved product availability across regions.

Fertilizer demand also remained healthy during the year while the government continued to support the industry through stable urea pricing, robust subsidy allocation, DBT implementation and close coordination with industry participants to ensure uninterrupted supply across the country.

Ahead of the Kharif 2026 season, the total fertilizer inventory stood at around 200 lakh metric tons equivalent to about 51% of seasonal requirement as compared to the normal level of 33% supported by strong advanced stocking and efficient logistics management.

During Q4 FY '26, geopolitical tensions in West Asia led to sharp volatility in global fertilizer and energy markets. India continues to remain dependent on imports for key raw materials such as LNG, ammonia and Sulphur.

During the quarter, disruptions in supplies from Middle East resulted in volatility in availability and pricing across the industry. For instance, ammonia prices increased sharply to around \$850 to \$900 per ton while Sulphur prices also increased from \$900 to \$950 per ton. Elevated LNG prices further pressured import economics for the industry.

Given India's import dependence for key raw materials, the sector faced higher sourcing costs, supply disruptions and logistics constraints during the quarter. Although the government raised the NBS subsidy rates upwards by about 10%, industry margins would remain under pressure due to high raw material costs and rupee depreciation.

During the quarter, the government also took measures to prioritize gas availability for domestic urea manufacturers, which helped limit the impact on production to a very large extent. However, lower gas availability during part of the quarter impacted the capacity utilization slightly and energy efficiency for the sector.

Domestic phosphatic fertilizer production increased during FY '26, while imports of DAP and NPK fertilizers also rose sharply to ensure adequate availability. Within the phosphatic segment, NPK fertilizers continued to gain share, while companies increased diversified sourcing across Southeast Asia, Africa, Canada, Russia and China to reduce supply chain risk and improve sourcing security.

Page 3 of 16 From an agricultural perspective, the year remained broadly favorable. Reservoir levels across key agricultural states remained healthy and supported strong crop-sowing activities, both Kharif and Rabi seasons. Rabi acreage witnessed healthy growth led by wheat, pulses and oilseeds, while early indicators for the upcoming Kharif season also remain encouraging. Rural demand trends also continued to remain supportive for fertilizer consumption across regions.

With this backdrop, let me move to our operational and financial performance for the 4th Quarter of FY '26. Our crop protection, chemicals and specialty nutrients business delivered another year of strong gr

owth during FY '26, driven by higher market penetration, expanding product portfolio and improved contribution from value-added offerings. Business continued to witness strong growth in both revenues and margins, with contribution increasing by around 27% Y-o-Y.

During FY '26, we launched 17 new products, spanning herbicides, fungicides and insecticides, while strengthening our presence across key crop segments and geography. We also continued to build a healthy innovation pipeline with 14 new crop protection products and one specialty nutrient product planned for FY '27.

The biological business continued to scale up well, with robust increases of about 30% in volumes and 57% growth in revenues, reflecting increased farmer adoption of sustainable

agricultural solutions.

UTTAM PRANAAM , our Biogenic Nano Phosphorus product introduced in Q1 FY '25, witnessed significant increase in contribution during FY '26. The product is developed through a biogenic process and contains 10% P₂O₅ with encapsulated biomolecules such as polysaccharides and lipoproteins.

Two of our biological products, UTTAM SUPERRHIZA and UTTAM PRANAAM , have now covered almost 3 million acres since launch, supported by increasing awareness and field- level demonstrations.

During the year, we also introduced a water -soluble variant, powder variant of UTTAM SUPERRHIZA , targeted at precision farming, drip irrigation and high- value crops.

Further strengthening the portfolio, we launched four new biological products across Fungicide and Nematicide categories during the year. Additionally, we partnered with TERI to establish the CFC L - TERI Centre of Excellence for Advanced and Sustainable Agricultural Solutions, which will focus on research and development of next generation agricultural technologies.

Coming to our seed business, we expanded our portfolio during FY '26 with the introduction of new products across wheat, maize, mustard and bajra categories. The initial farmer response and field performance have been very encouraging, and we continue to strengthen our product portfolio. The coming year will be increased emphasis on cereal and research varieties.

Our bulk fertilizers business delivered a robust performance during FY '26 despite a volatile ...

Page 4 of 16

Moderator Ladies and gentlemen, the line for the management has been connected. Over to you, sir.

Abhay Bajal: Coming to our seed business, we expanded our portfolio during FY '26 with the introduction of new products across wheat, maize, mustard and bajra categories. The initial farmer response and field performance have been very encouraging, and we continue to strengthen our product portfolio. The coming year will be seeing increased emphasis on cereal and research varieties.

Our bulk fertilizers delivered a robust performance during FY '26 despite global volatile operating environment. The phosphatic and potassium fertilizer portfolio segment performed well during the year, supported by effective sourcing strategy and inventory planning and timely market placement.

We also secured product availability for upcoming Kharif season despite continued uncertainty in global, raw material market and supply chains. The urea volumes for the year were impacted by an unscheduled shutdown at one of our plants in Quarter 1, which temporarily affected production during the period.

During FY '26, our engagement initiatives continued to strengthen on digital platforms and outreach programs , our social media presence expanded significantly during the year with both Facebook and YouTube platforms crossing 100,000 subscribers, where our YouTube channel received the Silver Play button recognition.

The Chambal Uttam Krishak Mitra app crossed 100,000 downloads during the year, reflecting growing farmer participation and engagement. We also conducted multiple digital knowledge sessions, product awareness campaigns a

nd farmer education initiatives aimed at improving outreach and strengthening connect with the farming community.

Our technical ammonium nitrate project achieved significant progress during FY '26 and has now entered the commissioning phase. Dry run for the weak nitric acid plant has commenced and subsequent commissioning activities for downstream TAN, including AN Melt and HDAN products, are also underway. The project is being developed using state- of-the-art technology from Casale, Switzerland and has a capacity of 240,000 metric tons per annum, representing Chambal's strategic entry into industrial and mining chemicals, marking another important step

in the company's growth journey . The initiative is aligned with India's broader focus on Atmanirbhar Bharat, domestic manufacturing, infrastructure development and energy security, while also creating a new long- term growth avenue for the company.

Finally, let me walk you through the details of the financial performance for the period under review. On a standalone basis, the 4th Quarter Financial Year , 2026, revenue from operations

grew 14% year -on-year to about Rs . 2,785 crores. EBITDA for the quarter, Rs . 255 crores, up 56% year -on-year with EBITDA margin at 9.16%. Profit after tax was INR 145 crores, up 46% year -on-year with PAT margin of 5.22%.

Page 5 of 16 For the financial year ended 2026, standalone revenue operations increased 25% year -on-year to Rs . 20,794 crores. EBITDA rose 8% year -on-year to Rs . 2,679 crores, with EBITDA margin at about 12.88%. Profit after tax for the period grew 18% year- on-year to Rs . 1,950 crores, with PAT margins at 9.38%.

On subsidy receivables and subsidy flows, we received a subsidy of around Rs. 2,048 crores during the quarter as compared to Rs . 1,592 crores in the corresponding quarter last year.

During FY '26, our subsidy receipts stood at approximately Rs . 12,276 crores, broadly in line with Rs . 11,945 crores received in the same period during last year. As of 31st March 2026, total receivables stood at about Rs. 2,075 crores, comprising market debt of Rs. 121 crores and

subsidy receivables of Rs . 1,954 crores.

Coming to segmental performance, our Urea segment delivered stable performance. Urea revenues in the quarter came in at about Rs. 2,432 crores, an increase of 8%. EBIT margins improved significantly to about 7.83%. Sales volume was marginally higher at 6.72 lakh metric tons as compared to 6.3 lakh metric tons in the same quarter.

During FY '26, we saw a minor decline in the Urea segment with revenue at around Rs. 12,566 crores, lower by 5% year on year , while EBIT margins remained steady at 14.6%. Sales volumes declined 2% to stand at 34.06 lakh metric tons as compared to 34.7 lakh metric tons last year.

In the Complex Fertilizer segment, revenues increased significantly to about Rs. 323 crores in the quarter, reflecting year -on-year increase of 94%. Sales volume also rose to 0.65 lakh metric tons compared to 0.38 lakh metric tons with strong demand and steady increasing adoption of balanced fertilizers.

Complex fertilizer segment continued to outperform during FY '26, with revenues increasing sharply to INR 7,025 crores, reflecting year -on-year growth of 175%. Sales volume increased to 12.31 lakh metric tons during FY '26 as compared to 5.64 lakh metric tons, led by strong growth in DAP, TSP and NPK fertilizers. EBIT margins stood at around 4 % during FY '26.

The CPC Special ity Nutrients and Seed segment witnessed a decline in performance in this quarter, revenues lowered by 21% year -on-year. Our EBIT margins remained healthy .

For FY '26, the segment delivered strong performance revenues increasing by 30% year -on-year to INR 1,203 crores as compared to INR 926 crores in FY '25, and EBIT margins remained healthy at around 23.5%.

Our Joint Venture IMACID is performing well. The increase in P2O5 production capacity from 5

lakh metric tons to 7 lakh metric tons is expected to be implemented in December 26. Further, Sulphuric acid capacity is also being increased, which is expected to be implemented a year ahead in FY '27.

Board of Directors has recommended a fin al dividend of Rs . INR 6 per share, totaling to Rs . 11 per equity share for FY '26. Overall, FY '26 reflected resilient execution across our core and Page 6 of 16 value- added businesses, despite a volatile global operating environment, while the urea business continued to provide operational stability and healthy cash flows.

The Complex Fertilizer segment delivered strong growth driven by DAP, TSP and NPK volumes.

At the same time, our crop protection chemicals, specialty nutrients and biologicals business continued to scale up well, improving contribution, product expansion and increasing farmer adoption. Progress in technical ammonium nitrate project and continued investment in sustainable agriculture solutions further strengthened the diversification and long- term growth profile of our operating portfolio.

With this, I would like to hand it back to the moderator and open it for question- and-answer session. Thank you.

Moderator: Thank you very much. We will now begin with the question- and- answer session. We will take the first question from the line of Aman Kothari from Aequitas Investments. Please go ahead.

Aman Kothari: So, firstly, congratulations, sir, on a wonderful set of results. S ir, the first question that I have is, I think the last time we talked, you said the gas costs were abo ve USD 20. Can you give us an idea of what the current gas costs are looking like for the first quarter?

Abhay Bajjal: They will be around the same number. We are still in the midst of the quarter. Currently, what I understand, it is USD 18 plus, USD 18.5 plus. It may be around the same number .

Aman Kothari: And, sir, this quarter we have seen a jump in receivables. So, I think we have reached almost from Rs. 367 crore to Rs. 2,075 crore receivables. And we have also seen an increase in short - term borrowing. So, can you give us an idea on what those are?

Abhay Bajjal: These are some short -term, as far as short -term borrowings are concerned, these are small cash flow mismatches which happen, but they will be eventually evened out during the course of the year. The company is more or less on a stable nod as far as finances are concerned, as you know.

As far as the increase in receivables are concerned, we have a process called escalation and de - escalation. Sometimes what happens is that the government has compensated us on a base of a higher gas number. So, that continues. When we are actually consuming at a lower cost, then you tend to accumulate cash because you get more subsidies than what you would be ac tually spending. Reverse starts happening i f they have de- recognized that subsidy or taken it back, then you get a different set of equations.

And, secondly, as we go forward, as you know that the prices are going up from the base, there will be some form of escalation, which we have taken up with the government to give us interim relief in terms of cash flow. So, I am very hopeful that the government will look at this very favorably.

Aman Kothari: But, sir, if we see the gas prices elevated for the rest of the year, do you think that this could be a problem that could pop up and continue probably in the end of the year?

Page 7 of 16 Abhay Bajjal: See, there is a cycle. First of all, what they give is a provisional price for the previous quarter , which is applicable for the next one or two quarters. What we are going to tell them, in fact,

what the industry is continuously telling them, is that there has been a dollar increase, there is a gas price increase. So, can you give us interim relief pending final calculations, which I think they are very sympathetic to hearing too. So, that is what we ha

ve. We are hopeful that we will be able to manage this issue, not a big problem.

Aman Kothari: But, sir, right now, I think we are all aware that government is running a bit thin on its reserve. We today saw the petrol and diesel price increase. We are seeing the other expenditure that they will have to make in terms of phosphate and for urea also. So, do you think that a situation like the last time we had this in '22-'23 could arrive, let us say, in terms of receivables bloating up?

Abhay Bajjal: No, I do not think that is going to happen. This government in particular is very clear that fertilizer is a very, very important sector to support and we have seen the kind of support that they are giving in terms of purchasing, even at very high costs. So, there is a clear focus on farmer being a very important element of the economy.

And so, this support, I think, is likely to continue despite the costs. And I would hazard a guess as to how much the amount of increase in subsidy is going to be. But I hear from the concerned quarters that whatever it takes to support the segment will be available.

Aman Kothari: So, for the TAN, I think 30th April is the commissioning and I think you gave the update on the same. So, at this current year, do you see the capacity reaching to 75 %-80% that we could have done in a year?

Abhay Bajjal: Yes, definitely that Mr. Narinder Goyal has promised me that by all means he will reach 75 %-80%. That is his commitment to me. So, it is his commitment to me and I am sure that he will meet that commitment.

Aman Kothari: And I am sure that you are aware TAN prices are up by 40%. We have had Russia also pulling up from putting a curb on the TAN exports to India.

Abhay Bajjal: We keep a tab of what is happening in the market. Mr. Misra keeps me updated on what the running prices are.

Aman Kothari: And sir, just last question. So, this year we had a very good growth in terms of complex fertilizers, particularly DAP, NPK and TSP. So, do you think in this year, in terms of volumes, do you see that we will be able to deliver a growth on this? Because there will be limited availability, let us say you said just at the current prices that are elevated.

Abhay Bajjal: So, you are very right that this year's availability, especially in the phosphatic segment, is likely to be constrained. We do hope that the better sense will prevail in terms of, it is not a question of production. It is a question of logistics. First of all, let us understand that.

Page 8 of 16 We have many ships, about 28 or 29 ships, which are stuck up in the Hormuz. They are carrying material. They are loaded up there and so on. So, it is more a question of logistics than production. That is firstly one thing to understand.

That means, if we have an opening up of the Hormuz in the next one month or so, even if we take a delayed adjustment, because the shipping takes some time to adjust, in three months' time, things should return to normal. So, that is one thing.

Secondly, as far as Chambal is concerned, we did make some strategic purchases, very big, early in the beginning of the year, and we are covered at least till July-August in terms of our stocks.

Aman Kothari: For complex fertilizers?

Abhay Bajjal: Yes.

Aman Kothari: And, sir, just a last question. I think in the last Con Call, you touched upon a new Cap ex that we could be looking at, and a substantial Cap ex. I think there were two, three ideas that you guys had in mind. I think the first one was the Urea, a new plant that we could set up, or a TAN expansion, or a new product line. So, is there any further guidance you would like to give on the same?

Abhay Bajjal: The only guidance I would give is that the government, looking to the situation that is there, are very, very serious in terms of pushing out a policy to attract investment. And for our part, we are very ready in the sense that we hav

e land, we have environmental clearance. I am happy to report to you on that issue.

We have the water requirements tied up, and we have already started talking to the technology suppliers. Some of them have visited our plant. So, we are ready. The moment the government pushes the button, within five/ six months, we will be on the block to run to this particular situation. That is one.

Secondly, what you talked about, the TAN and so on, there will be subsequent developments, but we are also ready with that in terms of making an analysis, where and how we should put that plant. But that is in the works, and I will not be able to reveal much more on that. But as far as the fourth plant in terms of Urea is concerned, we are at very, very advanced in terms of execution of this.

Aman Kothari: I will just join back in line.

Moderator: We will take the next question from the line of Prashant Biyani from Elara. Please go ahead.

Prashant: Sir, this quarter we have seen a significant growth in EBITDA per ton for Urea. What has led to this sharp jump in the quarter, and how to ascertain this quarterly volatility in EBITDA per ton? Because for the last three quarters, it has been more or less flat, but we have seen a sudden jump in Q4.

Page 9 of 16 Abhay Bajaj: No, it is more to do with the product mix. We do know that we do sell a certain amount of Ammonia, so we had better margins there.

Prashant: How much was the Ammonia volume for this quarter?

Abhay Bajaj: Okay, that you discuss offline with Mr. Anuj Jain.

Prashant: But it was primarily because of maybe higher volume and price of Ammonia?

Abhay Bajaj: No, it is not. There is a price increase, no doubt. And of course, production of Urea was also there. The sales of Urea also was higher by about 30,000 -40,000 tons. So, all of that taken into account.

Prashant: But sir, regarding Urea volume, two years back, same quarter we had more or less same number of Urea sold, but our EBITDA per ton was half.

Abhay Bajaj: Sometimes what happens is that you are doing maybe two plants at that time in terms of annual turnaround, so debits of that nature also occur. This year we did one plant, not two. So, that has impacted, although we had planned to do something earlier, but we did not do because of gas shortage and so on. So, that debit in terms of the cost of repair and maintenance also didn't go. On a smaller base, it makes a bigger difference in terms of percentages.

Prashant: Sir, this entire year we had around 3.4 million tons of Urea sales. Last year it was 3.47. Would we be touching around 3.5 this year? Is that in the realm of reality?

Abhay Bajaj: We had to have two shutdowns. This was in the end of the year and then in the beginning of this year we are currently undergoing one shutdown for Gadepan-1, which is a slightly longer shutdown which will tend to be happening till about mid-June.

So, the number that is there that we are going to do is more or less the same, although we will ramp up and try and ramp up once we have completed the turnaround, run it at a little higher rate. We are confident that we will do better than last year, but whether we will touch 35, is a touch and go here and there, but we will definitely exceed what we did this year.

Prashant: Sir, how much would be Urea inventory with the company at the end of FY '26?

Anuj Jain: It is about 1,18,000 MT around.

Prashant: Sir, for Quarter 1 till date, how much of our quarterly requirement of gas for all the three plants combined we are getting from the government or from the GAIL and other OMCs?

Abhay Bajaj: No, we have no issues in terms of gas availability as of now, thanks to very active procurement by the government, for which I should thank them. They have really been proactive on this issue.

Prashant: I will jump back to the queue.

Page 10 of 16 Moderator: We will take the next question from the line of Ma

nas Belekar from SRE Equities. Please go ahead.

Manas Belekar: So, as we commissioned a TAN plant, so can you throw some light on the TAN and WNA? This will be the important chapter for CFCL for the future growth. So, can you give some idea about what will be the EBITDA margin range for the TAN when we will operate at the full capacity? And how does the market for the TAN look, sir?

Abhay Bajaj: So, I will start with the last question first. The market for TAN is buoyant, I would say. The demand is there and you know that the continued emphasis on mining and infrastructure and all that is a strong growth driver for this particular segment of the market.

So, my view is that, for this year at least, we do not have any issues in terms of the demand. And as somebody just said before this, the questioner before this had made the comment about Russia not supplying, so that the import market is also a little short. So, on this basis, I do not think there is an issue in terms of the demand.

The second part that you questioned in terms of what would be the EBITDA. I think our budgeted numbers are very well there. In fact, they will be exceeded in terms of what the margins could be and that is my feeling at the moment.

Manas Belekar: And secondly, are we expecting the high working capital requirement for next quarter due to these high gas prices? Because as you mentioned in the starting comment that the government increased the price for the subsidy under NBS by 10%. Is it par with our cost, we incur, or it is below our cost?

Abhay Bajaj: No, if I could understand what you are saying, Mr. Belekar, is that you are talking about the Urea price or you are talking about the NPK?

Manas Belekar: Urea.

Abhay Bajaj: Urea. So, if you understand this business, it is basically a cost-plus kind of business. So, government recognizes the cost and therefore, in terms of higher prices of gas, except for that impact on working capital, we are able to pass on the cost to the government in the form of subsidy, increased subsidy. So, it would not be a problem for us.

Manas Belekar: That's all from my side.

Moderator: We have the next question from the line of Sandeep Mukherjee from SKP Securities Limited.

Please go ahead.

Sandeep Mukherjee: Sir, what was the actual GCal of G -1 and G -2 and G -3, G-1 plus G -2 and G -3, for the quarter, for the full year, sorry?

Abhay Bajjal: Could you repeat that, please?

Page 11 of 16 Sandeep Mukherjee: Sir, what was the actual energy consumption GCal per metric ton for G -1 and G -2 and G -3 for the year?

Abhay Bajjal: Definitely below the government norms by a percentage, a good percentage. So, normally we do not reveal these numbers publicly, but we are well below the established norms. Therefore, a certain amount of energy gain does accrue to us.

Sandeep Mukherjee: And, sir, can you tell the sales volume of G- 1, G-2, G-3 for the quarter?

Abhay Bajjal: I will ask Mr. Anuj Jain to answer this question.

Anuj Jain: Sales volume for the quarter, in the quarter, G -1 was 2.67 lakhs ton, G -2 is 1.52 lakh ton and G -3 is 2.53 lakh s ton.

Moderator: We will take the next question from the line of Vishal Thakur from Balaji Investments. Please go ahead.

Vishal Thakur: I just wanted to ask you about with the current capacity, new capacity coming up, can you give me some guidance about the turnover you are expecting in this financial year?

Abhay Bajjal: Which capacity are you talking?

Vishal Thakur: The new expansion which is coming up today, the production is going to start today?

Abhay Bajjal: That you are talking about TAN?

Vishal Thakur: TAN, yes, TAN, yes.

Abhay Bajjal: So, TAN, we normally, our production level is about 700 tons per day. And, assuming that we are able to start, we will start with WNA production, Nitric acid, and then it goes to Melt production and then it goes to H DAN, which will come by the

end of the month or little bit later

than that. So, let's assume that we have got about nine months production to be very conservative. So, we are saying that we have roughly about 1,60,000 - 1,70,000 tons of production would be possible.

Vishal Thakur: So, can you give me some revenue guidance roughly ? Or it can add to the...

Abhay Bajjal: This is a very volatile product in terms of pricing. Somebody just said that the TAN prices are up by 40%. Normally, they used to. So, revenue guidance is dependent on what the number is.

A budgeted number normally for this is about Rs. 37,000, Rs. 38,000 a ton. That is the normal number that you might think about.

Vishal Thakur: Are you also looking at this year any buyback? Also, you are thinking about coming up with buyback because we do see promoters buying back the shares in last quarter. So, are you looking at buyback and considering buyback?

Abhay Bajjal: There is no such proposal on the table as of now.

Page 12 of 16 Moderator: We will take the next question from the line of Viraj from SiMPL . Please go ahead.

Viraj: First question is on the TAN. Would we be able to reach a 60 %-70% or even higher utilization in the first year itself? And any color on the market dynamics, given challenges on imports of TAN into the market? So, is the market right now very tight or how would you describe the market structure right now?

Abhay Bajjal: Market at the moment is short. I think the people want material. And, in fact, the sooner we get it to the market, the better. That is what the issue is. So, that is one.

The second is that going forward, it depends on what the geopolitical situation pans out at and what will be the stance of Russia in terms of exports. But I can say that there is an underlying growth of about 6 % to 7% in the explosive segment. And, therefore, that translates back into Ammonium nitrate increase. It is about 6 % to 7%.

And it is a healthy growth, I would say, given that we are already at 1.2 million tons or so of demand. So, if you are saying 6 %-7% growth, we are talking about 70,000 tons per year, add on year to year , that kind of number.

So, as of now, I don't think it is more a question of how we produce and how we place it in the market and what is our connect with the customers and so on. There is enough room for everybody to play at the moment.

Viraj: So, in the first year, should we accept or close to full utilization and even in the last few years...

Abhay Bajjal: I would put it this way that we know how to run continuous process chemical plants. It all depends on how we successfully commission it, which I am very hopeful that we would be doing it. We have the best technology. We have brand- new equipment. And we have a competent team to operate it. So, I don't see in terms of production why we should have an issue. That is certainly not a concern.

Viraj: And in terms of key feedstock and raw material availability, especially for urea, be it for TAN , do you think you are covered well for the Kharif and rest of the year?

Abhay Bajjal: I couldn't get you, but I thought you were talking about raw material availability. This is basically ammonia. And ammonia is self -produced in our case because we have got three plants producing ammonia. And we have about 3 to 5% surplus on account of technical reasons. So,

we don't see any shortfall coming from that side as far as TAN is concerned. So, we are there in terms of matching quantities for ammonia.

Viraj: On urea, sir?

Abhay Bajjal: On urea, of course, gas is the main component. We first make ammonia. Then we make urea. So, as I have told you that the government are very proactive in getting the gas for the fertilizer plants. So, that I don't think is also a constraint. It is only a question of price.

Page 13 of 16 Viraj: But given where the prices are for urea and ammonia, do you think that it would be remunerative

for you to produce above R AC? Any color you can give?

Abhay Bajjal: No. I would suggest that you also have a look at where the IPP for urea is. It is \$900, sir. Way, way above. So, it is not a problem in terms of production beyond R AC.

Moderator: We will take the next follow-up question from the line of Aman Kothari from Aequitas Investments. Please go ahead.

Aman Kothari: Sir, I think you had mentioned some cost structure and how we would be going about urea plants. Can you just help me understand if we are potentially setting up a new urea plant, how would the project cost go and how would we look at funding it?

Abhay Bajjal: See, we have checked around and what has been happening in the sector lately. The price is INR 9,500 crores to INR 10,000 crores. That is the upper bound as far as brownfield projects are concerned.

Aman Kothari: For 1.4 million tons?

Abhay Bajjal: For 1.3 million tons, roughly the same. Now that you know the balance sheet of Chambal, I don't think there is much of a challenge in funding that. That is one.

Second of all, in terms of the government policy, now that is the open question, what exactly they are going to offer on the plate. Whatever other information that we have and we have been discussing, it is a doable project.

Moderator: We will take the next follow-up question from the line of Prashant from B iyani. Please go ahead.

Prashant: Sir, what would be the Cap ex number for FY '27 and what would be the areas of investment?

Abhay Bajjal: FY '27, there would be some balance expense on account of the TAN project, of course, and plus there would be the normal routine Capex of the order of about Rs. 170- 180 crores, which is there, which are in terms of either replacement or new, more efficient equipment, such as, for instance, steam turbines or CO2 compressors and so on. So, those are the standard kind of Rs. 160- 170 crores that we spend.

Prashant: And what is the balancing amount in TAN?

Anuj Jain: The total put together should be around Rs. 500 crores balance, I mean, Urea and TAN put together.

Prashant: Sir, once we commission WNA, we would be taking some time to start ANS and H DAN. So, is it that we will store WNA till the time we produce H DAN or we will sell WNA in the market?

Page 14 of 16 Abhay Bajjal: Obviously, we will sell it in the market. There is a ready and good market for WNA at the moment, but I don't think there is, yes, you are right that there is a sequential commissioning in this process.

Our plants on both sides are more or less ready, but as you know that we have to do dry runs on both sides and then commission and so on. So, it will take a little bit of time, but we are there. As far as the most important component of the plant is WNA product.

Prashant: Sir, have we also evaluated making automotive -grade Urea? While it does not come under the subsidy regime, but 75% of India's requirement is imported. So, any thoughts if you have ever evaluated this?

Abhay Bajjal: No, it is definitely possible with our plants, at least one stream or two streams we can take out to do that. And we are, in fact, having some very preliminary discussions on this issue and we are telling the government also that you should allow us to do this technical -grade Urea for automotive purpose. But it is very nascent. I would not give a timeline on this. That depends on government policy.

Prashant: We would require government approval because gas has to be supplied through them.

Abhay Bajjal: Yes, obviously this is a requirement that they would allow us, like they have allowed for, instance, GNFC and GSFC to do that.

Prashant: Sir, any clarity on G -3 profitability starting next calendar year?

Abhay Bajjal: What I can say is that, what I said last time, that the government are seized of the matter, the file has started. We have had one or two preliminary discussions. Too premature to give you

any guidance on this, but it is moving. That much I can say, because we are to be in this regime from December 1st onwards. Government is quite aware. Currently they are a little busy with other things, as you know, in terms of sourcing and so on. I am sure in the fullness of time, maybe a month or so, we will engage more effectively with the government on this issue.

Prashant: And just lastly, how much would be the net cash on balance sheet?

Abhay Bajjal: I think at the end of the year we were balanced with both, I think it was 0 -0 almost, net cash

was whatever cash on the books was more or less counter ed by the amount of short -term borrowing . Somebody asked that question in the very beginning. But this is a fluctuating number . Once our subsidies get released in the first quarter and so on, so this will go down. And I am sure we are already surplus, as Anuj informs me, we are already surplus.

Prashant: Thank you so much for your time.

Moderator: We will take the next follow -up question from the line of Aman Kothari from Aequis Investments . Please go ahead.

Page 15 of 16 Aman Kothari: Sir, I think you had also mentioned something about setting up a phosphatic fertilizer business, primarily in a manufacturing side. So, has there been a push by the government that you have seen for increasing these capacities also?

Abhay Bajal: The government are, I know informally talking, I cannot say anything about this and it would not be proper for me to say this, that they are thinking of something on this area as well. But we have, as I have said, in terms of phosphatic capacity, we are an d we remain very keen on this. But there are two or three important issues which need to be sorted out in this sector, apart from, of course, the scale and the value addition.

Aman Kothari: DAP pricing?

Abhay Bajal: I couldn't get, what did you say?

Aman Kothari: Yes, I just meant that DAP pricing is also an issue.

Abhay Bajal: No, no. DAP pricing is definitely an issue, but more than that, our issues with respect to GST, for instance, in this sector, which is quite a problematic area which they have to sort out. We have been at it for quite some time with them. That is a tax issue which can be easily sorted,

but they have to rework their entire GST around this particular sector. That is one part.

The second part is the upfront investment vis -à-vis the value add, which you rightly said is suppressed because of controlled pricing. So, we will have to see a situation where we are relatively free in terms of pricing power before we can take this forward.

And these two things, I think, are the important issues which we are waiting for in terms of production inland, but our thoughts are not only limited to India, by the way. So that is something that, as we have hinted in the past, this is something that rem ains an ongoing issue. We have had one or two engagements with somebody who could provide us with possibilities outside India, and that is an ongoing affair. At the moment, we have had a break -off due to this Gulf War situation and all that, but we are ready to engage at some po int of time in the very near future on this issue.

Aman Kothari: That would be a JV kind of a structure that we would be looking outside?

Abhay Bajal: Yes, sir.

Aman Kothari: And sir, last question on the CPC and biologic segment, I know we are gearing up with product launches for this year. What do you think is the strategy or the outlook that we have for this segment? How big do you think that we can get it in the next two, three years? Considering, I think, last quarter you mentioned multiple international companies that you were talking to, Nutrien, Corteva, Syngenta . So, how are you thinking about this segment?

Abhay Bajal: So, I would tell you that Nutrien are already more or less done in terms of engagement. We have got long -term agreements more or less in place . S

o, we will be starting with their products very soon.

Page 16 of 16 Aman Kothari: But those would be potash products?

Abhay Bajal: No, no. They are specialized nutrien t use efficiency products, very high. As you say, somebody should understand that the agriculture is moving in a different direction. It is no longer bulk. It is more precision. It is more specific to soil conditions. It is also very specific to nutrien t use efficiency and application capabilities. So , we have to now move from very generic to kind of specialized agricultural inputs.

So, that is the way it is going. And we have to work with some of the international companies to bring products that really work. And one of them is what we are going to do. It is called, I think, Uttam Fertis or something, which we are coming in with Nutrien.

It has content to increase the carbon content in the soil. It will improve the nutrient use efficiency.

Aman Kothari: And sir, how big do you think this could get for us in terms of our output?

Abhay Bajal: Well, when we were talking to Nutrien, they said that, look, what is the total market in India? We indicated in the region of \$1 billion by the next 5 years. So , you can understand what kind of percentage they would be looking for. Maybe 10% would make a very large number.

Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference back to the management for closing comments.

Abhay Bajal: Thank you, Purvangi. I would like to thank you all for joining the call today and hope we were able to address all your queries. If you have any further questions, you can reach out to our partners at Valore m Advisors. Thank you once again for participating in the call .

Moderator: Thank you, members of the management. On behalf of Valor em Advisors, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Abhay Bajal: Thank you.